

# **Vedanta Ltd. (VEDL)**

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## Call: Jul 2022

Page 1 of 17

"Vedanta Limited Q1 FY -23 Earnings Conference Call"

July 28, 2022

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MR. AJAY GOEL – GROUP CFO, VEDANTA LIMITED  
MR. ARUN MISRA – CEO, ZINC BUSINESS  
MR. PRACHUR SHAH – DEPUTY CEO, OIL & GAS BUSINESS  
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Vedanta Limited  
July 28, 2022

Page 2 of 17

Moderator : Ladies and gentlemen good day and welcome to Vedanta Limited Q1 FY23 Earnings Conference Call . As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal a moderator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sandep Agrawal – Head Investor Relations, Vedanta Limited . Thank you and over to you sir.

Sandep Agrawal : Thank you Nirav and hello everyone. I am Sandep Agrawal. Once again thanks for joining us today to discuss our financial results for first quarter of fiscal year 2023 that ended on June 30th. We have with us today, Mr. Sunil Duggal – our Group CEO, Mr. Ajay Goel – Group CFO . We are also joined by leaders from our key businesses , Mr. Arun Misra – CEO, Zinc Business, Mr. Prachur Shah – Deputy CEO (Oil & Gas) Business and Mr. Rahul Sharma – Deputy CEO, Aluminum.

We will start with update on key highlights of our operational and financial performance and then we will open the floor for questions and answers. Please note today's entire discussion will be covered by the cautionary statement and disclaimer mentioned on page #2 of the presentation . Now without further ado I would like to hand over to Mr. Duggal to take us through the presentation. Over to you Mr. Duggal.

Sunil Duggal: Thank you Sandep. Good evening, everyone. Welcome to Vedanta Limited first quarter FY23 earning conference call . Currently global economy is facing volatility amidst high inflation , potential rate hikes by central banks slackening consumer confidence and China's zero COVID policy led to lockdowns. This has led to recent softening in commodity prices. However, we also see that China has announced stimulus and has started to ease lockdown restrictions . Amidst ongoing energy crisis especially in Europe , manufacturing costs are higher. This has potential to further suppress , supply and support commodity prices. Crude oil price is expected to remain supported on supply concern. Indian economy's relative resilience is reflected in strong industrial production , export competitiveness and non-food credit growth. Indian government 's increased capital expenditure continues to support demand. Although inflation level is above the RBI's tolerance band , RBI expects inflation to fall below 6% level by March '23 quarter. During the June '22 quarter , we have again demonstrated our ability to execute well

through all these challenges . We have started FY23 with best ever first quarter EBITDA as key businesses continued to deliver strong operational and financial performance , underpinned by world -class asset quality and strong business models. We recorded first quarter EBITDA at Rs. 10,741 crores which translates into 7% YOY growth. We have started dynamic commodity hedging for proactive risk management amidst unprecedented price volatility . In July '22 we commenced operation at nickel cobalt Goa plant and Liberia iron ore mine. Our capital allocation and dividend policies are well articulated and designed to create sustainable long -term value. We have invested more

Vedanta Limited

July 28, 2022

Page 3 of 17

than \$14 billion across businesses over the last 10 years . Without raising further capital from equity market, we are investing \$3 billion over next 2 years and \$2 billion in FY23 alone on growth volume , value added products , backward integration , operational efficiency, and digitization. These projects will make our businesses more sustainable and predictable.

We have one of the best dividends yield amongst peer . We have paid dividend of more than Rs. 65,000 crores over the last 10 years . In Q

Quarter 1 we declared first interim

dividend of Rs. 31.5 per share with another interim dividend of 19.5 per share in July '22. This translates into a very attractive dividend yield of 15.4% on YTD basis. We have impeccable track record of meeting all capital market commitments . In line with our commitment to deliver by \$4 billion in the next 3 years VRL has deleveraged by \$1 billion in Quarter 1 and is on path to further de-lever by \$0.5 billion by this month end. We believe in Atma Nirbhar Bharat, Vedanta Group is one of the highest contributors to national exchequer . We have committed to contribute towards uplifting people's life. The transition to a lower carbon world also offers a unique opportunity to grow and remain an attractive investment case for decades to come. Our ESG program has now moved from planning phase to execution phase. You will hear more on progress during the year . In June '22 quarters we achieve net zero commitment. We have completed climate risk assessment both physical and transitional risk. We have also completed inventorization of our supply chain emissions , that is Scope 3 emissions , 2 year earlier than our committed target . India's first battery electric vehicle in underground mine introduced at HZL Zawar mine .

We are continuing industry leading people practices on diversity and inclusion with 29% women in decision -making bodies . Vedanta is also among the few Indian companies that have actively recruited members from transgender community as part of our workforce . We are working to ensure zero harm workplace to learning from mishaps in FY22 and before . In June '22 quarter despite our best effort we are saddened with a loss of life of one business partner employee at Hindustan Zinc . We are taking various initiatives to drive safe work culture including focus on critical risk management to reduce hazardous activities at site . We have launched across businesses audit to ensure best safety practices across the group.

Now if I turn to our business verticals ; at our aluminium business in line with Jharsuguda ramp up alumina quarterly production grew by 3% YOY, aluminum production was also up. Quarterly COP was \$2653 per ton, impacted by input commodity headwinds , particularly power cost . Zinc India achieved highest ever quarterly refined metal production of 260 KT with 10% YOY growth. Silver production grew by 10% YOY. EBITDA margins supported by higher volumes , better recovery , commodity prices and hedging.

Vedanta Limited

July 28, 2022

Page 4 of 17

At Zinc International Gamsberg recorded highest quarterly production at 53 KT. It achieved a record annualized MIC production of around 225 KT in June '22. Cost of production also improved despite inflationary cost pressures . In oil and gas business volume was lower by 4% quarter-on-quarter due to natural decline which was partially offset by additional volumes from infill wells and polymer injection in Bhagyam and Aishwarya fields. OPEX increased by \$0.60 per barrel QOQ to \$13 per barrel , primarily on increase in polymer prices. We're focusing on infill well drilling to maximize near term volumes and arrest natural decline. We expect to commence production from Jaya and Hazari Gaon fields from September '22. Our Shale pilot is also on track for spud in September '22 quarter . From July 1st '22 the government of India has started levying the special additional excise duty on crude oil. We are engaging with the government

on this within the framework of PSC and R SC and are quite hopeful on the favorable outcome.

In iron ore our Karnataka business saleable ore production was lower as heavy rain fall impacted ore handling. Pig iron business production was lower on YOY basis in line with plant shutdown at one of the blast furnaces. However, margin improved by 148% QOQ to \$1.59 per ton. We have completed first step towards steel capacity expansion

apacity expansion

to 3 million ton per annum during the quarter by debottlenecking one of our blast furnaces. This shutdown impacted quarterly hot metal production and consequently a 7% YOY decrease in saleable production. EBITDA margin was majorly impacted from export duty imposition, driven steel prices decline and high coking coal prices. FACOR achieved highest ever ore production since acquisition with 14% YOY growth. Quarterly ferrous production grew by 3% to 18 KT. Vedanta is uniquely positioned to deliver sustainable value. In FY23 our key priority will be to deliver volume on committed lines, timely execution of projects and integration of our aluminium business.

We'll focus on production cost reduction and dynamic hedging to proactively manage commodity price, volatility risk. We remain committed to improve margins, increase free cash flow generation, and deleverage. We have an outstanding foundation of world-class long life and low-cost asset producing vital commodities for global decarbonization transition. Our strategy, high quality assets, strong balance sheet and capability position us well for future growth.

With this now I would like to hand over to my colleague CFO, Ajay Goel for financial performance.

Ajay Goel: Thank you and good evening, everyone. As Sunil said, we have an outstanding foundation of high-quality assets along with a strong balance sheet which positions us well for future growth. I am pleased to share that despite inflationary macro environment and fiscal and monetary headwinds we commenced the year with our best ever first quarter financial performance.

Vedanta Limited

July 28, 2022

Page 5 of 17

Before I walk you through the numbers, I wish to talk about few key accomplishments for first quarter. We achieved highest ever first quarter EBITDA of Rs. 10,741 crores. Increasing shareholder returns, paid total dividend of 11,684 crores which is 31.55 shares in Q1 and second interim dividend of about Rs. 7249 crores which is 19.5 shares in July. This translates to an attractive dividend yield of 15.4%. Proactive risk management through strategic hedging in major commodities to protect margins, the realized hedging gain in Q1 was Rs. 764 crores. We are continuously working towards dynamic liabilities management and has increased our maturities profile to around 4 years and lowered the average borrowing cost to 7.6%.

Lastly, we are progressing well on the path of committed deleveraging. You may have noted the release by our holding company Vedanta Resources Limited of 1.5 billion debt reduction in YTD July '23, that is in the first four months. This is in line with our commitment of 4 billion deleveraging over next 3 years. Operationally Gamsberg and FACOR delivered highest quarterly production while zinc and aluminum volumes continues to be strong. We also successfully acquired Athena power plant having two units of 600 megawatt each which gives long-term energy security and cost certainty. Now coming to few of the key financial highlights of the quarter; our quarterly group revenue stands at 38,251 crores which is up 36% year-on-year (YOY), highest ever first quarter EBITDA of 10,741 crores, up 7% YOY with a strong EBITDA margin of 32% driven by operational performance despite inflationary cost pressures and moderating commodities prices. PAT, profit after tax stands at 5,592 crores, higher by 6% YOY and that demonstrates a strong financial performance. Our ROCE (Return on capital employed) at about 30%. It is higher by almost 780 basis points from last year's 22%. We also continue to maintain healthy cash and cash equivalents of 34,342 crores which is up 7% quarter-on-quarter. Finally, our net debt at 26,799 crores with net debt to EBITDA the leverage ratio at 0.6X same as last year's and 0.6X put in the perspective is amongst the lowest

in Indian peers.

We also have a detailed income statement in the presentation and I want to just share a couple of more updates; depreciation charge for Q1 was at 2,464 crores, 16% up YOY due to higher overall depreciation charges at oil and gas and higher ore volumes at Zinc India. The finance cost for Q1 at 1,206 crores, up 2% due to increase in average borrowings which has been offset by reduced average rate of borrowings. Income from

investment in Q1 at 583 crore s, up 12% quarter -on-quarter in line with change in the mix of investment and down 20%, majorly on a ccount of mark -to-market. You may have noted that there are two re cent repo rate hikes that lead to mark -to-mark accounting but yield to maturity will not change. So, it is temporary. I want to underscore that . The average investment income stood at 4.7% pre-tax for the quarter. T he normalized ETR the tax rate for Q1 at 23% which is lower on account of one-time impact of MA T, the minimum alternate tax asset recognition of 505 crores. On full yearly basis which is the Vedan ta Limited  
July 28, 2022

Page 6 of 17

right way to look at it on full yearly basis we foresee that ETR will be within the guidance range of 26 % to 28% which is more or less same as last year as well.

I will n ow move to EBITDA bridge ; EBITDA is up 7% Y OY and Rs. 709 crore s. As evident from the bridge strong demand for all our communities and improved prices have positively impacted our EBITDA, supported by strong operational performance of key businesses. We also benefited by strategic hedging and higher CAPEX and OPEX recover ies in our oil and gas portfolio. However, this has been partly offset by higher cost of production due t o input , commodities, inflation .

Movi ng on next page on net debt as you can see as of June 30th stands at 26 ,799 crores impacted by working capital inv estment which is cyclical in nature and CAPEX requirements in the short term . Despite softening of the prices , we believe that this year as well Vedanta will continue its growth journey and free cash flow generation will be sufficient to meet the CAPEX requirements and still deleverage as we have committed as a group .

A quick word on balance sheet ; our long -term focus remains in proactive credit management. During Q1 we have increased the average ma turities to 4 years from 3.4 years in the last quarter . While we have been able to further lower the average cost of borrowings to 7.6% from 7.9% in fourth quarter. So, q uarter -on-quarter 30 bps lower cost of funding. Our credit rating is maintained at AA with a stable outlook both by India Rating and CRISIL .

Now finally each of our businesses are on growth journey ; we want to grow across the value chain focusing on vertical integration and cost efficiencies while targeting higher capacity. Our growth CAPEX plan of around 3 billion over 2 years is aimed in the same direction and is in line with our capital allocation policy without compromising on the key priority of de -leveraging at group level. O verall, with our resilient portfolio we are well positioned to increasingly able to deliver stron g performance across cycles and create value for all the stakeholders. Thank you. And I go back to operators for any Q&A s.

Moderator: Thank you very much. We love it in the question -and-answer session. First question is from the line of Amit Dikshit from Edelweiss.

Amit Dikshit : I have couple of questions. The first one is on the hed ging position in oil and gas and alumi nium division. How much of the OPEX was used in volume terms in Q1 and what is debt outstanding right now and did we do any further hedging in Q1? That is the first question.

Ajay Goel: So, let me take it up first. So, if I speak of aluminum , our large portfolio , the hedging in the Q1 covers 20% of the volumes and the rate of hedging is about \$3500 per ton. So, net-net one-fif

th volume in aluminum is hedged for the Q1. If I also speak of zinc which

Vedan ta Limited

July 28, 2022

Page 7 of 17

again is quite critical. So almost one -third 34% volumes for the first quarter are hedged .

Oil and gas our working interest almost 16% but effectively if I leave aside the share of the government , again almost one -third of volumes are h edged . So, net -net 20% in aluminum and almost one -third across zinc, oil, and gas. As I mentioned Amit, the realized gain in terms of our positions which got matured , the gain is about 764 crores .

Let m e also take a word , it is forward , the hedging of the forward quantities which basically are for second quarter as in the current quarter and little bit for third quarter .

Right now, the unrealized gain is about 3X of what we already realized but that will unwind only in second quarter and in October and November depending on the prices.

Amit Dikshit : Thanks for the comprehensive answer . The second question is essentially on the coal cost, what was the movement QOQ and how much you will guide for the quarter and is it possible to separately V EDL EBITDA?

Sunil Duggal: The coal cost you're asking is for aluminium or which business you are asking ?

Amit Dikshit : Yes, coal cost for aluminium, sorry I should have specified.

Sunil Duggal: The average coal cost for aluminium business was Rs. 1.91 per GCV and the overall power cost was \$1238 per ton. This is softening now and the linkage coal realization which came through Tranche - 5 is looking very healthy now in this month. With this I think a sizeable portion of the usage will go back to the linkage. Apart from that the auction coal prices also softening because of the international energy prices are also getting softened and some of the imported coal flowing in some parts of the country depending on the landed price leverage they have. This is about the coal costs. Anything Rahul, you want to add on the coal cost for the current quarter and the Quarter 1.

Rahul Sharma: No, I think you have already touched. Q1 was basically the total coal requirement was 4.2 million and the cost was Rs. 1.9 per GCV. But as Mr. Duggal said that I think things have started moving and improving because in terms of security we have 100%, always the challenge remains the materialization and I see that in Q2 things are coming back because last quarter we had almost 32% as the linkage utilization and this quarter we are looking close to (+36%) kind of thing. So, we see the great implement going forward. Also, Duggal Saheb if you allow another point which I have forgotten to mention, I think last quarter also we mentioned; we have got Jamkhani as a coal mine wherein we have got all the approvals including opening of the mine approval and we'll be starting this Jamkhani mine in early next month. We see that it will be also some breath for us or rather great breather for us.

Amit Dikshit: Just as you said 22% linkage materialization in Q1 or 32%?

Vedanta Limited

July 28, 2022

Page 8 of 17

Rahul Sharma: 22% was Q1 and 36% we are looking for this quarter as an overall bucket of my total consumption.

Amit Dikshit: Is it possible to quantify the benefit that we might get into Q2, I mean total as a result of all these measures?

Sunil Duggal: We cannot give any guidance as much on this but at least the broadly what it looks like that it should fall to the level of quarter before at least.

Moderator: Next question is from Pinakin Parekh from JP Morgan.

Pinakin Parekh: My first question is on aluminum; given that the cost of production was over \$2600 in the first quarter and LME is roughly at around \$2400. At what point of time do you think that the company would look to cut production?

Sunil Duggal: There is no plan to cut the production. In fact, the last spots we are powering up. The average LME for the

the month is lying somewhere between 2450 -2500 and with the premium. As we have said that the cost will ease out in the current quarter not only because of the power costs but also because of the processing cost and the alumina cost. Alumina cost because of the related LME going down could be softened to about by around \$ 150-\$200, another \$300 -\$400 could soften in power costs and balance in processing costs. So, even at the current LME prices we will make a good EBITDA margin and it makes a good business for us. That is why even the remaining part from the Line 6 we are ramping up.

Pinakin Parekh: Just to clarify, what you're saying is that even at current LME aluminum prices

Vedanta's aluminum business would be profitable, is that correct?

Sunil Duggal: Absolutely. This is what I'm saying, it will make a good EBITDA margin even at the current prices.

Pinakin Parekh: My second question is on the oil business. Now this is a segment which has consistently disappointed in terms of production, in terms of OPEX. The government of India's latest tax essentially creates another burden for this business. Even the earlier 16.67% cess was never removed when the oil prices went lower. Given the policy headwind and given the increasing OPEX, is the company looking to stop investments in oil because clearly this is not a business which can generate good strong returns given what the policy headwind in terms of taxes are and given the increasing OPEX? So, given the original CAPEX plan which was announced for FY23 if the oil cess stays as it is, would the company look to cut the oil CAPEX?

Sunil Duggal: The energy security for the country is one of the important things for us and we want to partner with the government. In that direction we have no intention to think even an iota

Vedanta Limited

July 28, 2022

Page 9 of 17

on the line of what you're talking. All our projects are moving ahead with the same energy what we were possessing earlier, infill projects, drilling in our gas assets,

exploration in our R G asset, O ALP, everywhere, A SP project , Shale oil project , pilot project on the Shale oil, ASP project, so everywhere the efforts are on and we want to triple or quadruple our results from the current level. Ultimately, we want to partner with the energy security of our country. As far as the additional special excise duty is concerned , in the background whenever we have talked to the government , government has always been supportive of looking at how they can partner with us on the new projects and where it can help the country and help us to make the project viable. As far as specific to the special excise duty is concerned, we believe that the windfall tax for the government is already built in the PSE. We have represented this to the government at the various levels. Government is quite favorably placed on this and we are quite hopeful that it could get retracted.

Pinakin Parekh: Just to clarify because we keep on getting this question , the \$30 cess would translate into what kind of realization impact for Vedanta or just to make it more simpler , if the tax was there in Quarter 1 when the Brent was 114 and Vedanta's average realization was 110 , what would have been the new realization or the new EBITDA if this \$ 30 cess? Is it a straight \$30 negative impact , are there trade -off available?

Sunil Duggal: You have to understand what they're talking. They're talking that depending on the average crude prices of the last fortnight , they will keep revising that number. So, this number will remain very dynamic. All our projects are conceived and evaluated at a much lesser price is like we evaluate our all our projects at \$60. So, \$60 we make a healthy IRR. In any case the government thinks of putting up this special excise duty at \$80. It does not impact our operation much and impact our margins beyond that. But

the question is , the broader question which I'm saying and which broadly we have been able to sell to the government is that this windfall even beyond \$80 is built into the contract. If it is built into the contract let us suppose from \$80 to \$120, the \$40 directly does not flow back to the government. But in any case, the 70% of this goes back to the government. That is why the government is quite favorably placed to look at this and look at how they can differentiate between the nomination blocks and the auction blocks.

Pinakin Parekh: Just to clarify , so far there is no official directive from the government on the nomination blocks and the auction block. While you have represented to the government , there is no official confirmation. So, if the government does not agree should we expect a legal challenge to this? Because \$30 is a very meaningful number given the context of the oil segment EBITDA .

Sunil Duggal: I don't want to jump the guns and we are very hopeful , let us wait. Let us not think something which is not in the best interest of any of the stakeholders.

Vedanta Limited

July 28, 2022

Page 10 of 17

Moderator: The next question is from the line of Ashish Kejriwal from Centrum Broking Ltd .

Ashish Kejriwal: My question is again on aluminium cost; cost on both alumina as well as coal. One thing is, currently how much difference is there between our costs of production of alumina and the purchase of alumina ? And second is in terms of coal cost , have we purchased any electricity in Quarter 1 or the entire increase in power cost is due to the expensive coal which we have got?

Sunil Duggal: It's a combination . Its combination of bit of the purchase power and the coal cost. While I will request Rahul to give the answer on this . As far as alumina and even our imported alumina is concerned, there is a differential of say around \$ 100-150 per ton depending on the prices, LME, and the prices. So, Rahul, any more detail, or the more color you want to add to this?

Rahul Sharma: No, I think generally it remains in the range of \$100 but in Q1 for sure it was the delta was maybe 60 around , \$60 to \$65. That was a delta between Lanjigarh versus the imported , alumina point of view.

Ashish Kejriwal: Your alumina cost of production is something like \$ 371 in first quarter and when we spoke about that \$100-150 decrease in alumina price so even after the decrease, you're seeing that it's a difference of between \$ 60 to 70?

Rahul Sharma: Come again? \$70, yes that's what I'm saying. That's an arbitrage between imported versus your domestic.

Ashish Kejriwal: \$60-70 is still there?

Rahul Sharma: Yes.

Ashish Kejriwal: Second question is aluminum hedging only. You've mentioned about 20% of first quarter volume was hedged and if I remember correctly in fourth quarter you had said that for the full year around 15 %-16% of the volume was hedged. So, the entire difference in volumes now , will it be front ended or it will be across the quarters? And if

that is the case, what could be the second quarter volume which is hedged at around \$3,500?

Ajay Goel: Right, so say I mean you cannot calibrate the volume in line with the hedging right. I mean in terms of front ending the volume in second quarter, on third quarter won't work.

If I give you a bit of context as you know Vedanta historically; our policy has been that we want to realize the average LME of the month of production but given the current environment which is quite a tumultuous, very volatile. This course correction was warranted and also in the hindsight we feel it was a good step. If I speak of the second quarter for aluminum against our planned volume for second quarter, almost 28%

Vedanta Limited

July 28, 2022

Page 11 of 17

volumes are hedged and the hedging price is about \$3,630 per ton. Net-net more than one-fourth volumes

for second quarter are hedged. Same way if I speak of zinc, almost 40% volumes planned volumes for the second quarter are also hedged and same number almost 30% for oil & gas. Net-net I think we are decently covered in terms of second quarter on hedging viewpoint.

Ashish Kejriwal: Lastly, we are going to operate our Jamkhani mine next month. Is it possible to share some cost benefits which we can avail not next month, maybe 6 months down the line from this mine?

Sunil Duggal: I will give you some idea that we have three mines. The projected cost from these three mines is ranging somewhere between 45 paisa to 85 paisa. So, Jamkhani cost will be somewhere between 80 to 85 paisa and Radhikapur is somewhere between 50 to 55 paisa and Kuraloi could be around 45 to 50 paisa. This is the range and the weighted average you can work out could be around 60-65 paisa.

Ashish Kejriwal: Versus Rs. 1.90 paisa which we incurred in first quarter?

Sunil Duggal: Correct.

Moderator: Next question is from the line of Vishal Chandak from Motilal Oswal.

Vishal Chandak: My question was with regard to the oil & gas business again. From time and again we have been trying to improve the production run rates and we have been talking about improving production run rates but it has been a disappointment even today also. What kind of IRR do we target for oil & gas business and what kind of, how does that compare to our IRR targets for zinc business to understand how do we evaluate project or do a capital allocation across various businesses?

Sunil Duggal: Prachur if you take the question about oil & gas and then I will try to add on the zinc.

Prachur Sah: On the projects for oil & gas typically at a \$50 oil price we are targeting an IRR of 20% and that's been the case so far that all the projects that we have targeted at \$50 oil price chemically are at 20% IRR as a threshold to take up the projects.

Ajay Goel: If I may supplement again Vishal. I would again go back to our group policy on allocation of capital and 8th of Feb we committed that any CAPEX project for the group, our minimum IRR will be at least 18%. In case of oil & gas our internal numbers you heard from Prachur we assume a \$50 per barrel as a pricing. Even with that kind of pricing our IRR in oil & gas business is higher than the group average.

Vishal Chandak: We are saying that the oil & gas business probably generates an IRR higher than what our zinc business generates because zinc still it gives you the highest proportion or

Vedanta Limited

July 28, 2022

Page 12 of 17

share of the EBITDA. Maybe IRR over there is lower that means the overall IRR should be somewhere far steep or down. Would that be correct, fair assessment?

Sunil Duggal: No, you cannot calculate like that because the structure of oil & gas is much different than the zinc. Zinc, any price goes up the entire contribution of the increase LME goes to the bottom line. But in oil & gas business the structure is such that it attracts duties, success and then profit petroleum and not more than 30% flows back to the business.

Vishal Chandak: Anyways that was the important question that I was trying to drive down as in the IRR in other businesses are fairly higher compared to this oil & gas business where investment is continuously required, sales are declining, there is a windfall gains, tax from the government. Why do we still want to continue with this kind of an investment?

Why not propel the investment further in other spaces like aluminum and zinc where the possibility on returns specially with our own coal mines opening up, there's a higher probability of a better return over there?

Sunil Duggal: That is an internal call that we keep our portfolio very diversified, number one and we don't want to put all our eggs into the one basket. The



the other is that we want to partner

with a country where the energy security for the country is very important and we want to play a very important role in that and we are the only private player in the country who actually contribute 25% of the India's domestic production. And we remain excited about it that we want to evaluate the new resources OALP discovered small fields, methane, coalbed methane. So, we will keep participating there and the Government of India is also quite favorably placed to partner with us in there to look at across the table with a more mindset or the open book to see that how the new projects can be made viable. That is why you see even for putting up the ASP project they have come up with the policy of reducing the cess to half to make the project viable but apart from that for other projects and even on this project they remain open as to what needs to be done to make these projects viable because the country suffers the most because of the oil & gas import.

Ajay Goel: I just want to also add two more points here. See allocation of capital and the more so CAPEX and the resulting IRR is also a function of opportunities. It is not necessarily either or, say between one portfolio to another. If you look at our current year's guidance on CAPEX almost a 2 billion. In fact, we are investing the half of that almost a billion in aluminum example remains BALCO almost 380 million in terms of rolled production, expansion 250 KTA and also for smelter capacity 420 KTPA. Same way for example Lanjigarh is one more example. Net-net one should look at CAPEX production in terms of forward-looking outlook. Finally, it is a nature of the business as well. I mean as you would appreciate maybe the one discovery in oil & gas perhaps will pay back 450 in the past so net-net it is all the businesses and, in our businesses, we got to invest in a market where there might be a bit of downturn. In that case the portfolio becomes resilient and we can deliver across the cycles.

Vedanta Limited

July 28, 2022

Page 13 of 17

Moderator: Next question is from the line of Rahul Jain from Systematic.

Rahul Jain: One, firstly on we keep hearing in the press a lot about your semiconductor business. What plans do we actually have and is there any capital commitment that we are doing in the next 6 months to 1 year? That's my first question.

Sunil Duggal: As far as semiconductor business is concerned, the government of India has made a policy that how they can support this sector where this is also a very strategic sector for the country where the government is quite inclined to make this work in the country and that is why they have declared the new policy and even the state government, each of the state government was quite excited about this. So, currently we are in engagement with the various state governments and they are ready to make all SOPs available to us to make the project exciting and viable. We are evaluating the final location and you will hear from us as we will progress.

Rahul Jain: And also, on Hindustan Zinc. The government will likely exit. So, are we going to participate in the government's exit and increase our stay, what is our stance on this?

Sunil Duggal: So, government is doing its process. They are appointing the banker now and, in any case, we cannot acquire more than 5% in any given year or 25% of this stake sale at any point of time. Depending on whether the government would request us to participate in acquisition beyond the legal limit, we will evaluate but if they will offer, we will definitely consider.

Rahul Jain: And any color on BALCO, if you have in similar lines?

Sunil Duggal: No, we have no way forward for BALCO as of now. Neither the government has laid any plan as far as our information goes.

Moderator: Next question is from the line of Ritesh Shah from Investec Capital.

estec Capital.

Ritesh Shah: My first question pertaining to the debt maturity profile of the parent. Would you be able to provide some more color on that? To my understanding it was around \$3.7 billion for the fiscal which included around \$300 million for ICL and interest cost about \$700 million. If you could help on a quarterly roadmap over here that would be quite useful. The reason I ask this as I'm also trying to understand the payout for the full fiscal?

Ajay Goel: I will be kind of a brief on this one, this being the Vedanta Limited call but you're right.

In terms of, for the current fiscal for Vedanta Resources total maturities is 3.7 including 1 billion which is a combination of interest cost and ICL. That leaves almost 2.7 billion for the full fiscal in terms of external debt. Out of which, out of 2.7 roughly 2 billion are falling due in H1, VRL as we all know is, looks at the numbers on half-yearly basis. So, out of 2.8, 2 billion in H1 and the balance of 0.8 in the second half. You may have seen

Vedanta Limited

July 28, 2022

Page 14 of 17

given the recent two interim dividends by Vedanta Limited, the receipt at Vedanta Resources is about 1.5 billion. So, 1 billion out of the first dividend and roughly 0.5 billion from the second interim dividend. So, 1.5 is dividend, roughly 200 million is brand fee. It makes it 1.7 and finally, also we got recently couple of Indian PUC bankers lending to Vedanta Resources including SBI. So, with all of that roughly 2.1 and 2.2 billion is already secured. With that until November, early December we are fully taking care of at Vedanta Resources and remainder amount 0.6 -0.7 we feel quite comfortable in terms of meeting those maturities. So, either we refinance them or we repay them.

Ritesh Shah: Just a related question. Wanted to understand the extent of pledges and encumbrances which are there at Vedanta India level, if it's possible?

Ajay Goel: For Vedanta Limited you might have seen one of our recent statutory filings that none of Vedanta Limited shares are pledged. Of course, while borrowing there is one non-disposition undertaking which means the promoters cannot go under minority. Now as per SEBI requirements that 51% is not pledged but it is also reported legally as encumbered. Net-net, there is no pledge for Vedanta shares. If I come to the second part of it, in terms of loans by Vedanta Limited and have we pledged Hindustan Zinc shares? So, 5.77% of zinc stake is pledged for one loan. That number you will remember was roughly 14.9% with SBI. So, 14.9% has come down to 5.77%.

Ritesh Shah: One question for Duggal ji. We had in our earlier calls indicated that we had submitted EOI for Videocon and BPCL. Any specific updates over here that would be useful?

Sunil Duggal: BPCL, government has re-doing the process and when the process will come; we will think at that point of time and as far as Videocon is concerned, this is you know the legal process is going on.

Moderator: Next question is on the line of Prashant h Kumar from Dolat Capital.

Prashant h Kumar: Just wanted to understand the latest on the royalties that we pay to our parent. Where is that, where are we at and FY22 what was the amount and what is that expected for FY23?

Ajay Goel: Prashant, I mean the agreement as you know remains same. In terms of the coverage, in terms of entities and the rate of royalty remain same as last couple of years, that has not got changed. The broad number for last fiscal FY22, the royalty was almost 200 million. In the current year as you know, it is a largely pegged to the revenue. We think this number be almost 250 or 275 million in the current year.

Prashant h Kumar: Just I have two points on this. Generally, in industries and sectors where there's an IP and patented knowledge or brand that is being given to the Indian entity for example

auto, pharma, FMCG etc. Royalties is a very well-established practice but then in our Vedanta Limited  
July 28, 2022

Page 15 of 17

industry and combining metals kind of setup this is not a very widely prevalent. That is one aspect. Second let us assume, you add back instead of giving it as royalty you add this back to the dividend pool anyways 70% goes to the parent, the rest 30% comes to minority. But then what that immediately does is let's say 200 million. You add that back to the dividend pool, immediately it raises your valuation by \$2 billion. Out of that 70% anyways is owned by the parent. They get a 1.4 billion net benefit in market value. What they lose is 60 million that's it on the cash that would have otherwise come as a, that would have otherwise gone directly to them and that is one. Two there also be a very good re-rating in the overall multiple and the yields that the company would be getting because some investors may see this is as an overhang which is our feedback. Just an input, your thoughts are welcome and please share your insight on this.

Sunil Duggal: Thank you. Thanks for the input and your viewpoint. It could be the personal viewpoint what you are expressing but this has gone through the required legal process and the board approval and all the approvals have gone through and after all the stakeholders and the board members are convinced that there is a substantial value-addition which is done by the parent and that is the royalty is stable. So that is what my broader viewpoint.

Prashant h Kumar: My second question is generally Vedanta has never hedged their volumes forward. This is one exception that we did it I think in March or April and it has turned out, hindsight turned out to be a fantastic move, saving about couple of thousand -crores for the company. This is to the CFO, sir what was your thought process when you decided that back then, based on the market, based on the pricing etc. If you could kindly share your thought process as to what made you to take this call? You and your team together?

Sunil Duggal: No this was done based on the evaluation which was done internally and based on the expert advice. We have also up the hedging desk, set up the internal headed by a global

hedging expert who has come on board. So, depending on that and benchmarking and the valuation we took a call at that point of time. It was a very strategic call which was taken.

Ajay Goel: See, you will appreciate that risk management has to be a dynamic process. It must take into account the current environment which as I mentioned earlier is quite a tumultuous, very volatile. Typically, Vedanta you're right has never hedged. We are fine to capture the average LME for the month over production but given the significant yoyoing in terms of the pricing going up and down, that too within a very short time frame, Vedanta decided to make this course correction. And you are right again that in the hindsight it was a good step but let me also add that hedging is not a tool to make money. Vedanta's expertise lies in metals and the mining, hedging is to protect the margins. But again, I don't think is a right way to look at the hedging in FX. Imagine if we had hedging losses which means on the remainder 80% uncovered portfolio the Vedanta Limited

July 28, 2022

Page 16 of 17

pricing would have been far -far higher than where it was but you're right. We are glad that we covered our one-fifth volumes and to that extent we could protect the margins.

Prashant Kumar: One small follow-up from previous participant. On that \$30 new cess on crude, how much of the hit will be on EBITDA after taking away all the government contributions etc. Will it be 15-18 or less or more? At EBITDA level what is the hit per barrel?

Sunil Duggal: You have that calculation, Prachur?

Prachur Sah: Yes, I mean I can explain that a little bit. At EBITDA level, because at \$30 a barrel in

our PFC share, the \$30 barrel doesn't hit us directly on our EBITDA because government actually pays out of the \$30 almost 70% as part of the profit petroleum. The net effect on EBITDA post cost and everything could be around \$5 to \$6 a barrel at that price. You have to realize this is a price paying, at 120 it was 40 and it's reduced to 30 so at that price it's about \$5 a barrel.

Moderator: Ladies and gentlemen, we will take the last question from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: My first question is on the power division. The margin this time is almost at record low of 20 paisa per unit of power. Is it possible to share the breakup between TSPL and other Jharsuguda business? If you can just explain, how should we look at earnings here because at least my understanding for the TSPL business was that it is a take or pay kind of an agreement and our availability has been good, 77% to 80%. So, we were kind of modeling around 1,000 crores of EBITDA run rate on an annual basis but time and again this has basically undertaken our expectations. So, give some explanation on that is requested?

Sunil Duggal: While we will give you the exact calculation but let me tell you that this construct of this contract is that the coal is pass through and we are paid based on the certain availability. The availability is on an annual basis. The quarter-to-quarter availability could vary depending on whether the annual shutdown is due in that quarter or not. In the first quarter one of the units needed the shutdown, major shutdown that we have taken. But over the year, our belief is that our availability will be more than the contractual availability.

Ajay Goel: There are more breakups if you're interested in our IR presentation. It's page #36 which covers the entire power P&L across Jharsuguda, BALCO, TSPL and also zinc, wind, power. If you want more information, please do write to Mr. Sandep Agrawal our Head of IR.

Sunil Duggal: Or refer this paper.

Vedanta Limited

July 28, 2022

Page 17 of 17

Sumangal Nevatia: Just one follow-up. On our coal mix I missed the initial commentary. So, if you can just comment, just repeat what is the mix and how is the mix changing? Our linkage why is increasing and are we replacing some more of imports or e-auction with linkage in the coming quarters? If you can just share some ....

Sunil Duggal: No, the last quarter was a mix of linkage, e-auction, coal, import and the local purchase, spot purchase. This quarter we believe it will be a combination of linkage and e-auction. As my friend Rahul said that the linkage could vary somewhere between 35% to 40% and the e-auction could be somewhere between around 60%.

Sumangal Nevatia: As a peak what can be our linkage mix at the peak and what sort of inventory, how many days of inventory do we carry?

Rahul Sharma: Let me first answer the last question. We have 5 to 6 days of inventory which is better than the previous quarter from the inventory side. And another question would be that what we are talking about, Mr. Duggal has already answered. In terms of linkages, we will be almost 36% but ideally, I have 55% as my contribution but its depends on materialization . There is scope from one is that moving from 32% to 36% is this and then ideally making to 55% and captive will also play a role as we said that Jamkhadi is getting started now. I hope I have answered both your questions.

Moderator : Thank you very much. I now hand the conference over to Mr. Sandep Agrawal for closing comments.

Sandep Agrawal: Thank you Nirav. Thank you all for taking time out to join us. I hope we were able to answer most of your questions . In case you have further questions please feel free to reach out to us . This concludes today's call. We look forward to

reconnecting you for next quarter's earnings. Thank you.

Moderator : Thank you very much . On behalf of Vedanta Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

## Call: Oct 2022

Page 1 of 15

Sensitivity: Internal (C3)

"Vedanta Limited's Q2 & H1 FY'23 Earnings Conference Call"

October 28, 2022

MANAGEMENT : MR. SUNIL DUGGAL – GROUP CHIEF EXECUTIVE OFFICER , VEDANTA LIMITED  
MR. AJAY GOEL – ACTING GROUP CHIEF FINANCIAL OFFICER , VEDANTA LIMITED  
MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER , ZINC BUSINESS , HINDUSTAN ZINC LIMITED  
MR. PRACHUR SAH – DEPUTY CHIEF EXECUTIVE OFFICER , OIL & GAS, CAIRN  
MR. SANDEP AGRAWAL -- HEAD, INVESTOR RELATIONS , VEDANTA LIMITED

Vedanta Limited  
October 28, 2022

Page 2 of 15

Sensitivity: Internal (C3) Moderator: Ladies and gentlemen, good day and welcome to the Q2 & H1 FY'23 Earnings Conference Call

of Vedanta Limited. As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sandep Agrawal , Head, Investor Relations at Vedanta Limited. Thank you. And over to you, sir.

Sandep Agrawal: Thank you, Steven, and hello, everyone. I'm Sandep Agrawal . Pleasure to welcome you all to Vedanta's 2Q FY'23 Earnings Call.

Audio archive and transcript of this call will be made available on our website. The Financial Statements, Press Release and Presentation are already available on our website.

From our leadership today, we have with us Mr. Sunil Duggal -- Group CEO; Mr . Ajay Goel – Acting Group CFO. We are also joined by leaders from our key businesses; Mr. Arun Misra -- CEO, Zinc business, Mr. Prachur Sah – Deputy CEO, Oil & Gas.

Please note, today's entire discussion will be covered by the cautionary statement on slide #4 the presentation. We will start with update on operational and financial performance and then we will open the floor for questions and answers.

Now, without further ado, I would like to hand over the call to Mr. Duggal.

Sunil Duggal: Thank you, Sandep. Good evening, everyone. Thank you for joining our second quarter earnings call.

You all are aware that the global economy has recently been facing certain macroeconomic challenges emanating from Ukraine -Russia war, broadening inflationary pressures of energy shock, food shortage, appreciating dollar and so on. Most of the central banks have been tightening monetary policies to tame inflation. These near -term macro challenges have weighed down commodity prices during the quarter. Despite these macro challenges, we have delivered strong operational performance with production growth in key businesses and cost optimization during the quarter.

We have achieved consolidated EBITDA of Rs.8,038 crore s. This along with structural streamlining of working capital investment helped us to generate a robust free cash flow of Rs.8,369 crore s.

Our Center of Excellence designed around quality , asset optimization, digital transformation are helping us to capture full potential of our assets.

Our growth and vertical integration projects aimed at reduce market volatility impact are progressing very well. Now we have six coal mines, which have 40 mtpa plus production

Vedanta Limited  
October 28, 2022

Page 3 of 15

Sensitivity: Internal (C3) potential along with two recently won mines. These mines will be more than sufficient to take care of entire coal requirement of aluminum business and help us to make it structurally strong. All these levers will make Vedanta stronger to deliver sustainable and predictable performance across all cycles and create stakeholder value.

We remain committed to create value for our shareholders. In first half of financial year, we have distributed dividend of Rs. 51 per share, which translates into dividend yield of 15.4%, one of the best among peers. Vedanta group is one of the highest contributor to Indian exchequer with Rs.37,180 crores contribution in the first half of financial year .

In our pursuit to uplift people's life , we have reached the milestone of 3,600 Nand Garh for women and child welfare . Our Balco medical center has also signed MoU with Tata Memorial Centre to drive excellence in cancer care.

Our ESG program has been progressing very well. I'm happy to share that Vedanta has entered into the exclusive club of top -10 DJSI rank global

metals and mining companies , ranked sixth globally with strong 14 points score improvement. Under the pillars of transforming the planet, we are on track to achieve 2.5 GW renewable energy target.

We have issued EoI for additional 500 MW RE procurement. HZL Pantnagar is now our first unit to run entirely on renewable energy.

Cairn's iron ore business have achieved third-party assurance for water positivity.

We're also making steady progress on waste utilization in R&D for new technologies.

In continuation to our industry-leading people's practices on diversity and inclusion, we have identified 120 women leaders who are being developed for future CSR roles. We're launching V-Shakti, a program for women leadership development in third quarter.

Now, let us move to the Business Verticals. Coming first to the Aluminum business. We completed Jharsuguda capacity ramp up to 1.8 billion ton per annum. Our aluminum production grew by 2% YoY and 3% quarter-on-quarter. Our quarterly CoP reduced by 8% to 2429 per ton.

We have started Chotia coal mine operation in September '22 to rationalize our coal cost. Linkage coal mineralization also improved from 22% to 55% in the quarter. We now have availability of three captive rakes on daily basis, which move the material or coal from mines to our plant.

We continue to focus on volume growth and vertical integration projects to this business, sustainable and predictable across all cycles.

Vedanta Limited  
October 28, 2022

Page 4 of 15

Sensitivity: Internal (C3) Coming to Zinc India, it achieved its best ever second quarter refined metal production of 246 kt, up 18% YoY, driven by improved smelter performance and better mine metal availability.

Silver production grew by 28% YoY. The operations have overcome quarterly variation and are now sustainably at 1 mtpa plus run rate. The next focus is to achieve 1.2 mtpa run rate in the near future.

Coming to Zinc international, we have recorded highest ever quarterly MIC production of 55 kt with a 43% YoY increase , driven by higher ore production and higher zinc recoveries. Cost of production also improved through potential operational efficiency. We have successfully gone through learning curve to handle the difficulty over and now operating at about 300 ktpa run rate in the current quarter. With Gamsberg phase -II expansion Zinc International will be among the largest operations globally at 500 ktpa plus size of operations .

In oil & gas business , our average gross operated production was 141 kboepd. Natural production decline was partially offset by infill wells in MB -I and RDG -II field. We are focused on delivery of growth project. We have hooked up eight wells during the quarter . OPEX increased by \$0.5 per barrel , Q2-to-Q2 \$13.5 per barrel due to increase in polymer prices and maintenance activities. We continue to engage with government on special excise duty within the framework of PSC and RSC .

I'm pleased to inform you that government has extended PSC for our Rajasthan block for another

10 years . To establish a potential , we have partnered with Halliburton and Schlumberger to drill pilot wells in Barmer.

Our Cambay infill campaign is looking promising. The third well came online in September and has helped increase production from 9k to 12k barrels per day. The business secured eight blocks in discovered small fields in round three and one coal bed methane block in special CBM round 2021 across onshore and offshore regions .

Coming to iron ore, our Karnataka sales increased by 7% YoY though prices remain under pressure . You know because of the export duty. Pig iron production was lower on YoY basis due to shutdown of smaller blast furnace.

The government of India imposed duty on iron ore, pig iron, among others. This impacted our realization and our margin fell 88% sequentially. However, we have depleted high cost inventory in Q2

and see cost reduction in Q3., We successfully started ore production in our Liberia mine in July. We're planning our first shipment in current quarter .

In steel, our saleable production grew 11% YoY to 324 kt with the completion of debottlenecking activities as shared in July . EBITDA margin was majorly impacted from export duty imposition, driven by steel price decline and high priced coking coal inventory materialization in this quarter .

Vedanta Limited

October 28, 2022

Page 5 of 15

Sensitivity: Internal (C3) In FACOR , ore production grew 43% YoY due to operational efficiency . Ferrochrome production was lower by 42% YoY on account of shutdown taken for realigning our furnace and its debottlenecking. Further growth is lined up with 60 ktpa furnace commissioning by December '22 at a CAPEX of Rs.200 crores which will take the total capacity of FACOR from 75 kt to 150 kt .

In terms of outlook, you may have noticed that aluminium, zinc and lead production cuts have been continued in Europe amidst high energy cost.

Energy shortage in some of the Chinese provinces is also impacting metal supply. We also expect Chinese government stimulus effort to boost commodity demand.

While Indian economy is not fully insulated from the global events, it is relatively resilient as reflected by strong industrial production, export competitiveness, tax collection buoyancy and non-food credit growth.

Indian government's increased capital expenditure to continue to support demand. Indian economy is projected to grow at a robust 6.8% in 2023, fastest amongst the major global economies .

Following the monsoon fall, construction activities have restarted and consumer durable market is vibrant now. This augurs well for metal demand in India . India being our largest market, its continued strength bodes well for our business performance.

We have an outstanding foundation of world-class, long life and low cost assets, producing vital commodities for global decarbonization transition. With a rich diversified asset portfolio and strong balance sheet , we remain well positioned to benefit from the global mega trends of decarbonization and energy transition and withstand the challenging macroeconomic environment.

With this now, I would like to hand over the microphone to my colleague and friend CFO , Shri Ajay Goel for the financial performance.

Ajay Goel: Thank you, Sunil, and good evening , everyone. The macro operating environment in the quarter was quite mixed with the softening of oil prices, input inflation and various fiscal and monetary policy changes. The Indian economy, though, is far better positioned compared to global peers. India's outlook has been optimistic towards domestic consumption, which is evident in several economic indicators. The commodities indexes are also flattening and cooling off in many cases . The impact of tightening monetary policies by central banks is likely to bring positive results in coming quarters.

Vedanta Limited

October 28, 2022

Page 6 of 15

Sensitivity: Internal (C3) This quarter, we have pursued various initiatives which resulted in a strong performance despite input inflation and softening pricing on output side. Our businesses have delivered strong quarterly revenue and very robust free cash flow before capex which is driven by working capital initiatives where we have reduced the number of days structurally by 15% quarter-on-quarter and optimized inventory levels. This should continue to benefit us in terms of cash in coming quarters.

Our focus remains on attractive returns to shareholders with highest ever 15.4% dividend. Our

leverage stays as best amongst Indian peers at 0.7x with a strong ROCE of 28%. I'm happy to share that we are progressing well on deleveraging commitment at holdco, which is 4 billion over the next three years. We have deleveraged the holdco in the first half of the year

by 1.4

billion. The Q2 results are very clearly the reflection of operating environment.

Some of the key financial highlights of the quarter are:

Consolidated quarterly revenue of Rs.36,237 crores, up 21% YoY. Quarterly EBITDA of Rs.8,038 crores, lower by 24% YoY with a strong EBITDA margin of 25%. Free cash flow before CAPEX of Rs.8,369 crores. And you would note that the free CAPEX for the quarter is more than 10% of EBITDA. So the EBITDA-to-cash conversion ratio has improved almost 2x of the recent past. ROCE of 28%, which is higher by 2% of last year's number of 26%. We continue to maintain healthy cash and cash equivalents of Rs.26,543 crores with net debt-to-EBITDA, the leverage ratio of 0.7x maintained at low levels amongst all Indian peers.

And finally, we paid the second interim dividend of Rs.19.5 per share, amounting to Rs.7,249 crores in the second quarter, which takes total dividend payout for the first half at Rs.51 per share, that amounts to Rs.18,933 crores, one of the best dividend paying company in India. We have an income statement in the appendix page number #30, where you can find more information against each line of profit & loss account. I wish to state that our ETR guidance for the full year will be around 30% now against 28% earlier. This change is driven by movement in profit mix amongst various businesses.

Now, I move to EBITDA bridge:

As clear from the EBITDA, quarter-on-quarter, the impact of market-driven factors has been partially set off to better volumes across businesses and lowering of cost impact through several measures on cost with the input prices also tapering in second quarter. We have also benefited from strategic hedging, which helped us to some extent in navigating the tumultuous pricing. Similarly, if you see the EBITDA bridge YoY versus last year, the major impact is coming from market-driven factors led by the macroeconomic environment and inflation, which was partly offset by increased operational performance and strategic hedging.

Moving on to the page on net debt:

Vedanta Limited

October 28, 2022

Page 7 of 15

Sensitivity: Internal (C3) Net debt as of September 30, stands at about Rs.32,144 crores. Again, on net debt bridge, as I mentioned at the beginning, through various initiatives, we have improved working capital, which resulted in strong free cash flows before growth CAPEX amounting to Rs.8,369 crores. This enabled us to declare interim dividend in second quarter. The increase in net debt in Q2 sequentially quarter-on-quarter is due to amount invested in CAPEX in second quarter through borrow decisions.

Moving on to the balance sheet now:

Our balance sheet remains resilient, providing both protection and optionality for growth. We achieved net debt-to-EBITDA as I mentioned 0.7x, well within the range of our capital allocation framework, and best amongst Indian peers. Our average maturity maintained around 3.8-years, with average cost of borrowing at about 7.7%.

Our credit rating continues to be at AA with a Stable Outlook, both by India ratings and CRISIL.

We are investing for future both in terms of value-driven growth and positioning the portfolio for longer-term demand themes, while remain committed to capital allocation discipline.

Our CAPEX programs are on track as planned. We have spent 0.6 billion in the first half of the year on growth CAPEX. On full year basis, we are revising the growth CAPEX guidance for aluminum business to 0.6 billion from 1 billion which is in line with cash outlay estimates. All growth CAPEX programs for aluminum remain on track as planned. With this, full year growth CAPEX guidance now stands at 1.6 billion.

I have to share that Vedanta was recently awarded the 'Golden Peacock Global Award 2022' for 'Excellence in Corporate Governance'.

Lastly, I'd like to reiterate, we have an outstanding portfolio of long-term

assets and expertise to

invest in growth in delivering vital commodities for low carbon future and continue to pay handsome dividend. We will continue to challenge ourselves and deliver goods across various cycles.

With this, I hand over the mic back to operator for Q&A. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: I have two questions. First, is a two-part question, you mentioned about 40 million ton capacity of coal blocks that you have won so far. So if you can give us some guidance as to what will be the cost of production of these and what kind of savings we can expect from that? Second part



is more near term . You have guided about \$ 2150 -\$2250/t aluminum cost of production for second half, which is about \$200 lower than the second quarter. So , what would drive this cost  
Vedanta Limited  
October 2 8, 2022

Page 8 of 15

Sensitivity: Internal (C3) reduction , is it more linkage coal availability? And my last question is on the holdco level . If you can remind us again, what is the repayment due for the rest of FY '23 and also in FY'24 ?

Sunil Duggal: I'll take your first question. So as you rightly said that, we have now six coal blocks allotted to us. At Jharsuguda, we attach Jamkhani , Radhikapur, Kur aloi and Ghogharpalli. For Balco, we attach Chotia and Bara . As we speak today , the Chotia mine is operative and started feeding coal to Balco. Jamkhani is about to commission and start production any day from now . All regulatory clearances are in place . All the 90 % , 95% land is in our hand now and we are about to put the shovel in the ground. So , it will start feeding the coal to Jharsuguda plant very soon. But, apart from that, you are aware that the Radhikapur, Kuraloi mine which we had won earlier, there is potential progress which has happened including mine plan approval, moving for forest diversion , environment clearance negotiation taking place for the land process , taking place for the acquisition of the land. And you also know that in the last quarter we have won Ghogharpalli mine . Ghogharpalli mine has a mined reserve of around 1.2 billion ton and the license capacity of this mine is 20 million ton . But this mine has a capacity even to grow to 30 million ton. So Barra is a very recent block which we have won . It is more like exploration block . But as the data we have it has geological reserve of around 900 million ton. So this can easily produce 10-15 million tons per annum. So, in total , if we take a very conservative capacity , it is 40 , 45 million tons . But the full capacity from these mines is around 60 million tons. So even if we have a risk that how much long or what risk is there to make these mines operational, we should be able to get the security of 30 , 35 million tons not very far off from today and we have made a year -wise plan that how the mines are going to open up and how the coal will be fed. It will start feeding the coal maybe from the current year . There is a progressive reduction which is going to take place from say Rs.0.9 per GCV to Rs. 0.5 per GCV . So, there's going to be a substantial reduction in the cost in three years from today . This is against current cost of Rs.1.20 - 1.30 which we have in the current quarter . If we actually work out the power cost at Rs.0.5, it comes to somewhere between \$325 or \$400 per ton, against maybe more than \$1,000 of the power cost which we had in the last quarter. So, there is a very solid plan of how the fuel prices are going to be controlled in the coming year. So, what was the second question ?

Indrajit Agarwal : On the near -term cost reduction in aluminum.

Sunil Duggal: So, we have given a very conservative guidance . You must have noticed that we had \$ 240 cost reduction in Q2. We are looking at a cost reduction

on of say \$300, \$350 per ton in Q3 coming from the various levers . In the last quarter , only from the power cost, out of the total reduction of \$240, \$170 was from power. And I also mentioned in the talk track that now we have three captive mines available with us . With the three -captive mines which are available with us, we are able to move the substantial quantity of coal to Jharsuguda . So, this will not only help us to get more linkage coal, but also help us to reduce the logistic cost. So, because in Q2, we got the option of moving the coal by road and although the linkage improved from 22% to 55% , the reduction of power cost to that extent had not happened, which I think will have a much higher impact this quarter. But apart from that , there are other initiatives of the operational efficiency , but the CT coke, CT pitch prices are also going to get controlled . We have certain strategy around  
Vedanta Limited  
October 2 8, 2022

Page 9 of 15

Sensitivity: Internal (C3) how these prices will be brought down. And of course, the depletion of the high cost alumina and getting into the cycle where we have the alumina available at current prices. So a combination of these three factors, I believe that we should have a cost reduction of \$300, \$400 in the current quarter.

Ajay Goel: On the third question, Indrajit , in terms of the holdCo debt , what we can do, we can look at the total liabilities, which is a combination of loans, bonds, including the interest and the cost. If you look at the current fiscal F '23 H1, the total liabilities are about 3 billion and out of which you may have seen that we paid two dividends and the balance about \$1.3 billion at VRL got refinanced mostly through Indian PSU bankers with the longer -term maturities and the lower cost. So net -net, in H1 , against \$3 billion liabilities, almost \$1.4 billion, as I mentioned initially, have been deleveraged. In first half, the VRL debt came down from 9.7% to 8.3%. In second half, the liabilities, including interest cost is about \$1 billion, and which is again mostly get refinanced. So, overall, in the current fiscal, almost 4-odd billion, combination of loans, bonds, interest cost and 1.4 billion is deleveraging. Now F '24, again, it is more or less same ; so 3 billion is liabilities, loans and the bonds plus interest cost , so \$4 billion is a maturity in F '24. I just wish

to make one point that the FY '22 and FY '23, most of the VRL debt did also emanate from the loans taken for increasing the stake, which were mostly unsecured and which is getting repaid in the second half. Coming FY '24, most of maturities are from secured bucket which are easier to refinance. Net-net, \$4 billion in both the years and deleveraging of \$1.4 billion in the current fiscal.

Moderator: The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit : I have just a couple of questions. The first one is on essentially the increased CAPEX guidance for Balco expansion. It is very unlike of Vedanta to revise cost of goods. So if you could throw light on the key elements that has led to this increased CAPEX in Balco expansion? The second one is on the sharp reduction in oil and gas production guidance. Do you think that you would be able to achieve the FY '24 number that was laid out in the analyst meet in March?

Sunil Duggal : So I'll try to answer your first question and for the second question, I'll also take the help of my colleague and friend, who is there on the call, Prachur Sah. So the first question is about the CAPEX cost revision of the Balco project. In two, three parts, as you would remember that we had got the smelter project approved with the similar capacity of billet production. So there are some CAPEX increases because of the various events which have taken place and the commodity prices from the time it has happened, there has some cost increase

happened. But

majorly, there are two, three things beyond this. One is that the primary foundry alloy project, which was not a part of the bigger scheme of things. And we have seen that what could be the right way or what could be the right product to get the right NEP from the market and the value-added product portfolio should be such that it should be accepted by the market. So, we have planned to add capacity of 90 ktpa of primary foundry alloys. The another factor here is that rolled products, earlier, the sanction was to increase the capacity from 50 ktpa to 130 ktpa. And now we want this capacity to be 180 ktpa. While we are executing the project of rolled product,

Vedanta Limited  
October 28, 2022

Page 10 of 15

Sensitivity: Internal (C3) we realize that it is good to have this capacity. So 180 ktpa will be the final capacity for the rolled product, 80 kt for PFA, 420 ktpa for billet, and along with that, the original capacity of 414 smelter capacity. So, this will take the total VAP capacity to around 105%. So this will fetch us the right premium and will also enable us to serve the market in a wider portfolio. And that is why the cost increase on three, four factors which has happened.

Amit Dixit : Oil and gas production ?

Sunil Duggal : Oil and gas production, while we have been able to majorly arrest the decline by doing the project on RDG and well intervention and some production, which has also come from Cambay and Ravva. But more to happen. And as we speak, we have seen some success in the current month. And the next year guidance will be back depending on the exploration success, but some advantage may also come from ASP and shale. Of course, this is going to take some time before these projects will realize the volume for us. But, Prachur, over to you for a little more detailed explanation.

Prachur Sah : Thank you, Duggal ji. So from a production point of view, in Q2, there was slight impact from production primarily in our MBA field where we had some impact of a polymer breakthrough where we had to change our operating strategy from a chemical to a mechanical one, but we have overcome that. And we are currently deployed with Halliburton and Schlumberger to recover the recovery from MBA. And as Duggal ji mentioned, we have drilled offshore now. And in offshore, we have had success in Cambay offshore, where we currently increase the production from 9 k to 13 k. And the Ravva drilling campaign, the first well was successful and the second one, which is ongoing ... or the third one which is ongoing is potentially on the line of success. So in the short term, these are the certain levers that will bring the production back up. In fact, in October itself, we have seen an uptick of close to 6 k in this one. In terms of long term, the exploration does continue. And as you've heard that we have got the extension which will unlock the exploration program, which was kind of held back during the temporary extension period. So that should bring back the robustness on the volume growth as we go into the next year.

Amit Dixit : So in a nutshell, in MBA, the production should come back, because these temporary factors are now off the table, is it the correct understanding?

Prachur Sah : Yes, the natural decline would be offset by the temporary measures that we are currently taking, which is moving to a more mechanical workover compared to the chemical workover that was happening there.

Moderator: The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : Two questions. First question has three parts. Sir, first question broadly on capital allocation in ESG. Sir, first, just some sort of clarification around the new loan investments into semiconductor business versus advanced rate. What is it that we are looking at the company level, at the parent level? That's the first thing. Secondly, we have income

Page 11 of 15

Sensitivity: Internal (C3) on Athena Power and Balco upstream expansion. How do we manage this with ESG? That's the second on capital allocation. And third, Hindustan Zinc OFS, where are we on the process? And second question is more on debt maturity profile at VRL?

Sunil Duggal : So on semiconductor, I think for that entity, we have already declared that, that does not lie under Vedanta as of now. And I will not be able to comment on that in this call. Although there are negotiations and the discussions are going on as we speak. And this project is going to hit ground as soon as possible. This was one. The second, you said that -

Ritesh Shah : Sir, so semiconductor expansion won't fall under Vedanta listed entity, is that thing right?

Sunil Duggal : Yes, that's what we have declared as of now. So as far as Athena Power is concerned, I don't think the carbon footprint s are going to increase because of that. There is a strategy call which we have taken based on the power equation which will be there for Balco. And one of the options is to feed power to Balco new smelter depending on the power equation we maintain through Athena. So, overall, footprints are not going to increase, but you must have also realized the way we are progressing on renewable power, you may not have heard from any other global player, because 550 MW already signed with Centrica, and there is a lot of progress which has happened in the land acquisition and tying up of the transmission network and the ordering of panels. And we have also given EOI of 500 MW for another set of power requirement in all our locations. So, this will be more than 1,000 MW against our commitment of 2.5 MW by 2030. So in two years, we have moved at quite a speed. And apart from that, you must have also heard that some of our units like Panthagar, is completely on renewable power. We have purchased more than 1 billion unit of renewable power in the current year already from various sources. So our commitment of ESG is above any question. So, we are totally committed not only on RE, we have made a substantial progress on all the pillars and all the aims, and that is why you must have seen that our DJSI rating has jumped by 14 points. And this is the maximum rating probably you must have seen any jump in any global mining and major mining company globally. We have full focus on the biomass usage. There are a lot of other ESG projects which are going on. We have started capturing player, which was going in the chimney. We have started generating 4.4 MW power out of that. So there are large number of projects which are going on ESG. We have also committed that in the period from 2020 to 2030, we will plant 7 million trees, 2 million trees we have already planted in the last two years. So against a commitment of 7 million, in 10-year 2 million trees are already planted. So there is a lot which is happening in this space.

Ritesh Shah : Sir, Hindustan Zinc what's the status check?

Sunil Duggal : That is for the government to answer, because what you are hearing from the market, I'm also hearing, they are going for a road show, and we are quite excited to sell it into the market through the OFS route.

Ritesh Shah : I'll just refine the question on the maturity. Sir, you did indicate in I think one of the initial questions on \$3 billion was taken care of in first half. I just wanted to know the sources for that?

Vedanta Limited  
October 28, 2022

Page 12 of 15

Sensitivity: Internal (C3) And secondly, in FY '24, you indicated three plus one total \$4 billion. Just wanted to get a sense on how are we looking to basically fund this? And if you can tie it up with two variables, one is the pledges at Vedanta level, pledge or encumbrance at Vedanta level is already nearly 100%. And secondly, GR to RE, I think you already got sharehold

ers' approval. Are there any other approvals which are pending? And I presume it could be NCLT or something else. And if NCLT gives approval, do we still need to go for creditors to get approval for them to actually use those funds towards payouts?

Ajay Goel : So I'll try to cover, Ritesh, one of those briefly. So you're right. So in terms of the H1 current year, we are in maturity of 3 billion. The source remains almost 1.6 was dividend. You may have seen we paid a dividend the first in the first quarter and the second in the current quarter. So 1.6 is dividend, 0.2 is a brand fee. That makes 1.8 million, and roughly 1.3 is refinancing. Now one significant change in terms of refinancing remains that most of refinancing in the current year first half is done through Indian PSU banks, including SBI, which comes of course at a cheaper rate and the longer maturities. So, dividend, brand fee 1.8 and 1.3 is new loans. H2, as I mentioned, is rather small. It's about 1 billion, and we don't see much challenge. We are in advanced stage of various discussions with both the Indian PSU bankers and a couple of multinational banks. Finally, F'24 is again almost same number; roughly 3 billion is loans and end of bonds, about 1 billion is cost. Most of F'24 maturities onwards are coming from the secured bucket as I mentioned, and hence refinancing will not be a challenge. Ritesh, the plan for deleveraging of 4 billion over three years remains intact and all other priorities on allocation

of capital remains sub-surveyed to this goal. Quickly lastly, commenting on GR to RE conversion. You may have seen approval from BS E, NSE, comment from SEBI was taken until last quarter. We also had as a second last one court convened meeting. So it is NCLT monitored meeting of shareholders. And that vote for conversion was upheld with a resounding majority of 99.9%. Now, the last step released any approval from lenders or secured creditors for which we are seeking exemption from NCLT. Once that is done, the whole process will get finished.

Moderator: The next question is from the line of Palav Agarwal from Antique Stock. Please go ahead.

Palav Agarwal: So my question was on the alumina cost for this quarter. So if I look at the cost, it shows it's in excess of \$400. So, would it make more sense for us to actually buy more external alumina because those prices will be lower than \$400 per ton at least in the third quarter?

Sunil Duggal: No, I think the overall alumina cost per ton of hot metal decreased by say around \$90, \$100 in the last quarter. And alumina and Lanjigarh cost was higher compared to the previous quarter because the previous quarter, the onetime approval was taken by OMC for sale of the additional quantity, and we had some shutdowns also during that quarter, so that differential is there. But in the current quarter, you will see the cost reduction coming up in the next quarter because of the alumina production from Lanjigarh.

Palav Agarwal: The other thing was in the copper segment, we've reported I think a positive EBITDA. So earlier quarters, you were reporting a loss. So what has led to this improvement over there?

Vedanta Limited

October 28, 2022

Page 13 of 15

Sensitivity: Internal (C3) Sunil Duggal: I think we have done a few structural changes here. One is that the raw material, we have started

purchasing the blisters or some secondary material also. And we have mastered the art of modifying our process through which the impurities are being addressed. So this has not only helped us to recover good metal value like nickel has started fetching us some value which gives the credit to the cost, but apart from that, purifying this solution gives us improved current efficiency that improve the throughput, that improve the quality of the material, NEP goes up, the overall capacity is ramped up. So there are many factors which are responsible for that. There

are more actions in the pipeline. In the coming quarter, you will see even the improved performance from our Silvassa plant.

Moderator: The next question is from the line of Ashish Kejriwal from Nuvama Wealth. Please go ahead.

Ashish Kejriwal: Sir, my question is again on aluminum. If I'm looking at aluminum, even in the last quarter, when we mentioned cost reduction in power, we have not seen that kind of cost reduction. And going forward also, the kind of guidance which we are giving in the cost reduction in power, that also does not satisfy the earlier comment also. So, my question is on account of coal cost, when we are talking about that it has reduced from 1.9% per GCV to 1.3% GCV this quarter, we have seen cost reduction of just \$170 per ton. When our captive coal also comes and it's come to be 0.5 - 0.6, then how it comes to be around \$325? So this math I'm unable to understand. And second question related to that also, if I'm looking at aluminum different cost of production like ingot conversion cost, it is shooting up like \$110 to \$190. So, other costs are still on a rise. And thirdly, on premium side also, we are seeing that premiums are also coming down. So, is it ingot premium, which is coming down or the value addition part, which we are coming down? These are three elements on this.

Sunil Duggal: Thanks for your question and very relevant question also. So, first, if I could come to the power cost, last quarter was around \$1,000-plus. So, this was at an average cost of coal of Rs1.7/GCV, which we are hoping to fall to say 1.4 Rs/GCV in the current quarter. And if the overall power cost at 1.73 is say \$1,000-odd, you can work out your number that if the overall coal cost falls down to 0.5, 0.6, or 0.7, what could be the number for the power cost?

Ashish Kejriwal: So sir this quarter you were talking about 1.73 versus 1.9 in the first quarter or something else?

Sunil Duggal: Yes, yes, the first quarter, the average coal cost was 1.9; in Q2, it was around 1.7; and in Q3, we are hoping to stay around 1.4 or so.

Ashish Kejriwal: What was the reason for not achieving our earlier guidance when we were talking about that our power cost will come back to fourth quarter level of something like \$800 and which we couldn't do it in the second, because in last quarter, you clearly mentioned about this, and we are really surprised to see this kind of reduction in power cost?

Sunil Duggal: There are two factors for that. One is that the power demand and the coal stocks at IPPs did not go up and the linkage coal realization was not to the extent we had thought, number one. Number two, even when the linkage coal realization improved from 22% to 55%, we had to move a lot

Vedanta Limited

October 28, 2022

Page 14 of 15

Sensitivity: Internal (C3) of coal through road which actually hit the cost. In real sense, this coal would have come by

rake, which was the original allotted means of movement of the coal, this will have reduced the coal cost to a larger extent. But now with the three captive rakes, which we have mobilized, there is a lot of movement of coal, which is taking place through these rakes apart from what is being allotted by the railways. So, there is a substantial quantity movement which is happening. But, as we speak, the stocks in the IPPs and the linkage allocation has become much higher. So, a combination of these two things will help us to bring the cost down. Although the third factor, we have not accounted for when I'm telling you the cost, the Jamkhani coal block operationalization. So depending on how fast we are able to do the stripping and expose the coal, but if we are able to do that, it will further help us to reduce the cost.

Ashish Kejriwal: So sir, just to get clarification, from materialization from 22% to 55%, still because of less movement of railways, we were able to

reduce cost to certain extent. So, from second to third quarter when we are talking about reduction, we are assuming that all 55% linkage or whatever that will be routed through rail or again, there could be surprise going forward?

Sunil Duggal: No, not that the total coal will move through rail. Part of it will still move through road, but it will also depend on the rake allotment and the relaxation, which will be provided by the railways. But a combination of our own rakes and the railways, we feel that we should be able to reduce our coal costs substantially.

Ashish Kejriwal: Other question is on premium as well as ingot conversion cost?

Sunil Duggal: So the processing cost is majorly dependent on the CP coke and CT pitch. And as we speak, we have been able to bring down the CP coke and the CT pitch prices substantially by 30% or so.

This will definitely help us to reduce the processing cost. And on the premium, you know the demand which has eased out in the high premium geographies and a combination of that, we had to tweak the product portfolio along with the labs and the value-added product. So, the combination of easing out of premium in the market in various geographies and the product portfolio, it has impacted our N E P.

Ashish Kejriwal: Lastly, on alumina, whether we are producing at a lower cost than a purchase alumina?

Sunil Duggal: So there was an aberration in Q2, which we hope that it is not going to happen in the coming quarter, which normally does not happen. It also depends on the imported aluminum landed cost also, depends on which cycle we are. There is a lag between the purchase, the landed and the usage. So the cost is booked on the usage. So with that, I think this is not going to happen. There is always a differential between the imported and the Lanjigarh cost by say around \$100, \$150. So that differential is going to be maintained in the coming quarters also.

Moderator: Ladies and gentlemen, we take that as the last question for today. I now hand the conference over to Mr. Sandep Agrawal for closing comments. Over to you, sir.

Vedanta Limited

October 28, 2022

Page 15 of 15

Sensitivity: Internal (C3) Sandep Agrawal: Thank you, Steven. And thank you all for taking the time out to join us. I hope we were able to

answer most of your questions. In case, you have further questions, please feel to reach at me or my colleagues at IR team. This concludes today's call. We look forward to reconnecting you for next quarter earnings call. Thank you, everyone.

Moderator: Ladies and gentlemen, on behalf of Vedanta Limited, that concludes this conference. We thank you all for joining us and you may now disconnect your lines.

## Call: Jan 2023

Page 1 of 14

Sensitivity: Internal (C3)

"Vedanta Limited's 3QFY23 Earnings Conference Call"

January 27, 2023

MANAGEMENT : MR. SUNIL DUGGAL – GROUP CHIEF EXECUTIVE OFFICER , VEDANTA LIMITED  
MR. AJAY GOEL – GROUP CHIEF FINANCIAL OFFICER , VEDANTA LIMITED  
MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER , ZINC BUSINESS , HINDUSTAN ZINC LIMITED  
MR. RAHUL SHARMA – DEPUTY CHIEF EXECUTIVE OFFICER , ALUMINIUM BUSINESS , VEDANTA LIMITED  
MR. SANDEP AGRAWAL – GROUP HEAD, INVESTOR RELATIONS , VEDANTA LIMITED

Vedanta Limited  
January 27, 2023

Page 2 of 14

Sensitivity: Internal (C3) Moderator: Ladies and gentlemen, good day, and welcome to 3QFY'23 Vedanta Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sandep Agrawal – Group Head (Investor Relations), Vedanta Limited. Thank you and over to you sir.

Sandep Agrawal: Thank you, Fazan, and hello, everyone. I am Sandep Agrawal. On behalf of Vedanta Limited, I am delighted to welcome you to our Third Quarter of this Financial Year Earnings Call. The transcript of this call will be made available on our website as well as audio. The Financial Statements, Press Release and Presentation are already available on the website.

Today, from our leadership team, we have with us Mr. Sunil Duggal – our Group CEO; Mr. Ajay Goel – Group CFO. We are also joined by leaders from a couple of key businesses; Mr. Arun Misra – CEO of Zinc business; and Mr. Rahul Sharma – Deputy CEO, Aluminium business.

Please note today's entire discussion will be covered by the cautionary statement on Slide #2 of the presentation. We will start with Update on our Operational and Financial Performance and then we'll open the floor for Questions-and-Answers.

Now, without further ado, I would like to hand over the call to Mr. Duggal.

Sunil Duggal: Thank you, Sandep. Good evening everyone, and welcome to Q3 Conference Call. During the third quarter, the Indian economy remains strong and resilient on some macroeconomic fundamentals and healthy domestic consumption. Despite rising interest rates, robust growth was witnessed in metal consuming sectors like housing, automobile, consumer durables. However, the global economy continues to grapple with multiple headwinds like monetary tightening, high inflation, geopolitical instability and volatility in financial markets. Commodity prices also witnessed sluggishness. In this macro environment, our team has performed commendably. We stood on several initiatives, achieved strong operational performance. We delivered a good set of financial results despite weaker commodity prices. Our third quarter EBITDA stood at Rs.7,100 crores. Pre-CAPEX for the quarter stood at Rs.6,500 crore with a focus on working capital and cost optimization.

In line with our repurposed ESG strategy, we work to uplift the quality of life of communities through various initiatives around drinking water, sanitation, healthcare, community infrastructure, children's wellbeing and education among the rest. We have spent more than Rs.216 crore in the first nine months of the year and positively touched 3.14 -plus million lives. ESG focus and action have been recognized by several major ESG rating agencies. Vedanta  
Vedanta Limited  
January 27, 2023

Page 3 of 14

Sensitivity: Internal (C3) Limited is now ranked #6 among top -10 diversified metal and mining peers in DJSI. It has been inducted into the Dow Jones Sustainability Emerging Markets Index. Our MSCI ESG rating has improved from CC C in 2020 to BB now, and Sustainalytics have also improved our risk score by 4.5 points. Across the board improvement in our ESG risk rating is a testimony of our team's diligent effort to become an ESG leader in the industry.

Furthering on our goal to deploy 2.5 GW of around -the-clock renewable energy for our operation by 2030, I'm delighted to share that we have approved plans for another 941 MW RE power under group captive RE power development program for our operations across India, including Hindustan Zinc.

During the quarter, our aluminum business procure

d 390 million units of RE power and are

conducting biofuel trials as a green alternative for ladle preheating and heavy vehicles. We successfully conducted biomass trials at FACOR in ESL to explore alternative sources of clean energy.

We have also joined by HZL, Cairn India and Iron Ore businesses in net water -positive operation. Cairn signed an MoU with Gujarat State Forest Department for development of 60 hectares of Mangrove Forest, 50,000 saplings in coastal area of Surat in our effort to promote biodiversity and preserve environment.

We introduced an industry -leading EV policy for all of our employees. The policy will lead to increase adoption of EVs amongst employees and drive the mines and change aiding India's green mobility push for a sustainable future.

When I come to operations and first on aluminum, our quarterly CoP further reduced by 12% to \$2149 per ton on account of operations and buying efficiency. Our linkage coal materialization improved to 66%. We have commenced operations at Jamkhani mines. We continue to focus on volume growth and vertical integration projects to unlock its full potential.

Zinc India achieved best ever mine and refined metal production in nine months. It's quarterly refined metal production improved by 5% QoQ. With better plant and mine metal availability, it continues to be in the first quartile of global cost curve.

Zinc International operations are now steady at 280 -plus KTPA MIC production run rate. It achieved best ever MIC production in the nine Gamsberg. The cost of production excluding TC/RC in this quarter decreased 12% vis -à-vis with operational efficiency and higher production volumes. Gamsberg Phase -II extension is progressing well.

In Oil & Gas business, our average gross production increased 3% QoQ to 14.5 kboepd as natural production declined was offset by infill wells in MBA and RDG fields. We have successfully drilled one exploration well in Ravva and have put that to production, adding close to five kboepd.

Vedanta Limited  
January 27, 2023

Page 4 of 14

Sensitivity: Internal (C3) We commenced the first gas and condensate facility in Jaya field, which is OALP. As you know, that the government has extended the PSC for 10 years and we have signed the addendum to extension w.e.f. May 2020.

In Iron Ore business, our production of saleable ore in Karnataka increased by 32% QoQ. Sale was sluggish due to common imposed duty and exports, but now they have picked up.

Pig Iron production was up by 66% QoQ to 200 kt as all of our furnaces were online for post maintenance shutdown in the previous quarter. However, we saw a quarterly decline in pig iron margin owing to price correction.

Liberia operations achieved first ever export shipment in this month. In steel, one of our blast furnaces was put on maintenance shutdown, resulting in a 6% quarterly production decline. Our quarterly CoP excluding the impact of iron ore mine cost improved on account of lower coking coal cost. However, ESL's margins were affected by the decline in steel prices and high cost of production with the newly acquired iron ore mine owing to regulatory charges to repair on iron ore production.

In FACOR, nine months ore production grew 15% YoY due to operation efficiency. Our 60 KTPA furnace is undergoing a test run and we are on track to get first production in the month of February current quarter.

Overall, we have made significant progress across our strategic priorities, creating value for our stakeholders. Our world-class assets have delivered outstanding financial results driven by operational efficiency.

I would also like to share that the Vedanta board has approved the sale of its ZI assets to HZL at valuation of \$2.98 billion. Consolidation of ZI under HZL will fast track ZI's growth by using HZL's best-in-class expertise in underground mining, smelting and metal market

ing. HZL's

combined R&R would be one billion ton plus, and it would have benefit of improved access to developed markets and strong foothold in African sub-continent for expansion. This monetization would provide greater flexibility to Vedanta for future growth projects and leverage at group level. This transaction is a win-win transaction and will unlock significant value for both HZL and Vedanta shareholders. Moving forward, we are optimistic on the commodity market and macro data that we see now is improving.

China's reopening post zero COVID policy, property market stimulus and front loading of infrastructure investments to expand is another positive for metals global demand. At the same time, India's economic situation is expected to be better than the rest of the world due to strong domestic consumption. Moreover, this is seasonally a good quarter for commodity demand in India. India being our largest market, its continued strength augurs well for our business performance.

Vedanta Limited

January 27, 2023

Page 5 of 14

Sensitivity: Internal (C3) With our outstanding portfolio of low-cost assets, multi-commodity presence, strong balance sheet and a commitment to ESG leadership, we are well positioned to deliver value to our shareholders and our communities.

With this, now I would like to hand it over to our CFO – Mr. Ajay Goel, for Financial Performance. Over to you Ajay.

Ajay Goel: Yes, thank you, Sunil, and good evening, everyone. The third quarter witnessed falling inflation and improving the sentiments, which has driven recent metal outperformance. Indian economy remained buoyant and saw strong growth in metal-consuming sectors and India's manufacturing sectors ended 2022 on a strong note, with the manufacturing PMI rising to two-year high of almost 57.8.

India's inflation is below RBI's upper tolerance level for the first time in December to 5.7%.

We believe that the commodity prices are now under the influence of demand recovery and will stay elevated in calendar 2023 and beyond.

This quarter performance witnessed steady production, easing off inflation that helped in a lower operating cost. At the same time, the profit was impacted by further softening of commodity prices.

Numbers for the Q3 are a reflection of continuing our various improvement initiatives in terms of enhancing production, lowering operating cost, and focus on free cash flow.

I want to share some of the highlights for the current quarter. They being, the consolidated revenue stands at about Rs.33,691 crores, down 7% quarter-on-quarter, impacted by lower LME and Brent. The quarterly EBITDA at Rs.7,100 crores with the margin of 24% supported by easing off input inflation and also strategic hedging.

The main highlight for the current quarter remains our profit after tax, (PAT), which is at about Rs.3,092, which increased by 15%, quarter-on-quarter. Healthy free cash flow, pre-CAPEX was Rs.6,504 crores, and also, we continue to maintain strong double-digit ROCE of almost 23%. You heard that we also declared Rs.12.5 per share, fourth interim dividend, that makes total for the full fiscal at about Rs.81 per share YTD, and that also makes Vedanta the highest dividend paying company among its peers in India.

Before I move ahead further in Q3 performance, I would like to also highlight that our key metal businesses, that is Zinc India, Zinc International and Aluminum, recorded highest ever MIC and metal production in the last nine months. This demonstrates that our long-term fundamentals remains strong and we will deliver a robust year in terms of operational growth. We have an income statement in appendix, where you will find details against each head of profit & loss account.

Vedanta Limited

January 27, 2023

Page 6 of 14

Sensitivity: Internal (C3) I now move to EBITDA bridge. When comparing the third quarter EBIT

DA to the second

quarter, the largest driver was the lower input inflation and first gain, which was partly offset by lower metal and Brent prices. Further, if you look at items that were under our control during the



quarter, we did well in terms of operational performance on cost front, which was the outcome of various improvement initiatives running across the businesses, and to some extent, strategic hedging in Q3 as well. But, if you compare last quarter, the benefit of hedging was lower comparatively and therefore, it also impacted the EBITDA for the quarter.

Moving on to next page on net debt bridge. Net debt as on December 31 stand at about Rs.38,000 crores with net debt -to-EBITDA, the leverage ratio at 0.96, which is maintained at low levels amongst Indian peers. The increase in the debt in the current quarter is a result of spending on various sustaining and growth CAPEX at businesses and also the money returned to shareholders that resulted in a better debt mix at the overall Vedanta Group level. As we have committed earlier, our net debt -to-EBITDA level remains comfortable and well within the range of our capital allocation framework.

Moving onto the balance sheet, we have built a more harmonious balance sheet with assets and liabilities moving towards better equilibrium, and by which, I mean to say the overall debt at holding company has come down significantly in the current fiscal. We are well positioned to address our current maturities, focusing on driving improvement. We also continue to have solid balance sheet with our net debt -to-EBITDA maintained at comfortable low levels and we finished the quarter with almost \$2.8 billion of healthy cash and cash equivalents. Our average maturity is maintained at about 3.7 years with the average cost of borrowings at about 7.7%. Our credit rating continues to be at AA with stable outlook both by India Ratings and CRISIL. We moved a step closure to our commitment of reducing holdco debt by \$4 billion over three years. In the first nine months, which is April to December, we deleveraged holdco by \$1.7 billion.

Finally, we are confident in our ability to close the year with a strong performance as we have the expertise to drive improvements across businesses while successfully weathering macroeconomic uncertainties. We have numerous initiatives that support our strategic priorities and collectively these will position us to meet growing demand for net zero transition at the same time returning capital to shareholders.

With this, I now hand over to the operator for Q&A. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Pinakin Parekh from JPMorgan. Please go ahead.

Pinakin Parekh: Sir, my first question is on the proposed transaction with Hindustan Zinc. Now, given that in the past, the government apparently did not approve the transaction back in 2012 when it was

Vedanta Limited

January 27, 2023

Page 7 of 14

Sensitivity: Internal (C3) proposed to buy, what gives us confidence this time that the government representatives will be onboard to approve the transaction?

Sunil Duggal: See, this transaction is value -accretive for both the organizations. I mean the kind of reserve and resources, ZI has at that point of time and now it has, Gamsberg has been put up, already ramped up to almost the full production, second project is in pipeline. So, that means the business is on track to deliver 600 ktpa of volume in the next two years' time. Along with that a lot of exploration success has come. And from the time then to now, you can see that the total contained metal in ZI is more than at this point of time. So, it creates a huge synergy and the success of the Hindustan Zinc transitioning to underground, putting up the smelting capacity, integrating the operation, I think it is a winning combination, and with

that winning combination,

the government gains and you can see that ONGC Videsh, other government company. Now, the government has set up KABIL to acquire the assets abroad which is under the Mines Ministry today. So, the government is looking at the global footprint. We believe that this proposal could be exciting for the country, for the government and why should the government not support.

Pinakin Parekh: My last question is that with the expected proceeds, I think \$2.4 billion upfront and then remaining over a timeframe, what does Vedanta India plan to do with the cash; would that be entire amount be distributed as dividends or will it look at some kind of acquisitions?

Ajay Goel: Pinakin, you remember our policy allocation of capital to Feb and the entire proceeds of \$2.4 billion plus \$0.5 billion in terms of time will be used and it'll be guided by our policy and allocation of capital. Now, it may have multiple usages, example remains using the money for funding our project in terms of group CAPEX and including the payment of dividend and deleveraging both VEDL and also VRL as a group.

Pinakin Parekh: But any deleveraging at VRL would be done via dividends from Vedanta Limited or can we expect inter -company loans or asset buybacks from Vedanta Resources to Vedanta Limited?

Ajay Goel: Any kind of inter-corporate loan is out of question and I covered this point also in a couple of the earlier calls. So, there is no ICD planned. In terms of how much money we can repatriate, be it dividend or other means, I think that is something we are working on, Pinakin. But as I mentioned, allocation of capital policy remains we are working. So, it'll be used for funding our growth CAPEX, any acquisitions, at the same time, payment of dividend and deleveraging of

VEDL or VRL.

Sunil Duggal : About ICL, we have spoken at many front and many times.

Moderator : The next question is from the line of Prashanth KP Kota from Emkay Global. Please go ahead.

Prashanth KP Kota : Congratulations for the deal with HZL and it's really reassuring that you've committed again that there will be no ICD replica . A couple of questions . On Aluminum business, how do we expect the CoP to progress in Q4 FY '23 as suming the coal linkage is materialized at 65%, 70%

Vedanta Limited  
January 27, 2023

Page 8 of 14

Sensitivity: Internal (C3) and all other sources of Coal price where they are today , what is the CoP that you can expect in Q4?

Sunil Duggal: So, I have colleague in the name of Rahul Sharma, who's the CEO of Aluminum Business with me. But , in the meantime, you can appreciate that we reduce the cost by say around \$300 in Q3 compared to Q2. But we feel that broadly the journey could continue dependin g on how much of the coal realization and the movement would come. But there are a lot of lever s in hand and we believe that we may have good cost reduction. So , any guidance, Rahul, you want to give ?

Rahul Sharma : Thanks, Mr. Duggal. I think first , I would just like to maybe just to take your flashback , in Q2 if you recall, we have said that we'll reduce our cost by \$200 and that was H2 guidance. If you see in Q3 itself, we have reduced \$280, which is 12% reduction. And that purely comes from three factor s. For sure is a coal cost, improved operational KPI and also the buying efficiency. But, coming to the Q4, I think it's going to be better from here, especially the lever which we see because we are going to have the 100% coal materialization and also our Jamkhani coal mine, which has started in December , we are looking for quantity from Jamkhani mine , and also softer the commodity price, we see that there is going to be further reduction and maybe around 5% to 7%.

Prashanth KP Kota : My second questions is on the oil and gas business. Sir, am I missing something here, the realization on QoQ are lower because of the lower crude prices? The volume

s are same, CoP are

same, however, EBITDA and revenue are the same despite lower realizations. So, is there any mix issue there or what is it that I'm missing?

Sunil Duggal: See, the volumes are up slightly ; up by 3%. The cost is down by \$1 per barrel or so. So , there are positive levers around the operation s because of which ... what is the percentage increase in EBITDA from oil and gas ?

Prashanth KP Kota : It is flat QoQ despite much lower crude prices and realization.

Sunil Duggal: Yes, so you can see that the volume has gone up to 145, 146 and cost has also reduced.

Moderator: The next question is from the line Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : A couple of questions. First is, I just wanted to have a sense on understanding of the debt maturity profile at Vedanta Resources. Please correct me if I'm wrong, but what I understand is , we have an total outgo from \$2.5 billion , I think we are trying to tap into PSUs probably look to roll over at Barclays and even potentially looking to top up at Oaktree. So , I just wanted to understand , how should one look at the cash flow s from now till June if one has to take care of the cash flow requirement at the parent level?

Ajay Goel : If you look at maybe the two quarters, the one is a fourth quarter, the current quarter of March, the need for the funding will be about 550 million a nd with the current dividend of Rs.12.5 and the remainder amount , so we are fully covered. So, the entire cash requirement in terms of source

Vedanta Limited  
January 27, 2023

Page 9 of 14

Sensitivity: Internal (C3) and application are fully in equilibrium for the current quarter. If you look at the Q1 of next fiscal, which is April to June, the total requirement at Vedanta Resources is almost \$2.1 billion ...

in fact \$2,050 million to be precise. Now , again multiple discussions are going on. I would say three large bucket s to meet the \$2.1 billion. First of all, the Oaktree upsizing by almost \$750 million is one win. Secondly, we are in talks with the various banks , be it a PSU or multinational banks, and at least \$0.5 billion we assume we'll get from there, so \$1.2 billion. The remainder amount is a combination of I guess brand fee, which we pay in the first quarter and dividend. So, both for Q4 , we are fully locked in , and in Q1, we are in the advance stages of closing all of those over the next two weeks' time .

Ritesh Shah : Sir, if I just go by the numbers what you indicated, assuming Oaktree at \$750 million, brand fee at the \$300 million, P SU at \$550 million, Barclays at \$150 million, it still l eaves with a gap of nearly \$750 million. So , is this what you are saying is it could be by way of dividends, and are we pretty much okay that the cash flows from India operations will be able to cover up f or this post CAPEX ?

Ajay Goel : Well, I think those are the ones which are already in the pipeline I would say, Ritesh , and even the numbers can go hard . But with a combination of \$750 million, \$0.5 billion and the brand fee,

we'll be covering almost \$1.7 billion or so, and that leaves a small number, and even that we can cover. Any additional payment of dividend always in option in Q1.

Ritesh Shah : I just wanted to understand we were striving for GR2RE, which I think the court has actually put a spanner. How does your thinking change basically when we are looking at a cash flow for the next year specifically, given that is again upwards of \$2.5 billion plus of maturity for Vedanta Resources? So, I'm just trying to understand your thought process when it comes to matching the cash flow requirement of the parent?

Ajay Goel : So, the whole proposal, as you remember, we spoke in last also a couple of investors call, the whole movement from GR2RE was juristic. Knowing that the whole GR concept is basically a pass under new Companies Act, including I would think in very contemporary technical

accounting. And companies are doing it even to manage things for the future. The amount that is paid in the last fiscal, including the two days amount is from the current reserve and profitability. The hearing at NCLT has taken place and all the hearing by both the parties have been finished. Now, the order is reserved and we are expecting the order to come over next four to six weeks' time. So, what we are doing right now is to get NOC from the bankers and we have significant portion more than 50% bankers are doing NOC. So, we expect that the whole GR2RE closure will be happening within the fourth quarter.

Sunil Duggal: And we are quite hopeful about it.

Ritesh Shah : Sir, are there any covenants that one has to be mindful of? We understand Vedanta India balance sheet is pretty much okay, but, when we look at the bond documents we have in past taken leave it to actually basically soften out the covenants, are there any hard covenants that one needs to be watchful for?

Vedanta Limited

January 27, 2023

Page 10 of 14

Sensitivity: Internal (C3) Ajay Goel : I think all the covenants even at Vedanta Resources are quite I think routine and standard.

Nothing that I think we need to worry about.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal : Hi, sir, two questions from my side, both again on the transaction. First, what would be the tax incidence of this inflow that we will get about \$2.98 billion? So, what is the kind of cost on the books that we have and if there is any tax incidence on this?

Ajay Goel: So, again, Indrajit, in terms of taxation, once you look at impact of the two aspects. One is the international one. And the entire transaction from the international tax viewpoint is fully tax-agnostic. So, the \$2.98 billion, one would receive the full consideration, there is no tax implication. Secondly, from the Indian tax perspective, I think that's where we are still evaluating certain tax optimization ideas.

Indrajit Agarwal : So, even if we upstream this as dividend, will there be a tax incidence thing or that is still under consideration?

Ajay Goel: That we are still working on, Indrajit.

Indrajit Agarwal : My second question is on the first tranche payment of \$2.4 billion. So, what are the milestones or approvals that we are awaiting post which we will see that this amount will be upstreamed to us, what kind of milestones we are looking?

Ajay Goel: So, in terms of approvals, this is an RPT as we know, and that too also material RPT, which is crossing Rs.1,000 crores. So, in terms of approvals, it is the audit committee of both the companies, Zinc and Vedanta Limited, which is done. The board of both the companies also have cleared the transaction. Now the third step of course is sending a postal ballot and getting the approval by the shareholders. There we need the majority of the minority. The entire process both from the Zinc side and from the Vedanta side will be finished over next six weeks' time ... so early March, it'll be finished. Thereafter, the 2.4 billion state consideration, leaving that deferred consideration can finish pretty quickly over next one month's time.

Indrajit Agarwal : Any government approvals either in India or overseas?

Sunil Duggal: No, it's a board matter. So, the board has already approved this and post that we have to get the shareholder approval as explained by Ajay.

Moderator: The next question is from the line of Rahul Jain from Systematics. Please go ahead.

Rahul Jain : I had a couple of questions. Firstly, can you give some update on the expansion of alumina and aluminum at Lanjigarh and what is the status over there, when can we see additional output coming from there?

Vedanta Limited

January 27, 2023

Page 11 of 14

Sensitivity: Internal (C3) Sunil Duggal: So, the erection work is in full swing. So,

the expansion is in two parts. One is 1.5-billion -ton, train-I, 1.5-million -ton train-II. So, as we speak, the train-I mechanical completion is getting over, and by this quarter end or the next quarter the plant will be fired, and we are hopeful that in the next one to two quarters it should ramp up to full volume, that is train-I. And the second train, I think by the mid of the next year, the mechanical completion will be over, and then thereafter it will take one quarter or 1.5 quarter to fully ramp up. So, by the end of the next year exit, the total alumina refinery up to a capacity of 3 million tons will be up and running.

Rahul Jain : On the sale of the transaction, whatever...

Moderator: Please repeat your question, sir?

Rahul Jain : I was asking that whatever dividend payment we will get from the conclusion of transaction whatever money we will get, will be just paid out as dividend?

Ajay Goel: I covered this in the call, so I said, so in terms of this entire money 2.4 plus 0.5 in terms of utilization will be guided by company policy on allocation of capital, and it can be used for funding our CAPEX both growth and sustaining, at the same time payment of dividend and deleveraging for VEDL and VRL, but substantial portion we intend to use for deleveraging at a group level.

Moderator: The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : Duggal sir, a question for you, sir, how should we look at the incremental capital allocation? I think we have been awaiting clarity specifically on the semiconductor for ay, if you can provide some color over there? I think secondly, after Athena, we have gobbled another asset in Meenakshi at pretty attractive valuations. So, I am just trying to get a sense incrementally on capital allocation and how are we marrying this decision specifically with the ESG targets that we already stated?

Sunil Duggal: You are asking about the semiconductor business no?

Ritesh Shah : Yes, sir.

Sunil Duggal: So, semiconductor business as of now is not under the ambit of Vedanta. So, if any call will be taken, we'll discuss this, this question at that point of time.

Ritesh Shah : If hypothetically it goes at the parent or at Vedanta India listed entity, how should we look at the financials or if it's possible, if you can indicate what is the quantum of CAPEX, which is required, I assume that the JV, that Foxconn 50 -50 and there might be 30 -70, so the effective outgo might be a bit low, can you give us some comfort with some numbers over here, so basically which we can understand it better?

Vedanta Limited

January 27, 2023

Page 12 of 14

Sensitivity: Internal (C3) Sunil Duggal: Ritesh, you have to appreciate that once this transaction is not approved, I am not supposed to

discuss this numbers also at this point of time, but you can do your math, some of the numbers you are doing in your mind is also right, but it would not require much of a CAPEX with the participation of Foxconn and the government subsidy, you understand, and there is a state subsidy also over 50% subsidy from the central. Beyond this, it will not be possible for me to comment.

Ritesh Shah : Sir, on power, and secondly, basically Hindustan Zinc incremental OFS if at all. So, after Athena, we had Meenakshi, anything on that side specifically we see targets one on ESG?

Sunil Duggal: See, as far as ESG is concerned, we made the 10 commandments declaration to the market that what are we going to do. One was that 25% of our operations will be decarbonized by 2030. And there are various approvals, projects, initiatives, various entities are taking. And the plan is that we put 4 GW of the capacity in the pipeline this quarter itself. Even when we take the PLF of 4 GW, it will reduce the carbon footprint by 15% from our current level. So, against our overall declaration of 25%, if we are ab

le to decarbonize 15% in the next two years' time, I think we should pat ourselves on the back, #1. #2, as far as Athena and Meenakshi is concerned, see, the power demand in country, you must have seen, last year has gone up by 8% to 10%, and the way the GDP growth is projected, and the way the standard of living of the people is going up, I feel that the power demand growth is going to be 8% to 10% in the next few years' time. So, these are idle effects. It is in the best interest of the nation that these idle effects should be put into operation. So, from that point of view, our footprints are not increasing from our operations, but this is the initiative, I think which is in the best interest of the society and the country, and that is why we think that what we are doing is the right thing to do.

Ritesh Shah : Sir, on the Hindustan Zinc OFS, any update on the status?

Sunil Duggal: What we saw in Hindustan Zinc... Arun, you are a party to the roadshow, if you can comment on that?

Arun Misra : Thank you for the question. We have conducted roadshow extensively spanning many countries along with Government of India and a very positive feedback from the potential buyers. So, which I think certain government is working out, in what form, how many tranches they would do, and let's wait for that.

Moderator: We will take the next question from the line of Alok Deora from Motilal Oswal. Please go ahead.  
Alok Deora : Just a question on aluminum growth outlook on the volume side . If you could just highlight how is demand scenario looking and what kind of volume growth we could look at on the aluminum side?

Sunil Duggal: While the world is very excited about the green metal and the demand is going to grow, but Rahul, what do you have detailed information from your side?

Vedanta Limited  
January 27, 2023

Page 13 of 14

Sensitivity: Internal (C3) Rahul Sharma : Thanks for the question. I think aluminum is a strategic metal. And we know that this CY '22,

primary demand was 70 million and we see that it is going to be a CAGR of 4% to 5% as a growth which is likely to happen. And if I talk about India per se, India demand if we see that , on the backdrop of 17% YoY growth has been seen in the last nine months. And we see that the demand for the country, especially for India , last year was 3.9 million, and this year is going to touch 4.5 million. So , we can see that there is a very strong demand, especially for India demand has been increasing in electrical and power sector. And other factor also, China is coming back and we see that China is also growing by 4.4% year -on-year growth. Overall , demand is quite robust and is strong , and that's what I think on the same line we are also looking to expand our capacity from, 2.3 MTPA to 2.8 MTPA , then we are taking up to 3 MTPA.

Alok Deora : Also sir , how do you see the realization moving now going forward because the prices have started to go up , so just your thoughts on that from near to medium term perspective?

Rahul Sharma: Again, price point of view, I can only say that key indicator which drives the growth and I have said a few, but the important is that I think China removal of COVID -related restriction, that's one. Second is India, which I have already spoken. Third is that US inflation dropped to 6.5% in December vis -à-vis 7.1% in November . US dollar index also dropped from 115 to 102 . And other side, if I see that, the kind of production cut, which is 2.5 million in China and 1 million in Europe. And there is also if you see the inventory level, which is I think the lowest since 2002, 1.4 million. So , all the indicators, you see that is a very strong indicator to have the better level from the current which maybe has gone to 2,200 kind of LME , I would only say on that point.

Alok Deora : You mentioned during the call that the iron ore after this export ban removal, the exports are

picking up. So , is it normal now or it will still take one quarter?

Sunil Duggal: When the ban was removed , we took a conscious call of slowing down the domestic sales because there is an increase in EBITDA by around \$8 to \$10 per ton. So , as we speak , we have been able to, move some shipments already and I feel that from the current month the dispatch and the sale would come up to the normal level. So, that means around 0.6 million tons this month itself it'll take. So, that is what the story. Although we will have some inventory at the end of this month, which will be able to capitalize in the current quarter.

Moderator: Thank you. The next question is from the line of Sumant Kumar from Antique Stock Broking Limited. Please go ahead.

Sumant Kumar : Could you please elaborate on the amount of hedging gains specifically we had in this quarter, and if at all some portion we have that can come in Q4?

Ajay Goel: So, the hedging gain in the third quarter is almost Rs.475 crores. And if you look at maybe for the first nine months, it's in fact almost touching Rs.3,000 crores, the number is actually Rs.2,945 crores . The quantum of hedge impact is tagged low for the fourth quarter. And we also can evaluate taking further hedges specifically in the aluminum side. But right now, if you look

Vedanta Limited  
January 27, 2023

Page 14 of 14

Sensitivity: Internal (C3) at mark -to-market for the quantity hedged, the gain is almost still about 15-odd million for the fourth quarter.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Sandeep Agrawal for closing comments. Thank you and over to you, sir.

Sandeep Agrawal : Thanks , everyone.

Moderator: Ladies and gentlemen, on behalf of Vedanta Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

## Call: May 2023

Page 1 of 16

Sensitivity: Internal (C3)

"Vedanta Limited 4Q FY'23 & Full Year Earnings  
Conference Call "

May 12, 2023

MANAGEMENT : MR. SUNIL DUGGAL – GROUP CHIEF EXECUTIVE  
OFFICER , VEDANTA LIMITED .  
MR. AJAY AGRAWAL – ACTING GROUP CFO,  
VEDANTA LIMITED .  
MR. ARUN MISRA – CHIEF EXECUTIVE OFFICER , ZINC  
BUSINESS , VEDANTA LIMITED .  
MR. RAHUL SHARMA – DEPUTY CEO, ALUMINUM  
BUSINESS , VEDANTA LIMITED .  
MS. PRERNA HALWASIYA – DEPUTY HEAD, INVESTOR  
RELATIONS & COMPANY SECRETARY , VEDANTA  
LIMITED .

Vedanta Limited  
May 12, 2023

Page 2 of 16

Sensitivity: Internal (C3) Moderator : Ladies and gentlemen , good day and welcome to the Vedanta Limited 4Q FY'23 and Full Year Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Perna Halwasiya – Deputy Head Investor Relations and Company Secretary, Vedanta Limited. Thank you, and over to you, ma'am.

Perna Halwasiya : Good evening, everyone, and welcome to our 4th Quarter of the Financial Year '23 Earnings Call.

I am Perna Halwasiya, on behalf of the entire team of Vedanta Limited I would like to thank you all for joining us today to discuss our Financial Results and Business Performance. The transcript and audio of this call will be made available on our website. The financial statements, press release and the presentation are already published on the website.

Today from our leadership team we have with us Mr. Sunil Duggal - Group CEO; Mr. Ajay Agrawal - Acting Group CFO. We also have few leaders from a couple of key businesses, Mr. Arun Misra - CEO , Zinc Business ; and Mr. Rahul Sharma - Deputy CEO , Aluminum Business . Please note that today's entire decision will be covered by the cautionary statement on Slide # 2 of the Presentation . We will start with update on our Operational and Financial Performance , and then we will open the floor for the Q&A. Now, I would like to hand over the call to Mr. Duggal.

Sunil Duggal : Good evening, everyone and thank you for joining our call today. Amidst rising interest rates, the Indian economy thrived in FY'23, powered by strong macroeconomic fundamentals and domestic consumption. Nevertheless, the global economic climate presented macroeconomic hurdles that led to a moderation in commodity prices. Despite this challenging scenario our team implemented strategies to ensure consistent operational performance, and stringent cost control optimizing working capital and ultimately resulting in impressive financial performance. FY'23 was a year of remarkable progress on ESG front, led by our transforming for good

purpose. We received validation for our progress on ESG from top rating agencies like MS CI, DJSI, Sustainalytics and CDP which confirms that we are moving in the right direction. We have finalized 1826 MW of RE power agreements and turn four of our businesses water positive, progressing on our aim of transforming the planet.

Through our CSR Initiatives we were able to positively impact the lives of 44 million people. Our dedication and efforts towards CSR have allowed us to make a significant difference in the communities in which we operate, empowering individuals and contributing to the betterment of society. We believe in creating a brighter future by empowering the most marginalized communities. Our initiative 'Project Panchhi' is a testament of this philosophy by educating and

Vedanta Limited  
May 12, 2023

Page 3 of 16

Sensitivity: Internal (C3) enabling thousand girls from underprivileged rural communities we aim to bridge the gap of general inequality and provide them with equal opportunities for growth and success.

Our vision goes beyond just diversity as we strive to create a more inclusive workplace that reflects the rich and vibrant diversity of our society. Vedanta was honored with, really, high - acclaimed "Kincentric Best Employer India Award", distinguishing us as the sole manufacturing conglomerate in India to receive this esteemed recognition. Our people are the greatest assets and our strong operational performance is a testament to the same. We delivered highest ever

annual production at aluminum, Hindustan Zinc, Zinc International and Electrosteel. Commercial production started at Nicomet, India's only Nickel, Cobalt operations. Production also commenced from Liberia mines, expanding our iron ore capacity and global footprint.

New 60ktpa furnace at FACOR was commissioned taking total capacity to 140ktpa. We operationalized Chotia mines and started Jamkhani coal mines. We further added Ghogharpalli and Barra blocks to our coal portfolio. Ghogharpalli has massive 1.2 billion tons of reserves and Barra is an unexplored block with 900 million ton of estimated resources. These mines together would make our expanded operation more than 100% secure for coal.

We were also declared successful bidders for Sijimali bauxite mine with 311-million-ton reserves, it is a strategic fit for our size, location and bauxite quality. And it's key to strengthening our raw material security. We fully ramped up Barbil ore mines in Orissa and were declared successful bidders of Bicholim mine in Goa, augmenting our resource base.

In line with our steadfast focus on augmenting capacity and vertical integration, we spent around Rs. 10,000 crore on capital projects this year. Our financial delivery has been equally noteworthy with all-time high annual revenue of Rs. 145,404 crore and second highest ever annual EBITDA of Rs. 35,241 crore. We delivered historic high shareholder return with an interim dividend of Rs. 101.5 per share and made a record contribution to the exchequer of nearly Rs. 74,000 crore. During this year we made considerable progress on various strategic levers received Supreme Court permission for care and maintenance of our Tuticorin copper smelter. The matter is now listed for final hearing in August. Signed 10-year production sharing contract extension with Government of India for Rajasthan block. Trade barriers were lifted in Karnataka. Marketing freedom for oil & gas was given.

Now if I move to our operations, first coming to aluminum, aluminum is progressing well on capital projects, focused on making our businesses fully integrated with 100% captive alumina from 5mtpa Lanjigarh Refinery and enhanced coal security from captive mines. At Zinc India, we crossed 1-million-ton milestone metal production. We aim to continue the positive momentum to reach 1.2 million ton. Zinc International is well positioned for long term value creation. Gamsberg produced highest ever MIC up 208kt and project work on next phase is in full swing, to take the total capacity to 500ktpa.

Vedanta Limited  
May 12, 2023

Page 4 of 16

Sensitivity: Internal (C3) In Oil & Gas, the focus this year is going to be on augmenting reserve and the sources through both development projects and exploration. We will undertake high impact exploration program of 10 wells seismic and studies across various basins in Northeast, Cambay, Rajasthan and Offshore targeting addition of 55-million-barrel equivalent resources.

Iron ore significantly increased its mining portfolio in FY'23. Total iron ore production in FY'24 will be more than 15 million tons from Karnataka, Western Cluster Liberia, Barbil, Orissa and Bicholim mine in Goa put together.

Electrosteel increased hot metal capacity to 1.7 million ton and would expand to 3 million tons by early FY'25. Operations are now fully integrated with Barbil mines to meet ore requirement. FACOR is further planning to add 300ktpa capacity for Ferro Chrome production by FY'25 to take the total to 450ktpa in two years.

To summarize we made good progress on our strategic priorities in FY'23 and are eager to build on this momentum in the current year. We remain optimistic about the commodities, markets and are confident of our ability to navigate the ever-evolving business environment. We look forward to work together with all the stakeholders and larger communities and thank them for their persistent support.

port.

Before we move ahead, I want to take this opportunity to thank Mr. Ajay Goel, our former Acting Group CFO for his unwavering dedication and incredible contribution during his association with Vedanta. I wish him the very best for his future endeavors. I am pleased to announce that Sonal Shrivastava will be joining us as Group CFO very soon. She has extensive experience working with global organization and large Indian corporates. In her previous role, she was CFO for Asia Pacific at Holcim. Her expertise in financial services and manufacturing sectors make her an invaluable addition to our leadership team.

To take you through financial performance today I have with me, Ajay Agrawal, who is in interim in his acting as Group CFO. Over to you, Ajay.

Ajay Agrawal : Very good evening to all. I am here to really talk about the Quarter 4 FY'22 /FY'23 Financial Performances.

We witnessed the global economy to recover from the lackluster 2022 with the positive bias for economic growth. Despite the global crisis India's resilient economy, we believe has shown better performance than the rest of the world, particularly in the manufacturing sector.

The RBI expects the India's GDP to grow at the rate of 6.5% in Financial Year '23 /'24 which is certainly reassuring. And we also anticipate that the global commodity demand to perform better than expected due to improving global economic outlook boosted by a revival of Chinese economies, improvement in real estate market, automobile sectors and coupled with the fact that European economy recovery is also quite strong from the impact of inflation.

Vedanta Limited

May 12, 2023

Page 5 of 16

Sensitivity: Internal (C3) Speaking of Financial Year '22 /'23 despite the macroeconomic challenges, we have delivered our all-time high full year revenue of Rs. 145,404 crore. We delivered second highest EBITDA of Rs. 35,241 crore in the Fiscal Year '22 /'23 which helped us to generate record free cash flow pre-growth CAPEX of Rs. 28,068 crore. All this is nothing but our enduring, demonstrate our financial success that underline fundamental of business remains robust. And we have once again achieved the year of consistent, dependable and operational performance across our businesses.

Furthermore, this allows us to make a substantial contribution to the exchequer which stood at close to about Rs. 74,000 odd crore during the Financial Year ended '23. We also returned a record Rs. 101.5 per share to our shareholder during the Fiscal Year '22 /'23.

Our continuous focus on operational excellence and cost control measures have enabled us to minimize the impact of inflation which we witnessed during Fiscal Year '22 /'23 on our cost structure and also helped us to generate robust cash flows.

Combination of these enabled us to deliver another impressive quarter performance and some of the key financial highlights for the quarter ended 31st March, '23 are as:

Our consolidated revenue stands at Rs. 37,225 crore. On a quarter-on-quarter basis this is up by 10% and largely it is driven due to higher sales volume and improved LME. We also delivered an EBITDA of Rs. 9,362 crore which is 32% higher than quarter-on-quarter with the strong margin of 29% supported by easing of input commodity inflation, volume growth and various cost saving initiatives the group undertook during the last quarter.

Our Profit after Tax stood at Rs. 3,132 crore which increased marginally quarter-on-quarter. And we continue to maintain a strong double-digit return on capital employed to the tune of 21% throughout the year.

We have an income statement in appendix which is Page #27 where you will find details against each head of the profit and loss account.

Let me move to the EBITDA bridge slide, Slide # 21. When comparing the EBITDA performance quarter-on-quarter the largest driver was the lowest input commodity cost and improved LME. Beyond

and these external factors we are pleased that we have delivered higher volumes through improved operational efficiencies, further supported by initiatives on cost and marketing efforts.

Our key businesses mainly Zinc and Aluminum achieved record operational performances and lower cost of production, besides business performances as a result of several improvement initiatives undertaken across various businesses which the group has.

Vedanta Limited

May 12, 2023



Sensitivity: Internal (C3) On a full year basis, our EBITDA was down due to lower LME and higher input commodity cost which was partly offset through increased volume, strategic hedging initiatives and FOREX gain.

Moving to Slide # 22 on net debt bridge, during Q4 FY'23 our net debt as on 31st March stands at Rs. 45,260 crore. In the quarter our business demonstrated the robustness of our performance by generating a healthy operational free cash flow, pre -growth CAPEX of approximately Rs. 7,211 crore which is 11% higher quarter -on-quarter. The net debt increased overall due to the allocation of funds towards capital expenditure and the significant amount of shareholders return which is all -time high for the group.

Moving on to the balance sheet now, Page #23 we remain committed to our capital allocation framework which encompasses robust balance sheet, a healthy payout ratio with solid dividend yields and flexibility for investing in discretionary capital options including organic and inorganic opportunity, as well as providing additional shareholders return.

Our net debt to EBITDA stands at 1.3x and is maintained at comfortable level. We ended the quarter with Rs. 20,922 crore on healthy cash and cash equivalent. Our average debt maturity continues to be maintained at 3.5 years with average cost of borrowing at 7.8%.

I also would like to mention that our Holdco have also made considerable progress towards its commitment to reduce debt by four billion over the course of three years. They have already delivered by three billion till date out of which two billion was achieved during the Fiscal Year '22/'23 itself.

With our strong and flexible balance sheet, we are well positioned to continue discipline investments in our pipeline for various value -added growth. In Fiscal Year '23, we invested approximately 1.2 billion in growth -oriented capital expenditures which brought several projects close to completion. As a result, so we are now committing to allocate 1.7 billion towards growth CAPEX in the current fiscal year.

We have maintained our commitment of providing our stakeholders with strong and consistent performance and attractive returns even in the face of volatile macro environment. Despite the challenges we have demonstrated resilience throughout the year. The progress we made in the past year is quite noteworthy and I have full confidence in our ability to execute our business strategy effectively as well as the finance strategy effectively, which will position us to create value not only now, but also in the foreseeable future.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit : I have two questions, the first one is pertaining to Oil & Gas division. Now if you look at the, I mean production it has been declining secularly. And the guidance that we have for FY'24, I know we are targeting, the augmenting reserve and resources. But still the guidance is quite low

Vedanta Limited

May 12, 2023

Sensitivity: Internal (C3) at 135. Now in our Annual Report and Investment Day we had highlighted that we will reach a much higher production level by FY'25. So, are you shifting that particular production level to I mean further or is it that that particular level is still intact.

Sunil Duggal : So, we have given a guidance

of 135 to 140 kboepd. This time we are bit mindful of giving the guidance because we want to give the guidance and we want to beat the guidance unlike earlier year. So, the issues which we are trying to address and the initiative which are in pipeline is to manage the decline (1).

(2) There are two three high profile projects which are in the pipeline. We are in the process of materializing that, one is the Enhanced Oil Recovery. So, the government is coming up with the new policy on the Enhanced Oil Recovery and we are in discussion with the government that our license is valid up to 2030. And the results and the outcome from the existing reserves may go beyond 2030. So, the government coming up with the new policy of the enhanced incentives and also considering if the contract could be extended beyond 2030. So, this is one initiative. The other two, three initiatives are the exploration in wells around our operation especially in the offshore, where we feel that the result would come. And you probably must have noticed that we have a new CEO in the name of Nick Walker who has a very rich global experience. So, he is in the process of evaluating the various opportunities, but apart from that, he has identified 10 high impact wells across Offshore North East KG Basin, and he particularly believes that the potential in North East on the border of Assam and Nagaland is very high, where some disputed area was there. The Government of India has resolved this issue and we want to start the seismic and the drilling at this operation as soon as possible. He believes that the potential of this area could be as big as it was in the Rajasthan block.

So, this is what we feel we are doing in Oil & Gas, but our belief is very firm and his belief is

very firm that we will get some good discovery from the exploration wells and the couple of project which I named, when we will put these projects in the pipeline it will give us the step jump, if not in the current year where we want to beat our guidance, but in the next two years it will give us the step jump from where we are.

Amit Dixit : Just a follow up on this so what would be your guidance let us say in FY'25, I mean the target.

Sunil Duggal : We are evaluating that, I don't want to put my words into the Nick's mouth. He is evaluating that probably in the next quarter call we may be able to give you a better guidance of what he believes could be the potential in the year FY'25 and FY'26, depending on how many projects he is able to conceptualize. And of course, as the year progresses the 10 high potential exploration wells if these gives some results then the visibility could be even better and then we can report that what could be the full potential which we can explore in the year FY'25 and FY'26.

Amit Dixit : The second question is on Ferro Chrome, we are targeting 450ktpa of capacity. This is a very huge capacity, I mean I don't think at South Africa anybody has the kind of capacity in the

Vedanta Limited

May 12, 2023

Page 8 of 16

Sensitivity: Internal (C3) world. So, first of all, where we are getting Chrome Ferro from and Ferro Chrome being a very high, very power intensive business, won't it impact your ESG aspirations. And what market are we targeting for this, is it export or domestic, what could be the mix of this particular offtake?

Sunil Duggal : So, I think you have asked four, five questions in one question, I will try to answer all those questions. We acquired this business where the capacity was 75ktpa. And there was one unfinished furnace which we have since commissioned this was 60ktpa furnace. So, now the overall capacity with debottlenecking and the commissioning of new furnace has taken to 140ktpa, this is up and running. There are two mines, Kalarangiatta, we are taking the AC for this mine to raise the AC capacity from 50ktpa to 150ktpa.

There is another mine Ostapal mine,

this mine has been running as an open-pit mine, we want to take it underground. And no better experience than Vedanta and Hindustan Zinc to transition from open pit to the underground mine. So, there is a rich resource lying at depth under this open pit. So, we want to develop this open pit, we are about to start the portal and take the Board approval and this, in the first phase we want to take this mine to 1.5 million ton, and in the second phase we want to take this mine to 2.5 million ton.

In the first phase, we will add a furnace of 150ktpa taking the total capacities to say around 300ktpa and then the second phase, another furnace we want to install of 150ktpa taking the total capacity to 450ktpa. So, as far as carbon footprint is concerned, I mean we have to go hand-in-hand and parallel to evaluate the possibility of decarbonizing our assets. And you must have seen the aggressive way, we have gone, and today the work is on to install 4 GW of renewable power and which will give 33% reduction of the carbon footprint from our promise of 25% by 2030. And we want to put a plan in place by FY'25 to have a full visibility of 25% carbon footprint reduction by 2030. So, we are fully committed. We want to do it even before FY 2030 that is what the internal motivation is. And we are fully committed to fully decarbonize our operation by 2050.

Moderator : Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities.

Please go ahead.

Sumangal Nevatia : Just continuing on Amit's question, I mean on the delays, I mean we have seen across businesses there are delays in projects. Aluminum business for example the 1-million-ton expansion, earlier we were guiding 1Q '24, now we have moved to 1Q '25. And also we are seeing the same in coal mines and electrosteel as well. So, if you could just highlight, I mean over the next two, three years the key projects and what are the reasons for this execution delays that we are facing.

Sunil Duggal : So, I would say there are not delays as such in the execution of the project. I mean some of the factors which also play a bit of the part is that some of the technology and the equipments also come from China, bit of the delay happened, because of that, but broadly all our projects are on schedule. The high-profile projects where the maximum returns we expect and where we want to integrate our operations is aluminum business where we are commissioning the train one and train two both, this year. And operationalization of the coal mines, I would say we may have the

Vedanta Limited

May 12, 2023

Page 9 of 16

Sensitivity: Internal (C3) record in the country where in such a short span of time we have been able to operationalize Jamkhani mine. And it is up and producing today, the licensed capacity of 2.6 million ton. Now we have taken the approval to raise the capacity to 3.9 million ton. In the current year we will make a full operation of 3.9 million ton.

One of the other mines Kuraloi mine, we want to operationalize this year itself. So,

operationalizing the mines after winning it through auction in a period of one to two years, I don't think there are many people who are able to do it. Even next year we want to operationalize Radhikapur and Ghogharpalli mine. So, with all these mine operationalizing, it will provide more than 100% security.

And same way we want to go for Sijimali which we have won through auction for bauxite, and because this will provide a full bauxite security to us. The R&R is such that when the mine could be fully ramped out with more 300 million tons of reserve and resources, this mine has a potential to produce 12 to 15 million tons of bauxite which will provide a full security to us. And we want to go this way and integrate our operation.

The value-added product is a very important area where we want, we are commissioning the role product which is the high

st demand growth market in India and the premiums are very high.

Similarly in the billet capacity, PFA capacity, so we want to make our aluminum operation 100% value-added product. So, similarly there are projects going on in the other businesses like Electrosteel, Zinc International, Oil & Gas where we feel that broadly we are on track to complete our project in time.

Sumangal Nevatia : Just to, I mean repeat and get some specifics, this BALCO 1-million-ton expansion there is almost a one year delay from what we said last year. So, can you share some detail as to what is the status and what is causing the delay? And the same with Electrosteel 1.5 to 3 million expansion similar one- and one-and-a-half-year delay. So, just some specific on these two projects?

Sunil Duggal : I mean as I said that the equipment movement from China caused a bit of the delay. But more or less these projects are in full swing now. And whatever commitment now we have given will be able to complete the project on those timeline.

Sumangal Nevatia : My second question is with respect to our capital structure, and also pledging, I mean we have seen that, I mean we read in the news that we are pledging Hindustan Zinc shares for incremental loan, despite having such a strong balance sheet. I mean just want to understand what are the reasons, is it because for higher dividend are we raising these loans or because I mean the leverage, the lenders are not comfortable lending to us without these pledges. And also in the medium term what should we expect the capital structure of Hindustan Zinc be, I mean in terms of debt and payout?

Arun Mishra : Well, from a capital structure of Hindustan Zinc perspective maybe when you have this Hindustan Zinc Board Meeting and the Investor Call, probably that maybe the right forum for Vedanta Limited  
May 12, 2023

Page 10 of 16

Sensitivity: Internal (C3) you to ask that questions. Speaking from the Vedanta standpoint pledging Hindustan Zinc shares and raising funds these are in our view natural course of business, the usual way of sourcing and raising debt. We don't find that to be an extraordinary event which will require a significant different response to this question.

Moderator : Thank you. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal : I have two questions; my first question is can you help us understand how much is the repayment due at the parent VRL till June and for the next 12 months?

Ajay Agrawal : Well, till June the payment due is about \$750 million odd, the numbers might not be fully correct but near about \$750 million odd and for the years for the balance fiscal years, the amount could be around \$2 billion which include this \$750 million.

Indrajit Agarwal : My next part, actually a follow up to that is what is the kind of sourcing we are looking for till June for this \$750 million.

Ajay Agrawal : Well, what I can assure you that the group has always you know met its commitment on time. And group is working towards it to meet its commitment on or before. So, whatever the timelines are like you said for the June month, for the June quarter, they are working towards it to meet its commitment and likewise it will be done for the year end as well.

Indrajit Agarwal : And what is the status on the GR to RE conversion or what is that stock and what is kind of timeline it should look like?

Ajay Agrawal : So, we are reaching out to all the lenders to seek their NOC as you know this process requires the NOC from the lenders. And the work is ongoing as we speak. The scheme does not envisage any outflow of cash and hence there will not be any impact on the creditors of the company. So, as and when we get the NOC from the lenders, it should happen.

Indrajit Agarwal : So, getting this NOC is it more procedural or is there any kind of pushback or any kind of questions by the lenders?

What we need to address before we get the NOC?

Ajay Agrawal : We are reaching out to the lenders and like I said, as we speak, we are talking to them, we want to understand if there are any concerns. In our view it is process, it does not envisage any challenges so as and when we get the NOC from the lenders it will be done.

Indrajit Agarwal : Any timeline for that that you can give at this point?

Ajay Agrawal : At this moment it is difficult to give any timeline, but what I can assure you is that the conversations are on, discussions are on with most of them and we are hoping that it should get solved.

Vedanta Limited

May 12, 2023

Page 11 of 16

Sensitivity: Internal (C3) Moderator : Thank you. The next question is from the line of Alok Deora from Motilal Oswal. Please go ahead.

Alok Deora : Firstly, in your comment I briefly heard you about mentioning about some slowdown in China and Europe so just if you could indicate what exactly, how are you seeing the demand situation there and what's the outlook, because here we are somehow getting mixed signals in some of these geographies on the demand side?

Sunil Duggal : See I didn't say about slowdown in China and Europe that was more to get the delay in the equipment delivery, some of the equipments coming from China. So, that was what it is.

As far as you see the slowdown in China and Europe is concerned and the commodities and the metals we deal, we feel that the metals we deal there is an upsurge in demand in India which gives us the opportunity to serve these upsurge in the demand. But these metals we deal have to play a very pivotal and a critical role in decarbonization. So, the resources today globally are such that it will be not easy to meet the growth in the demand in this sector. So, we feel that this sector will always remain as a sunrise sector. And the commodity prices always are going to stay at an elevated level for the metal we deal with. So, we are very bullish, we are very confident that we have to play a very critical role to meet the demand of these metals both in India and globally.

Alok Deora : Just one last question, if the purchase by Hindustan Zinc of the Zinc International Asset, what's the status on that because what we understand is that the timeline for the shareholder approval is lapsed. So, any update on that --; what is the status of the \$2.9 billion deal?

Sunil Duggal : There is no update as such to be reported as this point of time, I mean still believe that it is a value accretive to both Hindustan Zinc and Zinc International because these two operations will definitely complement each other because Zinc International has a very rich reserve and resource base, which is even more than Hindustan Zinc, the way the Hindustan Zinc has grown from where it was to what it is today. Zinc International of course has also grown but there is a huge potential. So, what Zinc International possess and the geography it is located and the skill it has and the management style which Hindustan Zinc has, we feel that these two businesses coming together can create a wonder and this is what we have been communicating to all our stakeholders.

Alok Deora : So, the reason I was saying is because there were reports that so Hindustan Zinc had around 3 months to call for the EPF for this and that 3 months lapsed kind of last week so that I was just checking on the status, really.

Sunil Duggal : No, we will remain in active discussion with the stakeholders to find out that what possibility, in what manner could be non-cash deal, what could be the other ways where this alignment could be possible. And we still feel that this is a very value accretive opportunity for both the businesses.

Vedanta Limited

May 12, 2023

Page 12 of 16

Sensitivity: Internal (C3) Moderator : Thank you. The next question is from the line of Ritesh Shah from Investec Capital. Please go ahead.

Ritesh Shah : I have

two buckets of questions; first bucket has four sub-parts in it. So, first question has four parts to it.

1) first is I think you had indicated \$2.1 billion for repayment which was there, from Jan to June. In the earlier call we had indicated, we were looking at \$550 million from PSU banks, \$150 from Barclays, \$750 from Oaktree, \$300 million brand fee and there was a balance small amount which was left. So, the question is how much have we tapped and what's the status on that, that is the first question.

2) The second related part over here Part B is I think there was, the rating agencies were talking about a billion dollar of investment at Zinc International. So, just wanted to know your thought whether it has happened, not happened, is there some probability to the event, that was the second thing.

3) Third is, if you could please clarify what is the exact pledge and encumbrance number at both Vedanta and Hindustan Zinc and I do take a note that the promoter holding in Vedanta has

reduced from 69.7 to 68.1, so how should we read this vis-à-vis pledge and encumbrances.

4) And last question for the first part is what is the retail earnings number on a March end basis for Vedanta India?

Ajay Agrawal : The rating agencies have quoted loan transaction at Zinc International; I think in the previous question this question was somewhat answered. These are again a very specific transactions and routine financing arrangement which the group undertakes on a year-on-year basis. And as and when the transaction gets consummated, we will be able to respond to a very specific question of yours.

Coming to the repayment, like I said the group is extremely confident to meet its debt obligation commitments and requirements on a timely basis. We have always met our commitments in the past and I don't see any reason, any risk of not meeting the commitments in the future as well. So, I may not have full details because it's an investor call of Vedanta Limited and not necessarily VRL, but I am sure that the team is working and they have full details in terms of making plans to make their arrangement, whatever the commitments are due from here on till March.

Coming to the retained earning numbers as on 31st March 2023 we have Rs. 3843 crores as our retained earnings in the balance sheet.

Ritesh Shah : On the promoter stake which has reduced and, on the pledge, and encumbrances at Vedanta and Hindustan Zinc -- how should we look at this?

Vedanta Limited

May 12, 2023

Page 13 of 16

Sensitivity: Internal (C3) Ajay Agrawal : So, in our view, it's an independent transaction done by the promoter entity. And we are not in a place to really speculate the reduction and where the funds have been used by the promoter entity.

And on the pledge part of it, I believe from a Hindustan Zinc perspective, we have pledged 9.21% shares of Hindustan Zinc and we have signed 50.1% as NDU. So, these are details with respect to Hindustan Zinc's pledge.

Ritesh Shah : And for Vedanta?

Ajay Agrawal : Vedanta you mean to say VRL?

Ritesh Shah : Vedanta India, what quantum of equity is actually pledged or encumbered?

Ajay Agrawal : 50.1, it's an NDU like I said Vedanta Limited had pledged 9.21% and signed an NDU of 50.1% of Hindustan Zinc.

Ritesh Shah : So, let me rephrase is, from Vedanta Resources into Vedanta the 70% stake which is reduced to 68.1% what is the status of that 68.1%, what part of it is pledged or encumbered?

Ajay Agrawal : It's fully encumbered and it is kind of an NDU which I just explained to you from a Hindustan Zinc point of view, it's a similar arrangement.

Ritesh Shah : Sorry if I am just dragging a bit. But if the state here is fully encumbered then how is that that the promoter is allowed to reduce its stake, because a little bit of technicality what I understand is that the encumbered, the entity would not have the right to actually select.

Ajay Agrawal : Well

I I can't really you know speculate how they were able to sell, but I am sure, as you know that in the last year, they have reduced the debt also. I am sure that some part would have been unencumbered and would have allowed a free share to trade.

Ritesh Shah : Any update on the semi-conductor foray, whether it is at Vedanta level or VRL level, any color over there?

Sunil Duggal : Well as of now the semi-conductor is not under the banner of Vedanta Limited, so it will not be possible for me to make any comment at this point of time.

Moderator : Thank you. The next question is from the line of Ashish Kejriwal from Nuvama Institutional Equities. Please go ahead.

Ashish Kejriwal : My question is on Aluminum business, is it possible to share what kind of metallization of linkage coal happened this quarter and how you are expecting your cost of Aluminum to fall in next quarter.

Vedanta Limited

May 12, 2023

Page 14 of 16

Sensitivity: Internal (C3) Sunil Duggal : So, I have with my colleague Rahul Sharma on the call, but I will give you a bigger perspective

of the coal linkage. The coal linkage has improved because the coal position in India has eased out and you must have also seen that the coal stocks in IPPs are about 15 days compared to 6 to 7 days last year at this point of time. So, with this the premiums are, e-auction premiums are down, linkages are better, the coal production has gone up from Coal India. Last year the production growth in Coal India was 12%, captive mines coal production went up by 35%.

Overall, the production grew in India by 15%. So, the power demand is not rising at this speed and because of the renewable capacities also getting commissioned on the overall pie, the contribution of the renewable in meeting the power demand is also going up. So, this is all easing out the stress on the coal availability in India. And with this we feel that from now on the position will ease more and more and similarly the rake availability from the Railway also is becoming better and better.

Rahul Sharma : I think the important part is that if we see from a coal, which I will talk linkage and captive because now we have opened up the Jamkhani Mine in last quarter, so I will club both. And what I am trying to make a point is that we see that in Q4, we were at 66% of linkage plus captive and metallization was 82%. The good news is that this year we are starting with 80% of security and the target remains more than 90% of metallization. So, from a coal security and the metallization I think we are in a much better position than in point number one.

The second important point which I am very pleased to note is that if you remember the last year when we started the year, our coal inventory was 4 to 5 days, before the monsoon. But this year when we are starting the year, we have in our plant close to 14 days of inventory and another 11 days at our captive mine. So, totally we have 20 to 25 days of inventory, which we are very comfortable before monsoon or the Q1.

And coming to the point in terms of the cost from the Q1 point of view, I think for a year guidance has already been given in our presentation, but Q1 our target remains what we said last quarter was that in Q4 we were absolutely there in around 4% reduction and same way we are looking 5% to 6% reduction in Q1, so that is on the cost side.

Ashish Kejriwal: Second thing is because in earlier calls we have indicated the estimated coal cost of different mines at peak capacity, is it possible to share that like Jamkhani, Kurloi, Radhikapur, I am just trying to compare it from the existing cost where we can have going forward?

Rahul Sharma : I can only answer that you know if you see that the coal bucket, as Mr. Duggal said, initially the coal mine we have more than a 100% of the captive requirement that's the capacity is there. And overall cost we estimated it will be less than Rs. 70 paise, it can

be between Rs. 0.65 paise to Rs.

0.70 paise, that's what the projection for that and we are absolutely on that point.

Sunil Duggal : Which works out to say a total power cost of \$400 to \$450 per ton.

Ashish Kejriwal : And secondly, have we done any further hedging in our, any of the businesses?

Vedanta Limited

May 12, 2023

Page 15 of 16

Sensitivity: Internal (C3) Sunil Duggal : Not at this point of time.

Moderator : Thank you. Ladies and gentlemen, we will take the last question from the line of Rahul Jain from Systematix. Please go ahead.

Rahul Jain : Your guidance appears to be very muted in terms of the cost deflation that we are seeing. If I am not mistaken, you know which has been down 70% from its peak and we should see a much better delivery from Coal India. So, are we conservative on our numbers on both on the Hindustan Zinc as well as on the Aluminum business, because you have just given I think a \$200 kind of a cost reduction whereas in the past we have reached about \$1400 to \$1500 per Aluminum. So, are we being conservative on this?

Sunil Duggal : No, I think you might be right, because we would like to definitely beat the guidance of what we have given in this call today. We have given a guidance of \$1800 to \$1900 per ton of hot metal. So, I think we are able to meet around \$1800 per ton of cost in this year. So, let us suppose even if the Aluminum prices stay between \$2300 to \$2400 and a NSR of say \$2600 and the cost is at \$1800 so it will give us a very good EBITDA margin of say around \$600 to \$700 which is good for the business. But we wish to and we aspire to beat the target, but the overall objective of the business of having EBITDA margin of \$600 per ton is met at this cost even at the Aluminum prices of say average of \$2350 to \$2400.

Rahul Jain : And also we have stepped up the CAPEX guidance across all the businesses, I think it's the highest CAPEX that we are going to do in the last 5 years. So, in terms of say there is some commodity price crunch or there is some weakness in price which persists, so which are the key priority, so which are the ones which we are going to pursue no matter what, I mean which are the top projects that we are looking at in the next 2 years.

Sunil Duggal : So, basically all these projects are very important. The major CAPEX spending of \$0.7 billion is in Aluminum this is on the vertical integration, adding the value-added products, operationalization of mines. And these CAPEX are going to make us smarter and smarter. So, every CAPEX commissioned is going to add dollars to the bottom line. So, these CAPEXs are very important as far as the Aluminum business is concerned.

Similarly, the other CAPEXs if there are the opportunity to debottleneck the low-hanging fruits in Hindustan Zinc to take the full capacity to 1.2 million ton, we are very excited about this CAPEX. Similarly, in Electrosteel it is an unfinished project, we want to complete this project as soon as possible. Similarly in Zinc International, the way the Zinc business is and the way the

projection of the Zinc commodity prices are there for the future, we want to complete the project as soon as possible.

So, all these projects are very value accretive to us and we are very excited, and we want to finish these projects as soon as possible because all these projects are going to increase our revenues, cut down the cost and make our position much more fundamentally more stronger. So, we are very excited, and these are all brownfield expansions.

Vedanta Limited

May 12, 2023

Page 16 of 16

Sensitivity: Internal (C3) Rahul Jain : Just a related one, so should we expect the dividend payouts to kind of, we have been very

generous in the dividend last one or two years, should we expect now to be more moderate in line with your earnings or how should we see the dividend in the next coming years?

Sunil Duggal : So, Rahul I think, I

answered this question Ritesh also asked the same question, dividend is a Board matter, and I am sure Board will consider all parameters before really ensuring that the shareholders are rewarded.

Rahul Jain : It was because our CAPEX is going up significantly so obviously cash allocation should be different, so that is coming more from that side.

Moderator : Thank you. Ladies and gentlemen that is the last question for today. I now hand the conference over to Ms. Purna Halwasiya for closing comments.

Purna Halwasiya : Thank you all for taking the time to join us, I hope we were able to answer most of your questions. In case if you have any further questions, please feel free to reach me or my colleagues at the IR team. This concludes today's call we look forward to reconnecting with you for our next quarter earnings call. Thank you everyone. Have a good day.

Moderator : Thank you. Ladies and gentlemen on behalf of Vedanta Limited that concludes this conference. Thank you for joining us and you may now disconnect.

## Call: Jul 2023

Page 1 of 13

Sensitivity: Public (C4)

"Vedanta Limited  
Q1 FY 2023 -24 Earnings Conference Call "  
July 21, 2023

MANAGEMENT: MR. SUNIL DUGGAL – GROUP CHIEF  
EXECUTIVE OFFICER – VEDANTA LIMITED

MS. SONAL SHRIVASTAVA – GROUP CHIEF  
FINANCIAL OFFICER – VEDANTA LIMITED

MS. PRERNA HALWASIYA – DEPUTY HEAD,  
INVESTOR RELATIONS AND COMPANY  
SECRETARY – VEDANTA LIMITED

Vedanta Limited  
July 21 , 2023  
Page 2 of 13

Sensitivity: Public (C4) Moderator: Ladies and gentlemen, good day, and welcome to Vedanta Limited's First Quarter Financial Year 2023 -'24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Prerna Halwasiya, Deputy Head, Investor Relations and Company Secretary from Vedanta Limited. Thank you. Over to you, ma'am.

Prerna Halwasiya : Thank you, Dr. Sunil. Hello, everyone, and welcome to our first quarter earnings call for FY '24. I'm Prerna and on behalf of the entire team of Vedanta Limited, we would like to thank you for joining us today to discuss our financial results and business performance. The transcript and the audio of this call will be made available on our website. The financial statements, press release and presentation are already available on the website.

Today, from our leadership team, we have Mr. Sunil Duggal , our group CEO, Along with him, we also have Ms. Sonal Shrivastava , our Group CFO. Please note today's entire discussion will be covered by the cautionary statement slide on -- on Slide number 2 of the presentation, we will start with the update on our operational and financial performance, and then we'll open the floor to the Q&A.

I would like to hand over the call to Mr. Duggal.

Sunil Duggal: Thank you, Prerna. Good evening, everyone. Thanks for joining our results call at such late hour. Today mark a significant milestone for me. As I announce my end of tenure as Group CEO for this extraordinary company. It is with profound gratitude and tinge of nostalgia that I reflect on the incredible journey we have undertaken together.

I want to take a moment to express my deepest appreciation to each one of you, our valued investor community. Your unwavering support, trust and confidence in our vision have been the driving force behind our collective achievement. I am incredibly proud of the growth and success we have witnessed throughout my tenure at Hindustan Zinc and then at Vedanta.

I'm equally humbled by the unwavering support and loyalty of our employees, whose dedication, passion and resilience have been the bedrock of our Vedanta Limited



Sensitivity: Public (C4) success. Together, we have weathered challenges, celebrated victories and relentlessly pursued innovation to propel our company to new heights. I take my leave with optimism and the fondest memory of our shared accomplishments.

Now I turn to quarter 1. At the outset, I want to share very key strategic updates from the quarter. Vedanta's Board of Directors has approved the strategic decision to enter the semiconductor and display fab business through acquisition of SPV from Twin Star Technologies. This marked a pivotal movement for Vedanta, presenting a unique opportunity to diversify our portfolio into the promising and forward-looking sector of electronics manufacturing.

Through this diversification, we will play a significant role in shaping India's electronic manufacturing sector, while simultaneously driving substantial long-term value for our esteemed shareholders with both the semiconductors and display fab market in India, displaying robust growth trends. We recognize the potential to establish the country's first in integrated semiconductor and display fab manufacturing enterprise.

Our decisions have been carefully evaluated considering synergies and market expansion potential. With our expertise, resources and network, we are confident in building a robust and innovative platform catering to evolving consumer

demands. We have also initiated a comprehensive evaluation of our steel and raw materials business to explore avenues for maximizing shareholder value.

The review encompasses a thorough analysis of steel manufacturing at Bokaro, iron ore mines in Karnataka, Orissa, Liberia, pig iron plant in Goa and met coke plants in Vazare and Gujarat with a focus on considering a broad range of alternatives. These alternatives may include but are not limited to the potential sale of all or part of any of these businesses.

To facilitate this process, we have engaged experienced advisers who will collaborate with us in analyzing and assessing the most advantageous path forward. We anticipate having a definite strategy within the next 4 to 6 months. We will keep you informed about any significant development and will communicate the outcome of this evaluation as soon as it is finalized.

Now moving to ESG. Vedanta is unwavering in its commitment to collaborate with all stakeholders, ushering in a just transition towards a low carbon economy and forging a sustainable future. Our journey on the ESG front has

Vedanta Limited

Sensitivity: Public (C4) been remarkable fortified by robust policies and standards. In FY '22, we embraced a transformative narrative setting audacious target that will propel our organization to the forefront of the global metals and mining industry. By charting this ambitious course, we are determined to lead the charge towards a more sustainable and responsible tomorrow. Our net-zero ambition were the first goals that we set, I'm happy to report that today, all our BUs have committed to these ambitious target. Some of the most ambitious in the country and world.

Renewable energy use is up 4x since FY '21. PDAs worth 838-megawatt RE RTC are in place. We are on track to achieving our commitment to use 2.5 gigawatt of RE by the end of the decade. We have rolled out industry-leading policies such as EV purchase policy for all our employees and all our business units have plans in place to ensure that 100% of the LME are electric by 2030. Jharsuguda and HZL have also begun trials for HMs and other vehicles from the mining fleet.

Similarly, our water positivity targets have seen the company increased its water positivity ratio by 21% over the last 2 years. More importantly, these efforts have seen our freshwater consumption reduced by 10%. We're also well on track to meet our DEI goals of having 20% women employees by 2030. Today, we stand at 14%. The company has implemented programs to place women in STEM roles and leadership positions. This commitment has yielded notable achievement, including the distinction of having India's first

underground women mining engineers. Furthermore, we have recently established a dedicated women-only emergency response team for underground mines. I'm also proud that we have expanded our definition of diversity beyond gender.

There are more than 38 members from transgender community who are part of our workforce with more to join in the near future. In driving the ESG agenda, the company has not forgotten its commitment to local communities around our businesses. Our CSR and community program benefit nearly 1.2 million women and children across India, many beyond the company's organization footprint. Considerable effort has been dedicated to enhancing the transparency of our company, a testament to our commitment to responsible practices. This commitment is evident through the implementation of key frameworks such as BRSR, Sustainability Report, IR, TCFD, TTR, along with our participation in the global forums such as CDP and DJSI.

Vedanta Limited

July 21, 2023

Page 5 of 13

Sensitivity: Public (C4) These concerted efforts have yielded positive results as reflected in our improved overall ESG rating that we have previously discussed. I take immense

pride in the impetuous, I have been able to provide, positioning the company favorably to continue this journey. Our current standing reaffirms our commitment to further advancing our ESG agenda and I'm confident in our ability to build upon this momentum.

Moving to operational update. This quarter has been well balanced quarter.

Aluminum continued the strong production trajectory from last quarter and delivered record volumes of 579 kt and a reduction of 6% in our cost of production. Our foremost priority continued to be decoupling production costs from external volatility. In line with this road map, our vertical integration projects are making significant headway.

Train 1 with incremental 1.5 million tonnes per annum capacity at Lanjigarh is on track for completion in quarter 3 of this financial year. Train 2 with additional 1.5 million tonnes per annum is expected to commission by quarter 4 of this financial year. We are making substantial progress on ramping our existing coal mines and operationalization of Kurloi and Radhikapur in the next 9 to 12 months, which will greatly enhance our coal security.

Today, the Board approved a capex to operationalization, Sijimali bauxite mine in Orissa. This asset plays a critical role in bolstering the raw material security at Lanjigarh refinery at an expanded 5 million tonne per annum production capacity. These strategic initiatives align perfectly with our road map to ensure a more stable and resilient operational landscape safeguarding our company from external market fluctuations. As we continue to move forward, we remain committed to enhancing our competitiveness in the market. Hindustan Zinc produced its highest ever first quarter mine metal production primarily through higher production at Rampura Agucha and Carmine. Cost of production declined by 2% Q-o-Q. Through continued focus on higher volumes, better feed grade, higher linkage coal materialization and maximization of low-cost alternate fuels.

The business is on track to meet its stated annual cost guidance and ramp our production to 1.2 million tonnes. Zinc International delivered a commendable performance, both in terms of volume and cost of production. The volumes are higher by 9% Q-o-Q while costs are down by 11% Q-o-Q and 19% Y-o-Y, reflecting the strength and efficiency of our operations. Our priority remains ramping up the performance of Gamsberg plant to design capacity and

Vedanta Limited

July 21, 2023

Page 6 of 13

Sensitivity: Public (C4) completing Gamsberg Phase 2 expansion with an aim to start production in second half of current year.

At oil and gas business, we have been able to lower the rate of decline as seen by practically flat output from the previous quarter through infill wells and enhanced recovery projects. We have implemented plans to end the year with higher output levels than the year began with.

The key priority ahead is to add volume in near term to infill project across

producing fields, define up to 20 potential new development projects to bring these resources into production, unlock the potential of exploration portfolio comprising of OALP and P SC blocks, and continue to operate at low cost base. In iron ore business, we were declared a successful bidder for Cudnem mineral block in Goa with an estimated R&R of 8.3 million tonnes. This is our second ore block in Goa after Bicholim and puts us on track to augment our mining footprint.

The operation at Western cluster, Liberia were stable and the production ramp-up continued.

Steel continue to operate at an augmented capacity of 1.7 million tonnes per annum. One of the larger blast furnace had a routine annual shutdown during the quarter, which had an impact on production. Production will be back to pre-shutdown run rate in quarter 2 with higher operating efficiency. With a vision to become high-grade, low-cost steel producer

with lowest carbon footprint, first

phase of expansion to 3 million tonne per annum is under progress with full vigor. We remain excited about the strength of our business portfolio, especially in metals, oil and gas and other natural resources in India. The fundamentals supporting these sectors remain robust, providing us with a confident and optimistic outlook.

Despite some pullback in metal prices recently, particularly zinc and aluminium, we believe prices will be stabilizing in the medium- to long-term. In the subdued LME environment in quarter 1, we have delivered good set of financials. Our quarterly EBITDA is INR6,975 crores with an operating margin of 24% and PAT of INR3,308 crores, marking a 6% increase sequentially.

As we look ahead, we have several key growth projects on the horizon in the upcoming quarter. We expect our performance to exhibit steady and progressive improvement as we advance through the next 9 months of the financial year.

Vedanta Limited

July 21, 2023

Page 7 of 13

**Sensitivity: Public (C4)** In summary, Vedanta is on a transformation journey with significant growth across its businesses. The key enablers for driving this growth are use of technology and innovation to drive best-in-class and low-cost operations. Skill development and global experienced leadership to steer the project delivery with sustainability at the forefront.

With this, now I hand over to our newly appointed group CFO, Sonal Shrivastava, who brings a wealth of experience to Vedanta, her extensive knowledge in optimizing financial performance, identifying growth opportunities and managing risk will be instrumental in achieving sustainable growth here at Vedanta. We look forward to the promising outcomes under her able leadership. Over to you, Sonal.

Sonal Shrivastava: Thank you, Mr. Duggal, and good evening to everyone. As we know, the commodity prices remained under pressure during the quarter, stemming from the global demand and high interest rates and global supply surplus. However, the Indian economy sustained its momentum in the face of global headwinds. Demand for our metals and minerals remained robust for domestic end-use sectors, specifically automobiles and infrastructure. Capitalizing on strong domestic demand in a subdued price environment, our teams achieved strong operational performance and delivered a good set of financial results. I want to share some of the highlights for the current quarter.

The consolidated revenue stands at INR33,342 crores and as against INR37,225 crores in Q4 of FY '23. EBITDA of INR6,975 crores as against to INR9,362 crores in Q4 of FY '23 translating into an operating margin of 24%. Profit after tax stood at INR3,308 crores as against INR3,132 crores in Q4 FY '23. We continue to maintain double-digit ROCE of ~17%. Now I move on to the EBITDA bridge. As compared to Q4 FY '23, the EBITDA is lower sequentially, majorly impacted by LME. However, the easing of input inflation, cost reduction initiatives, and marketing premiums provided support to our margin.

Now moving on to the balance sheet and debt. The net debt on June 30 stood at INR59,192 crores against INR45,260 crores on March 31, 2023. Our net debt-to-EBITDA was at 1.88 x. We finished the quarter with a healthy cash and cash equivalence of INR14,292 crores. Our average maturity maintained at 3

years and average cost of borrowing at 8.7%.

Vedanta Limited

July 21 , 2023

Page 8 of 13

Sensitivity: Public (C4) Meanwhile, I would like to reiterate that we will be committed towards the cost and production guidance. Our long-term focus on vertical integration is on track keeping operational excellence and deleveraging a key priority.

I would also now would like to thank Mr. Duggal. He has been part of Vedanta and Hindustan Zinc Limited for several years and has played a pivotal role in shaping Vedanta Group as one of t

he best conglomerates in the world.

Vedanta has completed several important milestones under his leadership. I convey my sincerest gratitude for his guidance and wish him all the best for the future.

With this, I now hand over to the operator for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session.

The first question is from the line of Indrajit from CLSA.

Indrajit: My first question is on this transaction of THL Zinc Venture. If you can explain what exactly is the transaction about and how it has led to rise in debt for us?

Sonal Shrivastava: As you know, previously, VDL has been funding the international zinc operations. And now given the performance and outlook of VZI we would like them to manage their operations on their own. Hence, VZI has refinanced its obligations. And in this normal course that we expect that the subsidiary will be self-sufficient and manage their obligations. And wherever there is a need, the parent will step into support.

Indrajit: So how have they funded it? Is it an external debt at THL Zinc Ventures?

Sonal Shrivastava: Yes, it is an external debt to the tune of \$850 million.

Indrajit: So just to summarize, an internal intercompany debt has been substituted by an external debt, and that has also led to a foreign exchange gain, and that has been upstreamed as dividend, is that a correct summary? Or I'm getting anything wrong here?

Sonal Shrivastava: That's correct.

Indrajit: And secondly, the Cairn -- has Cairn transaction has also been approved till December '24 on the outstanding one. Any change in the terms of that?

Sonal Shrivastava: The ICL has been extended till December '24, and there has been a change in terms of the interest payment.

Indrajit: What exactly is the change in terms?

Vedanta Limited

July 21 , 2023

Page 9 of 13

Sensitivity: Public (C4) Sonal Shrivastava: Interest rate has now been set at 17%.

Indrajit: My last question is the move on getting the semiconductor business in the Listed Company. What has changed since Vedanta Resources or the group had embarked on this journey? Why the decision to get it on the List Co . now? And what kind of capex upfront and gradual can we expect on this?

Sunil Duggal: See, originally, this was not under Vedanta Limited it was under Volcan. And we internally evaluated that if we actually bring this business under Indian entity and to manage various stakeholders. And since this business will be housed in India. And this is an operational entity it would be easy for us to make it operational, and there could be a lot of synergy with the existing businesses, which could be created.

As we speak, we are in active discussion with the various technology supplier, both for JV and the technology partnership -- and we are in advanced discussions. You may hear some announcements soon on which way we are going. As far as capex is concerned, based on the technology partnership and the facility we want to put up like which size of the nanometer of the chips we want to manufacture, we will come back after the feasibility study. But you would know that the Government of India has announced a PLI scheme , which they have announced that they will give the 50% Capital subsidy on this. And since we have declared that our facility will be based at Dholera, Gujarat special economic zone, which Gujarat government is building up. They also have a policy of funding 40% of the subsidy of the government of India, which virtually is 20% if the government of India gives 50% subsidy. So overall, 70% and the exact number on the capital involved and the capital cost of the project

will come back as we complete our feasibility study.

Moderator: The next question is from the line of Palav Agarwal from Antique Stock Broking.

Palav Agarwal : Firstly, best wishes on your future endeavors. Sir, on the ESG front, we've set some

pretty ambitious targets going ahead. So, what do you see as a path towards achieving this, how soon can we reach those targets?

Sunil Duggal: So, we have declared 10 commitments on what we want to do right from decarbonization to water positivity to the other commitment we have been. So as far as the decarbonization is concerned, we have declared that we want to be carbon-neutral by 2050. By 2030, we want to reduce our carbon footprint by 25%. So, in that direction, you would know that with the various entities, we have signed the PDA.

Vedanta Limited

July 21, 2023

Page 10 of 13

Sensitivity: Public (C4) We have set up a separate vertical in the name of Serentica, who is putting up the facilities. There is a substantial progress, which is happening. The next year, it will start feeding renewable power to some of our entities. And apart from that, there are a lot of projects for tree plantation, energy efficiency improvement, sequestration, introduction of EVs, LMEs and many other decarbonization projects like biomass firing. So, there are large number of projects which are there in the pipeline, by which we have made a plan and by each measure, how shall we reduce our carbon footprint by 25% from a base of 2021 level.

Palav Agarwal : Sir, also I had a question on the performance of the Oil & Gas segment because the Brent price fell only by about \$3 on a sequential basis. But our realization fell were almost probably close to \$7 to \$8. So that has caused a very sharp dip in the EBITDA. So, is this expected to recover going ahead?

Sunil Duggal: No, as far as oil and gas is concerned, we have been able to mitigate the natural decline by intervention through the infill wells. And our gas production also has increased because we have taken a campaign of 27 wells drilling in our Rajasthan assets.

But apart from that, there are a lot of other projects in the pipeline where we will be able to mitigate the decline but grow some production during the year, and that is why we are confident that we will be exiting the year with a higher production than the one where we exited.

But apart from that, there are few targets we have identified in our OALP blocks where we want to drill 20 wells, where we have hope that we may get a 500 million barrels of the result. It will give a step jump in the production from our oil and gas assets.

And we are also evaluating another project of ESP where we have now involved Worley to design a pilot on the smaller number of fields so that our risk could be mitigated. So, with all these projects and the initiative in the pipeline, we feel that this year we will be exiting at higher production than that of where we entered. The next year should give a step jump in our operations. As far as our margin is concerned, in fact, our cost has gone down. The margin may be because of the higher profit petroleum, but that exact calculation I have to see since it is a factor of the capex recovery. So, with that, that calculation we'll have to check, and I can revert back to you on that.

Moderator: We have the next question from the line of Amit Dixit from ICICI Securities.

Vedanta Limited

July 21, 2023

Page 11 of 13

Sensitivity: Public (C4) Amit Dixit: I have a couple of questions. The first one is the aluminium division, if you look at it, there is a small hedging gain of \$8 per ton. how much hedging we have? and at what price in aluminum division and whether it is also there in oil and gas division or some other divisions?

Sunil Duggal: I don't think we have any hedging gain in our aluminum business.

Amit Dixit: Actually if you see the Aluminium waterfall chart, then \$8 per ton is the hedging.

Sunil Duggal: So that is a very miniscule gain. There is hardly any gain.

Amit Dixit: Okay. Is there a more hedge book per se?

Sunil Duggal: Going forward, there is no hedge as such

h. And this gain is also very miniscule.

Amit Dixit: Okay. Sir in aluminum division only, we saw that alumina cost was up despite lower base price of alumina Q-o-Q, but why our alumina cost was up this quarter?

Sunil Duggal: There was some supply concerns from the OMC mine and the alumina production had a lower percentage of the domestic bauxite and the higher percentage of imported bauxite and the imported alumina was used more, and that is why the weighted average cost of the alumina, which was used for production of aluminum was higher.

Amit Dixit: Okay. Understood. So, in subsequent quarters, will it be kind of again back to further old stuff we had, the mix of bauxite source from OMC and outside.

Sunil Duggal: Yes. The supply has totally stabilized now, as we speak, in the current month. And with that, you will see the substantial reduction in the cost of alumina. We could estimate around \$50 per tonne of the cost reduction in the current quarter only on alumina.

Amit Dixit: At what metal level?

Sunil Duggal: At the hot metal cost, but \$25 at the alumina cost and around \$ 50 at the aluminum hot metal cost.

Amit Dixit: Sir, another question is we have seen that the debt mix, if you look at the international debt versus domestic, it has moved in a quarter from 90:10 to 82:18 %. Is it driven solely by the external funding that we have done that was explained in that bank subsidiary?

Sonal Shrivastava: That's correct.

Vedanta Limited

July 21, 2023

Page 12 of 13

Sensitivity: Public (C4) Amit Dixit: Thanks a lot, Mr. Duggal for all those interactions and I wish you all the best for your future endeavors.

Moderator: We have the next question from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: My first question is on the royalty or rather the brand fee, which we are paying. We have now increased it to almost 3%. And if you look at the first quarter performance, it's coming out to almost 35% of the PAT being paid as royalty to the parent. So first is, I just want to understand when was it approved? And in future, how much it can be increase as per law by the Board without seeking shareholder approval.

Sonal Shrivastava: Yes. So basically, the brand and strategic management service agreement, it was up for renewal effective April '23. The revised rate has been duly considered post external benchmarking by the Big Four firms and based on which the Board has approved the same. Now as per SEBI LODR, the shareholder approval is only required if it goes beyond 5%.

Sumangal Nevatia: Okay. And for how many years is this been as per the latest approval by the Board when they increased from 2% to 3%?

Sonal Shrivastava: So basically, we look at it on a periodic basis. And from time to time, the Board is empowered to take the decision.

Sumangal Nevatia: Okay. But last year, I think it was frozen for a period of 2 years. So, no such time-period is kind of defined this time?

Sonal Shrivastava: Three years. Right now, it is 3 years.

Sunil Duggal: It was earlier 3 years.

Sumangal Nevatia: Okay. So, for the next 3 years, I mean, the 3% is kind of frozen. Hello?

Sonal Shrivastava: Yes. So basically, the current one will remain for 6 years but can be reviewed from time to time.

Sumangal Nevatia: That's helpful. Sir, my second question is with respect to our working capital practices. If you look at -- I mean, the 2 line items like buyers credit and advance from customers, for FY '23 has increased very sharply by around INR7,000 crores to INR8,000 crores. So I just want to know, I mean, what is the nature of these instruments? Is it an ongoing rolling kind of instruments and going to continue in future? And what sort of discounting cost does these working capital increment warrant.

Vedanta Limited

July 21, 2023

Page 13 of 13

Sensitivity: Public (C4) Sonal Shrivastava : Yes

. So you're right. It's on a rolling basis, and it is continuous. And the cost is about the same, around 7% to 8%.

Sumangal Nevatia: And just one last thing, given the -- I mean, Mr. Duggal talked about the strategic review of the iron and steel business. So just want to understand what sort of time-line are we looking? Is it our endeavor to divest it in a very short period given the upcoming bond repayments at the VRL level?

Sunil Duggal: No, we have just instituted a study and evaluation by the bankers. And we have set up a time-line of 3 to 6 months for this. So based on what they will evaluate, what they will suggest, what value it can generate. The decision will be taken only at that point of time.

Moderator: Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Ms. Perna Halwasiya for closing comments. Over to you, ma'am.

Perna Halwasiya : Thank you, Dr. Vin, and thank you all for taking the time to join us. I hope we were able to answer most of your questions. In case you have any further questions, please feel free to reach me or my colleagues at the IR team. This concludes today's call. We look forward to reconnecting you for the next quarter earnings call. Thank you, everyone.

Moderator: On behalf of Vedanta Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

## Call: Nov 2023

Page 1 of 18

Sensitivity: Public (C4)

"Vedanta Limited

Q2 FY '24 Earnings Conference Call "

November 04, 2023

MANAGEMENT : MR. ARUN MISRA – EXECUTIVE DIRECTOR –  
VEDANTA LIMITED  
MR. AJAY GOEL – CHIEF FINANCIAL OFFICER –  
VEDANTA LIMITED  
MR. AJAY AGARWAL – PRESIDENT , FINANCE –  
VEDANTA LIMITED  
MR. JOHN SLAVEN – CHIEF EXECUTIVE OFFICER –  
VEDANTA ALUMINUM  
MR. SUNIL GUPTA – CHIEF EXECUTIVE OFFICER ,  
JHARSUGUDA – VEDANTA LIMITED  
MR. HITESH VAID – CHIEF FINANCIAL OFFICER ,  
CAIRN OIL & GAS BUSINESS – VEDANTA LIMITED  
MS. PRERNA HALWASIYA – DEPUTY HEAD, INVESTOR  
RELATIONS AND COMPANY SECRETARY – VEDANTA  
LIMITED

Vedanta Limited

November 04, 2023

Page 2 of 18

Sensitivity: Public (C4)

Moderator: Ladies and gentlemen, good day, and welcome to Vedanta Limited's Q2 FY '24 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Prerna, Deputy Head, Investor Relations and Company Secretary, Vedanta Limited. Thank you, and over to you, ma'am.

Prerna Halwasiya : Thank you, Neerav. Hello, everyone, and welcome to our second quarter of the fiscal '23-'24 Earnings Conference Call. I'm Prerna, and on behalf of the entire team of Vedanta Limited, would like to thank you for joining us today to discuss our financial results and business performance. The transcript and audio of this call will be made available on our website. The financial statements, press release and presentation are already available on the website. Today, from our leadership team, we have Mr. Arun Misra, the Executive Director, Vedanta Limited; Mr. Ajay Goel, our Chief Financial Officer; and Ajay Agarwal, President, Finance. Today, we are also joined by our leaders from our key businesses. Mr. John Slaven, CEO of Vedanta Aluminum; Mr. Sunil Gupta, who is the CEO of Jharsuguda. And along with him, we have Mr. Hitesh Vaid, who is our CFO for the Cairn Oil & Gas business.

Please note that today's entire discussion will be covered by the cautionary statement on Slide #2 of the presentation. We will start with the update on our operational and financial performance, and then we will open the floor for the Q&A.

Now I would like to hand over the call to Mr. Misra.

Arun Misra : Thank you all for joining the call today. The second quarter was defining in terms of strategic direction for Vedanta and its subsidiaries. Vedanta's Board approved the proposal to demerge the business into six independent listed entities, each one capable of executing its individual business strategies.

The decision is a significant step forward in its journey of sustainable growth and greater shareholder value. The demerger would create six incredibly competitive, nimble and focused enterprises. We have filed the scheme of demerger with the stock exchange in October 2023 and are working on next steps as we speak.

We exited the second quarter with strong financial results. We delivered the highest ever second quarter consolidated revenue of INR38,546 crores, up 16% quarter -on-quarter. We have also



delivered highest ever second quarter EBITDA of INR11,834 crores, up 70% quarter -on-quarter and a strong margin of 35% and PAT before exceptional items of INR4,403 crores, up approximately 3x quarter -on-quarter.

Vedanta Limited

November 04, 2023

Page 3 of 18

Sensitivity: Public (C4) I'm very pleased to share that in this year's S&P Global Corporate Sustainability Assessment Index, formerly known as Dow Jones Sustainability Index, Vedanta has achieved 5 -point improvement year -on-year, taking Vedanta to 100 percentile of index as on October end.

Moving to operational performance. Each of our business is working to become more competitive globally, and this quarter has been excellent in terms of operational performance with healthy production and good control of costs visible across the businesses. Starting with aluminum sector, the business delivered one of the best quarters in terms of production and operational efficiency.

Production was up consecutively for the third quarter in a row. Cost of production has been trending lower with each quarter with a 6% reduction quarter -on-quarter and 25% reduction year-on-year. With respect to alumina, Lanjigarh production was

up 17% quarter -on-quarter,

with significant reduction in costs.

Lanjigarh is on track to deliver the first 1.5 million ton per annum train in quarter 4 followed by Train 2 of another 1.5 million ton per annum in second quarter of FY '25. This is a significant lever in the journey to structurally place aluminum in the first quarter in the cost curve.

Turning to Hindustan Zinc. The business produced the highest ever first half mined metal and continue to remain in the first decile of cost curve globally, with a further 5% reduction in costs quarter -on-quarter and 10% reduction year -on-year. Progressing on its growth project, it commissioned India's first fume plant, commissioned 30,000 tons per annum alloy facility and a new concentrator in Rajpura Dariba mine, increasing the production of zinc and lead metal in concentrate. Zinc International also exited the quarter with a cost reduction of 1% quarter -on-quarter and 6% year -on-year.

Oil and gas business delivered stable production sequentially, supported by production from infill well campaign in NBA and RD fields and enhanced recovery projects, opex declined significantly by 6% quarter -on-quarter and 4% year -on-year through optimization of polymer consumption.

Moving to iron ore business. We are pleased to share that Karnataka mines have received an enhanced mine environmental clearance of 7.2 million ton per annum, further strengthening our mining portfolio. The business delivered nearly double the EBITDA sequentially driven by higher sales, 44% up quarter -on-quarter and 14% up year -on-year from Karnataka mines and margin expansion at pig iron business unit. In VAB, pig iron production has shown 80% increase year-on-year as a result of higher operational efficiency. We have seen an improvement of 36% in quarterly margin.

In Electrosteel, saleable production at 378 kt, was up 17% quarter -on-quarter and year -on-year, both on margins, improving sequentially on account of operational efficiencies and favorable input commodity prices despite a subdued pricing environment. Our quarterly margin increased from 36% quarter -on-quarter, driven by significant reduction in cost of sales. The business continues to operate at an enhanced capacity of 1.7 million ton per annum post debottlenecking carried out in FY '23 and progressing steadily on the 3 million ton per annum expansion project.

Vedanta Limited

November 04, 2023

Page 4 of 18

Sensitivity: Public (C4) In FACOR, our 33 MVA furnace has been commissioned, and we are ramping up production. The ferrochrome production stands at 22,000 tons, which is 130% up quarter -on-quarter and 97% up year -on-year. The quarterly margin improved to \$195 per ton driven by higher production and operational efficiencies.

Coming to copper, the cathode production stands at 35,000 tons, which is 14% up quarter -on-quarter. To sum it up, we are encouraged by the positive performance in the second quarter and intend to build on that momentum.

Moving on to our growth story. We have a strong pipeline of growth projects at various stages of completion across the portfolio. Additionally, we are incorporating future enabling businesses in our portfolio, making Vedanta's future exciting. We are at an exciting inflection point where we are accelerating on our volume growth across the portfolio. The delivery of our growth and vertical integration projects over the coming quarters combined with acceleration in commodity prices will drive profitability across our businesses.

In the aluminum sector, we are expecting first metal out of our 435,000 tons per annum BALCO smelter by FY '25. Sijimali mine to start by FY '25, taking up bauxite capacity to 9 million ton per annum and expanding coal mines from 3.6 million ton per annum to 34 million ton per annum. Lanjigarh is also geared up to take the captive alumina from 2 million ton per annum to 5 million ton per annum.

Coming to z

inc sector, Hindustan Zinc, we are focused towards setting up our 150,000 tons per annum roster project and 5.1 lakh ton per annum fertilizer project. Also talking about Zinc International, we are progressing well in terms of Gamsberg Phase 2 expansion. In iron ore, we want to increase our mine's volume by expanding our Karnataka mine from current 6 million ton to 7.2 million ton and then on to 10 million ton. Liberia to expand from 1.5 million ton to 5 million ton and strong focus on operationalization of Goa mines and Orissa mines.

FACOR growth is extremely important for us to have competitive advantage. Hence, we want to augment our ferrochrome production from 150,000 tons per annum to 450,000 tons per annum. On this strategic priority, the Board has already approved sufficient capex towards about INR2,650 crores for the ferrochrome project. It should further strengthen FACOR's position as one of India's leading ferrochrome's producer and exporter of ferro alloys.

In copper front, our first priority is to restart Tuticorin operations. In our port businesses, under VGCB, we want to take our volume to about 10 million tons.

Coming to communities and their wellbeing, Vedanta continues to work towards uplifting the quality of life of communities through various initiatives around drinking water, sanitation, health care, community infrastructure, children wellbeing and education.

The company spent more than INR226 crores in first half of the year on CSR, reaching a milestone of 16 million beneficiaries and 5,700 Nandghar, a flagship program of modernized anganwadis. Progressing towards a greener business model, the group achieved a water -positive ratio of 0.7 and utilized 84% of its HVLT waste, recycled 30% water and increased biomass firing by 40%.

Vedanta Limited

November 04, 2023

Page 5 of 18

Sensitivity: Public (C4) Hindustan Zinc becomes India's first company in metals and mining sector to have validated its near-term and long -term GHG emission reduction targets from the science -based target initiative.

In a first, BALCO achieved environmental norm compliance of <10kg/t of fluoride consumption for the first time in quarter 2. This is a significant milestone that will result in reduced costs and resource conservation.

Before I hand over to Ajay for financial update, let me emphasize our strategic priorities for delivering lasting value for our stakeholders. First, we are committed to our transforming for good strategy, which emphasizes environmental responsibilities, sound governance and our social partnership. Second, we are dedicated to expanding our reserves and resource base. Third, we are committed to continued value -added growth in all our businesses. Fourth, we maintain a disciplined approach to capital allocation and a strong focus on our balance sheet. And fifth, we are dedicated to achieve the best results through our exceptional team and valuable assets.

With those remarks, over to you, Ajay.

Ajay Goel: Thank you, Arun, and good evening, everyone. I'm very happy to come back to Vedanta. Such a critical time as we embark on our journey of demerger and unlock significant value for shareholders. At the same time, we also reorient ourselves towards next phase of organic growth. During second quarter, the commodity prices remain under pressure, mainly due to out -shipping of supply as compared to demand growth. The global economy has slowed down, compared to last year with growing regional divergences. However, Indian economy remains resilient, driven by healthy momentum in manufacturing and services.

Inflation is easing gradually, but remains well above targeting major economies. Strong government spending on infrastructure has led to robust demand for metals and minerals domestically. Leveraging strong domestic demand in a subdued pricing environment, our teams have delivered robust operational performance and a very good set of fi

nancial results.

I want to share some of the financial highlights for the current quarter. In second quarter, we delivered highest ever second quarter consol revenue of INR38,546 crores, which is up 16% quarter -on-quarter. Highest ever second quarter EBITDA of INR11,834 crores, up 70% quarter -on-quarter with a strong margin of 35%. Free cash flow, pre capex, of INR5,694 crores, up 84% quarter -on-quarter. Very strong double -digit ROCE, about 21%, which is up 460 basis points quarter -on-quarter. PAT before exceptional items of INR4,403 crores, which is almost 3x quarter -on-quarter. And finally, the net debt reduced by INR1,421 crores quarter -on-quarter.

I now move to EBITDA Bridge. EBITDA is 70% higher quarter -on-quarter as softening of input commodities, cost reduction initiatives, higher volumes and premia has positive impact on maintaining the margins. We also received favorable arbitration award in August 2023 in our Oil & Gas business, upholding our contention that we are not liable to pay additional profit petroleum in relation to allocation of common development costs across development areas and that we are also entitled to cost recovery of exploration costs for the purpose of computing profit early.

Vedanta Limited  
November 04, 2023

Page 6 of 18

Sensitivity: Public (C4) Moving on to next page on balance sheet and debt. Net debt as on September 30th, stands at INR57,771 crores as against INR59,192 crores as on last quarter. The net debt decreased overall majorly due to strong cash from operations and partly offset by working capital build-up and allocation of funds towards capex and returning money to our shareholders. Our leverage ratio, which is net debt to EBITDA, stood at 1.64x, compared to 1.88x in the previous quarter. We finished the quarter with healthy cash and cash equivalents of INR16,702 crores.

Our average maturity of debt is maintained at about three years with average cost of borrowings at about 9%. This quarter, we also transitioned to new tax regime for Vedanta Limited, a simpler tax structure starting FY '23, which is the last year. Adoption of new tax regime has resulted in onetime net MAT write-off of INR6,128 crores, but we had a net cash tax savings of INR2,040 crores for fiscal year 2022 and 23 from the same.

The cash tax in future years will also be lower under new regime. The scheme allows companies to lower tax outgo and redeploy the same on operations, growth and shareholder value creation. A quick word on demerger. We have filed the scheme of demerger with the stock exchanges in October '23, and we are progressing well on our plan.

Finally, in conclusion, the risk to the outlook are now far more balanced than they were six months ago, with the operating environment stabilizing. We remain committed to the cost and production guidance at the beginning of fiscal year 2024 and we're making good progress towards our long-term goals of vertical integration, operational excellence and deleveraging.

With this, I now hand over to operator for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: I have two questions. The first one relates to aluminum division, wherein the mining -- the commencement of mining at captive block has been pushed back by a couple of quarters, even VAP expansion has been pushed back. So just wanted to understand the reasons for that while coal block might not be fully in your control, but VAP expansion definitely is. So just wanted to understand the reasons behind the same? That is the first question.

Arun Misra: So maybe, John, we have John Slaven from Aluminum CEO with us. John, would you like to answer?

John Slaven: Yes, certainly. Thanks for the question. So I'll answer the first question on the mining projects. We are working

across all of the mining projects that we have through process of approvals. As you probably would imagine, is a pretty complex process. And I am very pleased with the progress that our team is making in terms of securing those approvals. So while we may not have kept up to the initial time lines that had been shared, I think we are making very, very good progress now. And the time lines that we have shared in the presentation, we are confident that we can achieve as we move forward.

The second question, I will defer to Sunil. Sunil Gupta, can you please answer that question?

Vedanta Limited  
November 04, 2023

Page 7 of 18

Sensitivity: Public (C4) Sunil Gupta: In second question, the mining project you are talking about, I think?

Arun Misra: Second is the value-added product project.

Sunil Gupta: Yes. Value-added product, I just wanted to say that we have all the 100% capacity of value-added projects in Jharsuguda and BALCO. Both put together, Jharsuguda, we are putting up 480 kt value-added project. And similarly, 450 kt in BALCO. Both the projects are on and they are coming in time is what I can say. And by this, we are going to have around 85% of VAP.

Arun Misra: Sunil, if I may add, while two coal mine projects are maybe slightly delayed because of various clearances, the Jamkhani project, which was originally designed for 2.5 million tons as actually, when we speak, it is currently operating at 4.5 million tons capacity on the monthly numbers, if we add up. So, we have doubled the production from the one mine, which is already in clearance. Other two mines, so we have made up for that.

Whereas the value-added products is actually the strict time lines that we've taken for ourselves. That is for various reasons, maybe slightly delayed, but the numbers, the productions that will come up now will suffice for whatever delays that are caused by it.

Sunil Gupta: And secondly, sir, for both the coal blocks also, there we have done substantially good progress on the public hearing we have already done. We have already started the land acquisition also.

So we will complete in that timeline.

Amit Dixit: Sorry, just wanted to understand where we are stuck there. I mean is it related to land acquisition? Is it related to the...

Arun Misra: No, no, no. It's the various stages of the forest clearances, which is Stage 1, Stage 2 clearance and they are always coupled with some clarificatory questions, and they're going to go back and they keep settling. So nothing undue delay there.

Amit Dixit: Okay. The second question is on ferrochrome. Now here, our capacity expansion plans are quite, I would say, aggressive by 300 ktpa and ferrochrome, as we all know, is a power guzzler. And our larger goal is to reduce the emission. So how do we tie the power -- our goal of reducing emissions and enhancing ferrochrome capacity? That is one.

And secondly, where do we expect to ship this ferrochrome? I mean as far as I understand, ferrochrome capacity is -- I mean, there is like, the market is quite balanced today. So why is the sudden plan of expanding in this ferrochrome? Or whether we want to expand in stainless steel at a later stage as well?

Arun Misra: So as is the nature the way our group operates, we have always been in business where we are the number one, number two or number three. We would not like to become a small player in a big market and continue in that status. So our ambitions are always to be in the number one, number two and ferrochrome expansion plan is no exception. That is to begin with our intention on a visionary level.

Vedanta Limited

November 04, 2023

Page 8 of 18

Sensitivity: Public (C4) Second, when we talk of ferrochrome, it's a key ingredient for stainless steel making. And in Indian steel production growth, if you see last 10 years, which have mostly been in the auto sectors or on the building sector, which are long

g products that people have expanded. We firmly believe as GDP per capita grows, as the country grows, you will see expansion in consumption of aluminium, expansion in consumption of stainless steel.

And it's not only India, entire Southeast Asia, this is going to be the situation in next five years to 10 years. And keeping that strong growth in mind, we feel that Vedanta will play a key role in that development part of India and hence the nature of this expansion.

As far as your question on ferrochrome production being power guzzler and it's been dependent on thermal pool, we need to appreciate that our own group company, Serentica is already putting up thousands of megawatts capacity of hybrid power of solar, wind, followed up by -- backup by pump hydro storage. Almost all Vedanta units are signing up with them for power supply. So most of the power supply currently signed up would land anywhere between 2024 to 2026. And I'm sure ferrochrome projects will take another three years to come up. And by that time, we will have round-the-clock renewable power agreements and the lines being drawn or the capacities being put up.

So there would be time that we will stick to our emission reduction targets that we have set for ourselves by 2050, net zero and as well as looking at the numbers of 2040, 2030 internal targets are there. We have got our actions completely lined up as far as emissions are concerned.

Amit Dixit: So, what you're confirming is that ferrochrome plant would be fed from round-the-clock renewable power capacity?

Arun Misra: As in future, obviously, yes.

Amit Dixit: Okay, sir. Thank you and all the best.

Moderator: Thank you. Next question is from the line of Pallav Agarwal from Antique Stock broking. Please go ahead.

Pallav Agarwal: Yes. Good evening, sir. So just firstly, I just wanted a clarification on the arbitration award. So part of the impairment, I'm guessing that would be under exceptional items. Is that understanding right, so that would not affect our revenue and EBITDA portion?

Ajay Goel: That's correct, Pallav. If I give a background, as you know, in the whole arbitration, there are two dimensions. The first remains allocation of the common developmental costs across developmental areas, which is DA1 and DA2. The second aspect remains recovery of exploration costs in many areas. On both the areas, the arbitration award is positive for Vedanta Limited. That leads to that one significant gain in terms of revenue and EBITDA in the current quarter, almost INR4,600 crores.

Vedanta Limited

November 04, 2023

Sensitivity: Public (C4) Secondly, that also lead us to reevaluate our CIHL investment, the carrying value towards DCF that lead to impairment reversal made in the past year, almost INR1,200 crores. That will not impact EBITDA, you're right.

Pallav Agarwal: Sure. And also, for the -- we have been showing the additional cess on oil also as a separate item. So I think in this quarter, maybe it's not mentioned separately. Was that a significant amount in Q2?

Ajay Goel: It is now part of our routine results, Pallav, and amount again is in significant. It will not show up. On the point of the award, one more clarification. This is not only a notional gain, the entire INR4,600 crores will be recovered in cash. As in future, we'll pay our PP to the government.

Also on a continuing basis, we'll have a gain on the profit and loss account, both profit and the cash almost \$20 million on every quarter basis. The quantum is large in current quarter, given it pertained to last several quarters. So it is a real gain impacting both profit and the cash in future.

Pallav Agarwal: Ajay, sir. Thank you for the clarification. Just also -- but on the deferred tax write-off, so that is a non-cash item. So that will not affect -- impact any cash flow as such. Is that correct, sir?

Ajay Goel: That's right. And the new

tax regime, the discussion is on for quite some time. And in the current quarter, looking at multiple scenarios, be it the pricing or, for example, our allocation of capital policy, we believe transition to new tax regime is beneficial.

It will lead to onetime noncash -- you're right, noncash impact of INR6,130 crores, but it also gave us tax benefit, which is a cash benefit in the last fiscal, almost INR2,340 crores odd. The quantum will be almost similar in the current year as well. Net-net, the cash tax benefit is real over the next three years' time. The onetime write-down is noncash.

Pallav Agarwal: Sure, sir. Sir, finally, if I can just, on the aluminium CoP, we have been seeing reductions. So can we expect a further reduction in 3Q, a significant reduction apart from coal and other input costs?

Arun Misra: If you see quarter-on-quarter. They have a steady decrease in CoP. And that trend will continue as long as their own Jamkhani productions, own coal productions have gone up and new coal mines, which is Radhikapur and Kurloi as they come into operations, we can only expect and Lanjigarh capacity expanding bauxite mine coming into play. We have a clear road map to reducing to immediate terms about \$1,800 per ton and in future maybe another \$200 or so, we should be able to reduce.

Pallav Agarwal: Sure, sir. Thank you so much.

Moderator: Thank you. Next question is from the line of Vikas Singh from PhillipCapital. Please go ahead.

Vikas Singh: Good evening, sir. Sir, my first question pertains to Oil & Gas segment. Just wanted to understand, since we are just failing to ramp up the production to a desired level in the quarter after quarter, what is the capex which we need just to spend to maintain the volume only, if not

Vedanta Limited

November 04, 2023

Sensitivity: Public (C4) the extra volume? So, the volume of 130 to 140 kboepd, what is the capex which we need to continue to spend just to maintain the volume there?

Arun Misra: If you look at last four quarters, five quarters, we have been steadily maintaining the same volumes between 135 to 138 or 140 kboepd barrels. So this is something we'll continue. As far as expanding the volume beyond this or then how to counter the natural decline, I will ask Hitesh is there. Hitesh, you would like to comment, how to prevent the natural decline?

Hitesh Vaid: Yes. Good evening. I think for the Oil & Gas business, as you rightly said, to manage decline, we continue to drill additional wells in our in fields, in all our traditional fields which we call it as infill wells. And generally, every year, we end up drilling around, say, 25, 30 new wells, which cost us, say, around \$150 million to \$200 million of additional capex on a gross basis. So, from our share side of view, roughly between \$100 million to \$150 million is the cost which we incur on additional new infill wells, which help us to manage the decline.

Vikas Singh: Understood. My second question pertains to Zinc International business. That segment is also seems that we are not actually increasing the volume to desired level. Last two quarters has been kind of stuck. Gamsberg kind of stuck in the sub -50 kt. So is it because the market is weak and that's why we are not ramping up? Or there are some other issues, which is forcing us not to ramp up to desired level?

Arun Misra: See, Zinc International now is in a transition stage. While they are -- they have to maintain between 60 kt to 70 kt of production per quarter on the MIC front, but they are also have launched expansion of the open pit mine to augment the production to 600 ktpa and put up a concentrator and all that projects are also on.

So, we see the transition maybe another two quarters of very aggressive overburden removal and

then aggressive stripping work will happen for maybe a couple of more months or maybe a quarter more. And then their producti

on will come back to even 70 kt, 75 kt per quarter kind of a number, we'll see being generated by them.

Vikas Singh: Understood, sir. And sir, just one clarification. Since you said this INR4, 600 crores, so this is not an incremental immediate cash inflow, but we will pay less in the subsequent quarters and that's why the cash generation in the subsequent quarter would be higher. This is not a one bullet payment, which we get. Is that understand ing correct?

Ajay Goel: Correct. The EBITDA impact of INR4,600 crores is the impact that we'll have a positive cash impact over next few quarters. So it will be -- have an impact on the cash as well going forward.

Vikas Singh: So, cash outflow would be, say, basically less in the subsequent quarter, adjusting for this money?

Ajay Goel: That's correct.

Vikas Singh: Yes. That's all from my side. Thank you for taking my questions and all the best for future.

Ajay Goel: Thank you, Vikas.

Vedanta Limited

November 04, 2023

Page 11 of 18

Sensitivity: Public (C4) Moderator: Thank you. Next question is from the line of Ashish Kejriwal from Nuvama Wealth Management. Please go ahead.

Ashish Kejriwal: Yes. Good evening, everyone. Thanks for the opportunity. Sir, I have three questions. One is you mentioned about the captive coal. Definitely, we know that this is not under our control. But is it possible to share where are we in that stage? Whether we have received Stage 1 or Stage 2 forest clearance and envir onmental clearance?

Because this is a sequence which we normally follow for its clearance -- environmental clearance and mining lease and then only we can open the mine. So if it's possible, that will be great. And if we are very confident about the second quarter FY '25, it will be great if you can guide us what kind of captive coal we can do in FY '25? That's my first question.

Arun Misra: So if we look at the three coal mines, Radhikapur, Kurloi and Jamkhani, Jamkhani has already started operating and we are operating at double the design capacity that we started with to make up for the shortage in supply because of the delay in other places. Radhikapur's already environment clearance is obtained, but some of the forest land clearances are in the Stage 1 or Stage 2 state. Kurloi's forest clearance is on, an d then we will be able to move it. So, I think it's another -- Sunil, any comment on the time -line, maybe another couple of quarters when we can set it through .

Sunil Gupta: I think the Kurloi will be the first, we are going to start the quarter 1' FY25 . And what you have said rightly that we've got the EC also and the forest clearance is under progress. So , this is the progress. Jamkhani, already we are running at double the capacity. And Radhikapur, already we are in the stage of the forest clearance first.

Ashish Kejriwal: So sir, do you want to give any guidance of volume guidance for FY '25 from these mines? And in Jamkhani also, when we are operating at double the capacity, have we received the EC on that? Or it will be just on a monthly basis, we have the capacity?

Arun Misra: On the monthly rated basis and overall, as you know, we've been operating whatever we produce has to be under EC. So on that account, there is no issues on that. As far as giving guidance is concerned, we don't give specific guidance on every items of the production, so to say. Our aluminum guidance remains same. If you are interested in knowing current Jamkhani production, what percentage is of the total coal input, it's somewhere around 9 to 10% only.

Ashish Kejriwal: Okay. So that means if I understand correctly, next year also, we can produce 4.5 million ton from Jamkhani itself.

Arun Misra: Sure, sure.

Ashish Kejriwal: Okay. Sir, second is obviously about Vedanta Resources that, is it possible to give us a status of what -- where we are in terms of repayment, restructuring and how we are going to deal w

ith it?

And along with that, can we also indicate that the debt which we have at Vedanta Limited level, this could be the peak debt for this year?

Vedanta Limited

November 04, 2023

Page 12 of 18

Sensitivity: Public (C4) Ajay Goel: Sure. So let me start, Ashish, my colleagues also may help. I'll start with our lo fty vision, what

we committed almost 2.5 years ago. And there, we committed will be deleveraging VRL 4

billion over 3 years. If you look at FY '22, '23 and the current fiscal, in 2.5 years, we have deleveraged VRL by 3.5 billion. So both in terms of value and the time scale, we are on plan, in fact, ahead of plan.

Now looking at the near term at Vedanta Resources, in Q3, ending in December, we barely have any maturities. And the next port of calling remains in the fourth quarter, which is ending in March, sometimes in January, almost \$1 billion of bonds. So net -net, we need almost \$1 billion at VRL in the next 6 months' time, for which we have multiple options.

We're engaging with many bankers. And I think looking at Vedanta's ability of raising resources, our deep engagement with the capital markets, I think that will be addressed pretty soon.

Hopefully, by December end, we'll have \$1 billion, which is required in the fourth quarter, fully addressed.

Coming to Vedanta Limited, our debt is about 8.5 billion. And again, if I give you a picture in the near term, in the third quarter in December, the refinancing need is almost INR4,000 crores. and the fourth quarter, almost INR5,000 crores. So give and take, over the next 6 months, almost 1.1 billion, which, again, I would think, looking at our operating assets and the free cash flows and our ability of refinancing, which is par for the course.

Overall Ashish, all I will say, both for Vedanta Limited and Vedanta Resources for upcoming maturities in the current fiscal, we feel absolutely comfortable.

Ashish Kejriwal: Sure. And sir, and just to elaborate on that, definitely, we can get it, but will it be much higher cost as compared to the maturity which we have to analyze?

Ajay Goel: No, not really. I would say -- I mean, say, the cost of the funding, I would say, right now is more a reflection of the current macro environment, not necessarily in terms of Vedanta or Vedanta Resources. Our recent refinancings are in the same ballpark, not very high. But of course, as we go along, we'll have more information and we'll know more.

Ashish Kejriwal: Sure, sure. And sir, lastly, on the dividend payment, where we are in that status conversion of general reserve into retained earnings?

Ajay Goel: The status has not changed, I would say, over the last couple of months and still we need NCLT approval, which again requires approval by the creditors. We're engaging with them for sure, but nothing substantive that we can share with you right now.

Moderator: Next question is from the line of Vikash Agarwalla from Bank of America. Please go ahead.

Vikash Agarwalla: Just a couple of follow-up questions on some discussion points before. One is on the arbitration award, so I'm seeing the amount mentioned as INR9,545 crores as the government demand, whereas what you have written back as part of revenue and EBITDA for this quarter is INR4,761 crores and asset impairment write-back of INR1,179 crores. Can you help us reconcile this number?

Vedanta Limited  
November 04, 2023

Page 13 of 18

Sensitivity: Public (C4) And if you can also just share some insights on how the cash flow discussion that you mentioned you will be benefiting from lower cash outflow in the coming quarters? So how would you distribute this cash flow in the coming quarters, the INR4,761 crores which you have which you've written back? That's my first question. And the second question is if you can share also the retained earnings level for Vedanta Limited stand-alone at the end of September?

Ajay Goel: Yes, sure. So let

me cover all the areas, Vikash. First, starting with the INR9,500 crores, about \$1.2 billion, it was a demand raised by DGH as part of their audit processes. In terms of the arbitration award that we received, on almost all the points, be it the allocation of common cost on development areas or in terms of exploration cost recovery, it is positive for us. So against 1.1 billion demand, what we write back now is almost INR4,600 crores, give and take 550 million in the current quarter, which goes to both revenue and EBITDA.

Additionally, almost INR1,200 crores is a reversal of impairment taken in the past. So INR4,600 crores will be cash as well in the future. How this INR4,600 crores will metamorphose into cash? When we pay profit petroleum to the government in the coming quarters, we'll be withholding or adjusting that amount in future, hence, INR4,600 crores also will be cash impact in future. Let me also add that this is not a onetime gain, as I initially mentioned. Going forward, on a quarterly basis, almost 20-odd million will impact both on positive on cash given the PP becomes lower from 60% to almost 50 percentage right now. Finally, third part, you mentioned about what is RE provision for Vedanta Limited. So as on September 30, the quarter just passed by, it is INR2,400 crores as of now.

Moderator: Thank you. Next question is from Abhiram Iyer from Deutsche Bank. Please go ahead.

Abhiram Iyer: Just a follow-on, on the previous question. You mentioned your PP is now going to reduce to 50%, which is why there will be a cash -- basically the total payments to the government of around 20 million per quarter. That's over and above the INR4,600 crores that you are going to -- that you had from the arbitration award this specific quarter? And also, what's the time frame

for the INR4,600 crores to come in if this is not the \$20 million, if this is over and above the \$20 million?

Ajay Goel: So both are, in fact, separate and additive, I must say, Abhiram. So the INR4,600 crores is gain in the current quarter, which will get liquidified over the next, I guess, few quarters, and that will be the lower PP that we pay to the government in future.

Now in terms of time lines, it all depends in terms of the pricing environment and how much PP is payable. It will take some time for sure. But the entire INR4,600 crores would be cash realisation. 20 million will be additional impact for the future revenues with the government. It will be 20 million every quarter EBITDA and free cash flows. So both are separate and both one can add.

Abhiram Iyer: Got it. And just for my understanding here, what this -- you withhold the entire amount until the INR4,600 crores is clear. Is that right? And what would be the corresponding amount for this quarter? Just to get a sense, I mean, obviously, it depends on pricing, as you mentioned.

Vedanta Limited

November 04, 2023

Page 14 of 18

Sensitivity: Public (C4) Ajay Goel: Okay. So we also got our Oil & Gas CFO, Hitesh Vaid on the call. I'll request him to share some more information.

Hitesh Vaid: Yes. So I think out of this INR4,700 crores in this quarter, we have adjusted INR1,000 crores. So roughly, it will take around, say, 5 quarters to adjust the full amount. And of course, we will adjust fully and then start paying again.

Abhiram Iyer: Got it. So -- but from the margin -- so from my understanding, from a margin perspective, the higher margin will be seen this quarter, but you'd go back to the margin improving by that 20 million that you talked about from the next quarter onwards. However, from a cash flow perspective, give or take, INR1,000 crores, as you mentioned, would be getting reversed?

Hitesh Vaid: Correct, correct. So that 20 million will be an EBITDA benefit. But of course, that 20 million gets added to this recoverable. So that's why INR1,000 crores we recovered in 1 quarter. So roughly over 5

quarters we'll recover the full INR5,000 crores roughly.

Abhiram Iyer: Understood. Understood. And another clarification is with respect to your annual report, you already had about INR1,500 crores as a potential asset -- other financial assets in your books as of March. And so shouldn't the amount that would be reversed INR6,200 crores because that's INR1,500 crores plus this INR4,700 crores?

Hitesh Vaid: No. So in the books because PP is payable on the first day of the next quarter, so that is not a correlated or same number and some of the provisions are for different matters as well. For example, issues related to special excise duty as well as other matters. So this is not 1:1 comparison with that.

Abhiram Iyer: Okay. And just one last question, sorry, just clarifying this matter. You mentioned in the recent financial that GOI has sought additional interpretation and clarification from the tribunal and that's still pending. The company does expect a positive order result here. But is there any time frame for this final response? And is there any recourse for the government to withhold this payment or withhold this award, withhold its cash award to you by challenging this order in the court or something?

Hitesh Vaid: See, from the award point of view, the government has sought for some clarification, but these are -- as far as the merit is concerned, the matter has been closed and awarded, right? So it would take the settlements here around the month or so to get back. But then this amount, as we said, government cannot adjust as such because we have to deposit, and we have started adjusting based on the financials, which we have submitted to the government as an outcome of the award.

Abhiram Iyer: Perfect. Perfect. Thanks for the clarification.

Hitesh Vaid: Thank you.

Moderator: Thank you. Next question is from the line of Imtiaz from Barclays Bank. Please go ahead.

Vedanta Limited

November 04, 2023

Page 15 of 18

Sensitivity: Public (C4) Imtiaz: Thank you. Thank you for the opportunity and congrats on the second quarter performance. And

Mr. Goel, great to have you back. I have two questions. The first one, can you just let us know where you are now in your attempts to sell your steel and iron ore mines?

Arun Misra: Look, so we had -- to let the world know that we have a strategic interest in looking for strategic investors in our steel and iron ore mine business. But we are, at the same time, investing in growing the business. We are investing in debottlenecking the operations. We are investing in getting the best people to run the shops there. So these two are two independent activities. As of



now, I won't be able to put a finger on when and to whom the final decision will go to. As and when it happens, we will let it be known.

Imtiaz: Okay. The second question is with regards to your dividends. You received a dividend from Hindustan Zinc back in July. Any plans to pay that dividend out?

Ajay Goel: See if you look at our allocation of capital policy, Imtiaz, on the website, which is sometimes in 8th Feb, 2022, the time frame that we have committed for pass on is six months. In that case, July, we have time until January. Now you also appreciate that any dividend declaration is a board matter, and it will be, I think, a tad, I think, early in terms of commencing what is the plan now. Overall, if you see Vedanta's current year dividend, which is about INR39 per share is far higher than what Vedanta got from the Zinc as well. So from taxation viewpoint, which is our 80M deduction, we are anyways fully covered.

Imtiaz: Okay. Great. And my last one is just a clarification of something you just said earlier with regards to maturities at Vedanta Limited. Could you just repeat what you said? Do you -- did I hear correctly, you have about \$1 billion at Vedanta Limited maturing over the next couple of quarters?

Ajay Goel: That's correct. S

o between Q3 and the Q4, the year second half, almost \$1.2 billion are the maturities. And what I also say if you look at our cash flow plan for the second half, it will be more than \$1.2 billion. And also our deep engagement with the capital markets, be it a PSU bankers, multinational bankers, FIs, we feel, in fact, quite comfortable in terms of refinancing or repaying, both are the options.

Imtiaz: Okay. So this is at a limited level, yes?

Ajay Goel: That's correct.

Imtiaz: Great. Okay, thank you. That's all I had. Thank you very much.

Moderator: Next question is from the line of Shreyans Daga from Barclays Bank. Please go ahead.

Shreyans Daga: I think my question has already been answered on the tax of -- tax regime. I'd like to skip. Thanks.

Moderator: Thank you. Next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Yes, hi, sir. Thanks for the opportunity. Sir, a couple of questions. Sir, first, can you please repeat the status of GR to RE for both Hindustan Zinc as well as Vedanta? I did hear that does the Vedanta Limited

November 04, 2023

Page 16 of 18

Sensitivity: Public (C4) NCLT approval and we are waiting for creditors' approval. If you could please clarify for Hindustan zinc and Vedanta separately, please?

Ajay Goel: Yes. So for Vedanta Limited, I clarified that we are awaiting NCLT order and there the critical step remains getting creditors' approval. We are engaged with them, and we don't have right now a time line that we can commit to right now. For zinc is concerned, the next hearing is happening on 8th of November. And we are forcing that to get closed in the current quarter.

Ritesh Shah: Sure. That is helpful. So second question is pertaining to the debt maturity at Vedanta Resources. I think you indicated around \$1 billion. This pertains to, I presume, the Jan bonds. But if I remember it right, I think we had intercompany loans, which was due for Jan, Feb, March. I don't see it in the presentation this time around. So just wanted to know the status for that, besides the bond. In addition to that, are there any loans which are there? So if I have to look at it on a cumulative basis beyond the bonds, including ICL, how should we look at it?

Ajay Goel: So you're right, the \$1 billion bond I mentioned is, in fact, is due sometime in January, which is fourth quarter. There is no ICL due in the current fiscal. You might remember the ICL has been deferred till 2024. So barring this \$1 billion bonds in Q4, nothing more is due for refinancing at Vedanta Resources in the current fiscal.

Ritesh Shah: Can you help me with the number? I think it was \$450 million. It was due Jan, Feb, March. Has it been pushed out? I'm not aware of it, if it could help me with the time line, a particular month or a quarter would be helpful, sir.

Ajay Goel: Yes. So the exact amount is \$415 million, that is due on December 31, 2024.

Ritesh Shah: This is helpful. And how should we look at the maturity for FY'25? To my understanding, I think that is something which is outstanding from Oaktree and there are two bonds, \$1 billion each. And I'm not sure if there are any loans outstanding. But based on your prior commentary, I think the number was around \$3 billion. Can you help us with the time line over here and a broader breakup will also help, sir.

Ajay Goel: Sure. So the numbers are right on a ballpark basis, if you look at FY'25, next fiscal, the term loans is almost \$1 billion. In fact, a tad lower than the \$1 billion. And we've got almost \$2 billion worth of bonds, \$1 billion each. It's about \$3.1 billion overall in the next fiscal. The breakup is practically \$0.5 billion in the first quarter, \$1 billion in second quarter and almost the same breakup between Q3 and the Q4. So \$0.5 billion, \$1 billion; \$0.5 billion, \$1 billion.

Ritesh Shah: And where does Oaktree stand over here? Is it included in \$3 bill

ion?

Ajay Goel: Correct. So the \$3.1 billion for the next fiscal includes everything, be it term loans or bonds, including Oaktree.

Ritesh Shah: So should one presume around \$2 billion as bonds, around \$0.5 billion for Oaktree and the balance is outstanding loans?

Ajay Goel: That's correct.

Vedanta Limited

November 04, 2023

Page 17 of 18

Sensitivity: Public (C4) Ritesh Shah: Okay. That helps. Sir, I think you did clarify on the steel assets. I understand you are not giving

any time lines over here. Just trying to have your thoughts. Has the company thought of securitizing the brand fee, given that's captive? And secondly, has the company even exercised advance pay and supply agreements for any of the commodities that we operate in?

Arun Misra : Advance, I didn't get you the last one.

Ritesh Shah: Sorry, advance pay and supply agreement. So this is a trade finance agreement. Typically, if you want to bolster your cash flows at this point in time...

Arun M isra: So that's also a strategic initiative that we have launched on our marketing front, maybe with a few of the customers as and when we are able to secure such agreement with an advanced payment, not so much in steel. It happens mostly on our base metal side. We do have advanced payment agreement with long -term commitments with key international buyers, not so much to do with steel. But as and when it happens, we'll let you look.

Ritesh Shah: Okay. But sir, my question is do we have anything of that sort right now on the balance sheet where we are already seeing the benefits?

Arun M isra: No, I don't think on the steel side we have.

Ritesh Shah: Sir, nonferrous, specifically from base metals.

Arun M isra: For nonferrous, see, there are various stages in aluminum, zinc. There are advanced payment and long -term commitment to key buyers. We have that as they are all on the supply side, maybe for seven months, eight months, nine months kind of a duration we have.

Ritesh Shah: Is it possible to quantify the number? And how much of leeway do we have to increase this because this is a big variable that can actually help our cash flows?

Arun Misra : No, no. So I won't be able to put because these are all specific agreements with specific customers. Won't be able to let out that number exactly.

Ritesh Shah: Sure. And sir, brand fee, have you thought of securitizing the stream of brand fees? Is there a possibility over there?

Ajay Goel: Multiple options are being discussed, all I can say right now. But at this point in time, sharing more information will not be possible. Once we take one definite decision , maybe you will be the first one to know I can commit that.

Ritesh Shah: Sure. And just last question, sir. If you can help us with a status on KCM. How much is the debt over there? Are there any time lines? How should we look at that particular asset?

Arun Misra : No. So I think right now, KCM is -- we are talking of VEDL only?

Ajay Goel: KSM, as you know, is part of Vedanta Resources. And you would know we'll be also having an IR call for Vedanta Resources as part of H1 results reporting. Maybe that will be, I think, opportune timing to ask more specific questions around Vedanta Resources.

Vedanta Limited

November 04, 2023

Page 18 of 18

Sensitivity: Public (C4) Moderator: Thank you. Next question is from the line of Vikash Agarwalla from Bank of America. Please go ahead.

Vikash Agarwalla: Just a quick follow -up to the earlier comment on Vedanta Limited maturity. You mentioned about \$1.2 billion in second half of FY'24. Can you provide a breakup of what these maturities are and what's the refinancing plan?

Ajay Goel: So Q3 is about INR4,200 crores, and Q4 is about INR5,500 crores. So about INR9,500 crores, INR9,600 crores, that's the number we have for the second half. As I mentioned, if you look at our H2 cash plan and typically, our Q3 and Q4 specifically, is a f

ar bigger than H1. So our cash flow, I think even post capex will be more than \$1.2 billion, which can take up the whole maturities. At the same time, we're dealing with multi bankers, be it P SU bankers or multinationals. So both in terms of refinancing and repayment, we have multiple options. And as I mentioned, we feel reasonably comfortable in the managing refinancing or repayment or both.

Vikash Agarwalla: Got it. Thank you so much.

Ajay Goel: Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as our last question. I now hand the conference over to Ms. Prerna for closing comments.

Prerna Halwasiya: Yes. Thank you, Nirav, and thank you all for taking the time to join us. I hope we were able to answer most of your questions. In case you have any further questions, please feel free to reach me or my colleagues at the IR team. This concludes today's call . We look forward to reconnecting you for next quarter's earnings call. Thank you, everyone.

Moderator: Thank you very much. On behalf of Vedanta Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

## Call: Jan 2024

Page 1 of 19

Sensitivity: Internal (C3)

"Vedanta Limited

Q3 FY '24 Earnings Conference Call "

January 25, 2024

MANAGEMENT : MR. ARUN MISRA – EXECUTIVE DIRECTOR –  
VEDANTA LIMITED  
MR. AJAY GOEL – CHIEF FINANCIAL OFFICER –  
VEDANTA LIMITED  
MR. AKARSH HEBBAR – GLOBAL MD AND -  
SEMICONDUCTORS AND DISPLAY BUSINESSES  
MR. AJAY AGARWAL – PRESIDENT , FINANCE –  
VEDANTA LIMITED  
MR. JOHN SLAVEN –CHIEF EXECUTIVE OFFICER –  
VEDANTA ALUMINUM  
MR. STEVE MOORE – DEPUTY CHIEF EXECUTIVE  
OFFICER , OIL & GAS – VEDANTA LIMITED  
MR. VIBHAV AGARWAL -- CHIEF EXECUTIVE  
OFFICER , POWER VERTICAL --VEDANTA LIMITED  
MR. CHRIS GRIFFITH -- CHIEF EXECUTIVE OFFICER ,  
BASE METAL --VEDANTA LIMITED  
MS. PRERNA HALWASIYA – DEPUTY HEAD, INVESTOR  
RELATIONS – VEDANTA LIMITED

Vedanta Limited

January 25, 2024

Page 2 of 19

Sensitivity: Internal (C3) Moderator: Ladies and gentlemen, good day, and welcome to Vedanta Limited Q3 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note, that this conference is being recorded.

I now hand the conference over to Ms. Perna, Deputy Head of Investor Relations, Vedanta Limited. Thank you, and over to you, ma'am.

Perna Halwasiya : Thank you, N eerav. Hello, everyone, and welcome to our third quarter of financial year '24 Earnings Conference Call. I'm Perna Halwasiya. On behalf of the entire team of Vedanta, I would like to thank you for joining us today to discuss our financial results and business performance.

Today, from our leadership team, we have with us Mr. Arun Misra, our Executive Director; Mr. Ajay Goel, our Chief Financial Officer. Then, we additionally have Mr Akarsh Hebbar - Global Managing Director - Semiconductors and Display Businesses , Mr. Ajay Agarwal, President, Finance . Our business CEOs ; Mr. John Slaven - CEO , Aluminum business; Mr. Steve Moore - Deputy CEO, Oil & Gas. Along with him, we also have Mr. Vibhav Agarwal - CEO, Power Vertical; Mr. Chris Griffith - CEO of Base Metals

Please note that today's entire discussion will be covered by the cautionary statement on Slide number 2 of the presentation. We will start with the update on our operational and financial performance, and then our leadership team will briefly speak about themselves and their vision for the individual businesses. And lastly, we'll open the floor for the Q&A .

Now I would like to hand over the call to Mr. Arun Misra.

Arun Misra: Thank you, Perna. Good evening, everyone. Thank you for joining today's quarterly income update. At the outset, I'm proud to share that Vedanta has been ranked third in S&P Global Corporate Sustainability Assessment 2023 amongst 238 global peers, whereas Vedanta's Hindustan Zinc Limited has been ranked first , depicting our commitment toward ESG goal. Moving on to the third quarter performance, we delivered robust and competent cost of production across business segments, while maintaining positive momentum through volume expansion across businesses. Aluminum and Zinc continue to be among the lowest -cost producers globally with aluminum being in first quartile position on global aluminum cost curve

and zinc being in the first decile position on global zinc mining cost curve, respectively. Aluminum delivered highest ever 9-month production of 1.8 million tons with the cost of production of \$1,825 per ton, which delivered approximately \$800 million of EBITDA. The business also showcased highest ever quarterly production of 599,000 tons with increasing trend for the fourth consecutive quarter and the cost of production of \$1,735 per ton. With our consistent focus on cost reduction and aggressive pursuit of debottlenecking projects to further unlock volume, aluminum business is well placed to potentially deliver 2.5 million tons annually.

Vedanta Limited  
January 25, 2024

Page 3 of 19

Sensitivity: Internal (C3) tons of production with \$1,600 per ton of cost annually that should result into potential EBITDA of \$2.6 billion.

Zinc India delivered an all-time high 9-month mined metal production of 780,000 tons, up 2% year-on-year. Silver recorded the highest ever 9-month production of 556 tons, up 5% year-on-year and overall cost of production being \$1,142 per ton, which delivered an EBITDA from zinc business of \$1.2 billion. The business's quarterly production stands at 259,000 tons with the cost of production of \$1,095, recording 15% quarter-on-quarter EBITDA growth and low

est zinc

cost of production in last 10 quarters. While consistently investing in ramping up our underground mines and smelter, the zinc business will aim to reach 1.2 million ton per annum with \$1,000 per ton of cost annually with a potential to deliver a business EBITDA of \$2.1 billion.

Zinc International faced challenges due to lower zinc rates in this quarter, but has an optimistic future of producing 365,000 tons of volume with \$1,400 per ton of cost annually with a potential to deliver EBITDA of \$285 million.

The iron ore Karnataka mines 9-month sales recorded 4.2 million tons, which is 24% growth year-on-year, whereas pig iron recorded highest ever 9-month production of 633,000 tons, up 24% year-on-year, delivering around \$130 million EBITDA.

Talking about quarterly performance, iron ore Karnataka saleable ore production stands at 1.4 million tons, whereas the pig iron production stands at 203,000 tons, delivering EBITDA of \$77 million. With rigorous efforts on quick payback projects, iron ore business has the potential to deliver \$400 million of EBITDA on an annual basis.

Electrosteel delivered highest-ever 9-month saleable production of around 1 million tons, up 16% year-on-year and 9-month EBITDA margin standing at \$2.8 per ton. The business consumed highest-ever captive iron ore from its fully ramped up iron ore mines acquired last year.

Quarterly saleable production stands at 341,000 tons, up 11% year-on-year with an EBITDA margin of \$38 per ton. The business has a promising future of producing 2.4 million tons per annum with a cost of production of \$546 per ton, delivering an EBITDA of \$301 million annually.

Our Power plants cannot be forgotten when it comes to Business Delivery. Power Sector has delivered 9M EBITDA of around 90 Mn\$ and has a huge potential to deliver 206 Mn\$ annually with new power plants in line.

FACOR recorded 53 KT as 9M production 10% up y-o-y with EBITDA margin of 140 \$/T.

Quarterly Ferrochrome production is 22KT up 15% y-o-y with EBITDA margin of 146 \$/T.

With an already approved capex of 2650 Cr, the business has outlook to produce 200 KT annually to deliver 100 Mn\$ EBITDA.

Copper Business 9M production stands at 110 KT. Quarterly performance shows 43 KT production. With its new age technologies and fast expansion, the Business can aim to deliver 108 Mn\$ EBITDA annually.

Vedanta Limited

January 25, 2024

Page 4 of 19

Sensitivity: Internal (C3) In a significant development, our Oil and Gas business submitted the country's first Field development plan for the OALP field Jaya awarded under HELP regime. The Business' 9M production is 131 kboepd with an opex of 13.4 \$/boe. With debottlenecking initiatives in place, the business has a potential to Deliver 750 Mn\$ EBITDA annually.

From the above, we can conclude that all our businesses together have a potential to deliver 7 Bn\$ EBITDA Annually if the top line numbers are achieved after completing the debottlenecking projects.

With our outstanding portfolio of low-cost, high return assets, multi-commodity presence, strong balance sheet and a commitment to safe operations, we are well positioned to capitalize on India's growth and deliver value to our shareholders.

Looking forward, we are committed to a strategic capital expenditure plan of ~8.4 billion dollars including expenditure for inorganic growth in the medium term with an average payback of 3 years. With this, our Revenue will go up by 4Bn\$ and EBITDA by 1Bn\$ .

These already approved projects are designed to unlock significant value for our key business segments, ensuring sustained growth and long -term success.

It is to be noted that almost all the projects will be funded by the Businesses themselves with their own cashflows.

In Aluminium segment, a significant portion of our capital investment is directed towards upgrading production facilities, structurally reducing cost of production to 1st qu

artile, and

expanding capacity. Balco expansion to 1MTPA will take total capacity to 3MTPA and place us in the top 3 producers globally ex -China. Operationalisation of captive coal and bauxite mines and Lanjigarh alumina refinery expansion to 6MTPA will make the business 100% integrated. This strategic focus aims to increase our market share, improve operational excellence, and ultimately boost profitability within the Aluminium segment.

Zinc India, after successful commissioning of Fumer and Mill revamping, is geared to commission 160 KTPA Roaster plant at Debari and 5.1 LTPA Fertilizer plant at Chanderiya, to boost its production capacity in near future.

Zinc International, with one of the world's largest zinc deposits, is poised to deliver significant value. Phase 2 expansion at Gamsberg with a capex of ~466mn dollars is in full swing. This project will expand the MIC capacity to more than half a million tonnes, second milestone in our vision to create a 1million tonnes metal business under zinc international.

Talking about Iron Ore Business, the IOK ROM production is expected to go from 7.2 Mnt to 10 Mnt post EC enhancement. Liberia will grow from 1.5 MTPA to 5 MTPA, along with a strong focus on operationalization of Goa & Orissa mines.

ESL and FACOR strategic expansion plans are to grow from 1.5 MTPA to 3 MTPA & 150 KTPA to 450 KTPA respectively.

Vedanta Limited

January 25, 2024

Page 5 of 19

Sensitivity: Internal (C3) As we will be heading soon in the next Financial year, we are very focussed to achieve significant milestones with the various debottlenecking projects going on across all our BUs. By strategically addressing and eliminating constraints, these initiatives would significantly enhance production capacity, reduce downtime, and elevate overall performance in terms of increased revenue streams and improved margins.

In conclusion, this quarter's success is a result of focused operational performance, strategic investments, and our commitment to innovation and sustainability which has resulted in continuous compression of cost and expansion volume. This effort will continue in the coming days and take our company to a level where it has the potential to deliver 6 -7 Bn\$ of EBITDA from its operations annually. We remain optimistic about the commodities markets and are confident of our ability to navigate the ever -evolving business environment.

Thank you and over to you Ajay.

Ajay Goel: Thank you, Arun, and good evening, everyone. I'm pleased to provide an overview of our financials during the third quarter of fiscal 2024. Commodity prices exhibited a mixed performance, responding to a blend of global market dynamics, geopolitical developments and sector -specific demand patterns. India stands out globally, both for growth and stability, marked by substantial investments in both physical and digital infrastructure.

The emphasis on manufacturing and significant capex, both by private and public, has played a pivotal role in India's growth narrative over the past few years. Capitalizing on strong domestic demand, our team has shown commendable operating performance through significant cost optimization and cash generation across businesses, ultimately reflecting in our superlative financial performance during the quarter.

Now, let us delve into financial highlights for the current quarter. And any reference to quarter -on-quarter improvement today are after adjusting for a one -time gain of Cairn arbitration that we recorded in the previous quarter, that is second quarter. In Q3, we delivered highest -ever third quarter revenue of INR34,968 crores, which is up 4% quarter -on-quarter.

In Q3, we achieved EBITDA of INR8,677 crores showing an impressive 21% growth quarter -on-quarter. We realized a substantial 112% quarter -on-quarter surge in PAT before exceptional items reaching INR2,868 crores in third quarter. And I repeat t

hat PAT growth before

exceptional in the current quarter over the previous quarter is 112%.

This quarter, we also improved EBITDA margin to 29%, reflecting a significant enhancement of 438 basis points, mostly coming from our programs around cost compression across

businesses, specifically in zinc and aluminum. And finally, we also registered ROCE, return on capital employed, at 23%, showcasing a commendable improvement of 140 basis points quarter-on-quarter.

Moving on to EBITDA bridge. EBITDA experienced, as I mentioned, a noteworthy 21% sequential increase, primarily attributed to higher volume and successful cost reduction endeavors. Additionally, favorable movements in the LME and exchange rates also contributed to EBITDA growth quarter-on-quarter.

Vedanta Limited  
January 25, 2024

Page 6 of 19

Sensitivity: Internal (C3) Now, turning to balance sheet and debt. Net debt as of December 31 stands at INR62,493 crores as against INR57,770 crores on September. The increase is primarily attributed to strategic allocation of funds for capex, partially offset by robust cash flows from operations and working capital release.

With INR11 per share dividend amounting to INR4,089 crores in third quarter, Vedanta has been consistent in delivering attractive returns to shareholders. Our dividend yield on average is 10x than of NIFTY 50 companies over the last 5 years. We finished the quarter with healthy cash and cash equivalents of INR12,734 crores. Additionally, we have consistently upheld average maturity of 3 years of our borrowings with an average borrowing cost of 9.4%.

On liability management, I'm very happy to inform you that our liability management exercise at HoldCo Vedanta resources has been successful, resulting in a structural improvement in the overall capital structure as a group. As a result, our liquidity position has greatly strengthened. We are now in even more comfortable position to manage our existing debt and take long-term monetary decisions.

A quick word on demerger. The stock exchange has given their NOC for the demerger scheme to SEBI. Currently, we are awaiting SEBI's NOC. Concurrently, we're in talks with creditors for debt allocations. Once SEBI's NOC is secured, the scheme will be submitted to NCLT for an order to conduct members and creditors meeting.

Finally, to conclude, given our expertise in driving improvement across businesses, we are confident in our ability to conclude the year with a strong performance and also realize our potential of near future as covered by Arun. Additionally, we are steadily progressing toward achieving our long-term objectives of vertical integration, operational excellence and deleveraging.

Vedanta remains a growth-focused company. And there are additional avenues around the electronics business. Further, with our ongoing value unlocking exercise, that is demerger, it will have portfolio of 17 pure-play companies that will enable to create substantial value, not only in the present, but also in coming years.

With this, I now hand over the mic to Mr. Akarsh Hebbar.

Akarsh Hebbar: Good evening, everyone. This is Akarsh Hebbar here. I just want to talk to you about the businesses of semiconductor and display. In 2017, we acquired AvanStrate, a company -- a Japanese company with factories in Taiwan and Korea. We make LCD glass substrates. It's a technology manufacturing plant, which has technology patents of over 700 patents. This technology is only acquired with 4 companies, 3 are Japanese and 1 is American, and the market is about \$10 billion.

Our vision for this, when we look at high-tech manufacturing as a unit, we have experience in both optical fiber and the glass manufacturing, was to bring this kind of manufacturing to replace electronic component imports in India. As we stand today, in the last 4 years, semiconductor chip consumption in India has increased twofold. And

display glass panel consumption in India has

Vedanta Limited  
January 25, 2024

Page 7 of 19

Sensitivity: Internal (C3) increased to about \$7 billion, making this, all the electronic components together a \$100 billion import bill for our country.

This is going to become \$400 billion. And the only way to arrest this kind of import bill for our country is to make sure that we have this manufacturing within the country. And the best way to do that is to build a semiconductor fab foundry and a glass panel fabrication unit. Both of these together will contribute to about 35% to 60% of your electronic device, which is your laptop, your notebook, your TV and your smartphone, thereby adding a manufacturing value add of about 35% to 60% being made in-house with the creation of these 2 companies.

Not only that, the ancillary companies that will come around this will create about 80 to 100 foreign companies coming into India and create an ecosystem that will make India the fifth

country in the world to have this high-tech manufacturing ecosystem.

Having said that, we are looking to build this out and make sure that the cornerstone of this technology is the acquisition that we have made, which is AvanStrate, and that glass that we make is what is used in manufacturing of wafer glass, which is used in the manufacturing process of semiconductor for chips and also display panel, which is the natural downstream factory of our glass substrate. So we have glass substrate with us, which is the cornerstone of that technology.

So this is our vision, and this is what we want to build out in India. The government has laid out a very clearcut capex policy of 50% from the center and 20% from the state.

So with that, I'd like to pass on the conversation to John Slaven to talk about the other business. Thank you.

John Slaven: Thank you, Akarsh. And hello, everyone. I'm John Slaven, I'm the CEO of Vedanta's aluminium business. I joined Vedanta about 4 months ago after many decades in the industry. And I'm incredibly proud and excited to be leading the world's leading aluminum company, the lowest cost, the most sustainable and among the largest globally.

At Vedanta Aluminum, our singular focus remains on safe completion of our growth and integration projects on schedule and on budget to deliver higher volumes with structurally lower costs. Following completion of these projects, we will further reduce the cost of production by at least \$200 per ton from current levels and increase product premiums by over 30%.

We're targeting an EBITDA margin of \$1,000 per ton on 3 million tons of annual production, creating a very strong cash flow engine. The key initiatives to increase hot-metal capacity to over 3 million tons per annum are the completion of the 414,000 tons smelter expansion of BALCO, completion of a 100,000-ton volume creep project at Jharsuguda, optimizing operational parameters. We're evaluating a further 200,000-ton smelter expansion at Jharsuguda, and we are progressing further volume creep projects at both smelter sites.

We're also gearing up to become fully self-sufficient for alumina supply to our expanded smelters. This quarter, we will start production at Lanjigarh's 1.5 million ton Train-1 with full Vedanta Limited

January 25, 2024

Page 8 of 19

Sensitivity: Internal (C3) ramp-up of both trains to be completed by the end of financial year '25. We're also debottlenecking the plant to deliver capacity of 6 million tons per annum by the end of FY '26.

In addition, we're building a mining business to secure low-cost self-supply of our key raw materials. For bauxite, development of the Sijimali Mine is progressing well with the initial production expected in Q2 of FY '25. This will be ramped up to 9 and 12 million tons per annum.

For coal, Jamkhani is already producing at 150% of weighted capacity. Commencement of Kurloi, Ghogharpalli and Radhikap

are on track, and we expect first production within 9 to 18 months for these mines.

In the downstream, we are growing our value-added products or VAP through expanding capacity from 1.4 to 2.6 million tons per annum, which increases the share of VAP from 60% to 90%. We're increasing rolled products capacity from 44,000 to 100,000 tons per annum, and we're increasing sales in the more profitable domestic market from 43% to 55%.

I'm also delighted to share that Vedanta Aluminum is now ranked first in the S&P Global Corporate Sustainability Assessment for 2023 in the Aluminum Industry Group.

This is a really exciting phase of growth, improved profitability and enhanced sustainability for the aluminium business. And we look forward to sharing more as we deliver on this agenda over the coming quarters.

I'll now hand over to Steve Moore.

Steve Moore: Thank you, John, and good evening to everybody. Steve Moore from Cairn. As you know, Cairn has energized India for 30 years. We've been successfully exploring for developing and then producing from on and offshore fields around India. We have a reputation for technology implementation in all aspects of our work, exemplified by the world's largest polymer EOR project implemented in Rajasthan.

Since arriving in Cairn, I have drawn upon my extensive experience to identify and implement improvements, I believe better equipping the company for even greater success going forward. Changes include strengthening technical management, increasing the focus on maximizing recovery potential, while ensuring a flow of new opportunities to underpin our growth targets. We have moved into new areas such as the Northeast as well as new places that provide for significant value creation.

In mature fields the main focus is halting and then reversing production decline including the commercialization of booked Contingent Resources often by introduction of new recovery technologies, but also by, drilling of additional infill wells, extending the Polymer-flood EOR scheme to additional reservoirs, and Surfactant flood of the Mangla field where Polymer has



achieved recovery of 45%. The first phase of this project will be on stream in February with incremental production expected in Q1 FY25.

Vedanta Limited  
January 25, 2024

Page 9 of 19

Sensitivity: Internal (C3) Further growth will be achieved by bringing additional fields into production, including earlier exploration discoveries, DSF acquisitions and new discoveries from upcoming exploration campaigns. Rapid appraisal and development of selected exploration discoveries has commenced; Production from the OALP Jaya discovery increased to more than 2,000 boepd. An additional 50% expansion is imminent. Additional rigs are in Rajasthan to support monetization of exploration successes such as Durga. Plans for Shakti and NP viscous oil fields are finalised and the first development phase of the 600 mln bbl STOOIP Mangla tight oil development will commence in FY 25. These projects leverage infrastructure at Cairn's MPT facility minimizing Capex and Opex. Multi TCF basin -centre, gas resources close to our RDG process plant are also being assessed for early development.

A 10 -well exploration campaign will be executed in Assam during the coming year and we will mobilize rigs to our east and west coast assets to implement multi -year drilling programs, combining in -fill wells with near -field developments (in the Ambe and G4 DSF blocks) and near-field and frontier exploration drilling of key prospects containing multiple billions of unrisks resources.

In parallel, we are also developing projects targeting CO2 with a target of achieving net zero by the end of this decade. Not only will these projects have significant environmental benefits, but they will also free up and provide to us sources of CO2, which we can use for implementing further EOR projects, further

boosting recovery and at the same time reducing overall operating costs.

With that, I thank you, and I hand over to Chris.

Chris Griffith: Thank you, Steve. And good day, ladies and gentlemen. My name is Chris Griffith. I'm the CEO of Vedanta Base Metals, a mining engineer with 34 years mining experience. I have in my past career over the past 14 years been a listed company CEO of Kumba Iron Ore, Anglo American Platinum and Gold Fields. And in my career, I've grown and expanded operations, built mines, fixed and turned around poor profitability mines and altogether created significant value in those companies.

And I'm extremely excited to have joined Vedanta as the CEO of the base metal business, seeking to grow on these amazing set of commodities, copper and zinc with really exciting growth opportunities as well as opportunities to create value. We have a vision for the business to grow this business to more than 1 million tons of zinc and 1 million tons of copper.

Growing the EBITDA from currently from the copper and zinc business is around \$200 million this year. In the very short term, by 2027, growing the EBITDA to \$900 million, and then, growing by 2030, the EBITDA in this business to just under \$2 billion. And how we do that in the zinc business, currently about 250,000 tons of production. In the very near future, we complete the Gamsberg Phase 2 project getting 500,000 tons of production. And we see a pathway from that 500,000 tons to 1 million tons of production by the next phase of Gamsberg, expanding our production at Swartberg and then also adding production at Namibia.

Vedanta Limited  
January 25, 2024

Page 10 of 19

Sensitivity: Internal (C3) Profitability increases as well as the volume by increasing the margins, which are currently around \$500 a ton, all the way to \$800 in the near future and then to \$1,000 a ton. And that's how we get to about \$1 billion of EBITDA.

Likewise, in India and Fujairah, currently producing about 350,000 tons of custom production. In the coming year, we anticipate bringing Tuticorin back into the business. And we're currently in the early stages of developing a rod mill, a 100 -kilo ton Rod Mill in Saudi Arabia. In addition to that, we see a pathway of a number of additional projects in the Middle East, and then, also, we're in the process of bringing KCM back into the business in Zambia.

So we see the production of 1 million tons with the existing margin in that business of around \$500 a ton increasing to \$1,800. And that between KCM and the copper business, we see delivering about \$1 billion of EBITDA from that part of the business. So very excited about this copper and zinc business and its ability to add significant value to the new listed company. And with that, I'll hand over -- I think the next speaker is Vibhav.

Vibhav Agarwal: Thanks, Chris. Good evening, ladies and gentlemen. I'm Vibhav Agarwal. Having spent more than 2 decades in power sector, now I'm spearheading Power Vertical of Vedanta Group as Chief Executive Officer. Vedanta is known to have world -class assets in its portfolio and power is no exception. We follow industry's best practices, create benchmarks with utmost importance governance and nation building at our core.

As you know, India's GDP and power demand are set to double by 2030 by government's estimates, creating a huge opportunity for Vedanta, a thermal power generator to fuel the Indian economy. While there is a strong focus on RE, that is renewable energy, it is crucial to acknowledge that thermal power generation will continue to remain an integral part of India in the energy mix. It is there where Vedanta's core business lies and where it aims to be. Vedanta's Power Vertical is going to operationalize 2 new thermal power plants, one in Athena, which is 1,200 MW in Chhattisgarh, and the other one is Meenakshi Energy, which is 1,000 MW in Andhra Pradesh totalling to

2,200 MW, which together with our existing capacity would take our overall portfolio to nearly 5 gigawatts.

With a mixed bag of long -term power uptake contracts and open capacity for sale of power on short -term and medium -term contracts, Vedanta Power will have a stable cash flow with a heavy margin and a very strong balance sheet. Ultimately, we are committed to deliver value and returns to our investors, shareholders in a sustainable manner while continuing to fulfill the power security of our nation.

Thank you.

Moderator: The first question is from the line of Vikash Singh from PhillipCapital. Please go ahead.

Vikash Singh: Good evening sir. Sir, my first question pertains to aluminum business. Sir, while you are giving a long -term guidance of \$1,000 EBITDA per ton, we just wanted to understand what kind of aluminum cost of production you are baking into that?

Vedanta Limited

January 25, 2024

Page 11 of 19

Sensitivity: Internal (C3) John Slaven: So I'll take that question. In terms of aluminum, it's a difficult question to answer. I think we've

all seen significant volatility in that price over the last weeks. What I will say about our structurally low cost position in the first quarter of the cost curve, we are very resilient through different LME prices. And we're confident that we can continue to generate strong cash through the cycle. So that's the way we're thinking about the metal price. It's not something we want to or can predict.

Vikash Singh : No, but since you are taking a figure of \$1,000 per ton, so definitely, there should be some assumption in terms of the cost of production basis right?

Arun Misra: So roughly, if you take the number of \$2,400 as LME and \$200 as premium and \$1,600 as cost that we aim to go to, we will come to a number of \$1,000 per ton.

Vikash Singh : Understood. Second question, regarding oil and gas business. Since what I'm hearing that in the market that the rig cost has been rising exponentially, and we are deploying more rigs basically.

So I just wanted to understand our opex cost guidance, and how does it impact our overall profitability?

Arun Misra: So you're talking about cost of?

Vikash Singh : The opex in the oil and gas business because the costs are rising pretty fast.

Arun Misra: Okay. Hitesh, are you there? Hitesh?

Hitesh Vaid : Yes. I'm here. See, in oil and gas, our opex is going to be two things; one is polymers, two is our well interventions, where the wells which are declining where we intervene to arrest decline. So these are the two key factors which are driving cost. And we have also started injecting polymer in our other fields in addition to Mangala, Bhagyam & Aishwariya , which started last year.

So these are the key contributors. But I think more importantly, what will work for us is adding new fields, which are beyond the three key fields. And since those fields will be initially under natural flow water front, so the cost will get optimized. So one is that part. Second, what we are also doing is given the polymer injection is going for long, now we have started doing the reverse where we are going down on polymer parts.

So you would see that going forward, that cost also will start declining, especially with related to polymer. And of course, what we intend to do is start injecting ASP, which we are planning to do in two or three months' time, our first pad injection of ASP, which we've been talking in the past. So that will give us not only a reduction in polymer with a constantly increasing in ASP, but more importantly our volume growth.

Vikash Singh : So overall, are we not expecting any opex increase in that business going forward?

Hitesh Vaid : Our opex on a polymer flood model or...

Vikash Singh : Overall opex I am talking about...

Hitesh Vaid : It will be around \$12 to \$13 range.

Sensit

ivity: Internal (C3) Vikash Singh : Okay. And a visible difference in the volumes we can expect from this quarter because we have

been talking about volume increase from now quite some time, it's been years?

Hitesh Vaid : So maybe a couple of points from my side, and Steve can add given that he's coming and trying to look at things differently, but I think from oil and gas point of view, one is we have started bringing our new fields also into production, Jaya is one example. But last two, three years, we've been focusing on O ALP where we have 100% participation interest.

So your -- any volume there is quite significant in terms of our bottom line contribution. So first one is there, we have done three, four or more discoveries in O ALP, and we are working to monetize those also. So one part is trying to bring this new field, which gives us a visible addition.

Second, of course, the ASP as well as increments help us to manage decline and ensure that our core fields MBA give us a stable volume. So, Steve, do you want to add anything on this?

Steve Moore: Not really, Hitesh. I think you covered all the points. I mean I would agree that we shouldn't just focus on production because it's from where the production is coming where we're really focusing on growing our gas production, and we're making a bigger margin on gas.

And as Hitesh said, the production from fields like Jaya, it may not set the world on fire, 2,000 barrels a day, the money associated with that, because it's a very simple operation, is much higher per barrel than the declines we're seeing in Mangla. And we've got many, many. We've hired in some people. We are bringing extremely good people, good technologies from around the world. We're just figuring out exactly how to implement them in our fields.

And as Hitesh says, we're really targeting, bringing on not just optimizing the existing fields, but bringing in new fields into production. As I mentioned in my small short talk, we're actively studying the fields that have been found 8-10 years ago, and we see very good opportunities to bring them in economically in the next six to 12 months.

Moderator: Next question is from the line of Ashish Kejriwal from Nuvama Wealth.

Ashish Kejriwal : Sir, a couple of questions. One, amid this restructuring of current debt, how serious we are in terms of our monetization of steel and iron ore assets? And is it possible to guide where we are in that direction? That's my first question.

Ajay Goel : Sure, Ashish. First of all, thanks for the recent report on Vedanta and your recommendation and also in terms of target price. I'll start first by saying if you look at last couple of years at the Hold co, Vedanta Resources, debt has gone down from \$9.5 billion down to sub \$6 billion, so \$3.5 billion deleveraging at Vedanta Resources. Of course, overall debt for the group remained same. But right now, in terms of assets and liabilities being at the same place, in that case our balance sheet and the structure for the capital is far more harmonious.

Secondly, coming to the point specifically, yes, with the debt restructuring at Vedanta resources is successful and the 3.1bn bonds maturities have been pushed forward by 3 years. With this our debt at Hold Co is more balanced, evenly spread and easy to manage.

Vedanta Limited  
January 25, 2024

Sensitivity: Internal (C3) Ajay Goel : And so our publicly announced intent of noncore assets disposition remains intact. Right now,

we have witnessed interest both from domestic and international players. The process in terms of due diligence, data rooms, Q&As, site visits is ongoing. We are hopeful to get some offers by this quarter end, and sometime, early next quarter, we see the deal going through. So net-net, our interest in disposition of noncore assets remains intact, deleveraging both for VEDL and we, as a group, remains absolute

ely our single biggest priority.

Ashish Kejriwal : And sir, second thing is besides this monetization, we have seen promoters increasing stake from 50.1% to 69% and then coming back to 63.7%. So is there further stake reduction from the promoter is in radar? Or that the possibility which one can look at?

Ajay Goel : I mean, Vedanta is a large corporation in terms of initiating corporate actions, so we are never shy. So you're right, 50% going to almost 70% and 5% dilution in the recent past is strategic initiatives. And also we will appreciate, Ashish, it's hard to comment any plans in the near future, but given an option, looking at our cash position and the priority of deleveraging, those things also can be discussed. But is that in the offering the near future, maybe I would say no.

Ashish Kejriwal : Sure. Sir, next thing is on operations. We are having power sector or power subsidiary separately where we have Athena and Meenakshi. So is it possible to share the capex plan for that, when that's going to be commissioned? And similarly for coal block also because now we have been seeing continuous delays in coal block , coal block start-up for the other mines. So where we are in that status of that coal block, especially Kur aloi and Radhikapur, means whether we have received forest clearance, the environmental clearance or land acquisition, where we are so that we can be comfortable that now we can start the mine from second quarter FY25?

Ajay Goel : Sure. So on the first part, I'll request Vibhav Agarwal , our Power CEO to comment on plans for capex for Athena and Meenakshi.

Vaibhav Agarwal: Yes. So, Ashish, when we are actually building up these capacities to start generating, obviously, we require a bit of capex because these plants are half built. So we estimate close to INR6,000 crores would go into these plants to make them completely operational. And we -- I have already discussed about making them operational by FY26 completely. So this entire capacity would be up and running by then.

Ashish Kejriwal : Sure.

Arun Misra: So, on the coal block, if you look at Kur aloi, it is in the Stage 1 clearance level, and once the Stage 1 clearance is done, it will go to then forest clearance of Stage 2. Total 966 hectares of land is involved, out of which forest land is 214 hectares, so absolutely on track. And we can surely -- mining plan is approved, so it's just in next stage of projects.

Radhikapur, it's -- Stage 1 is already clear. And Stage 2 is continuing. So there is absolutely no apprehension as far as productions are concerned. If we look at Radhikapur coal block, then FY25 by second quarter it will come to a capacity of 6 million tons per annum. And Kur aloi by that time will be 8 million tons per annum in FY25 and in FY26.

Vedanta Limited

January 25, 2024

Page 14 of 19

Sensitivity: Internal (C3) And Ghogharpalli by FY26 will be 20 million tons per annum. So if you look at the -- Radhikapur 6, Kur aloi 8 and Ghogharpalli 20, and if you see the timeline, it is -- final operations, they will come by second quarter of FY 25.

Ashish Kejriwal : So we are confident about second quarter FY 25 because...

Arun Misra : Because if you see once Stage 1 is clear. Other one, Stage 1 is absolute on the verge of clearance, then the Stage 2, and the business starts.

Ashish Kejriwal : Sure, sure. And sir, lastly, about international zinc, we have seen Gamsberg, they are never produced at optimum level despite operation for last 20 years. So what is the matter over there?

And when we are expanding our capacity from 250 to 500 KT MIC? When that is going to happen?

Arun Misra: So, Gamsberg always had the issue of the concentrator. Last -- that time, we used to have 60% recovery in the concentrator, which has gone up to now 80% level. So huge improvement has happened on the concentrator side to produce a better grade of concentrate as well as more quantity

of concentrate. However, the mine is passing through a phase when suddenly between two different locations of ore body the overburdened quantity is very high.

And some of the movement of overburden has not been commensurate with their production level. So there is a low for the current quarter, and by another one quarter, Gamsberg operations will come back to line in full steam.

Ashish Kejriwal : And sir, expansion by when?

Arun Misra: No, expansion will continue, but I'm saying the current level of quarterly performance that has fallen down because of the huge requirement of overburden removal, and another quarter or two, it will come back to our operational level what is to report earlier.

Ashish Kejriwal: Yes, that we understood, sir. I was asking about expanding capacity, when it is going to be commissioned.

Arun Misra: Expansions are on the offing, and it's by 2025 December or so, expansions will be complete.

Ashish Kejriwal: Sure. Thank you and all the best, sir.

Arun Misra: Thank you.

Moderator: Thank you. Next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Yes. Hi. Good evening, everyone. And thanks for taking my question. My first question is on the Aluminium division where that waterfall chart, where we find that the other expenses part, if you look at it, which has gone down materially , conversion as the cost essentially from \$142 per ton to \$56 per ton. So just wanted to understand the key drivers behind it and whether it is sustainable?

Vedanta Limited

January 25, 2024

Sensitivity: Internal (C3) Amit Dixit: No. This waterfall chart, it is conversion and others, which is like \$56 per ton in this quarter.

Last quarter, it was \$142. So I wanted to understand why it has gone down so substantially and whether this is sustainable.

Arun Misra: So there may be some one-time cost involved last time, so because of that only there is a reduction.

Ajay Goel: So maybe, Amit, the way to look at the overall aluminum CoP is total number. And you may have seen a Y-o-Y between the last year Q2 and the current year, 18% reduction in CoP coming across three large buckets, be it aluminum, power or the conversion costs. And across the verticals, be it aluminum or zinc or in terms of oil and gas, our CoP has been our single biggest highlight of the last quarter. So journey will continue.

In terms of overall target, we closed aluminum at almost \$1,840, the finished goods CoP as on Q3. And the numbers in December is even lower than the Q3 average. The journey continues.

And toward March end, our target is about \$1,700 per ton as CoP of aluminum.

Amit Dixit: Okay. The second question is, again, on Gamsberg. I mean stretching Ashish's question a little further. So when I look at Gamsberg last year, your MIC was roughly 208 kt. And this year, it is much lower. Our recoveries are at a record high. So just couldn't reconcile the apparent issues over there.

If the mining is an issue, then it will always remain an issue. If there is a problem around subsidence, around slope not being proper, I think that will always be an issue, whether your recovery is high or low. So first thing, we wanted to understand when we will reach that 250 kt number for the year, because that has been alluding us for quite some time.

Arun Misra: So in the Gamsberg, if your apprehension is about mine subsidence or slope failure, those are not the issues. Current issues are related to the strip ratio and overburden removal because of the bad performance of some of the reps who were engaged earlier, they have not been able to perform to the target that they were given.

So overburden removal has been slow and which is having an impact of availability of right grade of ore at this point of time. Hence you see in spite of the higher recovery in the mills, we are not able to generate equal amount of MIC. However,

current focus of the management is on engagement of best of the best contractors to get the overburden removed as quickly as possible. That's why I predicted that in another coming couple of quarters, looking at the numbers from Gamsberg also.

Amit Dixit: But, sir, for nine months, we have a number of 126 KTPA. I mean, assuming if you hit 50, you will reach 175 or something. So for FY'25, can we go ahead and achieve 250 KTPA. That is the moot question I have.

Arun Misra: Whole preparation is toward that only, that in FY'25 we achieve that 250 KTPA number.

Amit Dixit: Okay, wonderful sir. Thank you and all the best.

Vedanta Limited

January 25, 2024

Sensitivity: Internal (C3) Arun Misra: Thank you.

Moderator: Thank you. Next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi, sir. Thanks for the opportunity. Couple of questions. Sir, first is possible to quantify how much is the re-aided earnings numbers for Vedanta and Hindustan Zinc December end?

Ajay Goel: Yes, sure. So for Vedanta, as in December, the RE is about INR1,500 crores. And for zinc, it is almost INR2,000 crores. So we as a group, about INR3,500 crores is the RE as of December.

Ritesh Shah: That helps. Second question is congratulations on the liability management exercise. I just wanted to get a gist on how much is the cost of funding, one is for the \$1.25 billion facility. And the second is if you look at on a total basis of, say, \$6.4 billion outstanding at VRL, how much will be the cost that one should look at?

Ajay Goel: On the point of the entire debt restructuring, as I mentioned, I still wish to again repeat that the \$3.1-billion of bonds maturing over the next one year has been flattened, and it has been pushed by almost three years. In case, the VRL debt maturity in the current fiscal as in the FY'25 is about \$1.8 billion, including interest cost of \$800 million. That means we are in a far better position in terms of our managing debt as Vedanta Resources. In terms of the funding per se, the cost of funding is about 13% overall.

Ritesh Shah: This includes guaranteed, non-guaranteed loans as well, as well as ICL from Cairn, everything on a blended basis, is around 13%? Or would that be a fair thing for \$6.4 billion?

Ajay Goel: That's correct. Yes. Blended rate about 13% all inclusive.

Ritesh Shah: Okay. And how much would that be for the \$1.25 billion wherein we have done brand-fee securitization?

Ajay Goel: The same ballpark out there, Ritesh.

Ritesh Shah: Okay. And does Oaktree have any exposure either at the HoldCo level or at the OpCo level? And are there any direct or indirect pledge encumbrances related to Oaktree?

Ajay Goel: Yes. So as part of the whole debt restructuring, the Oaktree has exposure at the Vedanta Resources, \$250 million, which gets repaid once we get the money on the 6th of Feb. And we also have -- you may have seen two NCDs we have done in the last year from the Oaktree, that continues.

Ritesh Shah: Sir, how much will be the total outstanding? If I remember it right, it was \$750 million. Is the number the same? Or has it reduced?

Ajay Goel: It is at \$700 million at Vedanta Limited.

Ritesh Shah: At Vedanta Limited. Okay. And sir, I think in one of the prior questions, you did indicate that we would be looking at divestments. In fact, you said that it could be probably next quarter or after that. Given the way which we have done the debt maturity profile, honestly, there is no

Vedanta Limited  
January 25, 2024

Page 17 of 19

Sensitivity: Internal (C3) need for any divestments. Is it because the capex ask is high, and hence, we are looking at divestments? How should we look at it from a cash flow standpoint? And if you can give some numbers around capex at Vedanta console level, I think that would be great.

Ajay Goel: Yes, sure. So you're right. I just proposed

the debt raising at Vedanta Resources, our overall debt position as a group is far more comfortable. And at the cost of repetition, Ritesh, now, given there is no looming large maturity at Vedanta Resources, our ability of taking slightly longer - term calls at VRL on refinancing has enhanced significantly.

Having said that, the ESL or steel disposition has been independent, and that continues. As I mentioned initially, right now the process in terms of due diligence, data room, Q&As, site visits is ongoing. And we're hopeful to get firm pricing by this quarter end if that continues. In terms of deal culmination, sometimes in Q1. So that remains on track. It is fast for the course.

Ritesh Shah: In next FY, would that be right?

Ajay Goel: Q1 of next fiscal year. That's correct.

Ritesh Shah: Next fiscal, perfect. And just bookkeeping questions. Any update on GR to RE at Vedanta. I think you were securing creditor's approvals. And I think Hindustan Zinc has some, I think, court case on 15th of Feb. If you could provide some update over here, that would be useful.

Ajay Goel: That is the position at Vedanta Limited. Still the engagement with lenders are ongoing. It is progressing, but I can't right now give a definitive date when do we close it. On the zinc side, we got now all the approvals, including the shareholders. Now, before the NCLT for the second motion, the matter is being heard on the 15th of Feb. And depending upon how the things progress, we foresee that getting closed by this quarter end.

Ritesh Shah: Sure. And on the capex side, I just asked that question, how should we look at it given the cash flow profile is quite comfortable? We have given strict targets on volumes, but how should we look at the capex number?

Ajay Goel: Current year capex guidance was about \$1.7 billion as per our last guidance. And we see it being maybe a tad lower, about \$1.5 billion to \$1.6 billion on a higher side. Historically, last multiple years, we have not exceeded our guidance on the capex. In fact, we have been a bit lower on that side without impacting overall timeline for the project.

In terms of guidance for the next fiscal, I think we have to await for one more quarter. As part of full year numbers, be it volume, CoP and the guidance for the capex, will be provided when we speak next time in three months.

Ritesh Shah: Perfect. And just last question. Does the group have -- has it engaged in advanced pay and supply agreements to manage that cash flows historically? Or do we have anything outstanding at this point in time?

Vedanta Limited  
January 25, 2024

Page 18 of 19

Sensitivity: Internal (C3) Ajay Goel: In terms of advances, I think they are routine, Ritesh. And they are a part of working capital.

Yes, we do have those advances, which keeps getting unfunded in terms of repayments, and we keep taking it. That is working capital that each businesses track separately.

Ritesh Shah: Sir, would it be possible for you to quantify that number, advance pay and supply agreement or anywhere on the balance sheet that we can actually figure it out?

Ajay Goel: It's almost INR2,000 crores as of December.

Ritesh Shah: Okay. This is very helpful. Thank you so much. I really appreciate it.

Moderator: Thank you. The next question is from the line of Bharat from Standard Chartered Bank. Please go ahead.

Bharat: Hi. Thanks for the call. First question for me is Vedanta Limited's domestic rating has been downgraded...

Moderator: Bharat, sorry to interrupt you, can you please speak through the handset.

Bharat: Hi. Is this better?

Moderator: A little bit.

Bharat: My first question is Vedanta Limited's domestic rating has been downgraded a couple of times by India Ratings in the last few months. How do you think this will impact the funding costs for Vedanta Limited going forward?

Ajay Goel: Yes. The India Rating, in fact, it came for sure as a

disappointment, and we have disagreed with

them as well. But again, sometimes more than one, respectable point of view is quite possible.

Also, Bharat, I would like all of us to also take a look at rating by CRISIL, which is a Tier 1 agency in the same week last week, where CRISIL has reaffirmed VEDL rating at AA - with developing action. And we are engaging with India Rating.

Their key rationale for downgrade has been recent high-cost borrowing in December. And we did point out, it was an aberration given ongoing debt restructuring at Vedanta Resources. As we speak, we are dealing with one large Indian bank for a very large value loan at single-digit cost. So we will be engaging with India Rating, and we are very hopeful that very soon even they will give us an upgrade to AA.

So far as it's an impact on the money market, we don't foresee this action will have an impact on our ability of tapping funds in terms of value or cost of funding. As I mentioned, CRISIL has reaffirmed AA - for us.

Bharat: Okay. Sure. And then the second question is, you mentioned Oaktree's exposure at Vedanta Limited is now at about \$700 million. Can you let us know what is the interest cost on those facilities? And what kind of security has been pledged?

Ajay Goel: It's 12% coupon rate.

Vedanta Limited

January 25, 2024

Page 19 of 19

Sensitivity: Internal (C3) Bharat: And the securities?

Ajay Goel: It's against fixed assets. It's 1.2x coverage.

Bharat: Okay, that's it from me.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Ms. Perna for closing comments.

Perna Halwasiya: Thank you, Neerav. And thank you all for taking the time to join us. I hope we were able to respond to most of your questions. In case you have any further questions, please feel free to reach me or my colleagues at IR team.

This concludes today's call. We look forward to reconnecting you for next quarter's earnings call. Thank you, everyone.

Moderator: Thank you very much. On behalf of Vedanta Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

# Call: Aug 2024

Page 1 of 18

Sensitivity: Internal (C3)

"Vedanta Limited

Q1 FY'24/ '25 Earnings Conference Call "

August 06, 2024

MANAGEMENT : MR. NAVIN AGARWAL – VICE CHAIRMAN – VEDANTA LIMITED

MR. ARUN MISRA – EXECUTIVE DIRECTOR – VEDANTA LIMITED

MR. AJAY GOEL – CHIEF FINANCIAL OFFICER – VEDANTA LIMITED

MR. AJAY AGARWAL – PRESIDENT , FINANCE – VEDANTA LIMITED

MR. JOHN SLAVEN – CHIEF EXECUTIVE OFFICER – VEDANTA ALUMINUM

MR. HITESH VAID – CHIEF FINANCIAL OFFICER , CAIRN OIL & GAS – VEDANTA LIMITED

MR. CHRIS GRIFFITH – CHIEF EXECUTIVE OFFICER , BASE METALS – VEDANTA LIMITED

MR. STEVE MOORE – DEPUTY CHIEF EXECUTIVE OFFICER , CAIRN OIL & GAS – VEDANTA LIMITED

MS. PRERNA HALWASIYA – DEPUTY HEAD, INVESTOR RELATIONS AND COMPANY SECRETARY – VEDANTA LIMITED

Vedanta Limited

August 06, 2024

Page 2 of 18

Sensitivity: Internal (C3) Moderator: Ladies and gentlemen, good day and welcome to Vedanta Limited Quarter 1 Financial Year

'24, '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference to Mr. Perna Halwasiya, Deputy Head Investor Relations and Company Secretary, Vedanta Limited. Over to you, ma'am.

Perna Halwasiya: Thank you, Yashashri. Good evening, everyone, and welcome to our first quarter earnings call.

I'm Perna, and on behalf of the entire team of Vedanta Limited, I would like to thank you all for joining us today to discuss our financial results and business performance. The transcript and audio of this call will be made available on our website. The financial statements press release and presentations are already available on the website.

I'm delighted to introduce our esteemed Vice Chairman, Mr. Navin Agarwal. Many of you might have engaged with him in the past. He's joining today's earnings call probably after 10 years. Today, he will be sharing insights into our quarter 1 performance and also outlining our strategic growth map.

Additionally, we have from the leadership team, Mr. Arun Misra, our Executive Director; Mr. Ajay Goel, our CFO; Mr. Ajay Agarwal, our President, Finance. Also joining with us are a couple of leaders from our key businesses, Mr. John Slaven, CEO, Aluminium business; Mr. Steve, Deputy CEO, Cairn Oil & Gas; Hitesh Vaid, CFO, Oil and Gas; and Mr. Chris Griffith, CEO, Base Metals.

Please note today's entire discussion will be covered by cautionary statement on slide number 2 of the presentation. We will start with an update on our operational and financial performance, and then we'll open the floor for the Q&A.

Now I would like to hand over the call to Vice Chairman. Thank you.

Vice -chairman : Good evening, everyone. Thank you. So as Perna mentioned, I guess I'm attending this call after 8, 10 years. But however, we had the opportunity to recently engage with several of you during our recent analyst meet, and also during the recent site visits that many of you went on. Thank you for joining today's quarterly business update.



The Vedanta story goes beyond numbers. We'll come to numbers, but Vedanta's story goes beyond numbers. It's about unlocking exponential growth opportunity. We are on a mission path to become world's leading and most sustainable producer of critical minerals. Our focus on capital efficiency translates to faster project execution and, of course, superior returns for our shareholders.

Let me begin with some key highlights, as you can see on this slide. This is really our scorecard for the last quarter. And this is the result of the very sustained and structural initiatives and efforts that we have made over the last 1 or 2 or 3 years.

Vedanta Limited  
August 06, 2024

Page 3 of 18

Sensitivity: Internal (C3) These highlights, as you can see, quarterly EBITDA surged remarkably an outstanding 47% to INR10,275 crores. Important here is our EBITDA margin experienced a significant boost, increasing by 10% from a robust 24% in quarter 1 FY '24 to now an industry-leading 34% in Q1 FY '25. This growth is a testament to our rigorous structural and strategic initiatives aimed at optimizing our cost. As a result, our overall cost successfully decreased by an impressive 20% year-on-year.

More notably or as notably, our profit after tax increased sharply to 54% Y-o-Y and to INR 5,095 crores. Continuing on cost, our cost performance is a cornerstone of our success. We are proud to be among the

global leaders in cost efficiency, a critical factor, we think, in ensuring long-term competitiveness.

Our aluminium and zinc operations consistently outperformed industry benchmarks, ranking in the top quartile and top decile respectively of the global cost curve. Sustainability leadership also as important, extremely important. Our leadership extends beyond operational excellence. We are also leading in sustainability.

Our company was ranked third in the S&P Global Corporate Sustainability Assessment. Our subsidiary, Hindustan Zinc, ranked first in the metals and mining peer group, and Vedanta Aluminium ranked first among global aluminium peers. This is a true reflection of our commitment to building a stronger Vedanta together.

Our assets are also quite unparalleled, right? And if you look at other assets or other large manufacturing businesses in the country, cement, steel, they can be invested and created, but most of our assets now cannot be replicated. And we guess that the replacement cost of our assets today across aluminium, zinc, oil, gas, iron ore, steel, et cetera, is the replacement cost is in excess of \$50 billion.

On growth, we have had an unparalleled growth story. We have expanded our capacity rapidly, achieving tenfold growth since our IPO in 2004. We are still a young and dynamic organization with the agility of a startup. Commitment to growth is unwavering as a champion of India natural resources, which strives to contribute to our country's vision of self-efficiency in natural resources.

In the near term, we are poised to deliver \$ 30 billion in annual revenue and \$ 10 billion in EBITDA. Our large-scale growth projects are in advanced stages of development with majority of them ready to commission in the upcoming quarters. We are in a sweet spot at the right time, and our focused growth approach is reflected through our commitment to execute about \$ 8 billion of growth capex in the next few years.

Some more color specifically on some of the businesses. Aluminium, of course, John will cover this and so will Arun. But with our expansion and integration projects, we will be a fully integrated 3.1 million tons per year producer, while maintaining global lowest cost positioning. With our value-added product capacity expansion, 90% of our products are value-added products and alloys. We are already the global leader in wire rod production. This value-added

Vedanta Limited  
August 06, 2024

Page 4 of 18

Sensitivity: Internal (C3) expansion will further cement our position by making us the second largest producer of billets in the world.

As we complete our full backward integration to ensure 100% self-efficiency in bauxite, alumina and coal, we are well positioned to deliver EBITDA in the region of about \$4 billion from our aluminium business at LME of about \$2,600. Just to highlight, with completion of our ongoing integration, we believe we will be the most integrated large aluminium producers in the world. Similarly, in Zinc India, with defined metal capacity of 1.2 million tons and 800 tons of silver production as HZL is poised to generate annual EBITDA of \$2.7 billion.

So in the story on Zinc International, less understood by most investors, and we will get Chris

to talk about this. Our Zinc International business with substantial zinc ore reserves, has the potential to mirror our Zinc India business with an impressive zinc ore reserve and resources of 662 million tons and 35 million tons of metal reserve, we are committed to deliver 1 million ton of zinc production from Zinc International.

Oil and gas is India's largest private sector oil producers and remain committed to maximizing resource recovery and discovering resources for future growth by focussed development and exploration. During the last fiscal, we added 200 million barrels to our resources, increasing our R&R to 1.4 billion barrels.

Our near-term target is to deliver 150,000 barrels production a day and 1.6 billion barrels in reserve and resources.

With this, our oil and gas business will generate over a \$1 billion of EBITDA. Our vision, however, is to reach production of 300,000 kboepd barrels a day. Key activities here include scaling up ASP injection across MBA fields, monetization of tight oil and satellite fields and exploration in Northeast, deep water in the East Coast and onshore Cambay.

The next big growth opportunity in iron ore is in Liberia. We are on track to realize the full potential of our iron ore business. Our Liberia asset has over 3,000 million tons of established R&R and best-in-class ore grades. Our near-term projections at Liberia indicate an annual production of approximately 30 million tons of iron ore. And similarly, we have opportunities to grow our output in Karnataka and in Goa.

ESL, one of our trophy assets, the steel asset, it is the only steel asset in India that can be ramped up to 15 million tons a year at a single location. It is strategically located, fully integrated, highly scalable steel platform and enjoys an added benefit of green steel potential, given proximity to the gas pipeline it has spread across, gas pipeline.

This asset is spread across the contiguous land of 2,300 acres. At this point of time, we are completing the expansion to 3.5 million tons to be commissioned by end of this year. And we believe at 3.5 MTPA, this business will deliver \$500 million in bottom line.

On power, we are one of the largest power producers in India, of course, with 11 gigawatts of total capacity. In merchant power, we have 5 gigawatts of total capacity spread between TSPL in Punjab, Athena in Chhattisgarh and Meenakshi in Andhra.

Vedanta Limited  
August 06, 2024

Page 5 of 18

Sensitivity: Internal (C3) At FACOR ferro chrome, we have already doubled our production since acquisition and we are now on track to become India's largest ferro alloys producers with 500 KTPA capacity, a threefold increase in production from where we are now.

Moving on to some strategic inputs, demerger, you would have heard that our game changing, strategic demerger is now a reality. As you may be aware, we have already filed the demerger scheme application with NCLT. And therefore, we are in the final stage of creating industry-leading focused entities with sharper investment propositions.

On management and leadership, we have a strong line of global leadership team who are ready to lead these large, high-quality businesses with 100-plus expats and experienced specialists and of course, a very vibrant young leadership team, we are ready to unlock the largest shareholder value.

And in conclusion, finally, while we can look back with pride on our accomplishments and initiatives at Vedanta, we remain firmly focused on the exciting road ahead for us. FY'25 will be a transformative year for us on many fronts, as we prioritize disciplined growth, operational excellence and exploring opportunities along the value chain.

Our strategy is clear, our foundation is solid and our team is energized to capitalize on the tremendous growth potential and prospects that lie before us. We thank you for your continued support and confidence in our journey and in our story. Thank you very much, and we look forward to engaging with you in the Q&A session.

But for now, over to you, Arun.

Arun Misra: Thank you, Vice Chairman. I'm pleased to address all of you today to share Vedanta's exceptional performance in quarter 1 of this current fiscal, a quarter marked by robust growth, operational excellence and a strong commitment to sustainability.

Our journey has been defined by strategic delivery and operational excellence with a strong pursuit of value creation for all stakeholders. As a global industry leader in ESG practices, our dedication to ESG is reflected

in our operational strategy. Our group has already secured a total of 1,826 megawatts of renewable energy, power delivery agreements.

I'm thrilled to share with you that our Zinc India business has started receiving the renewable energy in line with these agreements. This initiative will be progressively adopted by our other businesses in the upcoming quarters. In the first quarter of FY'25, Hindustan Zinc successfully

sourced approximately 8.5% of its total power consumption from renewable energy. This has helped Hindustan Zinc to launch EcoZen , Asia's first low -carbon zinc product. This is a significant milestone in our sustainability journey with a carbon footprint of 75% lower than the global average because it reflects our dedication to reducing environmental impact of our product.

Today , Vedanta proudly has a portfolio of three low-carbon products, two in aluminum named Restora and Restora Ultra, and now one in zinc named EcoZen . It reflects our strategic intent

Vedanta Limited  
August 06, 2024

Page 6 of 18

Sensitivity: Internal (C3) and the actionable steps we are taking towards our ambitious environmental goal of achieving net zero carbon emission by 2050.

On quarter 1 key highlights, moving on quarterly performance, I am pleased to report an outstanding quarter 1 performance that underscores the strength and agility of our operations. We delivered strong quarterly revenue of INR 35,239 crores, 6% increase year -on-year, a quarterly EBITDA increasing remarkably by 47% year -on-year to INR 10,275 crores. Our EBITDA margin increased by 10%. Our profit after tax increased by 54% year -on-year. Moving on operational performance. Our aluminium and zinc operations continue to set industry benchmarks consistently , ranking in the top quartile and decile in the global cost curve on the back of very structural initiatives, which helped in reduction of costs year -on-year.

Aluminium business achieved a strong quarterly production of 596 kilo tons coupled with an 11% reduction in cost year -on-year. Despite rising alumina market prices globally, we maintained a flat hot metal cost, demonstrating the strength of our assets and our operational excellence and our ability to sustain and increase the margins.

Hindustan Zinc has achieved its highest ever first quarter mined metal and refined metal production at 263 KT and 262 KT , respectively. We are on a clear trajectory to achieve the lowest cost production in our last four years of operations, with a Q1 cost of \$1,107 per ton. In Gamsberg mine, we witnessed a 19% increase in ore mined and a 25% increase in MIC production quarter -on-quarter, strongly reflecting our progress towards operational stability and efficiency.

ESL Steel also delivered a robust performance with crude steel production increasing by 10% year-on-year to 356 KT, driven by strategic debottlenecking and enhanced operational efficiency.

On growth projects, we estimate our remarkable growth across entire portfolio and we remain committed to our near -term \$10 billion EBITDA target that has to be achieved through operationalizing all these growth projects.

Aluminium ramp -up of Lanjigarh refinery's Train 1 is progressing smoothly, and we are on track to commission Train 2 in quarter 3 of current FY'25 with a full ramp up expected by quarter 1 of FY'26. BALCO smelter expansion is advancing steadily with all equipment orders fulfilled and installations underway.

These developments along with some volume debottlenecking projects will enable us to reach the production capacity of 3.1 million tons per annum of aluminium , with 90% comprising of value -added products and alloys. Zinc India, 160,000 tons per annum roaster at Debari and 510,000 tons of fertilizer plants are progressing smoothly. Additionally, we are exploring avenues to expand our metal production to 2 million ton per annum in near future.

Vedanta Limited

August 06, 2024

Page 7 of 18

Sensitivity: Internal (C3) Zinc International, as Vice Chairman stated, is one of the largest zinc deposit globally. Our Phase 2 expansion project is in full swing with full ramp up expected in quarter 2 of FY'26. In iron ore, we remain on track in our FY'25 production target of 12 million ton per annum with an additional 1 million ton from our value -added business. To realize the full potential of our assets in Liberia and align with our growth objective, we are initiating construction of our first 3 million ton per annum concentrated plant in that region.

In ESL, the expansion to 3.5 million tons per annum is estimated to be completed by FY'25. In power, we are well placed to generate 5 gigawatts of commercial power over the next two years. The fiscal year will see the full commissioning of Meenakshi power of 1,000 megawatt.

In FACOR, after concluding the last fiscal year, with a production rate of 110,000 tons per annum, we are gearing up to increase our capacity to 150,000 tons per annum in FY'25.

In summary, our exceptional Q1 performance has set the stage for a transformative financial

year 2025. We are on track to complete several landmark projects, including one of the world's largest single -location alumina refinery at Lanjigarh and the expansion of our aluminium and steel capacities.

Across our portfolio, we'll also add about 10% additional capacity by aggressive debottlenecking efforts and asset optimization. These strategic initiatives, combined with our continued focus on cost reduction, that too very, very structural and operational excellence , will drive significant growth and value creation.

In conclusion, FY'25 is going to be a landmark year for our company as we achieve new high steel production , revenue and profitability. The strategic demerger presents a unique opportunity and is on track to create industry -leading focus sed entities and sharper investment propositions. Vedanta is well positioned to capitalize on emerging opportunities and deliver sustained value to our shareholders and stakeholders.

With this, I hand over to Ajay Goel.

Ajay Goel: Yes. Thank you, Arun, and good evening, everyone. First quarter has been an outstanding start of the year in terms of operations, financials and capital structure. I'm pleased to share that we have delivered an EBITDA of INR 10,275 crores, clocking a 47% growth Y -o-Y. And 20% of EBITDA growth comes from structural and sustainable cost omission. This quarter witnessed our highest PAT in the last seven quarters at INR5,095 crores, reflecting a growth of 54% Y -o-Y.

Coming to first quarter financial highlights. Revenue of INR35,239 crores, up 6% Y -o-Y. EBITDA, as I mentioned, INR10,275 crores, a jump of 47% Y -o-Y. EBITDA margin at 34%, reflecting a surge of 948 basis points Y -o-Y, which is an industry benchmark. PAT of INR5,095 crores demonstrates a robust 54% growth Y -o-Y, and a staggering 124% growth quarter -on-quarter. FCF before capex of INR4,371 crores, up 41% again Y -o-Y. Finally, net debt-to-EBITDA ratio improved to 1.5x Y -o-Y from 1.9, which again is the best in the industry.

Vedanta Limited

August 06, 2024

Page 8 of 18

Sensitivity: Internal (C3) Moving on to balance sheet and debt. Net debt as of June 30, stood at INR61,324 crores against INR56,338 crores as on March 31, 2024. We finished the quarter with a very strong liquidity position of INR16,692 crores, up 17% Y -o-Y with an average maturity at 3 years. This quarter, we also continued with our consistent track record of rewarding shareholders with dividend.

On QIP and capital structure. As you may have noted, in July, we have raised \$ 1bn / INR 8500 crores via QIP, marking one of the largest trans action. The funds from the QIP will be used to deleverage Vedanta Limited. This will also significantly reduce our interest cost by more than INR1,000 crores on a

n annual basis.

The oversubscription by almost 3x from marquee long -only investors underscores the confidence that domestic and global investors community has in Vedanta. I move on to VRL parent company, both in terms of deleveraging and recent rating augmentation. I want to emphasize the substantial progress towards deleveraging made by our holding company - Vedanta Resources Limited.

After reducing debt by 3.7 billion over the last 2 years, we have further announced deleveraging of 3 billion over the next 3 years. Against this, we have achieved a reduction of 650 million in the first quarter itself. The closing debt at VRL now stands at 5.5 billion. Also, S&P Global has augmented various rating to B-, citing improved capital structure and liquidity, while assigning a stable outlook. On demerger, we have filed the scheme with NCLT. This is a significant milestone towards unlocking the value for all our stakeholders.

In conclusion, I reaffirm our commitment to full year guidance and will continue on our current momentum forward. Our transformative cost optimization across our portfolio will continue to deliver results. Vedanta's credit profile and capital structure will see a substantial change in coming quarters. And with this, we are very well positioned to achieve our historical best performance in FY '25. Thank you.

And with this, I hand over to operator for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. We'll take our first question from the line of Amit Dixit from ICICI Securities.

Amit Dixit: Congratulations for a great set of numbers. I have two questions. The first one is on aluminium division. I understand that there are quite a few milestones in Q2 FY '25, including commencement of mining in Radhikapur and Kurloi blocks plus the second train of alumina refinery being launched. So just wanted to understand your update on each of these, plus BALCO expansion aspect?

Vice -chairman: Yes. Go ahead, Amit. What else?

Amit Dixit: The second question is on oil and gas, essentially. So while in the PPT, it was mentioned that we have initiated the ASP injection at Mangala, and we saw that the preparation was going on when we visited the site as well. So, I just wanted to understand whether in Q2, we will finally see that the production from oil and gas would increase because we have drilled infill wells.

Vedanta Limited  
August 06, 2024

Page 9 of 18

Sensitivity: Internal (C3) So, because as a combination this infill strategy plus your ASP, could we see production creeping up finally in Q2 of FY '25? These are my two questions.

Vice -chairman : Thanks, Amit. I will, of course, ask first John or maybe Steve first to address the oil and gas, and John in aluminium. But a broader comment, Amit, that while your question around in which month or which period will the refineries start this month, which period will the coal mining start. While relevant, but the way we look at this is that structurally, we have addressed this, and now it's a matter of execution.

It may take a month here or quarter here. But from our point of view, the refinery has been in its last stages of commissioning, both Train 1 and Train 2. It may happen 1 -month earlier, 1 -month later, but we don't stress over that. So that is going to happen in any case.

As far as coal mining is concerned, similarly, we have started to work on the coal mine. It may happen 1 month early, 1 month delayed. But we know that all this integration of coal, alumina bauxite is in the execution space and will start commencing. But let me get Steve on, Steve are you on?

Stephen Moore: Yes, I'm here.

Ajay Goel: So you heard the question Amit had?

Stephen Moore: Yes, I got it. Yes, let me give the answer. Yes. Thank you, Amit, for the question. So yes, you're right, obviously, our production have been declining. We are obviously producing most

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of our oil and gas from very mature fields, 15 to 25 years old. We have a natural decline of about 20% per year with no infill drilling. We are infill drilling modestly at the moment in Rajasthan and maintaining the decline at about 15%.

Obviously, that isn't acceptable. We want to bring the production up. We've got a huge reserve base and resource base to draw upon. And phenomenal exploration portfolio that's going to add to the reserve and resources.

So ASP, you mentioned, is one of the key technologies. We've kicked off the first stage finally after many years delay in Mangala. ASP been injected into the ground. And we should see over the next few months because we're putting it into a pattern, which should respond quite quickly. The gradual increase. But remember, this is the first part of a very large project. The second stage will kick off early next year.

My expectation for second quarter is we're going to be quite flat. So we did 112 in the first quarter. We're going to be sitting at 112, 113 in the second quarter. Third and fourth, we'll start to see the gains, not just from the ASP, but also from the additional infill drilling because we're mobilizing rigs to both the East and the West Coast.

Our biggest infill opportunities are actually offshore rather than onshore, but that production should start to come in during the year. We've also got 5 more wells scheduled in the gas plant. It should start to coming towards the end of the year. So we're looking at an end rate leaving the financial year, 130,000 to 140,000 barrels a day. And that's all of that work coming in.

Vedanta Limited  
August 06, 2024

Page 10 of 18

Sensitivity: Internal (C3) Beyond that, obviously, we've got a lot of exploration ongoing. We've got the rigs that are coming on the East and West Coast, not just doing infill, but doing exploration, which will hopefully produce more satellite fields.

We've got five satellite fields already discovered. Field development plan is sanctioned, both onshore and offshore. They will start to produce oil and gas. We've got the ongoing exploration in the North east, where we've got two rigs drilling. We've got a rig in Rajasthan drilling.

We're bringing a second rig right into Rajasthan, heavy -duty rig to focus on our deeper prospectivity, particularly gas prospectivity around the RDG plant, which as you know, has a lot of spare capacity at the moment. Our aimed to fill that up, get it back to doing 35,000, 40,000 barrels a day oil equivalent as soon as possible.

We've got an ambitious program on the unconventional in Rajasthan. And as Navin said, we're aggressively looking at our deepwater and we're negotiating to bring a rig in to drill some deepwater appraisal wells and doing development studies at the moment.

So I think a modest target of 300,000 is quite modest. I think the portfolio we've got; it was in another company. We would be looking at a target of 500 to 600. But in the short-term, by the end of this year, we should leave the year 130,000 to 140,000.

Vice-chairman : Amit, that answers your question on oil and gas?

Amit Dixit: Yes. Yes. That's very comprehensive and comforting.

Vice-chairman : And John, if you are on, he wanted to know about the alumina refinery ramp-up and coal mining, but anything else you want to add?

John Slaven : What I will say is we are progressing well on these growth projects. As Vice Chairman has mentioned this is a transformative year for us. We are significantly ramping up capacity in refining which is going to significantly reduce our cost position. Currently, we are well into the first quartile from a cost perspective and as we complete the structural changes that will take us well into the first decile. So we're on track to complete that.

What I will say is the national election has had quite a significant impact on availability of labor for this very labour-intensive project.

So our business partners really struggle to mobilize the resources that we have needed on the site which has led to sort of minor delays, but that is now behind us and we are progressively moving forward on those projects.

For the coal mines, with the change in government and as the result which is quite a significant change after many years. There is a slowdown in the approval process there. But we continue to be pursuing those approvals very successfully. We continue to move those through.

And our overall timelines I would say remain sort of largely on track.

So if I talk a little bit more about the Lanjigarh refinery, we have for the purposes of simplicity

Train 1, Train 2 but there's actually quite a lot of shared infrastructure. So the red mud

Vedanta Limited

August 06, 2024

Page 11 of 18

Sensitivity: Internal (C3) filtration the alumina handling, the bauxite facility. So progressively as we complete that we will be able to ramp up capacity to the 4 million to 5 million tons of capacity. So we expect to be running at an effectively a full 3.5 million ton capacity by third quarter of this financial year and a full 5 million ton capacity by early in the first quarter of '26.

In terms of the coal mines both Kurloi Radhikapur we are targeting good first ore in the first quarter of FY '26 and the same with Sijimali. So not quite what we had hoped, but as I said with now a successful change in government those processes are tracking really well. We continue in our land acquisition processes and so we're sort of pretty pleased with how things continue to progress.

Vice-chairman : Thanks, John. Amit, I hope that covered this. But as I said a month here, a month there, but the way we see these are projects which have been invested in they are on track and whether it happens by the third quarter or the fourth quarter the integration is getting executed, Amit.

Amit Dixit : Understood, sir. And appreciate that. Thanks a lot for the detailed answer and all the best.

Vice-chairman : Thank you.

Moderator: Thank you. We'll take our next question from the line of Ashish Kejriwal from Nuvama Wealth Management. Please go ahead.

Ashish Kejriwal : Hi, good evening everyone thanks for the opportunity and many congratulations on the superb result. Sir I have two, three questions. One over the last one quarter we have seen different measures taken by the company and at the Vedanta Limited level as well as Vedanta Resources level to improve the liquidity and which we have successfully done. Now my question is whether we are still looking to improve liquidity besides cash flows or any other major besides cash flows or we are done away with that? And with that, how much more...

Vice-chairman : Ashish that's your question number 1 what is your other question?

Ashish Kejriwal : Yes. So with that obviously how much weighted average cost of debt we think should come down from the current level of something like 10 plus. That's one. Second was because we have already filed with NCLT regarding this demerger. So are we seeing any bottlenecks from the regulatory side or is there any possibility that we can go back from this now or it will be definitely be a done deal? That's my second thing. And third was, is it possible to share what would be the global aluminum cost curve for us so that we can get a sense on where we are in aluminum prices?

Vice-chairman : Thanks, Ashish. So we'll answer your question first on the NCLT demerger. In our mind, having been filed with NCLT which is the last process in a way we think that this is for us a final step. But Ajay Agarwal if you're on, do you want to respond in any other way to Ashish?

Ajay Agarwal : Yes, Vice Chairman. And I think you have covered it. NCLT is the last process and we have successfully filed it and it's a matter of time that it will get done, Ashish.

Vedanta Limited

August

Sensitivity: Internal (C3) Vice -chairman: Okay. Ajay Goel he had a question around liquidity and cost of debt. We know that we are

now borrowing at single digits in India and also a sharp reduction in our borrowing cost at our parent. He also talked about further liquidity. Over to you, Ajay.

Ajay Goel: Yes. Thank you, Vice Chairman. So Ashish you only have noted as on June 30, our net debt - to-EBITDA at about 1.5x. And all of us would agree 1.5 x is by far the industry best in the country. This position is as on June end, post raising a billion in July. And July month also is good in terms of working capital. With that, our net debt to EBITDA as on July 31 is at about 1.2x.

There's sufficient liquidity in the company, both for deleveraging at the same time funding for the growth. In Vedanta, our focus remains on the basics which is a cost reduction, volume augmentation and very important in terms of operating free cash flows. In the current fiscal with operating free cash flows we'll have sufficient liquidity. Any other option strategically is something that we keep internally evaluating. Nothing that, that we intend to share as of now. Our cost of funding as on June 30 at about 10.3% we believe all our recent borrowings are at sub 10%, 9.7%, 9.8% and we intend to reach at about 9% very soon.

Vice -chairman: Ashish, happy with that?

Ashish Kejriwal: Yes. Thank you so much. This is more comforting in terms of interest cost.

Vice -chairman: You also had a question on the global cost curve.

Ashish Kejriwal: Yes.

Vice -chairman: Ashish, my understanding is that at about USD 1,600 -1,700 cost we are in the lowest decile of the global cost curve. The world as you know produces about 70 million tonnes of aluminium and we think that our 3 million tonnes is in the lowest decile at the cost of about USD1,600 USD 1,700.

Ashish Kejriwal: Yes. Sir, I was looking at, in fact, 90th percentile and not our cost because that can give some sense on what could be the bottom for aluminium prices at least from the cost angle side?

Vice -chairman: Yes, John?

John Slaven: I was going to add some further details to your question about where we sit on the cost curve.

And I'll start with that and then you can cover what happens on right hand side. The cost curve that we shared in the recent investor discussions showed that we're in the middle of the first quartile, so the 13 percentile. We have laid out a pathway to getting well to the left, but what's happened since then is the price of alumina, the global price of alumina has increased significantly. It was trading for much in the last quarter well into the USD400, almost USD500 a ton which has meant that the cost of production for pretty much everybody in the industry has gone up by about USD 100 a ton.

And what you would have seen in our total cost between quarter 4 and this quarter was essentially flat. So everybody else has gone up by USD 100 a ton we have shot well further to Vedanta Limited

August 06, 2024

Sensitivity: Internal (C3) the left. So I would say if we redid the evaluation today you would see us comfortably in the first decile from that perspective.

And that logic extends to what happens on the right -hand side of the cost curve and everybody that at the right -hand side of the cost curve is buying alumina at API at the moment and that's USD470, USD480, USD 500 a ton. So that's the steepness of that cost curve has ramped up significantly on the right -hand side.

Now what we've seen is a bit of a demand shock. So we've seen a bit more capacity coming into the market slightly softer demand. So we're seeing slightly lower prices, but that will reverse in time and I would expect to see a much firmer aluminium price in the quarters ahead.

Vice -chairman: Ashish, thank you.

Moderator: Thank you. We'll take our next question

from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Good evening everyone and thank you for this chance. First question is given the volatility in commodity prices have we like done in Hindustan Zinc for aluminium also, have you done any strategic hedging for this quarter or for future quarters in the near term?

Vice -chairman: Any other questions, Sumangal?

Sumangal Nevatia: Yes, a couple of them. One is we have an outstanding intercompany loan of around USD 400 million. When is it due? And I mean if you remember correctly this December we are supposed to reverse the entry. Are we on track for that. And the last one is I just want to know what's the latest on to significant mines which are coming up Ghogharpalli and Sijimali one in

the coal and the second for bauxite which is a very significant contributor to our entire journey of cost reduction. So what's the latest timeline as far as commissioning is concerned for these 2 mines in particular? These are my questions.

Vice -chairman : Thanks, Sumangal. So Ajay, quick one on the outstanding loan, \$400 million.

Ajay Goel: Yes, sir. So the USD 417 million, Sumangal, is due in December and we intend to pay it. So it will get squared off as scheduled.

Vice -chairman : Perfect. On the hedging, Sumangal, as you know, typically, hedging would be done by company who are in the higher decile of the global cost curve. We look at hedging from an opportunity point of view. My recollection is that we have done about 10% hedging for both zinc and aluminium for the year. And at this point of time, we think that at these prices, we would wait and watch and at the right opportunity whether we want to do more hedging, we will take a call but not at these prices. And your third question was on Ghogharpalli and Sijimali. I think John addressed that quite comprehensively unless you want him to repeat what he said.

Sumangal Nevatia: Just the timeline, if you could repeat? I think I missed that for these 2 mines.

Vedanta Limited

August 06, 2024

Page 14 of 18

Sensitivity: Internal (C3) Vice -chairman : Yes. As we said to you earlier in the call that we'll give you a timeline. But in our minds, these

are strategic long -term projects with investment committed and capital allocation done. So therefore for us, whether a month here or a month there is a separate subject but it is under execution. But John, some specifics.

John Slaven: Just repeating what I had said previously. So for Kurloi , Radhikapur , we're looking at first quarter of FY '26. For Ghogharpalli, second quarter of FY '26, Sijimali first quarter of FY '26.

And as I mentioned earlier, those processes have continued to track very much as we had expected. There has been an interruption to the government approval processes with the change in government in Orissa and that sort of slowed things down slightly but we are continuing to track. We have absolute confidence that these timelines will be achieved.

Vice -chairman : And Sumangal, just as an aside, we will maybe get him next time but we have a very senior global leader named David Stone, who is our new CEO for coal. And so he is looking at this how to expedite, how to open this quicker , how to use latest technology, newer technology, so a lot happening there, Sumangal.

Sumangal Nevatia: Great, sir. And great to have you on the call as well. So all the best to the team, sir. Yes.

Moderator: Thank you. We'll take our next question from the line of Vikash Singh from PhillipCapital.

Please go ahead.

Vikash Singh: Congratulations on good set of numbers. Sir, my first question pertains to the aluminium division. The LME has fallen sharply while the cost hit of the alumina is there probably would come in 2Q. So in light of the current situation, do we still feel that we would be able to hold our COP guidance annual basis? And how does the 2Q look

like in terms of cost of

production in aluminium division, specifically?

Vice -chairman : Any other question?

Vikash Singh: Yes, sir. And second question pertains to just to reconcile. One more question. Second question pertains to our \$10 billion EBITDA projections. Basically, just to reconciling, we are expecting roughly about 4 billion from aluminium and roughly about 3.5 billion from Zinc India. Is that the number reconciled? Or we have different projections? So these two only.

Vice -chairman : Yes. So Vikash, the very broad breakup of 10 billion is as follows. On the aluminium , think of 3.1 million ton, think of a cost of \$1,600, think of LME of \$2,600, think of a premium of about \$350. And on that basis, think of an EBITDA margin of \$1,300 into 3.1 is how you get to \$4 billion. Clear, Vikash?

Vikash Singh: Understood, sir. Yes.

Vice -chairman : Similarly for zinc, think of 1.2 million ton, think of 800 ton silver, think of a cost of \$1,000, think of LME of \$2,800, think of premium of \$300 and you will get to that number of \$2.7 billion there. Besides that, we talked about at a 150,000 barrels with \$1 billion from oil and gas and the remaining will come from our businesses of iron ore, steel, value -added products at Sesa Goa, FACOR and Power. So that's the broad breakup.

Vedanta Limited

August 06, 2024

Page 15 of 18

Sensitivity: Internal (C3) Vikash Singh: Understood, sir. Sir, just one further clarification. Any reason why we are taking premium



much higher?

Vice -chairman : The higher premiums Vikash comes from the higher premium comes from the fact that everywhere, we are investing in value -added products. Be it in zinc, be it in aluminium . For example, in aluminium in a year 's time entire portfolio of 3 million tons will be only value -added products. So the higher premium comes from that .

Vikash Singh: Understood, sir.

Vice -chairman : As far as your question around LME and cost in aluminium is concerned , of course, we have seen some reduction in LME. We have seen some increase in alumina costs but we continue to focus on our cost. Our current costs are around \$1,800, as you know in quarter 1. We think we have an opportunity to reduce that by about \$100 sometime at the end of quarter 2. And considering LME of about 2,400 plus a premium of about 250, so we will yet have a margin of about \$800, \$900 even in quarter 2.

Vikash Singh: Point taken, sir. Sir, just one last thing regarding alumina. Since we are , yes, please, sorry, sir, continue.

Vice -chairman : Go ahead.

Vikash Singh: Yes. Sir, last thing on the alumina side. So considering we are the large importer, how do we see this higher alumina prices in the context of current LME aluminium ? So if you could give us your thought process on that, it would be very helpful.

Vice -chairman : Yes. Vikash, we don't look at it like a short -term, too short -term because we know that in a couple of quarters, we will not be buying any alumina externally. So maybe in the short term for a quarter or 2 there will be some higher costs on account of buying of alumina but that 's just a matter of one or two quarters for us.

John Slaven : I'll just add to that.

Vikash Singh: Got it. Point taken, sir.

John Slaven: The alumina price is going to impact all of the other producers out there where we are going to be fully vertically integrated and effectively insulated from a high API price. So as we complete the Lanjigarh expansion, we actually want a high traded alumina price because it hurts everybody else and we get the benefit of a fully integrated value chain.

Vikash Singh: Understood, sir. And sir, repayment pending for the rest of the year?

Vice -chairman : Sorry, what is that?

Vikash Singh: Sir, the repayments on the V EDL as well as VRL level, if you could give us how much we have paid and how much is pending in FY '25?

Vice -chairman : No, Vikash, what is your specif

ic question?

Vedanta Limited

August 06, 2024

Page 16 of 18

Sensitivity: Internal (C3) Vikash Singh: Sir, debt repayment in FY '25, how much we have paid and what is the pending that is the

specific question on both the parent as well as the listed Vedanta Limited level?

Vice -chairman : Yes. I think Ajay Goel answered that by giving you the ratios of our debt -to-EBITDA ratio.

But Ajay any further color you want to give him?

Ajay Goel: Yes, sir. Vikash, so very specifically starting first with the parent Vedanta Resources. In the remainder of the year, second quarter until the fourth quarter, the remainder 8 months, the total debt at the parent company is about \$ 580 million. And additionally, the interest of almost 420 million, 430 million. So give and take 1 million is total fund requirement at parent company. Obviously, with the rating of B family, refinancing at VRL is an option. Payment of dividend in the second half or in the second quarter is an option. And of course, strategic partnership is an option. So give and take, \$ 1 billion is the requirement at VRL between now and 31st March.

Coming to Vedanta Limited. In the second half now and 31st March, almost \$ 1.2 billion is the requirement. And I like to underscore almost every debt at VDL is secured. Hence, refinancing is an option. And given the current year's elevated profitability and the free cash flow to managing the VDL debt either by refinancing or repaying through operating free cash flow. So overall, we as a group are quite comfortable for debt, both for VRL and VDL.

Vikash Singh: Thank you for the elaborate answer, sir, and all the best for future.

Moderator: We'll take the next question from the line of Raashi Chopra from Citigroup. Please go ahead.

Raashi Chopra: On this 10 billion EBITDA for aluminium , what is the cost that you are building and what is the premium that you are building in? And outside of \$ 4.1 Bn for aluminium and 2.7 for zinc, what is the remaining? Thank you.

Vice -chairman : Raashi, in case of aluminium , we are building a cost of between \$1,600 to \$1,700 and a premium of \$300, and LME of \$2,500, \$2,600. That will take you to \$4 billion. Zinc you know, the rest, as I mentioned, oil and gas about \$1 billion, and the remaining \$2 billion or \$2.5 billion will come from a combination of iron ore, pig iron, Zinc International,

Electrosteel, FACOR and Power.

Raashi Chopra: Understood. And I also missed on what status of the BALCO expansion?

Vice -chairman : Okay. John, again, a very specific one. Go ahead.

John Slaven: Yes. So we are continuing to progress that construction. We are expecting first metal in the fourth quarter of FY '25 and a ramp -up in the sort of middle of FY '26.

Vice -chairman : Operator, I know there is no question yet, but I would like to invite Chris Griffith, our CEO of Base Metals. Chris, are you on?

Chris Griffith: I am, Vice Chairman.

Vedanta Limited

August 06, 2024

Page 17 of 18

Sensitivity: Internal (C3) Vice -chairman : And Chris, maybe you want to tell this audience one more time of our 1 million ton plan at

Zinc International and similar on the world -class KCM opportunity.

Chris Griffith: I'll do that. Thanks for the opportunity, Vice Chair. So for Zinc International, we are currently running at a run rate of about 250 kilo tons of zinc. Within 2 years, we will be at 500 kilo ton.

And as Vice Chairman said in the introduction, we have the same volume of resource and reserve as Hindustan Zinc has that is already producing over 1 million tons of zinc.

We have 4 underground ore bodies that are sitting with our open pit operation at Gamsberg, and we easily could put another 500 -kilo ton of production over the next number of years once we finish Phase 2 expansion to get to 1 million tons. In addition to that, we've got both a life extension and an expansion opportunity and still at the same complex, and t

hen also a potential

of some expansion in Namibia.

So we have a number of opportunities to get on a high -grade ore body to be able to get to 1 million tons on the same sort of resource base that we have at Hindustan Zinc, which is another way of looking at it that we have easily the capacity to get to 1 million ton. And we can do this in the next 5 years , 6 years, 7 years. So a really fantastic opportunity for us on a really awesome ore body.

That's one of the largest zinc deposits anywhere in the world. Likewise, at KCM, so most folks have been following Vedanta for a number of years, they know the Vedanta has been in dispute with the Zambian government over the Konkola Copper mines ore body in Zambia. We announced at the end of last year that we've reached agreement with government on the return of that asset to Vedanta.

We have processed over the first quarter of this year and have recently as last week, concluded all of the matters outstanding. And the keys finally got handed , the figurative keys got handed back to Vedanta for KCM at the end of July, so the end of last month. So now we have back the keys to the operation of one of the largest and highest -grade copper deposits anywhere in the world at the moment, with the potential for very fast ramp -up from about 100 kilo tons of copper production that we'll get to by the end of the financial year.

So 9 months from now, we will be at a run rate of about 100 kilo tons of copper, and then a very fast ramp -up over the next number of years to be able to get to 300 kilo tons of copper on one of the highest grade ore bodies in the world and over 2.5% copper, where many of the world's ore bodies are running at less than 1% copper with more than a 50 -year life of mine. So a really fantastic ore body, but we have committed to spend about \$1 billion over the next 5 years to achieve that ramp -up. I'll leave it there, Vice Chair.

Vice -chairman : If do you want to also explain the Cobalt opportunity there.

Chris Griffith: Yes, that's a great thing. I should have mentioned that as well, Vice Chair. We currently produce in that 100 kilo tons of operation about 1 kilo ton of Cobalt . We are in the design phases of increasing that or putting in a plant that will extract, Cobalt . And over the next few years, we can extract over 6 kilo tons of Cobalt per annum, with the plan further once we've done that and we ramp up to 300 kilo tons, a potential to get to 10 kilo tons of Cobalt .

Vedanta Limited

August 06, 2024

Page 18 of 18

Sensitivity: Internal (C3) Again, one of the leading Cobalt producers in the world once we have, so relatively limited capital investment, be able to produce Cobalt on top of the copper that we produce. So with a focus on the value -added opportunities.

Vice -chairman : Thanks, Chris. Back to you, operator.

Moderator: I now hand the call over to Ms. Perna Halwasiya for closing comments. Over to you.

Perna Halwasiya: Thank you all for taking time to join us. I hope we are able to answer most of your questions. In case you have any further questions, please feel free to reach me or my colleagues at the IR

team. This concludes today's call. We look forward to reconnecting you for the next earnings quarter. Thank you everyone and have a good day.

Vice -chairman : Thank you.

Moderator: On behalf of Vedanta Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Nov 2024

Page 1 of 19

Sensitivity: Internal (C3)

"Vedanta Limited Q2 FY25 Earnings Conference Call"

November 08, 2024

MANAGEMENT : MR. ARUN MISRA – EXECUTIVE DIRECTOR , VEDANTA LIMITED

MR. AJAY GOEL – CHIEF FINANCIAL OFFICER , VEDANTA LIMITED

MR. AJAY AGARWAL – PRESIDENT , FINANCE , VEDANTA LIMITED

MR. HITESH VAID – CHIEF FINANCIAL OFFICER , CAIRN OIL & GAS – VEDANTA LIMITED

MR. CHRIS GRIFFITH – CHIEF EXECUTIVE OFFICER , BASE METALS , VEDANTA LIMITED

MR. SUNIL GUPTA – CEO, JHARSUGUDA AND COO, ALUMINUM BUSINESS

MR. ANUP AGARWAL – CFO, ALUMINIUM BUSINESS

MS. PRERNA HALWASIYA – DEPUTY HEAD, INVESTOR RELATIONS AND COMPANY SECRETARY , VEDANTA LIMITED

MR. CHARANJIT SINGH – GROUP HEAD INVESTOR RELATIONS – VEDANTA LIMITED

Vedanta Limited

November 08, 2024

Page 2 of 19

Sensitivity: Internal (C3) Moderator : Ladies and gentlemen , good day and welcome to Vedanta Limited Quarter 2 Financial Year '24 -

'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touch -tone phone. Please note that this conference is being recorded. Participants connected on Webcast link may change the quality settings to 1080p to watch the proceedings on best quality .

I now hand the conference over to M s. Prerna Halwasiya – Deputy Head , Investor Relations and Company Secretary, Vedanta Limited. Thank you, and o ver to you.

Prerna Halwasiya: Thank you, Yash ashree. Good evening everyone , and welcome to Vedanta Limited 's Q2 FY '25 Earnings Conference Call. I am Prerna. I am the Deputy Head , Investor Relations and Company Secretary for Vedanta.

On behalf of the entire team, I would like to thank you for joining us today to discuss our financial results and business performance. The transcript of this call will be made available on Vedanta Limited's website. The press release and presentation are already available on our website.

Today, from our leadership team, we have with us , Mr. Arun Misra – our Executive Director; Mr. Ajay Goel – our CFO; Mr. Ajay Agarwal – President (Finance ). We have Charanjit Singh who joins us as our Group Head Investor Relations. We have also leaders from some of our key businesses . Mr. Sunil Gupta – CEO, Jharsuguda and COO, Aluminum business; Mr. Anup Agarwal – CFO, Aluminium Business; Mr. Chris Griffith – CEO, Base Metals business; Mr. Hitesh Vaid – CFO, Cairn Oil and Gas .

Please note today's entire discussion will be covered by the cautionary statement slide on the Presentation Slide # 42. We will start with the update on our "Operational " and "Financial Performance " followed by the Q&A session.

Now I would like to hand over the call to Mr. Arun Misra .

Arun Misra: Good evening, everyone. Thank you for joining today's "Quarterly Business Performance

Update ”.

I am pleased to address you today to share Vedanta's 2nd Quarter and First Half of FY '25 performance. The first two quarters of FY '25 were marked by growth and operational excellence with a strong commitment to sustainability.

As a global industry leader, ESG is at the core of our operation. And as you are aware, we have partnered with Serentica Renewables to secure 1,826 Megawatts of renewable energy power

Vedanta Limited

November 08, 2024

Page 3 of 19

Sensitivity: Internal (C3) delivery agreements. Serentica's ambitious goal of adding 17 to 20 Gigawatts of renewable energy capacity by FY '30 aligns with our vision.

In the 2nd Quarter, Zinc India expanded its renewable energy commitment by an additional 80 Megawatts, bringing our total group commitment to 1,900 megawatts. Both Zinc India and our Aluminum businesses have already begun utilizing renewable energy. We are determined to extend this initiative to all our businesses in the coming quarters, steadily moving towards our goal of net zero carbon emission.

We successfully hosted the third edition of the Delhi Half Marathon, an event dedicated to support the cause of run for zero hunger. I am thrilled to announce that our collective efforts have made a strong impact. Together, we have raised 10 million meals to support children and animals in need through Anil Agarwal Foundation.

Our commitment to ESG is recognized globally. We are proud to announce that we have once again secured a top three ranking in S&P Global CSA assessment for the year. This marks our second consecutive year of this achievement, highlighting our s

trong ESG practices and reporting.

Now coming to Quarter 2 FY '25 Key Highlights :

Moving on to Quarterly Performance:

I am pleased to report a strong Quarter 2 performance marked by operational excellence. Our quarterly EBITDA increased by 44% year-on-year to 10,364 crores. We have delivered our all-time high first half EBITDA of Rs. 20,639 crores, up 46% year-on-year.

Our EBITDA margin increased by 9% from a robust 25% in 2nd Quarter of last year to an industry leading 34% in 2nd Quarter of the current fiscal driven by our structural cost reduction initiatives and operational efficiency.

Our profit after tax before exceptional increased by 230% year-on-year to 4,467 crores.

Moving on to operational performance. Vedanta's Aluminum and Zinc operations continued their industry leading cost positioning, consistently ranking in the top quartile and decile of the global cost curve respectively.

The aluminum business achieved its highest ever quarterly and half yearly production of 609 KT, up 3% year-on-year and 1.205 million ton, up 3% year-on-year respectively. Our quarterly cost of production is lower by 4% year-on-year. Despite rising aluminum market prices globally, we maintain hot metal costs flat sequentially demonstrating the strength of our assets, our operational and buying efficiencies.

Vedanta Limited

November 08, 2024

Page 4 of 19

Sensitivity: Internal (C3) Hindustan Zinc achieved its highest ever 2nd Quarter mined metal and refined metal production at 256,000 tons and 262,000 tons respectively. We have delivered lowest first half cost in the last 4 years with 2nd Quarter FY '25 Zinc India cost of production being \$1,071 per ton. Going forward, we are on a clear trajectory to achieve the lowest full year cost of production in our last four years of operation.

In the Zinc International business, Gamsberg Mine delivered a strong 21% quarter-on-quarter increase in MIC production, reflecting significant progress in operational stability and efficiency. We anticipate MIC production to normalize by the end of this fiscal year, and we are confident in achieving 230,000 tons of total MIC production for the full year in our Zinc International business.

Our Iron Ore business faced some external challenges in the first half of this current fiscal. Bicholim Mine in Goa was unable to dispatch ore due to lack of transportation permits in the first quarter. Heavy rainfall further impacted production in the 2nd Quarter. However, we have now secured the necessary transportation permits, and Goa mining operations are now running at or above our stated capacity. With these developments, we are confident of achieving our annual production guidance of 11 million tons per annum from the iron ore business in FY '25. Regarding growth projects, after delivering a strong performance in the first half of the year, we are optimistic about continued growth and opportunities that lie ahead.

In aluminum, the ramp-up of Lanjigarh Refinery's Train 1 is progressing well. The current total

production run rate is 3 million tons per annum as we speak as against 3.5 million tons per annum capacity. We expect to fully ramp -up Train 1 by December 2024. We are also on track to commission Train 2 in Quarter 3 FY '25, with full ramp up expected by quarter 1 of FY '26. BALCO smelter expansion is advancing steadily with all equipment orders fulfilled and installations under advanced stage. These developments along with some volume debottlenecking projects will enable us to reach a production capacity of 3.1 million tons per annum of aluminum with 90% comprising value -added products and alloys. In Zinc India, 160,000 tons per annum roaster at Debari and 0.5-million -ton fertilizer plant are processing as planned with final commissioning targeted in the last quarter of this

current fiscal

and 2nd Quarter of the next fiscal respectively.

Zinc International is one of the largest Zinc deposits globally. Our Phase 2 expansion project is in full swing with full ramp -up expected during FY '26.

In FACOR , I am happy to announce that we have received environment clearance for our underground mine expansion and 300 kilo ton per annum Ferrochrome capacity. With this, we are on track to become the India's largest Ferrochrome producer.

Vedanta Limited

November 08, 2024

Page 5 of 19

Sensitivity: Internal (C3) In power, this fiscal year will mark the full commissioning of Meenakshi Power Plant 1,000 Megawatts . Our Board has also approved the project CAPEX of 5,209 crores for 1 ,200 Megawatts Athena Power Plant . As you are aware, we have already secured Rs. 3,900 crore in project financing in this project. With this, we are well positioned to generate 5 Gigawatts of commercial power within the next 18 to 20 months.

Looking ahead, we remain committed to delivering an outstanding performance in FY '25 driven by our robust project pipeline and strategic investments. Our integration and growth projects are progressing smoothly, and we anticipate achieving these milestones with in the next 9 to 12 months.

Our focus on cost reduction has been a cornerstone of our profitability. Through our structural interventions and initiatives, we have significantly reduced our cost of production over the past 12 to 15 months, and we are confident in our ability to continue this trend in the coming quarters. Our demerger process is also progressing well, with the first NCLT hearing successfully completed.

In summary :

We have continued our strong performance, building on the momentum from the first quarter. We are proud to report our highest -ever first -half EBITDA of Rs . 20,639 crores in this year. The second half of this year will be a transformative period, as our major projects come online and ramp up going by the historical trends, where the first half typically accounts for 40% of the total annual EBITDA. We anticipate achieving our highest -ever annual EBITDA in FY '25 by delivering the remaining 60% in the second half.

In Vedanta, we remain committed to our long -term vision of sustainable value creation. By focusing on our strategic priorities and leveraging our unique capabilities, we are well-positioned to capitalize on emerging opportunities and deliver sustained growth.

Over to you, Ajay.

Ajay Goel: Thank you, Arun, and good evening, everyone. This quarter stands out as the most remarkable one, with considerable advancement in our corporate actions, robust financials, and highly effective operations.

I am very pleased to announce that we have achieved our highest -ever H1 EBITDA of 20,640 crores , a 46% growth Y-o-Y, and 2nd Quarter EBITDA of 10,364 crores , with a 44% Y-o-Y growth. This is driven by structural and sustainable cost optimization and supported by favourable prices. The Y-o-Y comparison focuses on core performance and excludes the one-time gain from Cairn arbitration that we recorded Q2 of last year.

Vedanta Limited

November 08, 2024

Page 6 of 19

Sensitivity: Internal (C3) In this quarter, our PAT before exceptionals is INR Rs. 4,467 crores reflecting 230% growth Y-o-Y. So, I repeat , it is a 230% growth Y-o-Y, and with the addition of exceptional items , our PAT reported reached 5,603 crores .

Let us now turn to a few of the Financial Highlights for 2nd Quarter :

Revenue for 2nd Quarter at 37,171 crores , 10% growth Y-o-Y. EBITDA 10,364 crores marking a 44% growth Y-o-Y. EBITDA margin at 34% , an increase of 900 basis points Y-o-Y, which is an industry benchmark.

Our net debt to EBITDA ratio further improved to 1.49x , the best in the last six quarters for Vedanta . Also , our ROCE stands at 23% , up 152 basis points Y-o-Y, and finally , the free cash,

flow, pre CAPEX at 8,525 crores , reflecting a 50% growth Y-o-Y.

Moving on briefly to balance sheet and debt. I am happy to report that our net debt as of September end has declined to 56,927 crores marking a reduction of 4,400 crores versus Q1. So , this is sequential.

We finished the quarter with a liquidity position of 21,509 crores, reflecting an increase of 30% both Y-o-Y and quarter -on-quarter with an average maturity at 3 years.

On corporate actions in July, as you have noted, we have raised about \$ 1bn / 8,500 crores via QIP, which is the largest issuance in metals and mining in our country. The funds from the QIP will deleverage Vedanta Limited, thereby reducing interest costs by over Rs. 1,000 crores annually.

In August, we further augmented our capital base by raising \$400 million through offer for sale for Hindustan Zinc Limited. And finally, all this has been well noted by rating companies and ICRA has raised our long -term rating from AA- to AA and CRISIL revised its outlook to watch with positive implications while reaffirming our AA- rating.

On VRL, I like to highlight the significant progress in deleveraging our parent company Vedanta Resources Limited, VRL. Over the past 2.5 years, we have reduced debt by \$4.7 billion, bringing it down to \$4.8 billion, which is the lowest level in the decade. I repeat, the VRL debt at \$4.8 billion is the lowest over a decade. In H1 of the current year, which is April -September, VRL debt has come down by a billion. So , we are ahead on our commitment of 3 billion over three years. So , we are doing more and we are doing early.

Additionally, in the current quarter, we refinanced at Vedanta Resources \$1.2 billion bonds. Of this, the last tranche came at 9.99% yield . Overall, this refinancing is 3% lower cost resulting in annual savings of over Rs . 300 crores.

With VR L's ongoing deleveraging and other actions such as refinancing, the parent company will have a single -digit cost in the near future with interest obligations a t VRL will be covered Vedanta Limited

November 08, 2024

Page 7 of 19

Sensitivity: Internal (C3) through brand fees while the principal will be financed through a routine dividend. This will ensure that VRL in future is self -funded.

On demerger, the demerger as you may have noted in its final stages with the shareholders and the creditors meeting planned in coming months , set to unlock significant value and enhance our leadership in critical minerals.

In Summary:

Our EBITDA for the first half at group level stands at about 2.6 billion. Historically, our second half has accounted for about 60% of our annual performance. So , we expect a similar trend in the current year.

Besides the linearity between H1 and H2, there are other key businesses such as Zinc International, Iron Ore and Steel . They will see an improved momentum in the coming months.

As you have noted, several major capital projects are set to reach completion across key business segments , and our growth momentum will further carry forward into next fiscal.

We will have a monthly EBITDA run rate of more than 650 million as we close FY '25, the current year. Given these developments, one may expect an even stronger EBITDA in FY '26 next year. We will share further guidance on our FY '26 outlook later in the year.

In Conclusion:

I like to reaffirm our commitment to three key areas, which is business delivery, deleveraging, and demerger . Thank you. And with this, I hand over to the operator for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Amit Dixit from ICICI. Please go ahead.

Amit Dixit: Congratulations for a good set of numbers in a very trying quarter, I would say. Couple of questions from my side. The first one is essentially on aluminum cost.

So, if I look in this quarter,

the hot metal cost is \$1,734 per ton. Our guidance for the year is lower, but alumina cost has surged. So, what confidence we have in meeting the aluminum cost guidance in this backdrop?

Ajay Goel: Our Aluminum CFO, Anup Agarwal to respond.

Anup Agarwal: So, thank you, Ajay. So, Amit, to your question now , so you would have seen even in this quarter now while the aluminum cost has been higher, you will see that on the power and the other costs, we have shown a lower number. Going forward, the near -term opportunity lies in Lanjigarh expansion. The work that we have done on our assets, that will give us further reduction in terms of the power costs and the operational efficiencies.

Vedanta Limited

November 08, 2024

Page 8 of 19

Sensitivity: Internal (C3) So, Amit, what we have done is we have kept the target the same, \$1625 to 1725. In H1, we

have done 1725, and we believe that in Quarter 3 and Quarter 4, we will be back to the lower cost levels, which will maintain our cost guidance at the same levels.

Amit Dixit: No, the question was more in the line because alumina prices have surged in the recent times. So, maybe the inventory that you might have had for imported alumina would have kept the cost a little bit lower in Q2. But going ahead in Q3, when that complete impact will hit us and coal mines are still some way away. So, that's what I was wondering that how can you maintain the alumina cost at the similar level as Q2?

Anup Agarwal: So, Amit, let me reiterate. You are right. See, the alumina prices have increased, bought out alumina. Let me reiterate that as we go into Q3 and Q4, Lanjigarh ramp up is coming into the field. Arunji mentioned that our present run rate is somewhere around 3 million tons, almost 30%, 35% higher than what we have done in the first two quarters. So, the cost opportunity lies in Lanjigarh ramp up.

As I mentioned on the power side, the first two quarters we have done major repairs and maintenance. We will now have the benefit of it where you will see almost \$40, \$50 lower. So, Amit, basically we will see bought out alumina prices - this will be higher, which will be to an extent or mostly offset by power costs and the other costs. And of course, on the alumina, let me also tell you that not all our contracts, bought out contracts are market linked or the API current cost linked. There are also some contracts which are linked to Aluminium and that will give us the benefit.

Amit Dixit: The second question is on oil and gas. So, is it possible to give some more detail about the progress of ASP injection in Mangala well pad? We have taken some write back of impairment that we took earlier. So, how much more impairment can we write back based on the current progress? In particular ASP injection progress would be something that I am looking for. And also, whether we expect this decline in Mangala oil field, MBA oil field rather to be arrested in this year?

Ajay Goel: So, let me start with the first, the Cairn impairment part and request my colleague Hitesh Vaid, Oil and Gas, CFO, to comment on volume one. So, as you know, Amit, in terms of impairment exercise across the business verticals between the carrying value on the balance sheet and future cash flows, this exercise is quite routine and is semi-annual. We do it at least twice in a year. So, it is part of the same process, September and March end.

Now for enhanced oil recovery Vedanta Oil and Gas has commenced injection of ASP in few select fields in Mangala field. Now this program of injection of ASP is working out well. It will also proliferate increase to other areas. This has led to accounting for higher resources in the entire valuation model. That is one part.

Secondly, as we know, while looking at the valuation of an asset, there are dozen

other factors.

Example remains the cost of capital, tax rate, discount to Brent, gas prices, all of those. Looking

Vedanta Limited

November 08, 2024

Page 9 of 19

Sensitivity: Internal (C3) at all the factors, we have taken an impairment reversal in the current quarter. Now while making a provision, one has to be conservative and when we write back a provision, we are doubly conservative. So, the entire write back has a tinge of conservatism on write back. And in terms of the volume, I will request Hitesh Vaid, CFO, to comment.

Hitesh Vaid: So, ASP has been one of our key projects which we have been trying to implement. What we have done is we have started injecting in a couple of well pads in Mangala. In parallel, we have also awarded a contract for large-scale execution across a cluster of Mangala well pads. So, while the current injection has already started and we have started seeing some gains in the next 3 to 6 months, the larger project is also on where we will start injecting in around 15 to 18 months' time across all the well pads.

So, ASP is one project which we were talking about, now it is being executed on the ground.

And of course, as we have said earlier, the ASP project is going to lead to an increased recovery of around 10%, which will translate across India, it leads to an increased recovery of more than 200 to 250 million barrels. So, that project now is on the ground running, and we will start seeing some reversal of the decline which we have seen in the past. But this is one part of the story as far as oil and gas business is concerned.

So, beyond the ASP as well as the in-field wells which we are drilling to manage decline, what we are also doing is on the East Coast, we are working on a five-year exploration campaign and that we intend to start somewhere in March. On the West Coast, we are again starting a drilling campaign from December 2024 onwards. The rig is being mobilized, and that program targets five infill wells.

In addition, we have a DSF field in the West Coast, Cambay, which we had acquired some time back. So, we are trying to put that also into production, which will happen once we complete this 5-year program, there will be a continuous drilling program to get that also in line.

In parallel, what we are also trying to do, I mean one of the most exciting prospects which we



have is our Deepwater East Coast prospect. We are looking for partners. It has material volume. We believe it is in excess of 5 TCM and that's why our plan is to spud the well in a year's time. We have 3-4 discoveries in that block. So, we are trying to monitor that discovery as well as bringing the new partners who can help us with further exploration. So, that's the whole story. But yes, the ASP injection, which is the key, we have already started, and we will start seeing gains from the project.

Moderator: Thank you. We will take our next question from the line of Ashish Kejriwal from Nu vama Institutional Equities. Please go ahead.

Ashish Kejriwal: Sir, again my question is also on aluminum. You said that we can overpower the rising alumina price by reducing power cost or increasing our aluminum volume. But even after that, one thing is how our power cost will reduce \$40-\$50 when either you are saying that FSA power will increase or e-auction prices are on a higher side?

Vedanta Limited

November 08, 2024

Page 10 of 19

Sensitivity: Internal (C3) And secondly, in terms of alumina, when you are talking that we have delivered around \$813 per ton cost in this quarter, so do you think that we can manage going forward also with the help of captive alumina as well as you mentioned that we have a contract also in alumina? So, this match, if you can explain in detail which can give us a comfort or confidence on maintaining our guidance of overall 17 25\$/t, that will be great, sir.

Anup Agarwal: Hi, Ashish. Anup on this side. So, Ashish, first let me come to the power cost. As I said in the first two quarters, we have done major repair and maintenance in our assets and when you will look at it, there will be a cost to the tune of \$40-\$50 which has gone in the cost. And to your question on the coal, both the linkages and our captive coal constitutes around 85% of our total coal consumption and in MCL, e-auction premiums are nil. So, you will see that is what gives us the confidence that once the monsoon is also over, we will get the better coal grade and the coal cost will be \$50-\$60 lower. So, that is one point.

The second point on your question on the alumina, so I agree that maybe a month or two we may see a higher alumina cost, but as I said that as we go forward in the Q3 and Q4, the Lanjigarh expansion, I will reiterate that we are running at a capacity of 3 million tons, that is a run rate of 3 million tons, and we will also start commissioning the Train 2 in the month of December. So, as we exit the year now, we will almost be at a run rate of you can say 4 million tons with our coal, alumina, and of course some long-term contract at a lower price, as I said, we believe that Quarter 4 cost would offset if at all some cost inflation is there in the Quarter 3. So, that is what gives us confidence that we should be able to meet the 17 25-1750 guidance, what we have given.

Ashish Kejriwal: So, you mean to say that we are already, so October month also we have run at a run rate of 3 million tons in alumina plant. This is as of today you are saying.

Anup Agarwal: So, Ashish, let me tell you, see, and I will reiterate what we said in the last call also, that we have been running with some shared infrastructure, okay. Those shared infrastructure were in terms of red mud handling system, alumina handling system and the bauxite handling system. So, in the month of October, one of those have come into line. That is the red mud. We will have the alumina handling system coming into line this month, the first mid-half and that is where the capacity has gone up to 3 million tons. So, the current capacity as we are running today is at 3 million tons.

Ashish Kejriwal: Secondly on coal blocks, because we have been hearing it for last one year now, we are on the verge of commissioning of this coal block. So, is it able to understand when can we expect now and where we are actually on receiving the approvals?

Ajay Goel: So, our Aluminum sector COO – Sunil Gupta is on line. I request Sunil to comment on the question.

Vedanta Limited

November 08, 2024

Page 11 of 19

Sensitivity: Internal (C3) Sunil Gupta: For the coal block like the Kuraloi coal block is in the advanced stage now. We are on the verge

of getting the forest clearance. We have already done the public hearing and everything is done.

We have started acquiring the land also. Government land is already allotted. CA land is already allotted. So, Kuraloi coal block we are expecting first quarter of '26, it will get operationalized and which we are trying to ramp up by third quarter of '26.

The Radhikapur, we have already got the forest clearance. We are in the process of land procurement there and which is also expected that we are trying to operationalize before first quarter of '26.

And for the Ghogarpalli, we have already got the vesting order from the government. We have

started the approval process from the government, which we are targeting by 4th quarter of '26 it gets operationalized. We are on track in this.

Ashish Kejriwal: So, Radhikapur or Kuraloi, do you think that any further delay in that, any other thing which can struck us and this Q1 can become 4Q FY '26?

Sunil Gupta: Right now, I have, this is Kuraloi Mine, I am very, very clear that it will get started in the first quarter of '26. Radhikapur also, we are on track and only because of some election, central

election, it got delayed, some process. Otherwise, it has picked up. So, I don't see any further delay in the opening of the coal blocks.

Ashish Kejriwal: And sir, lastly, about our demerger, where we stand, do we think that we can still manage to complete the process by FY '25 and/or there could be some spillover? Or is there a possibility that we get approval for all the companies and not for all and then we can't demerge all?

Ajay Agarwal: So, thank you for your question. We are very confident that this whole demerger process is the last leg of completion. And we are very confident that this will get done on or before 31st of March 2025. Our scheme is extremely flexible, and it allows us as and when each of these companies gets approval from NCLT and along with creditors and shareholders' approval, has the ability to get listed as and when we have the approval.

Moderator: Thank you. We will take our next question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: My first question is on Aluminium. So, during the quarter, we had an accident at Red Mud Pond at Lanjigarh. Just want to understand what was the impact? Is everything running regularly now? And what was the financial impact also of some compensation which we read in the news articles?

Sunil Gupta: So, for the Lanjigarh water pond breach, there is no impact on the operations. When it happened, we did not have any interruption in the operation. We are running our Lanjigarh plant as usual.

There was only some part of the land which got affected, which has been already cultivated, and it has been given back to the villagers. We had already paid, we had already reimbursed some

Vedanta Limited  
November 08, 2024

Page 12 of 19

Sensitivity: Internal (C3) compensation as advised by the District administration. As such, there is no financial impact because of this pond breach.

Now, we have already taken steps to again repair this water pond. And IIT Roorkee has been engaged in that and we have already engaged one third party for the review of the design.

Arun Misra: Sunil, Arun Misra here. See, first clarification is, it is not the red mud pond. It is the in-process water reservoir. Again, these reservoirs are normally empty through the year. It gets filled up only in the monsoon. And this time, it was an unexpected rainfall over a short period of time that caused the overflow and caused the water to go out. That is when our people were so alert, it could be quickly checked in time. Whatever little damage to the paddy fields happened, that could be recovered. And now we are ensuring that what is the excess amount of rainfall water it can accommodate, to that account, we are putting global experts into the redesigning of these process water ponds. Normally, we don't need to increase the capacity, but we will ensure that, you know, last 50 years, as to the rainfall, we should be able to protect ourselves. And that is the kind of global standard we are trying to adopt now.

Sumangal Nevatia: Next question is on alumina production, full-year guidance. There has been cut versus what we had guided at the start of the year. So, just want to understand, is it because of delaying line to Train 2 or some other reason?

Anup Agarwal: Hi, Sumangal. See, as I said in the beginning that we were running with some shared infrastructure, you are right. So, we had some delays there and not helped by the unprecedented rain that we saw. But I think that is now behind us and Quarter 2, we will see almost 30%-35% better production compared to the H1. But yes, in the beginning of the year, the guidance that we had given, we are now revising our guidance slightly lower.

Sumangal Nevatia: And given that, so you commented that end of fourth quarter,

we will be running at 4 odd million

tons run rate. So, for next year, should we expect somewhere in the range of 4 to 5 million tons of production? I mean, what's our bauxite sourcing break up for that?

Anup Agarwal: Sumangal, so let me tell you, as I said, that we will start commissioning the Train 2 by end December - early January. And we expect that by June - July, we should be able to fully ramp it up. Okay. So, to that extent, the math, if you do, you will get where we will have the alumina.

Coming to the bauxite, and we said in the beginning that Sijimali, we are seeing a good traction now, and we expect that in quarter 1, next year, we should start the mine. And to the bauxite requirement, we feel that OMC and OMC is also expanding its mine. Between OMC, Sijimali and maybe some other sources we should be able to tie up the entire bauxite requirement for the next year.

Sumangal Nevatia: I just wanted some more , I mean , some details on the coal mine. So , Radhikapur FC2 was pending as far as I remember. So , have we secured FC2 for Radhikapur? And also, what is the status of Ghogarpalli ? Is the mining plan or EC , FC been secured there ?  
Vedanta Limited  
November 08, 2024

Page 13 of 19

Sensitivity: Internal (C3) Sunil Gupta: Coming to Radhikapur FC2 still is in process . We are targeting that within one-month time we

get it . Ghogarpalli, like I said, we have already received the mining plan and land schedule . Now we have submitted for the approval to the government authorities .

Sumangal Nevatia: And for Sijimali , I think mining plan is approved, but what is the status of EC , FC at Sijimali ?

Sunil Gupta: So, for the Sijimali already we have done the public hearing and the Gram Sabha hearing . We have applied for the FC1 , and we are expecting that FC1 is we get by this month or by 15th of December. So, Sijimali is already on track. We have already acquired 800 acres of govt. land.

So, this is the status of Sijimali block .

Sumangal Nevatia: If I may just squeeze in one more question on VRL, one is we had the ICL due, I think , by end of this year, December. So, are we on track to receive that outstanding intercompany loan from VRL ? Number one. And number two , at \$4.8 billion net debt, what is our interest obligation? And also , are we looking at ending this year lower or has there been some front ending of payment, I think , from a royalty perspective in the quarter ? So, for this year, is it possible to guide what is the end target for net debt at VRL?

Ajay Goel : Sure. Maybe I will start with the last one , Sumangal, and as you will recollect at the year beginning, we guided the market that the VRL debt, we further deleveraged \$3 billion over three years, starting this year first April. And in the first half alone, we have deleveraged by a billion. Now , how much more we can do ? As you know in the second half, the requirement is almost 220 odd million between now and December and plus interest almost equal value. We believe most of the second half requirement will be met through free operating cash flows. So, one may look at a number of more about 4.6 or so at VRL once the year is closed.

Secondly, in terms of ICL between V EDL and Vedanta Resources , the last tranche , almost 417 million is due towards year -end. It will get serviced as we come close near the maturity. The past couple of installments have also been serviced . So, we will address as it becomes due in third quarter.

Finally, in terms of interest cost, the second half requirement is almost 190 million , and we believe our next year requirement will be almost 550 to 600.

I also like to present the bigger picture for Vedanta Resources very briefly. So, the 4.8 requirement as of now has three components . It has bonds worth 3 billion . It has a billion worth of bank loans , and the remainder 850 is PCF, the private facility f

rom Stan Chart . We will

refinance all the bond stacks between November and January over next three months ' time. The bank loans will get refinanced , repaid as and when they become due .

And finally , the PCF from Stan Chart , next installment is due sometimes in April . It will be addressed half 400 million by the brand fee in April . So, net net, overall by end of this fiscal or early Q1 next year, the cost of funding at Vedanta Resources will be single digit, debt give and  
Vedanta Limited

November 08, 2024

Page 14 of 19

Sensitivity: Internal (C3) take 4.5 billion. In that case, the interest obligations at VRL will be met through a routine brand fee. Hence, the operating profit and loss account at VRL will be self-funded .

With bond refinancing done in the last couple of months and more in the offing, the maturities at VRL going forward will be 700 million or so. And that principal agreement can be easily taken care of by a routine dividend with 5 %-6% yield. Net net VRL starting next year will be self-funded in equilibrium, both P&L and the balance sheet.

Sumangal Nevatia: That's a great turnaround. So , thanks for this detailed explanation and congratulations on this. I am done with my questions.

Moderator: We will take our next question from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Couple of questions. First, I will just continue with VRL. Sir, just a clarification . When we see this \$4.8 billion, is this including ICL and whatever we have outstanding on KCM? If not, including both these variables , what the number would be ?

Ajay Goel: So, the 4.8 , Ritesh, is the external debt. So , it does not include the inter-company loan. And when we speak of numbers of 4.7 deleveraging, it is all apple-to-apple . So, 4.8 plus 0.4, 5.2 is total debt.

Ritesh Shah: And do we , sir, have anything outstanding at Konkola Copper mines s? I think there were some operational creditors which were taken care of and there was some initial incremental commitment of \$1.2 billion over a few years. Is that a part of debt or something that we are

looking at VRL level?

Ajay Goel: Yes, so the 4.8 includes everything, Ritesh. So, it includes everything.

Arun Misra: Also Ajay, we have got Chris who is our COO Base Metal. He can give you a better update on the operational status of Konkola Copper mines and the way forward. Chris?

Chris Griffith: Thanks, Arun. Just for the fundraising for a billion dollars over the next five years, that's still a work in progress. So, that doesn't add any debt to VRL. At some point in time, as we raise that to complete the investment, that will be debt at the KCM level, depending on where the investment comes from.

But perhaps I can just mention that, as you well know, we got the asset back in August. So, from September, where we started heating up the plant, we did just over 1 kilo tons of copper in September. October, we were already at 8 kilotons. This month, we should be at 9. We should be at a run rate of about 15 kilotons per month by the end of the financial year.

So, this year we should already in the eight months of production, produce around 80 to 90 kilotons of Copper and be at a run rate, an annual run rate of 150 kilotons already by the end of eight months of production. And that's kind of the level of production that we were producing

Vedanta Limited

November 08, 2024

Page 15 of 19

Sensitivity: Internal (C3) before the liquidation five years ago. So, very rapid ramp up on the back of us taking over the production.

And as many of you know, this truly is one of the spectacular Copper ore bodies globally. So, as we finish the investment over the next five years of a billion dollars, that's on top of what has already been invested in KCM of \$3 billion. So, low capital intensity investment, quick ramp-up in a high-grade long life ore

body. So, as we are speaking to potential investors in KCM at the moment, so we are seeing lots of interest in this ore body. There is, of course, a lot of interest in Copper. There is a lot of interest in Zambia and an even more so fantastic interest into KCM. So, all round actually things are going very nicely, notwithstanding a couple of small hiccups, but really good rapid ramp up that's happening at KCM as we speak.

Ritesh Shah: Thank you so much for the detailed answer. Sir, just to come back to VRL, sir, just wanted to, can you highlight the maturity broadly for second half of this fiscal and next three years?

Ajay Goel: Sure. So, if you look at the second half between October through March, so October is what we are taking care of. What we need between now and the March end, the principal is almost 0.2 billion. It's about 220 million requirement and interest almost same number. The requirement at Vedanta Resources in the second half is almost \$400 million. As I mentioned, we intend to address most of it through operating free cash flows and maybe a very small portion through refinancing. So, that's the requirement.

If you look at next year FY '26, the requirement is almost 820 million in principal and interest. So, give and take 1.2 billion, 1.25 next year. I would say the outer areas at '27, let us park for the moment, because we also intend to refinance the remainder bonds. In that case, the maturities will be de-cluttered and get flattened out.

Ritesh Shah: And sir, '27.

Ajay Goel: '27, as I mentioned, right now it is about 1.1 billion, but once we refinance the remainder bonds, it will come down to a sub billion. So, 0.4 in the current year second half, 820 next year and about 1.1 billion in FY '27.

Ritesh Shah: This is useful. So, that was the first part of the question. Secondly, would it be possible for you to indicate broadly on what's happening on bauxite globally, specifically touching upon Guinea and why there is so much of hue and cry in the global bauxite market? How do you see this playing out over the next six to nine months? That's one.

And the second is very encouraging to see that our alumina refinery is ramping up well. But just wanted to understand what is the sort of comfort that we have on sourcing. Earlier we had indicated OMC can go from three to six. Where are we on that? And if possible, if you could quantify something on the pricing for OMC, imports and Sijimali whenever it comes?

Vedanta Limited

November 08, 2024

Page 16 of 19

Sensitivity: Internal (C3) Anup Agarwal: So, Ritesh, first on the alumina, okay. So, as I said that we will be probably a 5 million run rate

refinery as we end quarter 1 beginning of Quarter 2. Now, what you rightly said is around the bauxite, bauxite also I will reiterate that Sijimali will be started in say Q1. So, we plan to get whatever 4, 5 million or 3 to 4 million next year from there. You know that the peak capacity there is around 9 million.

OMC, if you would have picked it up know, they are already into the expansion mode. 3 to 4.2 they are already doing expansion, and from there, they will go to 6 million ton. So, between

these two, we believe it's mostly, say, 85%-90% it should cater to our next year requirement. We also have some other domestic as well as some small tie-up with the Guinea which should cater the balance.

And coming to your issues what we have recently picked up in Guinea, so we are in touch with EGA who is our long-term supplier. We believe that it's a routine custom matter. Nothing to worry. In any case, we have a very small contract, say, around 10%-15% of our requirement, and they should be able to supply us.

And Ritesh, on a bigger picture, since everyone was talking about the aluminum, let me reiterate, okay, a little bit on the aluminum picture. Now coming to the volume, we said that we will start

commissioning BALCO end of this quarter. Probably by the middle of the next year we should be around 3-3.1 million tons with some debottlenecking done.

In the near term, as I said, the cost opportunity lies in alumina ramp-up at Lanjigarh, the power only from the assets and the efficiency part of it, the materialisation and whatever operational excellence we bring into it. With that, we believe the LME where it is, NEPs you have seen that quarter-on-quarter, we are growing in high teens, and we believe that with the increased VAP and the domestic sales, we should be doing closer to 300, 320 in Q1. If we do the math, at 2,600 LME, 300, 320 of NEP cost is 17-1,800. We should be at \$1,200 and multiplied by 3.1, a 4 billion business, maybe in the Quarter 2.

Ritesh Shah: That's encouraging. Goel sir, any hedge positions that we have across businesses right now? If you could quantify volume value, that would be great. Sure.

Ajay Goel: So, let me just cover two large businesses. Now starting with the Zinc business, Zinc India, the hedge quantity in the current year is about 150 KT and that covers almost 18%, one-eighth percent of the volumes for the full fiscal. Out of 150 KT, 50 KT has already unwound in the first half and as of September end, about 100 KT remains outstanding. That's one. So, 150 is the hedge for the full fiscal, 50 has unwound, 100 remains outstanding. The hedge value is about \$3,000 per ton in case of Zinc.

Now coming to Aluminum, the hedge quantity is about 190 KT, and that is about 8% volume on a yearly basis. The hedge price is about 2,580, give and take, \$2,600 per ton. Out of 190, about 125 remains outstanding as on September end. So, 18% Zinc has been hedged in summary at about \$3,000 per ton and about 8% Aluminum has been hedged at about \$26,00 per ton.

Vedanta Limited

November 08, 2024

Page 17 of 19

Sensitivity: Internal (C3) Ritesh Shah: Also sir, can I squeeze one question?

Ajay Goel: Sure.

Ritesh Shah: Sir, as a last question, Goel sir, how are you looking at the capital structure for both Vedanta and Hindustan Zinc? I am asking this question in conjunction with the reducing promoter holding at both Vedanta as well as Hindustan Zinc.

The reason I asked is, I think the de-leveraging at VRL has progressed at a pretty good pace and still we are seeing some basically offloading from the promoters for both the entities. So, it gives a bit of a conflicting signal. So, how should one look at that particular variable?

Ajay Goel: So, I will say it is a bifocal, Ritesh, at least two dimensions. Firstly, in terms of structuring, holding of VRL as in promoters into Vedanta Limited, and we believe as a group with a current holding of 56.4%, we are quite comfortable. I don't think there is an intention right now to dilute more or acquire more. So, the current stake should continue.

One should also look at the current holding in the context of de-merger and as we all believe, there is a preponderance of opinion where everybody believes post-de-merger the value of the sums will be the parts will be more than the sum and hence maybe stake valuation post-de-merger perhaps will be more beneficial. So, we foresee the holding of VRL into VDL or VDL into Zinc in near future will not materially alter.

Secondly, on the debt side, again I like to also comment, at Vedanta Resources, our intent is to go down to 3 billion over 3 years starting the current fiscal. So, from current 5.8 at the year beginning will go down to 3 billion by end of 2027. At Vedanta Limited, since it is an operating company, it will not be appropriate to ascribe an absolute value in the growth environment, and hence one should look at net debt to EBITDA at Vedanta Limited. Right now at 1.49x, it is set to go down to less than 1x where EBITDA at Vedanta will be more than the

debt.

So, in summary the holding structure will remain more the same in the near future, demerger being the context. Debt viewpoint, VR will be less than 3 billion debt. At Vedanta Limited, net debt to Vedanta will be less than 1x.

Moderator: Thank you. We will take our next question from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: Most of my questions are answered. I have two questions. One, on the reversal that we had on

oil and gas business, is there any tax incidence on it, or is it just a book entry? Is there any cash tax impact of this?

Ajay Goel: So, we have to, of course, once we reverse a provision, Indrajit, we also create a deferred DTA on that one. So, it is only a book entry. There is no cash tax implications.

Vedanta Limited

November 08, 2024

Page 18 of 19

Sensitivity: Internal (C3) Indrajit Agarwal: That is helpful. And second is on your notes to account number 6 on the Avanstrate business

where you have bought out the holding of Hoya. So, what was the outgo because of this? And you mentioned about you want to reorganize the capital structure. So, what could be the payout on this? What is the intent and CAPEX that we can have here?

Ajay Goel: So, right, AvanStrate used to be almost 51% holding until the remainder stake by our JV partner, Hoya, we bought, sometimes in the current fiscal. With Hoya stake buyback, our holding at AvanStrate, ASI, is almost cent per cent. It's about 99%. The total payout is about 88 million, out of which 66 have been paid by sale of materials at ASI, AvanStrate. So, ASI was holding some metals, which have been locally sold and paid to Hoya out of 88. Balance 22 million is paid by ASI's holding company, CIH L. So, cash, 22, 66 is through metal sale.

Indrajit Agarwal: And you talk about strengthening the capital structure. So, if you can lay out some plans in the next 2-3 years, what kind of CAPEX can you see over there?

Ajay Goel: I believe the glass business will be a wonderful business. And right now, there are 4 large players globally. And Vedanta, post the entire stake acquisition, we want to recapitalize the business, rebuild the furnace more so in our Taiwanese operation. And that's more actions you will see in the current quarter. From an incremental profit viewpoint, this business has great potentials. Secondly, as you have seen in terms of our domestic applications with the government on display side, between ASI: AvanStrate and VDL, the glass business will have great synergies in future.

Moderator: Thank you. We will take our next question from the line of Raashi Chopra from Citigroup. Please go ahead.

Raashi Chopra: I just wanted to reconfirm some of the numbers that you gave at the debt, for the debt at the parent level. Now the 220 million of debt and 220 million of interest payment is due for the remaining FY '25. In FY '26, you said that the loan amount due was 820 million and 1.1 billion in FY '27. Is that correct?

Ajay Goel: Yes, that is correct. So, current year second half, Raashi, the principal is 220, interest almost 200. Total requirement about 400. FY '26 next year, the principal loan is 820, and interest will be 550, so about 1.3. And FY '27, about 1.1 principal. And I will urge that, let us not look at right now FY '27. For Vedanta Resources, multiple refinancing of bond has taken place in the previous quarter and more will come, so the entire debt wall at Vedanta Resources will be far more decluttered in near future. But as of now, the number is 1.1 in FY '27.

Raashi Chopra: And essentially you said that in the repayment that you have, that the 4.8 billion has broken up, 3 billion is bond which you will refinance, 1 billion is bank loan which will be a mix of refinance and repayment, and 850 million is a private facility. So, out of that 850 million, that is due in April '25. Is that correct?

Is that correct?

Vedanta Limited

November 08, 2024

Page 19 of 19

Sensitivity: Internal (C3) Ajay Goel: So, out of the 850, 400 is due in April, and that also is a link with a brand fee that is anyways

due in April. So, out of 850, 400 gets paid in April and thereafter this loan also has make-whole clause, you know, the lock-in, which is set to end sometimes in August next year. So, we intend, and this is a high-cost debt, Raashi. So, we intend to repay this once make-whole gets over sometimes August next year.

Raashi Chopra: And just for FY '27 and FY '26, the 820 plus 550, what is the funding breakup for this, planned funding breakup? In the sense, how much is from brand fee, how much is dividend, etc.?

Ajay Goel: Well, it's a tad early, I would say, but if you look at brand fee, what you paid in the current year, FY '25, it is almost 400. Now, with the higher volume and hopefully the better pricing, that 400 can become 450 or thereabouts. So, almost half will be met through brand fee and the remainder will be dividends. So, as I mentioned, going forward, brand fee should be equal to the interest cost at Vedanta Resources. And with the flattened maturities, a routine dividend, whereby the receipt at VRL, give and take 750 million, should take care of principals. So, it will be a mix of brand fee and a normalized dividend next year.

Raashi Chopra: And at the India level, your repayment due for the remaining out of FY '25 was how much? And Vedanta India?

Ajay Goel: If I just speak of Vedanta Limited, standalone, so it is about 2,700 in current quarter and about

5,800 in the fourth quarter. So, total about 8,000 crores, a billion in the second half. Now, as you know, at Vedanta Limited, almost entire debt is secured. And with our current operating free cash flows, repayment and refinancing, knowing it is secured, is an option. So, VDL debt in terms of debt maturity servicing is far different than Vedanta Resources.

Raashi Chopra: And just lastly on Alumina, I just wanted to check that when you go to the run rate of about 3 million for Alumina, that would make you captive at about 60 %-65%. So, for the remaining 35% or so, how much is spot ? And you said you don't have much spot purchase . So, between spot and long -term, what is the split , very roughly ?

Anup Agarwal : 60-40. 60 would be long term .

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Ms. Purna Halwasiya for closing comments. Over to you.

Purna Halwasiya: Thank you, Yashashree. I would like to thank you all for taking time to join this call today. I hope we were able to answer most of your questions. In case you have any follow -up questions, please feel free to reach out to us. This concludes today's call. Thank you, everyone.

Arun Misra: Thank you.

Moderator: Thank you. On behalf of Vedanta Group, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Feb 2025

Page 1 of 21

Sensitivity: Internal (C3)

"Vedanta Limited Q3 FY25 Earnings Conference Call"

January 31 , 202 5

MANAGEMENT : MR. ARUN MISRA – EXECUTIVE DIRECTOR , VEDANTA LIMITED

MR. AJAY GOEL – GROUP CHIEF FINANCIAL OFFICER , VEDANTA LIMITED

MR. AJAY AGARWAL – PRESIDENT , FINANCE AND TAXATION , VEDANTA LIMITED

MR. HITESH VAID – CHIEF FINANCIAL OFFICER , OIL & GAS BUSINESS – VEDANTA LIMITED

MR. CHRIS GRIFFITH – CHIEF EXECUTIVE OFFICER , VEDANTA BASE METALS , VEDANTA LIMITED

MR. SUNIL GUPTA – CEO, ALUMINUM BUSINESS

MR. ANUP AGARWAL – CFO, ALUMINUM BUSINESS

MR. CHARANJIT SINGH– GROUP HEAD INVESTOR RELATIONS – VEDANTA LIMITED

Vedanta Limited

January 31 , 202 5

Page 2 of 21

Sensitivity: Internal (C3) Moderator : Ladies and gentlemen , good day and welcome to Vedanta Limited 's Third Quarter Financial

Year '2 4-'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touch -tone phone. Please note that this conference is being recorded. Participants connected on Webcast link may change the quality settings to 1080p to watch the proceedings on best quality .

I now hand the conference over to M r. Charanjit Singh – Group Head , Investor Relations, Vedanta. Thank you, and o ver to you , sir.

Charanjit Singh : Thank you, Michelle . Good evening everyone , and welcome to Vedanta Limited Q 3 FY '25 Earnings Call.

On behalf of the team Vedanta , I thank you all for joining us today to discuss the Company 's Quarter 3 - and 9 -Months' performance. I hope you had the chance to look at our press release , the earnings presentations and the detailed financials , which are available on the stock exchanges websites and also on the Company website .

On this call , from the Vedanta Leadership Team , we have with us , Mr. Arun Misra – our Executive Director; Mr. Ajay Goel – Group CFO; Mr. Ajay Agarwal – President (Finance and Taxation ) ; Mr. Sunil Gupta – CEO, Aluminum business ; Mr. Anup Agarwal – CFO, Aluminum Business; Mr. Hitesh Vaid – CFO, Oil and Gas Business; and Mr. Chris Griffith – CEO, Vedanta Base Metals .

We will start with an update on Company 's "Operational Performance " by Mr. Arun Misra , followed by "Financial Highlights " by Mr. Ajay Goel before we open the lines for Q&A.

This call is covered by the cautionary statement on Slide 40 of the results presentation .

With this, I now hand over the call to Mr. Arun Misra for his opening remarks. Over to you, Arunji .

Arun Misra: Thank you , Charanj it. Good evening , everyone . Thank you for joining us today to discuss Vedanta's Third Quarter FY '25 performance update .



I am pleased to state that we have delivered another outstanding quarter as we continue our journey to deliver 10 billion USD EBITDA in the future .  
I am also happy to share that Vedanta Group Companies have once again demonstrated their leadership in sustainability in the S &P Global Corporate Sustainability Assessment 2024 , earlier known as DJSI ESG Index .  
Vedanta Limited  
January 31 , 202 5

Page 3 of 21

Sensitivity: Internal (C3) Hindustan zinc has maintained its top position Vedanta Limited has been ranked fourth among 248 global diversified metal and mining companies . Vedanta Aluminum business also secured second position in global aluminum peers in the index.

Moving to the quarterly performance, we delivered revenue of Rs. 38,526 crores, which is an increase of 10% year -on-year, and a record third -quarter EBITDA of Rs. 11,284 crores, a jump of 30% year -on-year. Vedanta's aluminum and zinc operations continued their industry -leading cost positioning despite inflationary pressures in the global market, ranking in the top quartile and decile of the global cost curve, respectively.

Business operations , starting with aluminum business , the aluminum business has achieved its highest ever quarterly and 9 -month production with 613 KT , up 2% year -on-year and 1.819 million tons up 3% year -on-year respectively .

In Quarter 3 FY '25 , the business delivered an all -time high quarterly value -added product at 317 KT , up 16% year -on-year and quarterly domestic sales at 302 KT , which is up 29% year -on-year. This resulted in securing our best ever quarterly net effective premium of \$262 per ton on metal sales at aluminum . The EBITDA margin per ton of aluminum

has jumped 50% year -on-year and 5% quarter -on-quarter to USD 867 per ton. We are well -placed to achieve our volume guidance.

Providing some more aspects of our aluminum production costs, on the cost side, the business achieved hot metal production costs, excluding alumin a, at \$896 per ton, which is the lowest in the past 14 quarters.

While the overall hot metal cost of production increased quarter -on-quarter due to sudden jump in alumin a prices in the global market, however, we expect cost improvement in the coming months, given the significant softening in the global alumin a prices, currently trading at below \$550 per ton versus the peak of \$805 per ton in December. Additionally, the production ramp -up at our Lanjigarh Refinery in the coming months will enable us to bring down the overall cost. Moving to Zinc India, we achieved 265 KT of mined metal production and 259 KT of refined metal production . With the Quarter 3 production , we delivered the highest ever 9 -month mined metal and refined metal production this year.

The production cost of the quarter stood at \$1 ,041 per ton, improved by 5% year -on-year. We are on track to achieve the lowest full -year production cost in the last four years , while also achieving our guidance for mined metal, refined metal and cost of production in FY '2 5.

In our Zinc International business, overall volumes increased 12% year -on-year and 6% quarter -on-quarter to 46,000 tons. Our Gamsberg Mine delivered a strong 21% year -on-year and 10% quarter -on-quarter increase in MIC production of 35 KT. In January 25, Zinc International achieved a monthly run rate of 18 KT, reflecting a continuous improvement.

Vedanta Limited  
January 31 , 202 5

Page 4 of 21

Sensitivity: Internal (C3) On the cost side, we delivered the lowest quarterly cost of production for Zinc International in the last seven years, at \$1,181 per ton, driven by higher and efficient production and lower TCRC, much ahead of our guidance of \$1,300 per ton.

Talking about Oil and Gas business, natural decline in our fields has been partially offset by infill wells brought online in Mangala, Aishwarya, and Raageshwari Deep Gas Field s, We drilled nine infill wells across the Mangala and Aishwarya fields in Quarter 3 FY '2 5, thereby taking the total count of infill wells to 18 in the initial nine months of FY '2 5.

Our EBITDA performance improved 2.5% sequentially, supported by improvement in price realization despite some slackness in volume.

To unlock the potential of our East Coast deepwater block, we have recently awarded contracts for controlled source electromagnetic review. This advanced technology shall help us de -risk the prospect and prioritize the drilling sequence. We expect to complete this activity by May 2025.

Our Iron Ore business has been a strong increase in quarterly production, rising 10% year -on-year and 17% sequentially, primarily driven by the Bicholim Mine in Goa. Despite the geotechnical and operational issues encountered at the Bicholim Mine , we have now achieved the production run rate of 2.4 million tons per annum for s aleable ore.

Looking forward with the pig iron business receiving environmental clearance for 1.2 million

tons per annum capacity, we are geared up for improved realization and profitability in the business.

Now, let me provide an update on our key growth projects. First on aluminum business. I am delighted to announce that we have successfully doubled our rolled Product capacity at BALCO to 100 KTPA. With this commissioning, Vedanta has become the second largest producer of rolled products by capacity in India. There has also been an addition of 30,000 tons per annum, aluminum silica Ingots and 50,000 per annum Slab capacity.

Moving on to the Lanjigarh Refinery, the ramp-up of Train 1 is now progressing steadily.

Despite some teething issues and challenges on the supporting

infrastructure side, we are making

gradual progress. Train 2 is scheduled for commissioning in quarter 4 of current fiscal year.

In addition, the BALCO smelter expansion is now in an advanced stage with commissioning targeted in Quarter 1 of FY '26.

In Zinc India, the 160,000 tons per annum roaster at Debari and 510,000 tons per annum fertilizer plant are progressing as planned with final commissioning targeted for quarter 4 of the current fiscal and quarter 4 of the next fiscal respectively.

Vedanta Limited

January 31, 2025

Page 5 of 21

Sensitivity: Internal (C3) Our alloy plant is ramping up as per the plan and have achieved the run rate of generating annual EBITDA of 150 to 160 crores. In our journey for 2 million tons smelter expansion, we are targeting to commission the next phase of 250,000 tons per annum of smelter by FY '27/28.

At Zinc International, which is one of the largest Zinc deposits globally, our Phase-2 expansion project is in full swing with commissioning targeted in FY '26.

In our merchant power business, Meenakshi and Athena Power Plants are scheduled to be operating at full capacity in FY '26. With this, our merchant power operating capacity will increase to 5 Gigawatt within the next 12 to 15 months.

In summary:

We have delivered our strongest ever Quarter 3 performance. Building on this momentum, we are confident of delivering the highest ever yearly EBITDA in FY '25.

Looking ahead, FY '26 will be transformational year for Vedanta. We are confident of successful completion of our key growth and integration projects in the coming month that will place our key businesses in the top decile of the global cost curve, while also driving the volume growth.

We remain dedicated to creating long-term value for our stakeholders through operational excellence, strategic growth, and unwavering commitment to sustainability.

I will now hand over to Ajay for an update on financial performance.

Ajay Goel: Thank you, Arun, and good evening, everyone. I am delighted to share yet another quarter of outstanding financial performance and strategic progress. Q3 has been marked by exceptional growth across our key businesses, reflecting the strength of our operational execution and disciplined financial management.

Additionally, our continued commitment to strengthening the balance sheet has resulted in significant upgrades to our ratings and the debt position, reinforcing both our financial resilience and the market's confidence in Vedanta.

In Q3 FY '25, we delivered the highest ever 3rd Quarter EBITDA in our history, reaching 11,284 crores, a strong 30% growth Y-o-Y. This achievement reflects our consistent trajectory of EBITDA expansion supported by volume growth and structural and sustainable cost initiatives. Our EBITDA margin expanded by 517 basis points Y-o-Y to 34%, and the profit after tax (PAT) surged 70% Y-o-Y to 4,876 crores. Additionally, our ROC E improved by 170 basis points, Y-o-Y, reaching 24%, a testament to our capital efficiency and disciplined allocation.

On 9 months basis, we achieved record performance, with EBITDA rising 40% Y-o-Y to 31,924 crores and PAT soaring 151% to 14,438 crores, excluding last year's one-time clean arbitration gain and other exceptional items.

Vedanta Limited

January 31, 2025

Page 6 of 21

Sensitivity: Internal (C3) Turning to our debt position and the impact of corporate actions at both Vedanta Limited and Vedanta Resources Limited, as on Q3 FY '25, our net debt stands at 57,358 crores, with a net debt-to-EBITDA ratio of 1.4x, the best in the last seven quarters. This marks four consecutive quarters of improvement, demonstrating our commitment to reducing leverage and progressing towards our target of bringing this ratio below 1x.

Free-cash flows, pre-CAPEX generation stood at 6,766 crores in Q3, up 57% Y-o-Y, further strengthening our liquidity

position. As a result, our cash and cash equivalents stood at Rs. 21,138 crores as on December 2024.

Moving now to VRL and the bonds.

A key highlight is the significant progress we have made in deleveraging our parent company, Vedanta Resources, VRL. Over the last 2.5 years, we have reduced the debt of VRL by 4.3 billion, bringing it down to 4.8 billion, the lowest level in a decade. In the first nine months of the current fiscal year alone, the VRL's debt has been declined by 1 billion.

Further, in the last four months, we have restructured VRL's entire 3.1 billion bond portfolio, securing longer maturities of up to eight years, more favorable covenant terms, and a significant reduction in our debt cost by 250 basis points. This momentum will continue as we drive further deleveraging, optimizing capital structure, and secure more favorable financing terms for both VDL and VRL.

An update on our ratings.

Our strong business performance and improved liquidity have translated into significant rating upgrades. Both CRISIL and ICRA has augmented Vedanta's rating to Double A, while VRL has seen an impressive 6 notch improvement over the last 12 months reaching a B plus rating. These upgrades reaffirm the strength of our financial position both on the P&L and balance sheet and underscores the confidence the market places in our strategic direction.

On the demerger front, we are in the important stage of execution, the shareholders and the creditors meeting scheduled on Feb 18th. This transformative step is poised to unlock significant value for our investors.

In summary :

Q3 has been a pivotal quarter marked by strong financial performance, enhanced rates quality, balance sheet strength and progress on the demerger. Looking ahead, we remain steadfast on our focus on robust cash generation further de leveraging and cost leadership. With a solid balance sheet, improved ratings and a clear strategic direction, Vedanta is very well positioned to capture opportunities in an evolving global landscape.

Thank you . I now will hand over to moderator for any Q&As.

Vedanta Limited

January 31 , 202 5

Page 7 of 21

Sensitivity: Internal (C3) Moderator: Thank you very much , sir. We will now begin with the question and answer session .

Anyone

who wishes to ask questions may press star and one on the ir touchstone phone . If you wish to withdraw yourself from the question que ue, you may press st ar and two. Participants are requested to use only handsets while asking a question . Ladies and gentlemen , we will wait for a moment while the question que ue assembles . The first question is from the line of Amit Lahoti from Emkay Global Financial Services . Please go ahead .

Amit Lahoti: Thank s for the opportunity and congratulations on these numbers. My first question is on Bauxite and Coal mines commissioning timelines that were given last quarter. So, the question is , do they still hold ? Or is there any change?

Arun Misra: So, Bauxite and commissioning , so they still hold . We are looking at FY '26 , some in Quarter 3 , some in quarter 4 , yes.

Amit Lahoti: So, in the last quarter it was Q1 for the Sijimali Bauxite Mine. So, is it changing ?

Arun Misra: Yes, Q1 of next fiscal .

Amit Lahoti: Yes, Q1 of FY '2 6. Correct.

Amit Lahoti: So, my second question is that we have reported hot metal cost ex -alumina is \$900 , which the company has highlighted that it is lowest in the last three years. So , what has contributed to this benefit in Q3 , one, and then are there enough levers with us to reduce it to even lower levels in the coming quarters?

Ajay Goel: We have Aluminum team on the call , Mr. Anup Agarwal and Sunil Gupta. Anup, would you please address this question?

Anup Agarwal: Yes, thanks , Ajay. So, Amit , to your question, if you recall last time also I had covered that in power due to increased materialization, better GCV and

the better plant PL F, the cost will

progressively come down in the next two quarters and we had also indicated a number of \$40-\$50. And you can see that of it , \$25 has come down in Quarter 3 . Another \$20-\$25 we believe will come down in quarter 4.

And to your question whether we have a further lever, I can say that the lever maybe to an extent of \$100. Maybe \$30-\$40 will come out of the operating efficiencies and the balance will come as and when we ramp up our captive co al blocks.

Amit Lahoti: Okay, thank you. Very clear.

Anup Agarwal: I hope that answers your question.

Amit Lahoti: Thank you.

Vedanta Limited

January 31 , 202 5

Sensitivity: Internal (C3) Moderator: Thank you . The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Yes, hi. Good evening, everyone. And thanks for the opportunity. First of all, congratulations for a very good set of numbers in a very challenging quarter. I have two questions. The first one is on oil and gas. So , while I understand that the ASP injection is in progress, we have been taking a lot of initiative from that front. But still, we see a secular one -way decline in oil production. Just wanted to understand when this decline will be arrested, and we can see actually a bump up in product ion.

Ajay Goel: We have got Oil and Gas CFO , Hitesh was in the line. Hitesh?

Hitesh Vaid : Hi, good evening. You know, from an oil and gas field point of view, our current production is primarily from the discoveries which we made long time back. And, you know, as it happens in this industry that these fields start maturing and declining. And obviously, you know, our job is to manage this decline through good reservoir management practices, which we have been trying to do.

One of the drivers for us to, you know, arrest this decline materially and move up the curve is of course the benefit which ASP injection will help us. That project is happening and in the first half of FY '2 6, we will start the injection into the larger part of the field, and we will start realizing the benefit.

But in terms of near -term volume acceleration, what we are trying to do is work on infill opportunities in our existing field and try to manage that decline. So , that is the objective , twofold . One is to accelerate that ASP injection process so that we can correct the decline and move the curve upward.

And second is how do we bring in more infill wells to manage our current decline. And of course, as we had said earlier as well, that beyond this, what we are also trying to do is, you know , build a larger portfolio so that we have additional opportunities through which the volume can come in.

So, for example , our O ALP block , which is the J aya Field , is currently producing around 3,000 to 4,000 barrels that is what and which gives us extra cash per barrel. We are going to drill a couple of more wells in the same block in 2- 2.5 months' time and that will give us a near term volume opportunity and beyond that , of course , Northeast where we are doing exploration. At least the well which we are doing now has given us positive results and we hope to make that work.

And the other part , which is the bigger part in our piece , is the deepwater block where we have just started the survey also. The contract has been awarded and by May we should be ready with our drilling plan to start next year. So , that is the broad plan of how we are trying to manage the

Vedanta Limited

January 31 , 202 5

Sensitivity: Internal (C3) current production as well as what we are doing to have an uptick in volume going forward in the next financial year.

Amit Dixit: Thanks , Hitesh . Very elaborate answer. So , what it means is that in H2 FY '2 6 maybe we can see the production bumping up if all these initiatives and steps go in the right direction. Will it b

e a reasonable assumption?

Hitesh Vaid: The way I will interpret is that for H2, we will see the benefit, the larger chunk benefit from the ASP injection which we have already invested money and are doing a small injection as well as of now. But from now to the next six months, we are doing a lot of infill wells for which the approval was there and those wells are also starting to come online. So , we will start seeing incremental volumes from them which will arrest our decline and have a stable volume going forward.

Amit Dixit: Okay, got it. The second question is on Zin c International. Now, massive improvement in cost, something that we have not seen in Zin c India as well. But of course, the scope to improve and to scale much more in international. So , I just wanted to understand how much of this decline is sustainable because it is much beyond your own guidance. So, what are the key drivers behind it? And how much of it is sustainable going forward?

Ajay Goel: Requesting Chris to address this , and also in case , Chris , you want to give the bigger picture for overall base metal and KCM.

Chris Griffith : Okay, Ajay, thanks. Thanks for the question. I think we had a really spectacular 3rd Quarter in terms of costs. I think that's probably a little bit better than we are expecting to do. And my expectation is that we should see the cost range between \$1,200 and \$1,300. So , that's massively down from the \$1,600, \$1,700 a ton that we were seeing earlier on in the year. So , this is perhaps a little bit better than we would expect going forward, but what we have been seeing is a

sustainable increase in the volume from ZI.

So, we are going through a particular we ak patch last year and this year. As we needed to increase the amount of stripping, we had some geotechnical challenges. We needed to push back the one wall of the one pit. We had very, very constrained areas in the remaining pit, in the second pit that we were going through, old underground workings. So , all those challenges, I think we have largely worked themselves through.

We have increased the stripping, just to give you an example, from the beginning of this financial year, we were stripping at about 4.5 million tons per month. We have just hit two months in a row at 8 million tons a month. So , that's the rate that we require for both of the Phase -1 and Phase -2.

So, I think we are finally starting to get ourselves into a much more sustainable position. This next year that we see, so we will definitely see another uptick again in the 4th Quarter . And then in the year of '26, we are going to see another much more sustainable performance from ZI .

Vedanta Limited

January 31 , 202 5

Page 10 of 21

Sensitivity: Internal (C3) So, what you should see is overall lower cost than we have been seen, but perhaps not quite as good as the 1 ,100. And as I said, I think the range should be in about 1 ,200 to 1 ,300. And then as Arun said in the introductory session, what we will see is that the end of this financial year, so at the very end of '25, we will see the completion of Phase -2, and then in the first quarter of next year, so the end of the Financial Year '2 6, we will have ramped up the production . So, the 2027, then we see production from both Phase-1 and Phase -2. So, overall, we are expecting to see continued improvement and much better results from ZI going forward.

And then Ajay, just to check while I am speaking, would you like me just to talk a little bit about KCM here?

Ajay Goel: Yes, please.

Chris Griffith: Okay, folks, while I am chatting, I will just give you a little bit of an update. You will recall that we started production in September after having got the asset back. That was just sort of getting going . So, we only had a very, very small production in September. But then from Q3, we ramped up to sort of about 8 kilo tons of copper a month.

And in the next quarter, we are going to be ramping up further.

From this month, we should do about 10, ramping up to about 15 . So, already, after just six months of production, we are going to be at a run rate of 160 to 175 kilo tons of copper . So, that's almost at the run rate that we were before the business went into liquidation . So, in this coming year, we should see a much better performance . So, we are going to deliver about 60 kilo tons of copper in the six months. And then what you should see next year, I reckon, in the region of 150 to 200 .

So, we will give you proper guidance, of course, at the end of the year. The KCM is ramping up very nicely. Of course, in the beginning, it's going through all the teething problems of five years of liquidation. We have got quite a bit of sort of normal maintenance and fixed up capital that you would expect after that kind of time frame of being in liquidation. All of that is planned.

The fundraising process is well underway . So, I think we are very well positioned for this coming year to be in a fantastic position to deliver, as I mentioned, very solid performance from KCM on this amazing copper a sset.

Just to remind you, I mean, KDMP is 3.5% copper. We have got 50 years' worth of life at 300 kilotons of copper . So, the primary integrated, our own production is ramping up nicely, custom with very low treatment charges . So, we are sort of a bit of, we will manage that as we go along, because of course we don't just want to chase a copper production number and lose money as a result. So, custom , we will see how that goes with our integrated production starting to deliver very nice numbers and next year should be a fantastic year for us. Thanks, I will pause there.

Ajay?

Ajay Goel: Thank you .

Vedanta Limited

January 31 , 202 5

Page 11 of 21

Sensitivity: Internal (C3) Amit Dixit: So, did I hear you right? When...

Moderator: Thank you. The next question is from the line of Ashish K ejriwal from Nuvama Wealth Management. Please go ahead.

Ashish Kejriwal: Hi, thanks for the opportunity and congratulations to the entire ma nagement team basically to manage your aluminum operations well as well as debt situation of Vedanta Resources, a parent company. Kudos to you guys. Sir, my two questions, one obviously on alumina , last quarter we said that we were operating at a 3 million ton run rate . So, what went wrong ? Because we end up with 2 million ton run rate entire quarter, so what went wrong and where we are currently ?

And is it possible to guide how much we can produce in Q4 or FY '26? That's my first question.

Ajay Goel: We will request Sunil Gupta and Anup to address this, please.

Anup Agarwal: Ajay, thank you, Ajay and let me address this. So, Ashish, to your question, you are right. Last time we said and let me reiterate, from a technical capacity point of view, we tell the run rate of 3 MTPA of multiple instances during Quarter 3. Okay. However, having said that, the same could not be sustained throughout due to unplanned shutdowns and infra handling and Arunji covered that. Now going forward, we believe that most of the issues are behind us or will get addressed in, say, a month or two.

Now, if you were to ask me Quarter 1, where we will be, I think with confidence we can say that at least 60-65% of our requirement will be met through captive sources. Quarter 4 maybe, will be higher compared to Quarter 3. If I were to give a number, can be anywhere between 10 to 15%.

Now, having said that, I would also like to cover the bigger picture. As you know that Train 1, as I said, we will be closer to 3 million tons per annum or the rated capacity as we exit this year. Quarter 2, we will start commissioning in quarter 4 of this year. And taking from the learning that we have had during the commissioning of Train 1, we believe next year, at least 70% of our

requirement, we should be able to address through our captive alumina production, Ashish.

Ashish Kejriwal: Sure. Thank you so much, sir. That's very helpful. The second question is on International Zinc.

What we heard is that in Jan, we were operating at 18,000 tons per month. And obviously, as you mentioned, that it's going to ramp up further because we have seen many times lots of issues going over there, and because of which our production fluctuates. So, are we seeing that now these sort of issues are behind us and at least we can do 18-20,000 tons per month going forward? And when the 2nd Phase of expansion is going to be commissioned, are we seeing any volumes coming in for the 2nd Phase in FY '26?

Arun Misra: Requesting Chris to address, please.

Chris Griffith: Okay. So, I will just mention some of the points that I made earlier, is that we have made significant progress in addressing the challenges that were hampering us, and those were, just to Vedanta Limited

January 31, 2025

Page 12 of 21

Sensitivity: Internal (C3) recap, a historical under-stripping, a number of geotechnical issues which forced us to actually stop one of the two pits and push back the whole wall, that process will still be taking the whole of this coming year, the whole of '26 to complete.

Because we stopped one of the two pits, we only had the one pit. We are delivering volume out of one of the two pits. So, we are getting ourselves into a much more sustainable position. We also were mining through historical underground workings. So, the one pit of the two that we had was work going through underground holes that made it very difficult to have open-pit mining.

Now, I mentioned that we have made substantial progress with mine through those underground workings. We still only have one pit available. And during the course of '26, we get ourselves into a position where we start getting two pits producing. So, now I think '26 will still be a fairly challenging year for us, but we should see a substantial increase in the production from ZI. So, we should do somewhere between 160 and 180 kilotons of production this year.

And next year, this is not our guidance. We will give official guidance at the end of the year, but we will see somewhere between sort of 240, 250 kilo tons of production from Gamsberg and Black Mountain next year. So, a very substantial pickup in production, over 20, 25% next year. But what we won't see is any of the production because we only finished the Phase -2 plant at the end of the Financial Year '26. So, you will see both Phase -1 and Phase -2 delivering in 2027.

So, next year, to summarize all of that, much better production. We have worked ourselves through most of the problems. We had the run rate of stripping, I mentioned, 8.5 million tons per month is double what we were started at the beginning of the year, 4.5. So again, we are stripping at the rate now that we need for both plants. So, we have got a little bit of catch up to do, and we will see that catching up during the course of 2026.

So, I would say that 2026, most of the problems are worked through, but we are still going to be, I think, fairly tight. And under those circumstances, if anything goes wrong, then it does impact you. But we are going to be in a much better position next year, and then from 2027 onwards, you are going to see ZI in a fantastic position and then it will be generating cash flow that I think you will be proud of. Thanks.

Ashish Kejriwal: That's great, Chris. Thank you so much and all the best.

Chris Griffith: Thank you.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi, thanks for the opportunity and congratulations for a great refi. First question was on capital allocation. I think Chris made a comment on TCRC and he also indicated looking at in

egrated

production. So, just wanted to have some thoughts on whether it's with respect to the M oU in Vedanta Limited  
January 31, 2025

Page 13 of 21

Sensitivity: Internal (C3) Saudi Arabia, \$2 billion. Will it be at Vedanta India level or at VRL level? How should we look into that?

Ajay Goel: Ritesh, could you please paraphrase your question? So, is the question that will KCM be part of, structurally part of Vedanta Limited?

Ritesh Shah: No, Vedanta Copper basically we have signed a M oU with Saudi Arabia to invest \$2 billion. It's for an integrated smelter refinery. So, wanted to understand what the status of this particular project is and whether it will fall at Vedanta India or at VRL level.

Arun Misra: Project with the Saudi Arabia, only let the concepts be fully even frozen, then we decide the structure and the investment strategy around it.

Ritesh Shah: Right. But do we have clarity that we may add ...

Ajay Goel: Yes, from a structuring viewpoint, it is a part of Vedanta India console. So, it is a part of VDL and not VRL. Now, in terms of project status, yes, it is progressing quite well on schedule. And from allocation of capital viewpoint, the number that you heard is 2 billion. That is over the time frame multiple years. But in the near future, over the next couple of quarters, it is very, very small.

If you also look at the multiple priorities that the government of Saudi Arabia has proposed, they want to also look at areas beyond oil and gas. And metals and mining has been identified as one of the important areas for development. So, any project in Saudi Arabia around metals and mining also will see multiple government partnerships.

Now that can be around a significant subsidy on CAPEX. It also means multiple benefits in terms of cost. Example remains the power cost. At the same time, the lower cost of funding. So, net-net, it will lead to partnership between the government and Vedanta. Project progressing well. Right now, in the nascent stages. And the cost of funding and CAPEX will be quite minimal over the next couple of quarters.

Ritesh Shah: Sure. That helps. Sir, I have a couple of questions. Please bear with me. Sir, my second question was on the debt refi. I would presume the total number is around you indicated \$4.8 billion, but that would be excluding ICL and to what my memory serves, I think ICL was due in December 24. So, just wanted to know what the status is on ICL, and second related question is, I would presume the loans would be around the \$2 billion? What is the weighted average cost over there? Those are specifically related to debt and loans that we have at VRL.

Ajay Goel: So, starting with the first one, you are right, that the amount of 4.8 billion at Vedanta Resources. It is only the external debt and you also got to transpose on that 0.4 billion, 400 million is the inter-corporate loan. Total in that case debt at VRL becomes 5.2 billion all in internal, external.

Vedanta Limited

January 31, 2025

Page 14 of 21

Sensitivity: Internal (C3) Now the ICL, you are right, was due in December. Now the Board has decided and recommended to extend this ICL by almost 15 months. So, out of 400, the loan now becomes due in over 2 tranches. So, 200 million is due in January 26th. So, it is one year from now.

Another 200 million is due in May 26. So, it has been extended by on an average 15 months.

Now, if I look at the current debt stack at Vedanta Resources, \$4.8 billion, one can think of three cohorts, roughly 3, 3.1 billion is multiple bonds. And that is what we have restructured over the last three, four months. Another billion is multiple bank loans, which are mostly from the Indian state PFC bankers. And the remainder billion is basically the P CF from Stan Chart. So, 3 billion bonds, a billion bank loans and a billion P CF.

Ritesh Shah: Right, sir, sorry to interrupt.

pt.

Ajay Goel: Average cost, you mentioned ...

Ritesh Shah: Yes sir, average cost. Sorry. Sorry to interrupt.

Ajay Goel: Sure, please. The average cost from 13.3% at the year beginning is now down to almost 11%. And as we also repay and refinance this P CF in April and August, in that case, the cost of debt at Vedanta Resources will come down to a single digit, almost 9.8%, sometimes in July, August of the current calendar year.

Ritesh Shah: This is very useful. Sir, is it possible to explain the underlying reason for the deferment of ICL given payouts have been nice? So, from a priority standpoint of cash flows, how should one understand that or the other way to put it is what are the terms on the ICL right now?

Ajay Goel: See, if you look at the overall group's cash management and maybe look back over the last 9 months, where VRL has been de-leveraged by 1 billion. Even at Vedanta Limited, which is led by operating free cash flows and multiple corporate actions be it QIP, offer for sale for Zinc 1.5%, we have significant cash and cash equivalent as I mentioned Rs. 21,000 crore.

The feedback from the investors both from the debt and equity has been to look at this ICL deferred by almost one more year. So, it does help the group in terms of optimal cash management and of course following the due process, which means we take Board approval and even multiple legal opinions and view by the EY. So, it is the cash management overall.

Ritesh Shah: Sure. So, a few bookkeeping questions. We have not touched upon Athena and Meenakshi. I think Arunji in his initial remarks indicated that we expect that commissioning in FY '26, please correct me if I am wrong, wanted to understand the commissioning schedule over here. Are we looking at short-term, long-term PPAs, what the status is? And do we have any linkages or are we looking at imported coal? Just trying to understand the economics and the cash flow from the power assets which are quite significant.

Vedanta Limited

January 31, 2025

Page 15 of 21

Sensitivity: Internal (C3) Arun Misra: So, both Meenakshi and Athena, yes, you are correct. Sometimes it is supposed to come to full

capacity in FY '26. Of course, coal always will look at as much as domestic coal linkage wise possible running through auctions. Also, we will look at synergy with our coal mines allocated to other units, how do we synergize that? That could be another option. And yes, we will have a final capacity of 5 Giga-watt maybe in the next 12 to 15 months once they are commissioned.

Ritesh Shah: Sir, I was looking at more detail. I will join back the queue with the same follow-up question. I will join back the queue. Thank you, sir.

Moderator: Thank you. The next question is from the line of Raashi Chopra from Citigroup. Please go ahead.

Raashi Chopra: Thank you. Just continuing with the question on the debt, so now the interest cost should be somewhere around 550 million, right? And from a repayment perspective, this year is about 800 million for the StanC loan and what would be amount paid for next year? This is for PLC.

Ajay Goel: Okay. So, maybe, Raashi, I will give you overall picture for Vedanta resources. And you are right, with the recent deleveraging and the bond refinancing, the interest cost at VRL for the full fiscal is almost 500 million, 0.5 billion. The total repayment due next fiscal is about 900 million. So, 0.9 billion is the principal. 0.5 billion is the interest. So, 1.4.

Now, how will this be serviced? There are two sources of cash and income at Vedanta Resources.

Brand fee is a 400 to 450 million, and that leaves 950 to a billion as the principal.

Now, as you may have seen over the last 3 odd years, the payment of dividend at the VRL receipt is about 2.5 odd billion. Going forward, even by paying almost one-third the dividend of historical average, the VRL debt can

be easily managed. So, it is a 0.9 principal and 0.5 interest cost, 1.4 for the full fiscal.

Raashi Chopra: Thank you. And for FY '27, what is that number in terms of principal repayment?

Ajay Goel: Principal is almost 650 million and the interest cost will be even lesser. I would say almost 400 to 450. So, give and take 1 to 1.1 billion, both principal and the interest in FY '27.

Raashi Chopra: Got it. And at the India level, what is due for repayment now in this year, FY '25, 600 million?

Ajay Goel: For the current fiscal?

Raashi Chopra: Yes.

Ajay Goel: If you look at Vedanta Limited standalone, it is, you are right, almost half a billion and Vedanta consol about 1.2 billion. And for India, as you know, it's different, Raashi, because our entire debt is secured. And so refinancing or repayment is a bit different at Vedanta India consol.

Vedanta Limited

January 31, 2025

Page 16 of 21

Sensitivity: Internal (C3) Raashi Chopra: Got it. On the CAPEX side, what has been spent? I mean, are you on track for your 1.9 billion

target? What has been the spend in the 9 months?

Ajay Goel: 9 months is about 1.15 billion, and we will be in the ballpark of 1.5 to 1.6 billion in the current fiscal on CAPEX.

Raashi Chopra: And just one last question from me on the, I think this time you haven't given the slide with your targeted volume and cost. So, for aluminum, the original target was I think for FY '25, 2.3, 2.4.

So, where are we at now for the 4th Quarter?

Anup Agarwal: So, Anup this side. So, on volume, we should be slightly above 2.4 million ton as we exit this year on the hot metal.

Raashi Chopra: And on the cost side for aluminum?

Anup Agarwal: The cost, let me tell you, see, in Quarter 1 let me tell you and we spoke, the cost drivers from here would be one, the captive alumina as we ramp up our alumina, and on the bottom of the alumina, we have already spoken about the prices coming down from the levels of \$800 to \$500.

Now if you ask me where the cost will be in Quarter 1, we can very well say that the aluminum



cost should be 15% to 20% lower than what we saw in Quarter 3 . Quarter 4, because of some high cost inventory and the metal in transit, aluminum cost will remain at the elevated levels. So, broadly if you ask me for the year as a whole, we should be somewhere around \$1,800 on the hot metal cost. For FY '25 , the 1,800 will be for FY '25 .

Raashi Chopra: Understood. Thank you.

Moderator: Thank you. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: Hi, sir, thank you for the opportunity . A few questions . First, on the two large projects , that is Ghogarpalli Mine and Sijimali Mine , what are the milestones that are still to be received or achieved, and what should we look out for timely commissioning? Because Bauxite Mine Sijimali is actually as soon as next quarter, so how should we look at it?

Ajay Goel: Sunil , would you address this?

Sunil Gupta: Yes, I will address it. So, coming to the Sijimali Mines , you know, we have already in the 96% of our land acquisition is over. We are in the advanced stage of the forest clearance, and we may get maybe another one, one -and-a-half month s' time , we will get the forest clearance. So, we are at a very advanced stage of Sijimali operational. Maybe in the quarter 2, we are going to start the Sijimali Mine. This is the status of Sijimali Mine .

For the Ghogarpalli Mines , we have already taken the action on the ground. Land acquisition, alienation of land is already completed. We have application for EC, ToR has been filed.

Application for ML has been filed. So, we are on track as far as the Ghogarpalli and mining plan Vedanta Limited

January 31 , 2025

Page 17 of 21

Sensitivity: Internal (C3) is already submitted to MOEF. And I am very hopeful that Quarter 1 off, as per the

original

guideline, original target of Ghogarpalli , quarter 4 of FY '26, they are going to take out the first coal for the Ghogarpalli .

Indrajit Agarwal: Sure. Thank you. This quarter we also had a slight increase in alumina cost of production, captive alumina cost of production. What were the drivers for that ? And how should we look at it going forward?

Ajay Goel: Anup?

Anup Agarwal: Yes, I will do it. So , Ashish, you are right. See, we have had a marginal increase in our cost of alumina production , and that is to do slightly with the imported bauxite that we have consumed more compared to the earlier quarter. And going forward, so let me again re iterate . See, what is going to happen is, maybe if you look at the full year picture now, Ashish, we would need broadly 10 -11 million tons of bauxite next year, broadly I am saying.

Out of it, 60% should be through domestic sources, OMC and some other sources. 25 to 30% we believe should come from Sijimali once it starts and then ramps up. So , you can see that maybe 10 to 15% is what will be the imported cost, and we believe as we progress along now , this imported bauxite cost should come down and accordingly , the alumina cost should be closer to the levels of 320 -325 for the year.

Indrajit Agarwal: Sure. And one last question, if I may, on the KCM operations. At 160, 180 KT kind of run rate , assuming today's copper price and TCR C etc., what kind of annualized EBITDA can we generate over there?

Ajay Goel: Again, I will go back to Chris for this question. Thank you.

Chris Griffith: That's a very good question. And I would like actually not to respond to that now. Can I ask, Ajay , through you that we respond? I will get that number to you. It's actually some work that we are underway at the moment running our business plan. And we have also got to make assumptions about what the custom treatment charges and the custom earnings will be. So , can I ask Ajay through you that I don't answer that now, we would rather get back to the gentleman that asked that question shortly. Thanks.

Ajay Goel: Sure. So, it's, Indrajit , I would appreciate the whole KCM is under ramp -up and right now the management is focused similarly on operations and ramp -up. This mine has become operational after 3 -4 years and hence maybe the cost right now won't be a good indication. So , allow us couple of more month's time and once we publish our full year numbers or before that , we will come back to you in terms of both EBITDA and the cash estimates for KCM for next year.

Indrajit Agarwal: Sure. Thank you. That's very helpful. That's all from my side. I appreciate it.

Ajay Goel: Thank you.

Vedanta Limited

January 31 , 2025

Page 18 of 21

Sensitivity: Internal (C3) Moderator: Thank you. The next question is from the line of Pallav Agarwal from Antiques Stock Broking.

Please go ahead.

Pallav Agarwal: Yes, good evening, sir. Sir, just a clarification . KCM is still part of Vedanta Resources , right?

Or is there any plan of shifting that to the base metal business during the restructuring?

Ajay Goel: Yes, you are right. It is a part of Vedanta Resources . And right now , there are no plans to be discussed actively. So, it remains part of Vedanta Resources in the near future.

Pallav Agarwal: Sure. So , just a couple of , you know, clarifications. So , if I look at the Zinc International business, we have had higher production and lower cost, right ? And even zinc prices, zinc has been sequentially higher. So , why have we seen a small, you know, decline in EBITDA on a sequential basis?

Ajay Goel: Chris, would you want to address that?

Chris Griffith: Pallav , we actually are increasing. As the costs are reducing and the volumes are increasing, we are increasing EBITDA. And that will continue again for this 4th Quarter . As we once again increase production, you will see

an increase d EBITDA for Q4. And of course, likewise, that will continue into '26.

Pallav Agarwal: So, Chris, I was actually referring to the sequen tial...

Ajay Goel: There is a small...

Pallav Agarwal: Yes, please go ahead.

Ajay Goel: You are right . Maybe there is a small impact.

Pallav Agarwal: Yes, sir.

Ajay Goel: So, yes, there is a higher volume s, the lower cost as well. And if it gets sequentially, maybe the EBITDA in the 2nd Quarter 378 and the 3rd Quarter is 64. Small difference and that is mostly one can attribute towards pricing.

Pallav Agarwal: Sorry, sir, could you repeat that, which pricing ?

Ajay Goel: Overall the pricing is the reason, but overall, the volumes are better and so is the cost. The small impact on th e EBITDA is a function of mostly pricing. So , if you see the Zinc pricing in the 2nd Quarter was a bit different than the 2nd Quarter .

Pallav Agarwal: Sure, okay , because the average was higher in the 3rd Quarter , but ye s, maybe the timing difference could lead to that. So , you know , similarly on the oil and gas business , the crude prices were down sequentially and our OpEx also as per the presentation went up sequentially. Even

Vedanta Limited

January 31 , 202 5

Page 19 of 21

Sensitivity: Internal (C3) the production, there was a decline. But we have had sequentially higher EBITDA. So , any particular reason for that?

Ajay Goel: Hitesh?

Hitesh Vaid: Yes, hi. See, in the oil and gas business, beyond the oil price, volume and cost, one of the factors is our recovery from the revenue of the spend which we do on CAPEX . And as I said, we have started investing money in new infill wells, which will help us to gain volume in the near term, as well as the ASP project where the work is happening on the ground. Since I am spending a bit more in in fill wells and development, my profit sharing goes down and that's why my EBITDA goes up even though there is a marginal change in the volume as well as a bit uptick in costs.

Pallav Agarwal: So, basically , you know , CAPEX affects the profit sharing with the government and so that is leading to this increase. Is the understanding correct?

Hitesh Vaid: Yes, correct. Correct. Because now I am putting more money to bring volume in the near term. So that helps me to generate additional revenue and EBITDA, which I am investing in the business.

Pallav Agarwal: Finally, just on the power business, we have seen a pretty sharp decline in EBITDA on a sequential basis. So, is this because of higher cost over there or does something change in the TSPL profitability ?

Charanjit Singh : It's primarily because of the shutdown in one of the IPPs , and which was also scheduled shutdown . You will see a further improvement in the Q4.

Pallav Agarwal: Okay, yes, thank you so much.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Sumangal Nevatia from Kot ak Securities. Please go ahead.

Sumangal Nevatia: Yes, t hank you for the chance. A couple of quick questions. First on Bauxite , we have said that roughly we are expecting 25 % from Sijimali and 25% from imports. Just want to understand what could be the cost difference at the bauxite level or alumina level between these two?

Ajay Goel: Anup ?

Anup Agarwal: Sumangal , can you just repeat this , the second half you said what is the cost?

Sumangal Nevatia: Yes, so I wanted to understand , sir, what would be the cost difference between the two source of bauxite , one is from Sijimali Mine and the second is from imports at the plant level, say.

Vedanta Limited

January 31 , 202 5

Page 20 of 21

Sensitivity: Internal (C3) Anup Agarwal: See, I will try and give you some broad numbers. Okay. Now, Sijimali should be closer to the bauxite cost that we get from our O MC mines. That is what we are looking at. And of course, the imported bauxite

costs have been slightly 25 -30% higher than the domestic bauxite sources.

Sumangal Nevatia: Sir, at the alumina level, what is the differential? Yes, sorry.

Anup Agarwal: Sorry, go ahead.

Sumangal Nevatia: No, so at the alumina level, just to get some numbers for some calculation, what could be the difference in the cost of production of alumina from Sijimali Mine bauxite, or from imported bauxite?

Anup Agarwal: See, broadly you can assume that the alumina cost will be in the range of, say, 260 to 270 if we are using it from the Sijimali, and the same can go up to, say, 330-335 if we use the imported source.

Sumangal Nevatia: Understood. That's very helpful. My second question is on royalty. So, just want to understand what is the current royalty we are paying? What are the chances of it increasing in the near future? And when is our agreement expiring with respect to the royalty with the parent?

Ajay Goel: So, the royalty and the strategic fee rate right now remains same, which is 3% for Vedanta Limited. In case of zinc, it is 2%. It is being paid to Vedanta Limited first and out of that 0.3% is what Vedanta retains and the balance 1.7% is the pass-through.

So, in summary, the rate of royalty has not changed. We don't foresee it changing. When the Board last revised the rate, it was locked for the next 6 years. The current agreement is for the long term. It's expiring only in 2028.

Sumangal Nevatia: Understood. And just one last question on the coal mines. So, out of the four coal mines, for at least say Kuraloi, Radhikapur, Ghogarpalli, has any of them received forest clearance, final forest clearance?

Sunil Gupta: Yes, so, we are in the advanced stage for getting the forest clearance for the Kuraloi Mines. So, maybe there may be another month, one month time we are expecting forest clearance for the Kuraloi mines. And the Ghogarpalli, as I told that we have only applied for a mining lease. So, for a forest clearance it will take time. For the Kuraloi for sure we are going to get forest clearance within 1 month's time.

Sumangal Nevatia: And what about Radhikapur, sir?

Sunil Gupta: Radhikapur, we are progressing well with Radhikapur. We have already got the EC. So, there is no issue in that. So, the Radhikapur there is no problem. We have everything in our hands.

Vedanta Limited

January 31, 2025

Page 21 of 21

Sensitivity: Internal (C3) Charanjit Singh: Sorry. Sumangal, can we take this question? Because I think we have run out of time. So, we

can continue with it. You can take it offline with me.

Sumangal Nevatia: Sure. Great results, and all the best to the team. Thanks for the answer.

Ajay Goel: Thank you.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to Mr. Charanjit Singh for closing comments. Over to you, sir.

Charanjit Singh: Thank you everyone for joining us today. I hope we have managed to answer most of your questions. In case you still have any questions unanswered, you can reach out to us. With this, we conclude our today's call, and we look forward to reconnecting with you for a full year's results towards the end of April, early May. Thank you, and good day, everyone.

Moderator: Thank you, members of the management. On behalf of Vedanta Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

## Call: Apr 2025

Page 1 of 22

Sensitivity: Internal (C3)

"Vedanta Limited Q4 FY '25 Earnings Conference  
Call"  
April 30, 2025

MANAGEMENT : MS. DESHNEE NAIDOO –CHIEF EXECUTIVE OFFICER ,  
VEDANTA GROUP  
MR. ARUN MISRA – EXECUTIVE DIRECTOR , VEDANTA  
LIMITED  
MR. AJAY GOEL – GROUP CHIEF FINANCIAL OFFICER ,  
VEDANTA LIMITED  
MR. SUNIL GUPTA – CHIEF OPERATING OFFICER ,  
ALUMINUM BUSINESS , VEDANTA LIMITED  
MR. ANUP AGARWAL – CHIEF FINANCIAL OFFICER ,  
ALUMINUM BUSINESS , VEDANTA LIMITED  
MR. HITESH VAID – CHIEF FINANCIAL OFFICER , OIL  
AND GAS BUSINESS , VEDANTA LIMITED  
MR. CHRIS GRIFFITH – CHIEF EXECUTIVE OFFICER ,  
VEDANTA BASE METALS  
MR. CHARANJIT SINGH – GROUP HEAD, INVESTOR  
RELATIONS , VEDANTA LIMITED

Vedanta Limited  
April 30, 2025

Page 2 of 22

Sensitivity: Internal (C3) Moderator: Ladies and gentlemen, good day and welcome to Vedanta Limited's 4th Quarter Financial Year '24-'25 Earnings Conference Call.

As a reminder, all participant lines will be in listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*\*", then "0" on your touchtone phone. Please note that this conference is being recorded. Participants connected on webcast link may change the quality settings to 1080p to watch the proceedings on best quality.

I now hand the conference over to Mr. Charanjit Singh – Group Head, Investor Relations, Vedanta. Thank you, and over to you.

Charanjit Singh: Thank you, operator. Good evening, everyone . And welcome to Vedanta Limited Q4 and full year Financial Year ' 25 Earnings Call .

On behalf of team Vedanta, I thank you all for joining us today. I hope you had the chance to look at our press release, earnings presentation and detailed financial statements uploaded on the website of stock exchanges and also on the Company website.

On this call , from Vedanta side we have with us our newly appointed Group CEO – Ms. Deshnee Naidoo, a seasoned leader in the metal and mining space, with over 27 years of global experience. This appointment marked the homecoming for Ms. Naidoo, who was previously with Vedanta from 2014 to 2020, and leading the Base Metal and Vedanta Z inc International business as the CEO.

We also have on the call Mr. Arun Misra – our Executive Director; Mr. Ajay Goel – Group CFO; Mr. Sunil Gupta – Chief Operating Officer (Aluminum Business ); Mr. Anup Agarwal – CFO, Aluminum Business; Mr. Hitesh Vaid – CFO, Oil and Gas Business; and Mr. Chris Griffith – CEO, Vedanta Base Metals.

We will begin with the opening remarks from Ms. Naidoo, followed by an update on the Company 's operational performance by Mr. Arun Misra, and financial highlights by Mr. Ajay Goel. And thereafter, we will open the lines for Q&A. This call is covered by the cautionary

statement on Slide 44 of the results presentation.

With this, I now hand over the call to Ms. Naidoo. Over to you, Deshnee.

Deshnee Naidoo: Good evening, everyone. Thank you, Charanjit. It's a pleasure to address you all as the newly appointed Group CEO. Returning to Vedanta feels like coming home, and I am excited to lead us into our next era of growth and transformation.

Over the last 25 years, Vedanta has grown into India's foremost natural resources conglomerate.

Under the visionary leadership of our Chairman – Mr. Anil Agarwal, we are entering an exciting chapter we call “Vedanta 2.0”. The goal is clear, to transform the Company into a \$100 billion

Vedanta Limited

April 30, 2025

Page 3 of 22

Sensitivity: Internal (C3) critical minerals, energy, technology powerhouse, serving not just India, but the world. This vision is rooted in creating long-term value for our shareholders, the communities we operate in, and the planet we all share.

Looking at the broader economic landscape :

FY '25 was a good year for commodities. Global primary aluminum demand grew by 2.7%, and zinc demand saw a 2% increase. In India, primary aluminum demand increased by 12% year-on-year, and zinc around 6%. That's a 4% and a 3% increase over and above global growth, respectively, driven by robust domestic economic expansion and infrastructure development.

Now, FY '26 has started on a relatively volatile note, with the global economy facing uncertainty due to the announced US tariffs and the retaliatory tariffs we have since seen. However, we are well positioned to weather these uncertain times. With over 50% of our aluminum production and around 75% of our zinc production sales in India, Vedanta's performance is strongly integrated with India's

growth story. Economists are forecasting India's GDP to grow by over 6% in FY '26, and that's despite the tariff impacts.

Our margin improvement story remains largely intact. While the LME prices of commodities such as zinc and aluminum are lower compared to their annual average levels of FY '25, input costs have also seen a material decline. For example, aluminum prices have declined by approximately \$300 per ton from their peak of \$2,700 per ton just in March 2025, while alumina prices have dropped by around \$450 per ton from their peak of \$800 per ton in December 2024. We are all set to benefit from our enhanced asset base given the commissioning of our second 1.5 million tons per annum train at Lanjigarh, our 435,000 ton smelter at BALCO, and the new value-added product capacity that we are bringing on in FY '26 in aluminum. The benefits of our backward integration efforts will be realized during the year with the commissioning of our Bauxite Mine and new coal mine. We see the incremental value creation from our new assets offsetting any downside that the weakening in broader macroeconomic terms may pose for Vedanta. So we are well positioned.

ESG principles are integral to our strategy. Safety is a core value for us in the Company. We are dedicated to learning from our safety incidents and are committed to our zero fatality goal. Every leader at Vedanta is expected to challenge unsafe practices and uphold our safety standards, ensuring that our workforce returns home safely every day.

In FY '25, we secured power delivery agreements of over 1 gigawatt of renewable energy, and we will enable significant reduction in emissions from our operations in the coming years. We are proud to have directly benefited 26 million women and children and empowered 1.46 million families through skills training. Our efforts have been validated by third-party agencies. Vedanta Aluminum ranked second while Hindustan Zinc secured first place in their respective peer groups in the S&P Global Corporate Sustainability Assessment. We are making good progress

Vedanta Limited

April 30, 2025

Page 4 of 22

Sensitivity: Internal (C3) with our demerger plan, aiming to create pure-play entities that will enhance strategic focus and operational flexibility.

In FY '25, we delivered our highest annual revenue of Rs. 150,725 crores and its second highest EBITDA of Rs. 43,541 crores. We also made progress on our \$9.5 billion capital expenditure program with \$5.5 billion already spent, including \$1.5 billion in FY '25. The remaining \$4 billion will be invested within the next three years, supporting our strategic projects on volume expansion and backward integration.

So in conclusion :

“Vedanta 2.0” is about our new vision for growth, governance, and stakeholder interest. We are transforming the Company into a global leader in critical minerals, energy, and technology, and ensuring long-term value creation for all stakeholders. This exciting transformation will redefine Vedanta's position on the global stage and position us as a key player in the industries of the future.

Thank you. I now hand over to Arun.

Arun Misra: Thank you, Deshnee. Good evening, everyone.

As we initiate our journey on "Vedanta 2.0", it gives me immense pleasure to share with you the performance of the year that has gone by and reflect upon some of the key milestones that demonstrate the strong foundations on which the Vedanta Group stands today.

I am happy to share that Vedanta has delivered the highest annual revenue in its history of Rs. 150,725 crores, up 10% year -on-year. We also reported our second highest EBITDA of Rs. 43,541 crores, up 37% year -on-year, reflecting strong operational performance. I am pleased to highlight that our key businesses, Aluminum and Zinc, have continued to maintain their cost leadership positions on the global cost curves, reinforcing our competitive strength in the

industry despite the volatility of global commodity markets.

Now, let me share some individual business -specific insights :

Starting with the Aluminum business :

The Aluminum business has achieved its highest ever annual metal production of 2,422 kt, thereby surpassing our volume guidance for FY '25. In Quarter 4, the business delivered an all -time high quarterly volume of value -added product sales of 338 kt, implying 16% year -on-year growth, which has translated into best -ever net effective premium of around \$300 per ton.

On the cost side, the business achieved hot metal production cost, excluding alumina, at \$920 per ton, which is the lowest in the last four years. Our total cost of production, inclusive of alumina, saw an increase due to the carry forward of a high -cost alumina inventory from the Vedanta Limited

April 30, 2025

Page 5 of 22

Sensitivity: Internal (C3) previous quarter. The benefit of softening of the global alumina prices will be reflected in the cost of production numbers of Q1 and Q2 of FY '26. The EBITDA margin per ton of our Aluminum business in Quarter 4 jumped 47% year -on-year to \$880 per ton.

Moving to Zinc India :

We achieved 310,000 tons of mined metal production and 270,000 tons of refined metal production in Quarter 4, which enabled us to deliver highest ever annual mined metal production of 1.095 million tons and refined metal production of 1.052 million tons this year. The production cost of the quarter stood at \$994 per ton, which is 5% year -on-year improvement. We surpassed 13.1 million ton of available metal reserves for the first time since underground transition.

In our Zinc International business :

Overall volume increased 52% year -on-year and 9% quarter -on-quarter to 50,000 ton. Our Gamsberg mines delivered a strong 89% year -on-year and 15% quarter -on-quarter increase in MIC production of 41,000 tons. We are currently producing at a monthly run rate of 18,000 tons. With continued improvement in mining performance and ore availability, we are confident to achieve our production guidance of 235,000 tons to 265,000 tons.

On the cost side, we achieved our guidance of \$1,300 per ton on a full year basis, driven by higher and efficient production and lower TcRc.

Talking about Oil and Gas business, Quarter 4 production stood at 96.2 kboepd, impacted by natural decline in MBA fields and offshore blocks. We drilled 10 infill wells across the Saraswati and Aishwarya fields in Quarter 4 FY '25, thereby taking the total count of infill wells to 28.

I am pleased to note that Cairn managed to acquire seven of the 28 blocks in the latest round of OALP auctions, taking our total portfolio to 63 blocks spanning 73,000 square kilometers.

Our Iron Ore business has seen a strong increase in quarterly production, rising 24% year -on-year and 40% quarter -on-quarter, driven by steady ramp -up of Bicholim Mine operation in Goa.

Now let me provide an update on our key growth projects :

Starting with aluminum – we are on track to commissioning the Lanjigarh Refinery Train 2 with the first metal production from the train targeted in the current quarter. The BALCO smelter expansion of 435,000 tons per annum is in advanced stage, and with the commissioning targeted in the first half of the current financial year.

At Zinc India, our 160,000 tons per annum roaster at Debari will be commissioned in the current quarter and a 510,000 tons per annum fertilizer plant in Quarter 4 of this current fiscal year. At Vedanta Limited

April 30, 2025

Page 6 of 22

Sensitivity: Internal (C3) Zinc International, our Phase -2 expansion project is targeting commissioning in the second half of the current fiscal year.

In our merchant power business :

300-megawatt of Meenakshi power plant is now commissioned. The remaining 700 -megawatt capacity is targeted for commissioning in the first half of this current fiscal year.

I year. The Unit-1 of

Athena power plant is also scheduled for commissioning in first half of this fiscal year, while Unit-2 is expected to start operation in March '26.

Speaking about our ESL facility :

We are expecting total hot metal capacity to increase from 1.7 million tons to 3.2 million tons per annum by FY '26 end, with plans to further debottlenecking to 3.5 million tons per annum in FY '27.

In conclusion :

We have delivered an outstanding Quarter 4 performance and ended the year on a high note where we not only delivered the highest ever annual volumes for aluminum and zinc but also dropped down the cost of production significantly, reaching a four -year low cost in Zinc India and ex -alumina cost of production at our aluminum business.

Looking ahead, we believe that FY '26 holds tremendous potential for Vedanta. The completion of key growth and integration projects will continue to drive our volumes and margins. We are confident of continuing to create long -term value for all our stakeholders.

I will now hand over to Ajay for an update on financial performance.

Ajay Goel: Thank you, Arun. And good evening, everyone.

I am pleased to share that this year we have achieved a significant milestone with our highest ever annual revenue crossing Rs. 1.5 lakh crores. In addition, we have also delivered our second highest EBITDA of Rs. 43,541 crores, driven by structural changes in operations and strategic initiatives with a strong domestic demand. This performance is further supplemented by key corporate actions that have a significant impact on our balance sheet and capital structure positioning.

Coming to 4th Quarter FY '25 :

I am pleased to share that we have delivered our highest ever quarterly revenue of Rs. 39,789 crores , up 14% Y-o-Y. EBITDA reached Rs. 11,618 crores, reflecting an impressive 30% growth Y-o-Y. EBITDA margin increased to 35%, which is highest in the last 12 quarters, representing

Vedanta Limited

April 30, 2025

Page 7 of 22

Sensitivity: Internal (C3) a surge of 465 basis points Y-o-Y. PAT of Rs. 4,961 crores, marking an exceptional growth of 118% Y-o-Y.

Now coming to highlights for the full year :

Annual revenue is up 10% Y-o-Y, and EBITDA is up 37% Y-o-Y, with EBITDA margin of 34%. This Y-o-Y comparison focuses on core performance and excludes a one-time gain from Cairn arbitration that we recorded last year. Our PAT for the full fiscal stands at Rs. 20,535 crores, marking a remarkable increase of 172% growth Y-o-Y. And finally , ROCE at about 27% with a 371-basis point improvement Y-o-Y.

Turning to our balance sheet :

And as on March 2025, our net debt stands at Rs. 53,251 crores, which represents a decrease of more than Rs. 3,000 crores Y-o-Y. This reduction is primarily attributable to cash from operations, at the same time various actions that we took last year. For example, the QIP or Offer for Sale for Zinc shares, which has been partly offset by CAPEX growth and sustaining, at the same time rewarding our shareholders through dividend. Additionally, we also maintained our maturity of debt, which is more than three years.

This quarter also witnessed significant improvement in our net debt-to-EBITDA ratio, which has improved to 1.2x as compared to 1.5x in FY '24, reflecting effective debt management and much more strengthened financial position. And finally, we ended the year with a strong liquidity position of Rs. 20,602 crores, representing a 34% increase Y-o-Y.

On demerger, I would like to share that following a favorable voting from shareholders and the creditors in the meeting held on 18 Feb 2025, we have moved to second motion petition before NCLT , seeking Tribunal's approval to proceed on demerger. We anticipate completing the demerger by September 2025.

Quickly in terms of corporate actions and deleveraging :

Vedanta, you may have noted, last year has firmly established itself as one of the mos

t proactive

companies in terms of executing strategic corporate actions. This year we witnessed number of such actions, including Rs. 8,500 crores via QIP, Rs. 3,150 crores via OFS for Zinc shares, \$0.5 billion through equity partnership at our parent Company Vedanta Resources, and also refinancing \$3.1 billion bond portfolio for parent Company at lower cost, longer maturities and much congenial terms and conditions.

All these actions have supported us in achieving a deleveraging of \$1.2 billion at group level, out of which \$0.7 billion at parent Company , VRL; and \$0.5 billion at Vedanta India VEDL. As a result, the debt of our parent Company , VRL, has decreased to \$5 billion, which is the lowest in a decade. And the leverage at the group level has improved to 2x from 2.7x a year ago. With

Vedanta Limited

April 30, 2025

Page 8 of 22

Sensitivity: Internal (C3) this progress, both Vedanta Limited and its parent entity now maintain a strong leverage position than most of our key global peers.

Furthermore, the credit rating has also seen substantial improvement last year. Both CRISIL and ICRA have augmented the VEDL rating to AA from AA-. And VRL, our parent Company, has seen an impressive three-notch improvement reaching B+, from CCC+, by S&P.

In conclusion :

FY '25 has been a landmark year for Vedanta, driven by operational excellence, disciplined capital management, and timely strategic initiatives. These actions yielded returns for shareholders and established Vedanta as a major wealth creator in India for FY '25.

As we usher into FY '26, we do so with renewed energy and strategic clarity. Our focus will remain sharp on scaling up volumes, unlocking further cost opportunities, fast-tracking high-impact growth projects, and executing the demerger to unlock long-term value.

And with these changes, "Vedanta 2.0" is not just a new chapter, it is a fundamentally transformed enterprise. Thank you. And now, I will hand over to moderator for any Q&As.

Moderator: Thank you very much. We will now begin the question-and-answer session. We will take our first question from the line of Ashish Kejriwal from Nuvama Wealth Management. Please go ahead.

Ashish Kejriwal: Yes. Hi. Good evening, everyone. Thanks for the opportunity. And many congratulations for a good set of numbers on this. Sir, I have a couple of questions, to start with, alumina. So, we have been consistently getting somewhat delayed in our ramp-up of alumina plant, though we have capacity of 3.5 million tons but we were running at 2 million tons. So my question was, the guidance which we have given for 3 - 3.1 million tons for FY '26, is this based on Sijimali Mine coming in? Or without that also can we do that? And when can we see this run rate? That's my first question.

Deshnee Naidoo: Thank you, Ashish. It's Deshnee. Ashish, I will start and then I will hand over to Sunil to complement. So firstly, Ashish, to your point, the first 1.5 million ton train is actually in production. But of course, it does take time to ramp up. So current production is in place, and that's just under 2 million, 1.8 million to 2 million tons. And our first 1.5 million tons is in train. If I look at this past year's performance, as a site, we delivered 1.9 million tons of total production.

In terms of your question, and I will put it into two parts, the overall ramp-up is going to be 5 million tons. But at the end of this fiscal year, for us, we intend to be at an exit run rate of close to 4 million tons. And the total production for the year will be just over 3 million tons. That's taking into account our ramp-up plans.

Vedanta Limited

April 30, 2025

Page 9 of 22

Sensitivity: Internal (C3) In terms of the 5 million tons by FY '27, we hope to be close to those numbers. But to show you the confidence in the process that the team has, we have already started to commission Train

2.

And we have actually started to have our first alumina from Calciner -4, in fact, this past month. Now, you asked us about Bauxite and how that is linked to what's happening in the ramp up of the plant. I am going to hand over to Sunil. But I can tell you that we are working on many plans. Firstly, it includes what do we do with integrated production. But Sunil and the team has a Plan B as well. So Sunil, over to you.

Sunil Gupta: Thanks a lot, Deshnee. And thanks, Mr. Kejriwal, for this question. So, what Deshnee has just now said that we are ready for the Lanjigarh Refinery and this year we are planning to have the production of 3.1 million tons of production from Lanjigarh. And for that we have sufficient bauxite. Your question that whether Sijimali will come, and it will not affect our production, we are ready with the Sijimali. We are hopeful that the Quarter 3 we are going to start the Sijimali mines. And even if we slip in the Sijimali also we have an alternate plan to cover up. So, I am assuring that for want of bauxite we are not going to lose any alumina production because we have several other domestic sources also. And we have other imported places, imported bauxite is also available from different sources which we have identified. So, for want of bauxite, the alumina production is not going to stop. Even in this case, the Sijimali.

Ashish Kejriwal: Thank you, sir. But again, we have been definitely talking about that we have the capability to produce. But because of one of the other reasons, we are not able to produce in last one half. So out of 3.5 million tons, we still are running at 2 million tons run rate. So I do not know if our Sijimali Mine does not come in, from where we can source bauxite and run the plant at 3 million ton run rate. So when can we see this run rate, sir?

Sunil Gupta: So the 3 million run rate is now we are going to, in the May month itself we are going to touch the 2.6 million, 2.7 million. And 3 million, by June we are going to touch the 3 million run rate.



Ashish Kejriwal: So in 2nd Quarter definitely we can see 3 million ton run rate.

Sunil Gupta: Yes.

Deshnee Naidoo: Yes. Maybe to simplify it, we need 9 million tons of bauxite or 3 million ton in terms of run rate, right, for this year. And what Sunil has just summarized, we have sources for all of that. Sijimali Mine development continues. And for the year, we are looking at just over 1 million tons, assuming everything goes according to plan and we start producing by August this year. And the point I want to make is, even when Sijimali comes online this year, we are still going to need other sources of bauxite.

Ashish Kejriwal: Thank you. That's helpful. The second question is on our demerger only, because what we understand is that we need to transfer mining lease also to different companies, and then only we can have our demerger complete. Because we remember , in 2010 -2011 when Sesa Goa and Sterlite was there, we'd need to reverse merge with Sesa, because mining transfer was an issue.

Vedanta Limited

April 30, 2025

Page 10 of 22

Sensitivity: Internal (C3) Now here we are seeing that Sijimali mine, bauxite mine, as well as coal mines, that's under Vedanta Limited 's label , and now we have to transfer it to Vedanta Aluminum .

So do you think that first we have to transfer or sign the mining lease under Vedanta Limited, and then we have to transfer to Vedanta Aluminum ? And after that only we can complete our demerger plan? Or am I missing something?

Deshnee Naidoo: Ashish, you are right. This is part of the overall approvals that we have in our sight. So, of course, the process that's happening right now in NCLT is to approve the overall scheme. But the team has a detailed approvals plan, including all of the mining licenses that will start being approved, in fact, have already started the process. We are still confident, with all of

the processes that are

happening in parallel, to complete the process by September '25.

Ashish Kejriwal: Sure. And lastly, we have been committing that we are going to reduce our Vedanta Resources ' debt by around \$3 billion. And out of that , \$2 billion we have already paid , that's very commendable. Going forward, if I look at the repayment schedule, it seems that next four years we have to repay something like \$2 billion. So my question is, whether this entire debt we are going to repay, or part of it we are going to refinance also? Because for the next four years we have a repayment schedule of just \$2 billion. And in that question only, I hope that brand fee is still 3% of standalone revenue, and which is continuing till when?

Ajay Goel: Yes. That's correct, Ashish. Thank you. So you have right, you have witnessed over the last couple of years the entire path of deleveraging at Vedanta Resources. At the same time, the entire \$3.1 billion worth of bonds getting refinanced, it also flattens the maturity curve. And in the last bond refinancing the maturity is as long as more than eight years. That means less cash requirement at Vedanta Resources.

Now let us look at FY '26, the ongoing fiscal year. The total loan maturities is about \$920 million.

And if you also add the interest cost, \$0.5 billion or \$550 million , total cash requirement at Vedanta Resources in the current year is about \$1.4 billion to \$1.5 billion. This number used to be almost double in the years just gone by. Now against \$1.5 billion of the cash requirement, what are the sources? So brand fee, you are right, it remains 3%. That number is almost \$400 million in the current year, which has already been paid contractually, as we do in the first month for the fiscal.

The second source of cash is dividend. Even if you pay a normalized dividend with about 6% yield, that amount will be almost \$800 million receipt at Vedanta Resources. So \$400 million brand fee, \$0.8 billion is a dividend, is \$1.2 billion. And that leaves only a small delta of almost \$270 million odd , that always can be refinanced. So overall, by paying almost half the dividend than the recent average, we can deleverage Vedanta Resources by \$600 million in the current fiscal. So, our overall target of reaching to \$3 billion debt in two years remains intact. It will be mostly through operating free cash flows, at the same time , without leveraging Vedanta India.

Vedanta Limited

April 30, 2025

Page 11 of 22

Sensitivity: Internal (C3) Ashish Kejriwal: Thanks, Ajay. My only question was, because for next four years our repayment schedule

suggests a \$2 billion debt repayment only. So we do not need to refi actually, or if we refi only for lower interest costs, then that's a different issue.

Charanjit Singh: Yes. Ashish, given that there's a big queue of people waiting for asking questions --

Ashish Kejriwal: Yes. Thank you so much.

Charanjit Singh: Yes. I will take it offline with you after this call.

Ashish Kejriwal: Sure. Thank you and all the best.

Moderator: Thank you. We will take our next question from the line of Amit Lahoti from Emkay. Please go

ahead.

Amit Lahoti: Thanks for the opportunity. Given that bauxite and alumina prices have come down significantly, how do we think about the benefit in terms of cost of production in FY '26 from the current cost of \$2,000 per ton? I have seen the guidance, but if you can basically walk me down to how do we reach there. So that's my first question.

Deshnee Naidoo: Thank you, Amit. I am going to hand over to Anup.

Anup Agarwal: Thank you, Deshnee. And Amit, to your question, Quarter 4, we did a cost of \$2,000. And you can see, alumina was somewhere around closer to \$1,100. This is already covered and also mentioned by Sunil ji, that given that we are targeting Lanjigarh at 3 million tons annual production, and in the 1st Quarter itself we are looking at doing

around 55% of our alumina

requirement from our captive sources. So this is one. And second, with the imported prices coming down from the levels that we saw closer to \$800 to where we are now \$400 - \$350, you will see that around \$225 to \$250 cost we see optimization in Quarter 1 itself.

Now coming to the power cost, if you would have observed the last few quarters, okay, we have done substantial improvement, both in terms of coal prices, coal materialization, logistics, in terms of improving the rake coefficient, and improving our power plant PLF. So we expect another \$40, \$45 coming from the power cost. We are seeing a small headwind in terms of carbon. But net-net, we see very clearly the cost coming down, closer to maybe the guidance that we have given, maybe Amit the upper side even in Quarter 1. So Amit, hopefully, I have answered your question.

Amit Lahoti: Yes, sure. Thank you. And my second question is on the updated timelines of Sijimali and coal mines commissioning. So, I sense that there has been some delay in Sijimali because in the last quarter it was supposed to be commissioned in Q2 of FY '26, and now it seems to have moved to Q3. So that is one. And then if you can outline the coal mine commissioning timeline.

Vedanta Limited

April 30, 2025

Page 12 of 22

Sensitivity: Internal (C3) Sunil Gupta: So, I think for the Sijimali mines we have already completed the land acquisition, 97% land

acquisition is there. We are almost on the last leg of the forest clearance, first one. And if you ask me the EC, already we have preponed the EC. We are targeting that we are going to get the EC in the June 2025. So we are hopeful that we are going to commence the operation of Sijimali mines by Quarter 2 FY '26. This is what's for the Sijimali mines.

Coming to the coal mines, the Kuraloi mines, which we have said, in the Quarter 3 FY '26, we are going to commence the operation. And for our Ghogharpalli coal mines, we are expected that we are going to commence the operation from last quarter of the FY '26.

Deshnee Naidoo: Thank you, Sunil. And Amit, just to confirm, the Sijimali timeline is still the timeline that we committed to in the previous reporting period of first or the 2nd Quarter FY '26 and full ramp-up by the 4th Quarter FY '26. So no changes.

Moderator: Thank you. We will take our next question from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Yes. Thanks for the opportunity. I just want to know currently what is the sourcing mix for bauxite and alumina in terms of captive and third-party? And once the Sijimali Mine comes online, how that mix will change?

Sunil Gupta: Anup ji?

Deshnee Naidoo: Yes, Anup, I think this is an extension of the previous question. Anup.

Anup Agarwal: Thank you, Deshnee. And Aditya, see, alumina, I have already covered. In Quarter 1, we are seeing 55% of the alumina coming from our captive source, with the balance imported. And as we ramp up, you will see that as we go into the Quarter 4 and we reach production capacity closer to 4 million tons, 65% of it will be the captive and the balance will be imported. Now coming to bauxite, see, bauxite, you can divide it into two parts; one, the H1 when we do not have Sijimali; and then the H2. So 60% of the bauxite we have secured through domestic sources, OMC and other domestic sources. And the balance in H1 is finally imported. And in H2, it will be domestic sources and Sijimali. Aditya, hopefully, I have answered your question.

Aditya Welekar: Okay. Yes, yes. Thanks for that. Secondly, on the conversion costs in this quarter, we can see on a sequential basis the conversion cost for aluminum has dropped sharply. So in the previous quarter it was \$107 per ton, which has come down to \$49 this quarter. And just looks structural in nature, so is it sustainable going forward?

Anup Agarwal: So Aditya, you are right

in picking up this. Out of this, \$40 is a one-time cost, which is due to recovery of some old dues and write-back. So that is not structural. Balance, yes, it's structural, maybe \$10-\$15.

Aditya Welekar: Okay. Understood. Thank you. That's it from my side.

Page 13 of 22

Sensitivity: Internal (C3) Moderator: Thank you. We will take our next question from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: Hi. Thank you for the opportunity. My first question is on hedging. What are our current hedging positions that we have across metals?

Ajay Goel: Sure, Indrajit. I mean, over the last couple of years we have been actively tracking and participating in the hedging program. And even in the current year when the pricing has been a bit of volatile as the year begins, this area is under active consideration. So, hedging position for the current fiscal is mostly in LME terms. So almost our annual volumes 12% , almost 275 kt has been already hedged. And the hedging rate is \$2,655 per ton. Secondly, in case of Zinc International, a small quantity, 50 kt, is already hedged. It's almost \$2,840 per ton. But in summary, we are watching this area very closely, and we will take the positions as market moves.

Indrajit Agarwal: Sure. Thanks for that. This is helpful. Also, if you recall, in last year's Investor Day you had highlighted two EBITDA targets, \$6 billion for '25, and \$7.5 billion for '27. While we have fallen short of FY '25 despite commodity prices being resilient or robust, how confident are we of the '27 target of \$7.5 billion?

Ajay Goel: Historically, our guidance has been, Indrajit, around volume, cost and CAPEX es. And EBITDA guidance during our conversation was about \$6 billion. So against \$6 billion, it was at the group level. So we are at about \$5.5 billion. So there is some gap , but not miles apart. In the current year, if you look at one page in the IR document, it talks about guidance again on the volume, cost and CAPEX es. We are not guiding for now for EBITDA. And as pricing stabilizes, we may guide on EBITDA as well. But important thing to note, if you look at the guidance, the volume at the midpoint of the guidance is about 10% growth versus last year.

Cost, again, from the midpoint is about, again, 9%. And 1%, 1.5% is NEP. Net -net, in FY '26, we are foreseeing 20% growth, led by operations, which is volume, cost and NEP. Now even with the current pricing, current spot, our EBITDA with these numbers will be far bigger than the last year. And as I mentioned, as pricing stabilizes, if you see 10 th or 11 th of April post tariff, the pricing, and right now pricing across Zinc, Aluminum and the Brent has recovered by 5%. So, one should look at the growth led by volume, cost and NEP. Pricing, we have to wait and watch.

Deshnee Naidoo: I think, Indrajit, just to add to that. On Aluminum , as we have just been discussing, we would have been shy of our cost numbers because of the spike in alumina prices that we saw globally last year, and that contributed to not meeting the internal or the EBITDA number. Similarly, on Hindustan Zinc, slightly shy of the metal that we would have liked to produce, despite the good efforts that Arun and the team have made in terms of their mining tons. And Zinc International, I think when Chris talks, it's good to see where we ended the year, but we did fall short of our targets in terms of production in the first half because we chose to catch up on our mining tons.

Vedanta Limited  
April 30, 2025

Page 14 of 22

Sensitivity: Internal (C3) So, those were, I would say, the levers that Ajay just spoke about. Those were the reasons why we were slightly shy of hitting our EBITDA numbers against the improved LME .

Indrajit Agarwal: Thank you. And lastly, how is Konkola Copper Mine ramping up ? And any plans of getting it into or moving it to India

entity yet?

Deshnee Naidoo: Thank you for that. I am going to hand over to Chris to talk about our very exciting copper growth story in Zambia. Chris?

Chris Griffith: Hi, Deshnee. Thanks very much, and thanks for the question. Yes , so I think we are making very good progress in the ramp -up of KCM. Remember, we only got the mine back in August, started production in September. And we have ramped up KCM to about 45,000 tons of integrated copper, of which about just under 30,000 tons was from our own production and 17,000 tons from the custom production. So we are ramping up very nicely.

I think this year we will give some updated guidance, I guess, Deshnee, in the next call. But previously when we gave market guidance in October, we said that we will do about 150,000 tons of copper in 2026. I am very pleased to say that we are on track to deliver that and probably a bit more. So, as I said, we will probably give you more updated guidance, but the ramp -up of KCM is going really well. We will be above the 150,000 tons, probably closer to sort of 170,000 tons, 180,000 tons. But that's not the guidance for now, but just to let you know what that ramp -up is looking like.

So overall , on these amazing KCM assets, this year we will see a ramp -up. We will be cash positive this year, starting to make money, investing in the business, starting to invest in the new

capital to complete the KDMP project to ramp up to 300,000 tons. So, I think, overall, this great asset is ramping up nicely now that we have got the assets completely back in our own hands. And the investment that we have committed to the government of Zambia of \$1 billion over five years is very much on track. And we will probably invest just over \$300 million for this financial year, both in some growth, but also in the major completion project of KDMP. Yes, so overall going quite nicely in the ramp-up.

Ajay Goel: The second part of the question was, Indrajit, regarding any plans of bringing KCM to India entity. So right now, as Chris mentioned, our focus rightfully so remains in operationalization, and augmenting the volume at KCM. And in terms of any structuring, restructuring, right now, not under active consideration. That may happen in fullness of time, not right now.

Indrajit Agarwal: Yes. Thank you so much for your answers, Ajay. That's all from me.

Moderator: Thank you. We will take our next question from the line of Ritesh Shah from Investec. Please go ahead.

Vedanta Limited

April 30, 2025

Page 15 of 22

Sensitivity: Internal (C3) Ritesh Shah: Yes. Hi. Thanks for the opportunity. A couple of questions. First one for Deshnee. I was surprised to see basically a copper smelter, specific to Saudi Arabia, not there on the CAPEX sheet. Any specific reasons over here? And at the current TcRc, if we had to go out with the project, how would we look to justify the underlying economics?

Deshnee Naidoo: Yes. I will start and I will hand over to Chris actually to support. So we have signed the MoU.

And of course, we are still in the study phase, looking at the options. Once we have concluded and have a final feasibility study with us, that's where we will actually indicate the capital amount. And maybe I will hand over to Chris to talk about the progress of the study. Chris?

Chris Griffith: Yes, thanks, Deshnee. And thanks, Ritesh, for the question. Yes, look, I think Deshnee was correct in saying, look, we have signed the MoU, so it's still very, very early days. We have done a high level feasibility study that we are in discussions with the government of Saudi. And there's a whole range of enablers that are part of the package of investing in Saudi. And it's currently those enablers that we are discussing. So, what long-term loans, what grants, what other duty protections, and the like. So there's a whole package of enablers that we are currently in discussions

with the government of Saudi. And depending on how those go will depend on sort of how the project may progress or not.

So, I think just very early days, signed the MoU, project looks interesting. Saudi looks very interesting. The government are very supportive and are trying to attract all this investment to Saudi. And it's on the basis of those enablers that we are in discussions with government at the moment. But I guess, it's still very early days and still some, I guess, large yards still have to be covered before we can commit to any capital for that project. Thanks.

Deshnee Naidoo: And maybe, Ritesh, just to add, we would have put a little bit of study money into the growth capital category under Others. And that's in our guidance of about \$1.5 billion to \$1.7 billion.

So, there is some money in there under Others pertaining to study cost.

Ritesh Shah: Sure. Thank you. My second question is for Ajay. Sir, you indicated \$600 million of reduction in leverage at VRL. I understood the bridge of Rs.1.2 billion is ask. And then basically you extend \$400 million, \$800 million, which was brand fee and dividend, leaving the balance \$270 million. So, I was not able to reconcile the \$600 million number, sir.

Ajay Goel: Okay. So if you look at the source of cash at Vedanta Resources, I'd say the brand fee is \$400 million. And dividend, if we assume 6% yield, which is less than half the recent past, so it is \$800 million. So \$400 million plus \$800 million is \$1.2 billion. Against \$1.2 billion, the interest cost is \$550 million. And if you also add, say, \$50 million for other expenses, \$600 million. So \$600 million is expenses. \$1.2 billion is a source of cash. That means deleveraging of \$0.6 billion in the current year.

Ritesh Shah: I cannot comprehend still.

Ajay Goel: Maybe in that case, Ritesh, I will talk to you maybe offline.

Vedanta Limited

April 30, 2025

Page 16 of 22

Sensitivity: Internal (C3) Charanjit Singh: Sorry, Ritesh, I will take it offline with you after the call, Charanjit here.

Ritesh Shah: Sure, sure. And just the last two questions, specifically on Meenakshi and Athena. Possible to highlight what the coal sourcing is? And if at all we have signed any PPAs for both the assets separately? And the last one was on bauxite, what is the rate at which we are procuring bauxite from OMC? I read the annual report, I find the rate of almost Rs. 1,000 per ton, which looks too low. Is there anything I miss over here, if you could just clarify on that? Thank you.

Charanjit Singh: So, Ritesh, I will take the power, and we will let Anup take the bauxite query. See, we haven't signed any PPA as of now for the first year. It'll be all merchant power, short-term contracts. So,

I think we will sign for both the FSA first, and then we will go for the PPA, more of a medium term PPA. But if you look to the rates in the merchant power market today, you will get very good rates. So at least for one year our model will be more like going for the merchant power contracts.

Ritesh Shah: Sure. And bauxite costing specifically from OMC ?

Anup Agarwal: So Ritesh, so to your question on the bauxite OMC, the cost that you mentioned, that's only the basic cost. And then the taxes, duties and the logistic costs are all extra.

Ritesh Shah: Right. But still Rs. 1,000 is way too low because if you look at the e-auction prices so the numbers are significantly higher. So I understand it will be ex-mine and everything else will be extra. So, is there anything which is baked in contingent liability that we should be aware of? Or is this the pricing that we have that Vedanta as a group has from OMC?

Anup Agarwal: See, this is the price which is there today. Of course, there is a small litigation going around it, but this is the price which is there today.

Ritesh Shah: Okay. So there's no risk of contingent liability over here ? Just a clarification.

Anup Agarwal:

Not as of now. There's nothing as of now.

Ritesh Shah: Sure. Thank you so much for the answers. Thank you.

Moderator: Thank you. We will take our next question from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: Yes, good evening. So, a related question on the alumina cost, because currently the market price is around \$350 per ton. And our cost of production at Lanjigarh also seems to be either in that range or a little higher. So, once probably the captive bauxite starts, what sort of cost reduction are we looking at compared to the current cost of production?

Deshnee Naidoo: Thank you. I am going to get Anup to answer that because it's the extension of the same question. Anup?

Vedanta Limited

April 30, 2025

Page 17 of 22

Sensitivity: Internal (C3) Anup Agarwal: So Lanjigarh cost, if you would have seen, in Quarter 4 we did a cost of around \$370. Now it is

two factors. One, the bauxite sourcing, the bauxite that we are getting from the domestic source versus the imported source. So part of it is to do with that. And the part of it is to do with the volume. Going forward, as we ramp up our production in Quarter 1, we expect this cost to be somewhere around \$340, \$350.

Now coming to your question on the API or the imported bauxite cost, those are all the ex-works cost, the \$350 or the \$400 that we saw in the month of March and April. And then you have a \$60, \$70 on top of it. So, at this point of time also, in Quarter 1, we expect our cost to be \$35 to \$50 lower compared to even the API that we are seeing in the month of April.

Pallav Agarwal: So the API landed cost you are saying, compared to that?

Anup Agarwal: Landed cost, yes.

Pallav Agarwal: Sure. The other question is, again, on the Athena power plant. So when you look at the CAPEX slide, so there's still a significant amount of unspent CAPEX over there. So, how confident are we of really starting that asset during this year and achieving the targeted PLF?

Arun Misra: No. So do not equate between the CAPEX spend and actual commissioning of the power plant.

Meenakshi, first unit is commissioned, and next 700-megawatt will be commissioned this year.

So absolutely, there is no concern on that ground.

Deshnee Naidoo: So just to confirm, Athena Unit-1, 600 megawatts it's being scheduled for commissioning right now, Quarter 1. And the second unit is another 600 megawatts, that's being scheduled for commissioning in Quarter 4 of this financial year.

Pallav Agarwal: So, any broad guidance on what type of profitability we can expect from that plant?

Charanjit Singh: Sorry, can you repeat, please?

Pallav Agarwal: No, any broad guidance on what profitability we can expect from the Athena power plant?

Charanjit Singh: So we are targeting roughly around Rs. 2 a unit in terms of the EBITDA level. Our generation cost is likely to be closer to Rs. 3.5, which will be, let's say, a Rs. 3 for the variable cost of coal, and Rs. 0.50 on the fixed side. And with respect to what we are likely to get in the merchant power market is a minimum of Rs. 5.5 to Rs. 6. So if you look at the current prices in the merchant power market for the contracts what we have for Meenakshi, we are in position to generate per unit more than Rs. 6.5 at this moment.

And for the deficit period, when the power peaks up in the summer, we also have some contracts, though for a small quantity, from Meenakshi, signed for Rs. 10 a unit. So the current profitability in the merchant power market is very good. And also the reason that we, at least for 12 months,

Vedanta Limited

April 30, 2025

Page 18 of 22

Sensitivity: Internal (C3) will take this route versus going for a long -term or medium -term PPA. Does that answer your question?

Pallav Agarwal: Yes, yes. Thank you. That's it from my side.

Moderator: Thank you. We will take our next question from the line

of Amit Dixit from ICICI Securities.

Please go ahead.

Amit Dixit: Hi. Thanks for the opportunity. Congratulations for a good performance. A couple of questions from my side. The first one is essentially on value -added products in aluminium. Now, if I look at this year, it works to around 14%. Now given our production is going to increase to roughly 3 million tons at the lower end of the guidance, what kind of value -added proportion in terms of percentage can we expect for FY '26?

Anup Agarwal: Deshnee, shall I take that?

Deshnee Naidoo: Yes, Anup, please.

Anup Agarwal: So, Amit, so this year, if you'll see, we have done closer to 50%. And next year we expect it to be somewhere around 70% as we ramp up the VAP facilities , both at BALCO and Jharsuguda.

Amit Dixit: Sorry, what did you say, 17, 1 -7 or?

Anup Agarwal: Amit, 7 -0, 70%.

Amit Dixit: 70%. So that means the premium that we have in this quarter, I mean, which is quite impressive at 301, that premium number should actually go up as we go ahead for aluminium ?

Anup Agarwal: Yes. So, Amit, so there are two positives. One, as you rightly picked up, is on the value -added percentage. The second is on domestic share, both of which we are seeing a rise quarter -on-quarter. But there are some small headwinds also, which we should keep in mind. RoDTEP on SEZ has gone away, while that's an advocacy topic and we are taking it up with the government , that's gone away , it takes away around \$20. And this lower LME and some lower indices that we are seeing in the market, that t akes away another \$30. So net -net, if you look at FY '25, we are seeing an increase of \$25 to \$30. It could have been more, but for the RoDTEP and the lower LME of the indices that I mentioned.

Amit Dixit: Okay. Got it. The second question is on Oil and Gas. So the guidance is 95 to 100 kboepd. Now we have closed the quarter at around 96 kboepd. So, are we expecting an uptick in oil production, possibly from whatever endeavors we have done over a period of time? And if so, from which quarter can we expect that? And also, if you could give an indication of OALP percentage in the total production this year, FY '26.

Deshnee Naidoo: Thank you. Amit, I am actually going to hand over to Hitesh. Hitesh, over to you.

Vedanta Limited

April 30, 2025

Page 19 of 22

Sensitivity: Internal (C3) Hitesh Vaid: Yes. Hi, Amit. Amit, yes, you rightly pointed out, our current year number was around 104, and

we have guided next year for 95 to 100, while our Quarter 4 number is at around 96. Now , the first part is some of the things which we did during this year is primarily driven by some of the failures which we had in our Mangala wells. Those failures are now behind us, and that's why now quarter -on-quarter at least we are seeing a stable volume compared to what we had seen earlier during the first half of the financial year.

Now going forward, what will work for us , how do we assure to deliver our guided volumes for FY '26? I think one of the key factors would be our ability to manage the declines where we , as I said , last few quarters or a couple of quarters we have done well. Second is , we have drilled quite a number of wells during the last six, eight months , those are being ramped up progressively, which will add around, say, 7,000 to 8,000 of incremental volume for us. Additionally, we are still drilling wells , both in gas fields as well as the oil field, which we expect to add around 5,000 incrementally more.

The third part which is one of the biggest drivers for Cairn going forward on volume is our ASP project. As we had said earlier, we have commenced injection in select pads. Now, for the larger cluster of pads we are almost ready to inject. We will do the first injection in a larger cluster around July of 2025. And that injection would take around, say, five months to six months to give us the volume upside, and

we will start seeing the impact of that injection.

And of course, once we see the benefits, say, around end of December, we would obviously extend the ASP project to all the clusters in Mangala, and then of course in Bhagyam and Aishwarya field as well. So these are some of the key things which we are doing as far as Rajasthan field is concerned, not only to contain decline, but help it to grow, especially through drilling more wells and ASP project.

In addition, during the second half of the year, we are also drilling infill wells , both on the East Coast and the West Coast , given the weather window available after monsoon. During that time, what we will also do is , one of our DSF field Ambe, which is offshore West Coast just near to

our current producing Cambay field, so we will drill three wells there as well which will add volumes, but it will take around 18 months further down the year to come into play. But it will add substantial volumes. It will be a new field which will give us around 15,000 barrels of production.

Now, the important part which you said is around the timeline. We expect that our volume trajectory will go up from Q2 onwards. We will be at around 98, 99 in this Q1. And then, of course, the trajectory goes up. And we have a higher volume during Q3 and Q4 when we start the payoff infill wells in offshore, as well as the benefit of ASP. Again, I think beyond this, some of the few things for us I think came beyond the current volume is what we are doing to grow our volume, and that is more importantly driven by the robust portfolio which we now have on the exploration side.

Vedanta Limited

April 30, 2025

Page 20 of 22

Sensitivity: Internal (C3) And recently, we had said that we are starting the shale drilling campaign in Rajasthan. So, the well gets spudded in July of this year. And we will do three wells, and we will get to know how it works out for us, how are we able to make it economical. And then we will come out based on the results on the fulfilled implementation.

In Northeast, we have got first oil discovery in our OALP block, what we have now named it as Rudra. And we are doing a couple of appraisal wells starting next month, which will then give us volumes later during the year from Northeast as well. The deepwater project is anyway going ahead. We are acquiring data through a CSEM survey. We will have the results somewhere in July, August, and then we lock in the rigs for next year drilling. So, these are some of the key things which will give us larger volume going forward. But I think in the near term, focus is on managing decline, growing the volume, ensuring that we meet our guidance.

The other part I think which you asked importantly is, how much volume has been contributed through our OALP blocks. Currently, it is around roughly 4%. And I think our now focus is also on larger volumes through the OALP as well as the DSF fields, because towards the EBITDA they contribute disproportionately much more, compared to the volume they contribute. So I think that is one of the focus areas.

So, that's all from my side. If you have any questions, you can let me know.

Amit Dixit: So, any indication you will give on OALP proportion, it was 4% in FY '25. For FY '26, how much can we expect? A broad range will also do.

Hitesh Vaid: Correct. So, what we are working on is trying to figure out whether we can reach around 8% to 10% by Q4. It will depend on our current Jaya producing field. We are drilling a couple of more wells in May. They are more appraisal exploration-led. And then Northeast, which I said, we have got the discovery and we are looking to monetize during this year. If both of these work, then it will be 10%.

And the other part, the DSF, which I said where Ambe we are drilling the well, but it takes time. Since it's a new offshore development, we will have to build a platform, connect the pipeline. So

while it will take 18 months, but I think the objective is to move to that 20% -25% in at least 18 to 24 months.

Amit Dixit: Perfect. Thank you so much, and all the best.

Hitesh Vaid: Thank you, Amit.

Moderator: Thank you. We will take our next question from the line of Rashmi Chopra from Citigroup. Please go ahead.

Vedanta Limited

April 30, 2025

Page 21 of 22

Sensitivity: Internal (C3) Rashmi Chopra: Thank you. Sorry, these questions might be a bit repetitive because I got my call dropped. But

just on the aluminum side, again, just to clarify. So BALCO has gotten delayed to the first half, the BALCO expansion. Is that correct, from the 1st Quarter?

Ajay Goel: Anup, you want to take it?

Anup Agarwal: So Rashmi, we are still maintaining the guidance of the first metal at end of the Quarter 1. So to that extent, while we said that the first half, but we are still maintaining the guidance that by quarter end, June end, we should have the first metal from BALCO.

Rashmi Chopra: Okay. And then the alumina 3.5 million ton to 5 million ton, that is in progress already?

Deshnee Naidoo: That is correct. Yes, that is correct, Rashmi. That is in progress. So the team is currently, they have commissioned the one and the first 1.5-million-ton train. And on the second train we started to commission. In fact, we have had metal from Calciner -4 already. And by the end of this year, we are targeting to be at a run rate closer to 4 million tons. And by next year, we will hit our 5 million ton run rate. So, that's how we are looking at our Lanjigarh Refinery.

I think just to also add to the BALCO expansion, I also want to give the team credit here . Because when we started the project, the team has since actually done continuous improvement on a project model, which, again, I think is great, given all of the expertise that we uniquely have in this field. And we have actually added to the capacity. And we have reduced, I think, the specific power consumption by about 2.5% to 3%. And they have also made some changes to the cathode block. So that has caused some de lay upfront in terms of order placement. And the team is now catching up on that. So that is why we are still holding to the overall timelines. But the comfort for everyone is that we are building a far more improved project in BALCO.

Rashi Chopra: Okay. And then just on the coal blocks , again, if you could just kind of give the timeline for all three again, please.

Deshnee Naidoo: You can take it.

Charanjit Singh: Rashi, I think we have answered this. Good if we connect offline. In the interest of the time, we are already 8 minutes behind the scheduled time. So I think this will be the last question, but I am happy to connect with you because this was already answered on the call while your call dropped.

Rashi Chopra: Okay. No problem. Then just one, I do not know if this has been answered, but what is the debt repayment at VRL for FY '27?

Charanjit Singh: Suggest that you look into the slide. We have given the full details in the deck year -on-year.

Ajay Goel: Maybe I will take it summarily, Charanjit. So first with '26, current fiscal. So \$920 million is a debt repayment to do in the current year. Next year, FY '27, it's about \$675 million. Very clearly,

Vedanta Limited

April 30, 2025

Page 22 of 22

Sensitivity: Internal (C3) the need for cash at VRL, in fact, is declining rapidly, led by both deleveraging and refinancing. At the same time, overall cash flow at Vedanta India , given the augmented volume, compressed cost, is much higher. So overall, we as a group in terms of cash management is historical best position.

Rashi Chopra: Got it. Thank you.

Ajay Goel: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Charanjit Singh for closing comments. Over to you, sir.

Charanjit Singh

: Thank you, everyone, for taking out the time to join us. I hope most of the questions were answered. But for any unanswered question, feel free to touch base with the IR team. We will be happy to provide you all the responses in detail today itself. So with this, we conclude our call. We look forward to reconnecting with all of you towards July end to discuss our Q1 performance. So, good day and goodbye.

Moderator: Thank you. On behalf of Vedanta Limited, that concludes this conference. We thank you for your participation. And you may now disconnect your lines. Thank you.



## Call: Aug 2025

Page 1 of 19

Sensitivity: Internal (C3)

"Vedanta Limited Q1 FY '26 Earnings Conference Call"

July 31, 2025

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Vedanta Limited  
July 31, 2025

Page 2 of 19

Sensitivity: Internal (C3) Moderator : Ladies and gentlemen , good day, and welcome to the Vedanta Limited's 1st Quarter Financial

Year '25-'26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" , then "0" on your touchtone phone. Please note that this conference is being recorded. Participants connected on the webcast link may change the quality settings to 1080p to watch the proceedings on the best quality. I now hand the conference over to Mr. Charanjit Singh – Group Head, Investor Relations, Vedanta. Thank you, and over to you , sir.

Charanjit Singh: Thank you, Sagar. Good evening, everyone, and welcome to Vedanta Limited Q1 FY '26 Earning Call . On behalf of team Vedanta, I thank you all for joining us today. I hope you had the chance to look at the press release, earnings presentation and detailed financial statements uploaded on the website of stock exchanges and the Company website.

On this call, I have with me our group CEO – Ms. Deshnee Naidoo ; Mr. Arun Misra – our Executive Director; Mr. Ajay Goel – our Group CFO; Mr. Rajiv Kumar – CEO, Aluminum Business ; Mr. Anup Agarwal – CFO , Aluminum Business; and Mr. Hitesh Vaid – CFO, Oil and Gas Business .

We will begin with an operational and strategic update by Ms. Naidoo , followed by financial highlights by Mr. Ajay Goel . Thereafter, we will open the lines for Q&A.

The call is covered by the cautionary statement provided in the Results Presentation . With this, I now hand over the call to Ms. Naidoo . Over to you, Deshnee.

Deshnee Naidoo: Thank you so much, Charanjit . Good evening, everyone. It is a pleasure to address you all as we mark the close of the 1st Quarter FY '26 .

We began the financial year amidst global uncertainty resulting from the implementation of the U.S. announced tariff.

Early April, we witnessed a sharp decline in the prices of key commodities, particularly the one relevant to us, aluminum, zinc, iron and steel, and oil and gas. Despite this backdrop, we delivered our strongest 1st Quarter performance ever, setting a strong foundation for the year. During our last interaction in April, I spoke about a new chapter in Vedanta's journey, Vedanta

2.0, a forward-looking value driven road map designed to reinforce our leadership across critical minerals, energy, and technology, while ensuring sustainable long-term growth for all stakeholders.

Vedanta Limited

July 31, 2025

Page 3 of 19

Sensitivity: Internal (C3) The progress made on this front includes the NCLT initiated hearing on the second motion petition for demerger. The NCLT bench held their first hearing on July 2. Given the paucity of time, the process could not be completed, and the next hearing is scheduled for August 20 th. This will take us a step closer to the final order.

Augmentation of our strategic investment plan. In the 1st Quarter, Hindustan Zinc's Board approved the first phase of its expansion towards 2 million metric tons capacity. This phase will add 250,000 tons of capacity and is backed by a \$1.4 billion investment, thereby announcing our total capacity or total capital investment plan from \$9.5 billion to \$11 billion, of which \$5.9 billion has already been spent as at June 2025.

We secured two additional mining blocks of high value critical minerals, thereby taking the total count of blocks assigned to 10 since the launch of India's critical minerals mission. These blocks are for nickel, chromium, cobalt, vanadium, manganese, tungsten, gold, and rare earth elements. Now we know that this journey on the Vedanta 2.0 road map isn't going to be without challenges. But given our robust business model,

strong governance framework, and transparent disclosures, we see ourselves well-positioned to address any challenges that may come our way. Being a listed company, we are always open to market scrutiny. However, it is also our responsibility to call out any false narrative targeting us, guided by vested interest, such as the recent malicious propaganda by short seller with an ulterior motive of profit booking at the cost of our long-term investors.

I appreciate the wisdom of our key stakeholders who despite the repeated attempts from the short seller to create panic among them, have remained unwayed. As you might be aware, we sought legal advice on the matter from the ex-Chief Justice of India, and his opinion is now shared publicly.

Now turning to our operational performance for the quarter:

Vedanta has posted a robust performance despite a softer pricing environment. Revenue and EBITDA grew by 6% and 5% year-on-year, driven by stronger domestic demand. The EBITDA margin expanded by 81 basis points year-on-year to 35%, the highest in the last 13 quarters. ROCE improved to 25%, up 87 basis points year-on-year, enabled by record volumes across key segments and improved margins given the rigorous cost discipline.

Let me now walk you through the various business segments:

Starting with aluminum, we achieved a record quarterly alumina production of 587,000 tons, up 9% year-on-year, demonstrating progress towards delivering a guided volume of over 3 million metric tons in the current financial year.

Vedanta Limited

July 31, 2025

Page 4 of 19

Sensitivity: Internal (C3) Our metal production reached 605,000 tons, and we recorded the lowest hot metal cost excluding alumina in the last 16 quarters at \$888 per ton. This is driven by the lowest ever power cost at \$491 per ton, supported by a record PLF of 89% at our captive facilities. These costs are sustainable over the coming quarters, except Quarter 2 given the planned maintenance of power generation facilities during the quarter.

Our Zinc India operations delivered its highest ever quarter mined metal production of 265,000 tons and the lowest ever 1st Quarter cost at \$1,010 per ton. The share of value-added products reached 24%, demonstrating progress towards our strategic value-added plan.

Shifting focus to our international operations, Zinc International delivered a strong performance as Gamsberg's production surge 74% year-on-year, backed by strong oil availability and mining ramp up.

Our oil and gas business faced a natural decline in the MBA fields. However, this was partially offset by the infill wells in Aishwarya, ABH and Satellite fields, particularly in the last two months of the quarter. Over the quarter, we reported an average daily volume of 93,200 kboepd and managed to reduce the OPEX by 11% quarter-on-quarter through optimized polymer and chemical use.

Our power business recorded a robust 30.8% quarter-on-quarter volume growth supported by the start of the 300-Megawatt capacity at Meenakshi Power Plant and 90% availability at TSPL. In iron ore, we scaled up volumes at our Karnataka mine to the highest ever 1.7 wet metric ton, while our value-added business in Goa delivered its highest ever 1st Quarter pig iron production of 213,000 tons. Operational enhancements like the new PCI Mill and the Coke Drying System

are setting us up for sustained efficiency.

At ESL, we saw a marginal drop in production due to the furnace maintenance, which was offset by the increase in our iron ore output to 0.94 million tons. Margins ex-mines are strong, improving by 11% quarter-on-quarter to \$49 per ton.

Finally, our FACOR business delivered an exceptional growth with all production rising by 66% quarter-on-quarter and Ferro Chrome output by 150% quarter-on-quarter with the restart of the second furnace.

At Vedanta, we are proud of delivering responsible growth

with focus on all our stakeholders.

In the 1st Quarter, we reported zero workplace fatalities. We are making steady progress towards our climate goals and have already signed a total renewable power delivery agreement of 1,900 Megawatts.

Vedanta Limited

July 31, 2025

Page 5 of 19

Sensitivity: Internal (C3) During the quarter, we impacted just over 2 million lives through initiatives in maternal health, nutrition, education, and skilling. Our flagship Nand Ghars program with over 8,600 centers across India is now transforming the lives of over 600,000 people.

Looking ahead, our volume growth and margin expansion stories will continue across all businesses. In aluminum, the commissioning of Lanjigarh Train II and the 435,000 tons per annum Balco smelter is targeted in the current quarter. The average alumina cost per ton is likely to decline further, which is a true reflection of lower market prices and increased share of captive production.

At Hindustan Zinc, we are targeting the commissioning of a 160,000 ton per annum roaster at Debari and in the current quarter, thereby making us ready for the 1.2 plus million tons per annum refined metal production.

Our Zinc International business is on course to complete the Gamsberg Phase -2 project in the second half of the current financial year, thereby increasing operational mine capacity of Zinc International to 525,000 tons per annum.

In oil and gas, the current quarter is going to be action driven. We are set to begin ASP injection, commence drilling on the West Coast, and launch exploration in the unconventional blocks.

Additionally, we are evaluating drilling plans for deepwater exploration in KG Basin.

Our power business is set to add another 1,300 Megawatts of new capacity in the second quarter.

In July, we commissioned the 350 Megawatts at Meenakshi, that's Unit 3, and the 600 Megawatts at Athena, Unit 1. An additional 350 Megawatts at Meenakshi, Unit 4, is planned for commissioning in August, while Athena, Unit 2, with a capacity of 600 Megawatts, is scheduled for commissioning in Quarter 4 in the current financial year.

I would like to conclude by stating that despite the uncertain macro environment, our 1st Quarter performance has set us intact to achieve our FY '26 guidance. At current commodity prices, we are well-positioned to deliver our best performance. We are confident of creating sustainable long-term value for all stakeholders, while progressing our journey on the Vedanta 2.0 roadmap.

Thank you. Ajay?

Ajay Goel: Thank you, Deshnee, and good evening, everyone. The new fiscal has commenced amidst a complex and evolving macroeconomic environment. The 1st Quarter was defined by continued commodity price volatility and a recalibrating global landscape driven by evolving trade dynamics and geopolitical realignments. LME prices remain subdued with most key commodities barring silver witnessing Y-o-Y decline.

Despite these headwinds, I am pleased to report that we have delivered our highest ever 1st Quarter EBITDA of Rs. 10,746 crores along with an 81 basis point Y-o-Y improvement in margins. This robust performance reflects the strength of our portfolio and was enabled by Vedanta Limited

July 31, 2025

Page 6 of 19

Sensitivity: Internal (C3) rigorous cost reductions through operation efficiencies, stronger market premiums supported by healthy domestic demand, and net favorable For ex and other strategic levers.

Our key businesses continued to demonstrate exceptional margin resilience. Aluminum at 31%, Hindustan Zinc at 51% and Cairn at 55%. Hindustan Zinc achieved its lowest ever 1st Quarter cost of production, while aluminum reduced its hot metal cost down by 12% quarter-on-quarter, both remarkable operational milestones.

Financial performance highlights:

Let me now walk you through our Q1 financial results, which reflect the strength and consistency

of our operation :

Consol revenue at Rs. 37,434 crores , registering a solid 6% growth Y-o-Y.

EBITDA came in at least Rs. 10,746 crores , our highest ever for the 1st Quarter , marking a 5% increase Y-o-Y. EBITDA margin expanded to 35%, the highest in the past 13 quarters, a clear indicator of operational excellence and cost discipline.

Adjusted PAT rose to Rs. 5,000 crores, a strong 13% growth Y-o-Y, while reported PAT stood at Rs. 4,457 crores after factoring in certain one -off items.

ROCE improved by 87 basis points Y-o-Y to 25%, sustaining our double -digit growth profile and reinforcing our focus on capital efficiency. With this strong start up of the current year, we are well -positioned to sustain momentum as we execute our strategic priorities.

Now turning to the balance sheet :

We continue to operate with a position of strength and discipline. So , as of June 2025, our net debt stood at Rs. 58,220 crores , representing a decline of Rs. 3,100 crores Y-o-Y, supported by strong internal accruals and targeted capital actions . The net debt to EBITDA ratio improved to 1.3x from 1.5x last year, reflecting improved cash flow generation and capital management efficiency.

We ended the quarter with a healthy liquidity of Rs. 22,137 crores, a 33% Y-o-Y and 7% quarter -on-quarter increase, providing us with ample headroom for investment and contingencies.

Now finally staying true to our shareholder commitment, we declared a dividend of Rs. 7 per share during the quarter.

Moving on to capital actions and deleveraging :

Vedanta Limited

July 31, 2025

Page 7 of 19

Sensitivity: Internal (C3) In line with our capital discipline agenda, we took several initiatives in the quarter, further strengthening our capital structure. We monetized 1.6% stake in Hindustan Zinc , raising more than Rs. 3,000 crores in Q1. We also raised Rs. 5,000 Cr via NCDs and other loans at more favorable terms, a testament to the market's confidence in our great credit strength .

These initiatives have contributed to a 130-basis point improvement Y-o-Y in our borrowing costs, now reduced down to 9.2%. Together, these actions enhance financial agility, further our journey towards a leaner capital structure.

Demerger update :

Let me now update you on the progress of demerger :

Deshnee though briefly covered that. The second motion petition has been formally submitted to NCLT, and the next hearing is scheduled on 20th August after part hearing on 2nd July. Separately, the NCL AT has granted an interim stay on TSPL, our power demerger order by NCLT, with the next hearing scheduled on 4th August. We remain confident of the positive outcome in both forums, and we continue to progress in line with our previously shared timelines. The execution of the demerger remains a top priority for Vedanta.

On credit ratings, both CRISIL and ICRA have reaffirmed Vedanta's ratings at AA, reflecting strong institutional confidence in our governance practices, financial strength, and the long -term strategic outlook.

In conclusion, to sum up:

Q1 has been a quarter of strength, discipline, and strategic delivery. We delivered a record 1st Quarter EBITDA, executed critical capital and deleveraging actions, sustained robust margins in the key businesses, announced much anticipated 2x growth project for Zinc India. And in July, we commissioned 950 megawatts of merchant power facility at Meenakshi and Athena , both of which are now fully operational.

As we look ahead, we continue to operate with clarity and conviction, undeterred by external attempt to shift the narrative. Together, we are building a stronger , future -ready Vedanta.

Vedanta 2.0. Thank you. Now , over to operator for Q &A.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Amit Lahoti from Emkay Global . Please go ahead.

Amit Lahoti: My first question

on is on aluminum hot metal cost, which has declined in Q1. So, what are the drivers here in terms of power and other stuff? And can we expect more savings in coming quarters?

Vedanta Limited

July 31, 2025

Page 8 of 19

Sensitivity: Internal (C3) Deshnee Naidoo: Thank you, Amit. I will start and then hand over to Anup. So , we delivered, as you mentioned,

a COP of \$1,765 per ton in Quarter 1, and that was a reduction of \$246 per ton. So , that is a 12% quarter -on-quarter . This is largely on account of the softened aluminum market prices as well as the increase in captive mix as we indicated with the Lanjigarh increased volume.

So, in Quarter 2, we are likely to see a marginal cost reduction that have also indicated, you know, although we have better reception of the lower alumina prices, it will be balanced by higher power cost due to the planned maintenance activities we have at our power plants in Jharsuguda in particular. In the second half of the year, we do expect cost to be around the lower end of the already guided range.

I will hand over to you, Anup, to talk about some of the specifics we are doing in terms of cost reduction and containment across aluminum.

Anup Agarwal: Thank you, Deshnee. And, Amit, see, in H2 with the Train II Lanjigarh commissioning, we will have improved captive mix. So, that will take our mix which is at presently 50% to somewhere around 65% to 70%, point number one.

Point number two, you have seen last few quarters, the work that has happened on the power and the coal. And Deshnee covered it, but for some planned maintenance, which was by design, planned to set up for the H2, we are now close below \$500. So, with the improved Lanjigarh mix, the alumina cost below 800, the power cost somewhere around 500, you can see we are now set for the hot metal cost sub 1,700 as we go into the H2.

And you will recall in our guidance also, in the year beginning, we had said that the hot metal cost for the year will be in the range of 1,700 to 1,750. Q1, we have done closer to 1,765. Quarter 2, Deshnee already included that because of the planned shutdown, we will be slightly higher or marginally flattish. But for H2, we expect a very, very strong cost. And if you look at the LME today, and given the NEPs that we are having, you can see that today, probably we will have a margin of \$1,100 or so as we go into the H2.

So, Amit, hopefully, I have answered your question. Thank you.

Amit Lahoti: Yes. So, just to follow-up on this specifically for alumina cost, as you mentioned in your opening remarks as well, could you quantify cost reduction that could come one from lower alumina prices and second cost reduction at Lanjigarh because it has gone up in the recent quarters to \$370, \$380? So, can we see some reduction there as well at Lanjigarh?

Anup Agarwal: So, Amit, you can see, next two quarters, we expect a cost reduction of closer to \$80 to \$100. And you can assume that 60% of it is going to come through the captive alumina bauxite, and the balance is, of course, going to come from the softened market price.

Vedanta Limited

July 31, 2025

Page 9 of 19

Sensitivity: Internal (C3) Amit Lahoti: And lastly, if you could provide commissioning time lines for Sijimali bauxite mine as well as the coal mines?

Deshnee Naidoo: Thank you, Amit. Maybe I will start and then hand over to Rajiv. So, on Sijimali, we are targeting the EC by the end of this quarter, which means probably a start of production at the end of Quarter 4. In terms of overall bauxite mix, we are still factoring, as we have indicated previously, about 1 million to 1.5 million tons of bauxite from Sijimali this year still.

I will hand over to you, Rajiv, to talk more and also the questions around coal mining timing.

Rajiv Kumar: Thank you, Deshnee. Thank you, Amit. On Sijimali, we are going to get the FC1 clearance at the start,

and then followed by EC clearances, followed by FC2 clearances. So, that is the process of clearances. The FAC in Delhi happened yesterday, and we have to get the communication in the next few days. Hopefully, we are going to get the approvals. And then from there, I think, as Deshnee said, in next three to four months, we should be over with all the approvals, and then we can start to go on to the mine.

As far as coal is concerned, Kuraloi, we have an in principle approval for FC1. And just few days back, we got a grant for the EC as well. FC2 is also being targeted by the end of the quarter. And as is the guidance in the last quarter, in Quarter 3, we should be up and we should be ready to start Kuraloi. So, that is the guidance and we stick to the guidance.

As far as Ghogharpalli is concerned, the mining plan has been approved. The TOR has been in granted. Few days back, we got 300 acres. This is about 41% of the government land. And we are targeting the FC1 and the EC by Quarter 4 of this year. I hope I have answered you, Amit, related to the progress of the Sijimali and Kuraloi.

Amit Lahoti: Yes. Thanks for elaborate answer. Appreciate it.

Moderator: Our next question comes from the line of Ankit Tikmany from SBI General Insurance. Please go ahead.

Ankit Tikmany: I just wanted to know whether Guinea and EGA issue is resolved. If not, what is your bauxite sourcing plan?

Deshnee Naidoo: Thank you for that. Ankit, I think I will hand over to Anup on the question. But if I understood you well, you are asking us about EGA, right?

Ankit Tikmany: Right.

Deshnee Naidoo: So, EGA's operations in Guinea still stand suspended as there is no bauxite supplies from EGA in Guinea. I think maybe before I hand over to Anup to add anything further, I just want to

Page 10 of 19

Sensitivity: Internal (C3) maybe put the context around what is happening on from a overall bauxite and alumina point of view for the business.

So, as we guided, we are targeting three to 3.1 million tons of alumina production for the year, and you all would have seen that we have had a good start at Lanjigarh in terms of 584,000 tons in the 1st Quarter, which actually put us in a very good position to meet that number.

So, we roughly need just over 9 million tons of bauxite for the year. Around 5 million tons of that is coming from OMC and other domestic sources, 2.5 million tons from imports, and as Rajiv has just guided, another 1 to 1.5 million tons from Sijimali.

So, we are fully tied up for our bauxite commitment for the full year. I think I can leave it there, Anup.

Anup Agarwal: I don't have anything to add.

Moderator: Our next question comes from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Sir, our guidance on oil and gas is between 95 to 100 Kboepd. And in Q1, we have seen a 17% decline. So, in that context, in the earlier call, we have said that we will see the oil and gas volume will have an upward trajectory from Q2 onwards. So, are we on track for that? And given our efforts on exploration side, so if you can throw some guidance for in the medium term, so how those volumes will ramp up and how we will arrest the decline? So, that is number one.

Deshnee Naidoo: Thank you, Aditya. I will start and then hand over to Hitesh, our CFO from Cairn is on the line.

So, as you rightly said, FY '26, we are targeting a range of 95,000 to 100,000 barrels of oil equivalent per day. And just to remind everyone that we came very close to the guidance of last year as well. So, there is maybe three things I want to mention before I hand over to Hitesh to talk about the specifics, that we want to manage the decline by about 15% from FY '25 levels. There are three areas that we are targeting. New wells that we drilled in FY '25 will give us about 8,000 barrels of oil equivalent

per day. There is additional wells planned for this year that are already starting to give us an uplift in barrels, and that is about 5,000 barrels of oil equivalent per day.

In addition, I really want Hitesh to talk a lot about the ASP project. So, we have been talking about ASP. Now we have started ASP injection in the cluster well pad in Mangala, and that is now targeted for August and September.

So, three things are happening. This is a decline that we have planned for. We have wells from last year that are giving us a delta of about 8,000. We have wells being drilled this year, 5,000, and we have our ASP project. So, maybe, Hitesh, you can talk a little bit about the specifics as

Vedanta Limited  
July 31, 2025

Page 11 of 19

Sensitivity: Internal (C3) well as then answer the questions around further exploration and development projects that we are busy with.

Hitesh Vaid: Thanks, Deshnee. So, I think, in terms of production, as Deshnee said, we delivered 93,000 barrels per day for Q1. And if you look at over the last six months, we have managed to contain our decline. Rates are now around 3% to 4% quarter-on-quarter.

One of the or a couple of two activities which have added in helping us to manage decline is continuously drilling infill wells in our project, Rajasthan team, as well as well intervention which we have done to recover volumes from wells which had gone down.

Now, in addition, what we have also done is, during this course of time, we have managed to optimize our OPEX, which for the quarter was 15.1, which is substantially lower compared to previous quarters. This has been done by managing our polymer injection as well as chemicals in an efficient way.

Now, for the full year, as you rightly said, our guidance is for 95,000 to 100,000 barrels per day. So, the key levers will be to continue to drill infill wells in Rajasthan, which approximately will give us around 5,000 barrels per day.

The other part is ASP, which Deshnee spoke about. Now, ASP project, we are set for injection in selective well pads in Mangala field. So, in couple of months, we will start injecting volume on those fields. In around say six months' time, we expect volume gain. And once we are through with the full-scale injection, in three to four quarters, we expect the additional gain of around 15,000 barrels per day from ASP injection in select Mangala fields.

Now beyond ASP, looking into the future as well, especially from volume point of view, we are also starting appraisal and development of DSF field, which is obviously, which is on the West Coast. Now the drilling in that field will start in October this year, and that is going to add around 18,000 barrels of oil equivalent in around 1.5 years time.

Now, what we can also be able to achieve this year is on our OPEX, which is going to be around

\$15 to \$16 per barrel. Looking at long term and especially on the exploration side, what we have started currently is doing in Rajasthan, which has been our most prolific field.

So, we are working on international rigs and targeting deeper prospects, tighter prospects, and we intend to drill three to six wells. The rig has already spud couple of days back. In the West Coast Kutch Basin, we also have a OALP block where we just spud in September 2025. The rig has been spudded and it is in the process of being mobilized.

In the Northeast, couple of quarters back, we had a discovery: Rudra. So, we are now set for appraisal of their discovery. So, in the next two months, we will try to spud two to three wells.

Vedanta Limited

July 31, 2025

Page 12 of 19

Sensitivity: Internal (C3) to figure out the potential of Rudra. And we will have few more opportunities in the Northeast, which we will drill around Q3, Q4 of this year.

And beyond this in exploration, one of the larger plays in our books is KG Deepwater

where we

recently acquired CSEM data. Now the data has given us some very positive indication on the potential, and we intend to target three wells early next year. So, this is on the overall exploration plan. Thank you. And if you have any questions, let me know.

Aditya Welekar: Yes. Thanks for that detailed explanation. My second question is on power division. So, we have seen a good jump in this quarter. And if I can see for Meenakshi, the power realizations have stood at a very high level of Rs. 7.2 per kilowatt hour.

So, just wanted to understand on Meenakshi and Athena, what is the split between power purchase agreements and spot merchant sales? Because in Q1, we have seen that merchant tariffs have come down in the range of Rs. 3 to Rs. 4 per kilowatt hour. And in that context, Meenakshi's realization is quite high. So, if you can throw some light on that.

Deshnee Naidoo: Thank you, Aditya. Maybe just to recap, right? So, Aditya, on Meenakshi, present, we have the 300 Megawatts. And as we said that we have added another 350 Megawatts. So, Meenakshi, by the end of this quarter or the end of Quarter 2, will have the full 1,000 Megawatts power there. And then Athena, as we have guided, we have only commissioned the 600 Megawatts. The remaining 600 Megawatts will come at the end.

So, back to maybe performance and your point, Quarter 1 performance, 300 Megawatts of Meenakshi capacity was operating, and the average generation cost was around Rs. 6 per unit, and selling price was around Rs. 7 per unit.

So, from Quarter 2 onwards, right, Meenakshi operating capacity, as I said, 1,000 Megawatts, estimated PLF around 50%, cost is Rs. 5 per unit, and selling price will be between Rs. 5.50 to Rs. 5.70 per unit. On Athena's 600 Megawatt, PLF will ramp up from 60% to around 80% in the year, and the cost per unit is about Rs. 3.6 per unit, and selling price at Rs. 5 per unit. So, short-term PPAs are in place for the power sale.

Aditya Welekar: So, any percentage between short-term PPA and spot sales for both these plants?

Charanjit Singh: It is all short-term PPAs at this moment, and we are trying to stabilize the plants at this point in time. And over a period of time, we will also enter into a long-term PPA, which will be followed also by FSA.

Moderator: Our next question comes from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Vedanta Limited

July 31, 2025

Page 13 of 19

Sensitivity: Internal (C3) Pallav Agarwal: So, my first question was on some of the media reports stating that the Ministry of Petroleum

had objections to the demerger. So, what are the grounds in which the Ministry of Petroleum had certain objections, if you could specify that?

Deshnee Naidoo: Thank you for that. I think, firstly, we did give quite a detailed account of where we are in the overall demerger approval. With reference to MOPNG, of course, they are key stakeholders for us in our oil and gas business. And in the last NCLT hearing, they did express concern about the payments of any of the disputed dues that may become payable by Cairn in case the ongoing arbitration ruling, as we have all learned now, comes in their favor. So, we are working with them as we do with all key stakeholders, and we are confident that we will come towards a solution at the earliest possible time.

Pallav Agarwal: Also, you know, we had plans for expanding the aluminum capacity, I think, to about 3.1 million tons, and even the aluminum debottlenecking, if I remember correctly, to 6 million tons. So, any timelines on that? What part of those projects would be commissioned in FY '26 and '27?

Deshnee Naidoo: So, for now, these are debottlenecking exercises. As you know, the current capacity expansion volume-wise will take us to around the 2.8 million mark. And then in terms of the overall expansion from 5 to 6 million tons per annum, I

will let Rajiv talk us through it. In terms of when that capacity will likely be brought in line, we are forecasting maybe the back end of FY '27 . So, Rajiv, maybe you just want to add in terms of the work underway to reach those capacities. Rajiv Kumar: So, thank you, Deshnee. You have summed it up nicely. The timeline s would be 18 months that we are looking at. It is how do you increase the volume? It is done by improving the current carrying capacity of the parts, and we are looking at enhanced technology. It is called magnetic compensation loop. We are working on that technology to improve the capacity, but it will take about 18 months.

First thing first, we have to achieve whatever we have planned for, and that is where the focus is to reach to 2 .8, 2. 85 million tons at both the places at Ba lco as well as at Jharsuguda . And then they can take it on as far as th e smelters are concerned.

As far as Lanjigarh is concerned, we have a task cut out to reach 5 million. And once the 5 million tons is achieved, then we will look at debottlenecking the capacit ies, which we already have, right from logistics to evacuation to also talk about port infrastructure. So , it will be a through and through go, as well as what we are doing in Lanjigarh is to improve the , how to loo p the assets that we have . And I think that is the way to go about as far as we are concerned.

Deshnee Naidoo: Thank you for that , Rajiv . And Pallav, just to be clear, you also asked for some of the other project expansions?

Pallav Agarwal: Yes, I think some of them you...

Vedanta Limited

July 31, 2025

Page 14 of 19

Sensitivity: Internal (C3) Deshnee Naidoo: For this aluminum?

Pallav Agarwal: Yes. I think some of the mining project that you have outlined.

Deshnee Naidoo: And so I think what I will do there is actually ask Arun Misra to talk about the Hindustan Zinc expansion.

Arun Misra: Zinc, we are going for a 2-million -ton expansion , of which as we have reported after the last Board meeting, 12,000 c ore Board approval that we have announced, which will add a capacity of 0.25 million tons. And now it will be followed up by further announcement till about September so that we do the entire project approval for 2-million -ton metal production.

Of course, we did sufficient expansion of the mine, which are currently at 17-million -ton ore production to go up to 35-million -ton ore production. This is also seen jump in silver production from currently 700 to 800 tons to about 1,500 tons.

Deshnee Naidoo: Arun, t hank you. And, of course, we are also quite excited about the Gamsberg Phase -2 project in Zinc International , and that project is almost 80% complete. We are targeting mechanical completion by December as we previously guided and hoping to ramp up thereafter in the last quarter of FY '26 s o that that will add another 4 million tons run of mine, and currently, we are looking at just under 200,000 tons of zinc MI C every year. Thank you, Pallav .

Pallav Agarwal: Yes, thank you so much. And then lastly, could be the potential impact of the U.S. tariffs on exports from India? What is the level of exposure that we have to the U.S. market?

Deshnee Naidoo: Yes, absolutely. Even in the last quarter, right, because in the last quarter, it was just after the announcement , and we basically said that, you know, as a business, given our majority commodity exposure in both zinc and aluminum, we are in a very fortunate business in terms of more than 75% of our zinc goes into India domestic market and 65% of aluminum goes into domestic market as well. And as it stands, we only have a 3% exposure in terms of our aluminum business into the U.S. So, we still maintain position of limited expos ure even with the current announced 50% steel and aluminum tariffs.

Moderator: Our next question comes from the line of Jatin Damania from Svan Investments. Please go ah

ead.

Jatin Damania: Good evening, everyone, and thank you for the opportunity. The question is more on the parent front where we have significantly deleveraged the balance sheet , and for this financial year also we started with good note.

But coming to our next year where we have a repayment of near about \$700 million . So, just wanted to know regarding the repayment, how are we going to , are we going to refinance that loan or probably will be supporting by internal a ccruals something?

Vedanta Limited

July 31, 2025

Page 15 of 19

Sensitivity: Internal (C3) Ajay Goel: Right . And Jatin, if I get it clearly, you mean Vedanta Limited or Vedanta Resources?

Jatin Damania: Vedanta Resources.

Ajay Goel: So, first, you are right. I mean, the net debt for Vedanta Resources over the last many years has been declining. So, deleveraging is our big priority. So , from 8.9 Bn, 3 years ago down to 4.9, and as on June 30 th, it is further down to 4 .8 billion . So, over the last five quarters, the VR L debt is lower by almost a billion. That journey will continue. And you may have noted last year



during investor call, we announced that VR L will deleverage 3 billion over the 3 years . That commitment remains unwavered .

If I keep off the current fiscal for the remainder of 9 months, the requirement for loan refinancing at VRL is almost 320 million and interest 450. Total about 770. So , through a mix of refinancing and some dividends, which of course remains a Board decision, it will be managed. Net -net, VRL debt in the current fiscal will go down by half a billion, down to 4.3 odd billion.

Now speaking of Vedanta Limited, which is the operating company, and here, the right metric remains net debt to EBITDA, more so in a high growth environment. You may have seen our results. Our leverage is better off , Net debt to EBITDA is 1.3x, vis-à-vis 1.5x at the last year same time.

At Vedanta India, by the end of the fiscal, our leverage will further improve to 1x, where our profitability will be bigger than our debt. So , VRL debt target is in value terms, 3 billion in three years. Vedanta India, 1x leverage by this current fiscal end.

Jatin Damania: Thank you for the detailed answer. Second thing, on the same, is around the same thing, as you mentioned that internal accruals or dividend, which is in the Board decision. But if you can throw some light on the brand fee, which is currently at 3%, I mean, till which year does brand fee will continue or any decision will be taken on this brand fee over a period of time?

Ajay Goel: Jatin, brand fee is not a new subject, as you know. It's begun in 2017. And what I can affirm, as you know, the brand Vedanta and the name is owned by Vedanta Resources, which has been formally leased to Vedanta Limited and to its subsidiaries. And right now, the current arrangement of 3% brand fee is valid till 2029 next 4 years. So , 3% continues, and there is no plan to change the rate in near future.

Jatin Damania: And last one, you can brief on the update on your Saudi project because I know you have made some of the CapEx on the Saudi project and what is the steps on that?

Deshnee Naidoo: Thank you for that, Jatin. So, we have received the strategic mineral license for Jabal Sayid belt that is on the exploration site. And I think that's quite something , I just want to give you a quick update maybe on the overall Saudi copper project. The site has an estimated exploration potential

Vedanta Limited

July 31, 2025

Page 16 of 19

Sensitivity: Internal (C3) of about 25 to 30 million tons at about a 1.3 average copper grade associated with that and about a 3 gram per ton gold. So , we are quite excited about the exploration prospects there.

As we have indicated, we still aim to invest about 2 billion in projects there. The two projects as we have discussed previously is the MoU that we signed for the Ministry of

Investments and the

Ministry of Industry and Mineral Resources to set up the 400,000 tons per annum copper smelter and refinery and the 300,000 tons copper rod project.

Happy to report that on the copper rod project, we have identified the land , we have identified the EPC , that is the contractor . And we are going to final approval on the copper smelter and refinery project. That is a longer term project, and we are still working on the feasibility study. But we will, of course, come and update you in the subsequent quarters.

Moderator: Our next question comes from the line of Vikash Singh from ICICI Securities. Please go ahead.

Vikash Singh: My first question pertains to Slide 20. In the debt chart, there is an other debt of Rs. 2,958 crores. So, can we look at what is exactly this is?

Ajay Goel: So, on the bridge, you are right, Vikash . It has a couple of components . That's right. So maybe almost Rs. 270 odd crores is the TDS receivable from zinc on the last payout to Vedanta Limited. It is only a timing difference. And as we pay our income tax next time, this TDS will be adjusted. The significant portion is almost Rs. 1,250 crores is a bank guarantee that we have given to NCLAT as part of our TSPL demerger. So , as we earlier mentioned, for the power, TSPL demerger, while seeking the stay from NCLAT from NCLT order, Vedanta on its SEPCO matter, the creditor matter, we gave to NCLAT a bank guarantee. It is a fully cash backed. So, Rs. 1,248 crores is a bank guarantee and the remainder is a multiple bank guarantee given to the government in terms of Cairn blocks, which are cash margin backed.

So, in summary, they have cash in with Vedanta in terms of fixed deposits or cash which has been subservient to the bank guarantees. As we augment , increase our limit for the bank guarantees, this cash will get released.

Vikash Singh: Noted, sir. Sir, second question pertains to Gamsberg Phase -2 project. Our Phase -1, we promised 250 KT kind of the volumes has not come yet despite this project has been taken up for almost more than half a decade back. So, just wanted to know the timeline when we are going to hit the 250 KT requirement in the Phase -1. And Phase -2 also entails \$400 million kind of the capital cost. I thought that usually Phase -2s are cheaper in terms of the same capacity addition. So , if you could just give us some insight to what is happening there ?

Deshnee Naidoo: Yes, thank you for that, Vikash. I think as we have previously guided, we have had some challenges with mining, and that is primarily the reason why we have not been able to achieve both the grade as well as the volume.

Page 17 of 19

Sensitivity: Internal (C3) Happy to note, and if you look at the performance on a quarter -on-quarter basis, we are seeing in excess of 50% in crease is now coming out of the Gamsberg MIC, which is absolutely the right direction for us.

So, mining is now recovered, and not only has the mining recovered in terms of the waste stripping that we have had to do in the open pit, but we are also getting ready to stockpile for the second plant.

And in terms of your question around the capital guidance, yes, ideally, that should be the case when you are building the second phase and you are kind of using a very similar design. But a few fundamental changes . The first thing as I mentioned on the waste stripping, we have to capitalize a lot more waste stripping for Phase -2. So, that is why the mining capital was slightly higher than the Phase -1 capital.

Secondly, on the plant, so this is where I think credit to the team on the ground where we saw the opportunity of actually taking a 4 million ton run of mine plan t too and actually debottlenecking it to over 10% already whilst in design. And that additional 10% has come with an increase in the plant capital cost. And so that is why the capit

al is slightly increased.

In addition to that, and in compliance with our G ISTM standards for tailings, the tailings dam associated with Phase -2 does need to be better aligned than the original design from 2022, and that we have incurred additional cost on the tailings dam as well. That is the reason for the overall, I would say, cost increases, but I am happy and so should Ajay that all of this is coming with some benefits.

And actually, today, even at LME of around 2,400, which is what the project was initially guided on, we are seeing an increase on overall IRR. So , still a good project. We are absolutely backing them to reach to that increase over 500,000 tons in the next two to three quarters. Thank you, Vikash .

Vikash Singh: Noted. That's all from my side.

Moderator: Our next question comes from the line of Rashi Chopra from Citigroup. Please go ahead.

Rashi Chopra: Sorry. I think I just missed some of the detail that you gave about the parent debt. So , you said it was 4 .8 billion . Could you just help break this up between bonds and bank loan and what are the repayment?

Ajay Goel: So, out of 4 .8 billion , Rashi, the bonds are about 3 .1 billion , and the remainder 1.7 billion are the bank loans. If I look at the maturity schedule, maybe for the current fiscal, so the one quarter is behind us . We can look at the second quarter starting July to March next year, next 9 months. So debt repayment obligation is almost 320 million , and the interest expense is almost 430 million . That makes 750 million in the remainder of the year.

Vedanta Limited  
July 31, 2025

Page 18 of 19

Sensitivity: Internal (C3) So, the way we explained the , it is a mix of both refinancing and also repayment. If you look at VRL has two source of cash. One is the bran d fee. So , 380 million has been paid in the first year as has been the practice in the past.

Secondly, in the current fiscal, our dividend payout is about 1.5% yield . Even if we assume a routine dividend of 5% to 6%, which has been pa r for the course in the Indian context, it means 850 million will be dividend, 380 or 400 will be the bran d fee, 1.25. So , mostly through internal accruals, VRL debt will be managed. That means organic deleveraging of half a billion in the current fiscal .

Overall, if you look at slightly midterm picture, what VRL has in the market committed, 3 billion deleveraging over three years and VEDL being an operating company, our leverage ratio from 1.3x will improve to 1x by the current fiscal.

Rashi Chopra: And so you, in the 1st Quarter , you deleverage by about 200 million .

Ajay Goel: That's correct. By 220 odd million. You are right.

Rashi Chopra: And i n FY '2 7, what is the payment schedule like?

Ajay Goel: Next year, the principal is about 760 million , and the interest cost almost 450 million . So, about 1.1 billion . And that is a very interesting question you asked. If you look at last three years, the principal requirement at VRL about 2 billion, interest 750, total 2.7 billion . This is the last year 's Vedanta Resources where the need for cash is about 1 .4 billion .

Starting next year, it is about 1 .1 billion . In FY ' 28, it is sub 1 billion . So, going forward, as we have earlier communicated to a contra ctual brand fee 440 million and even a lower dividend of almost 4% yield, VRL will be managed . So, both bran d fee equal to interest cost and hence, operating P&L account will be self funded. And by paying 4% dividend, the entire refinancing will be done. So , dividend of 4% equals deleveraging.

So, in summary, about 1.1 billion requirement next year and less than 1 billion the year next.

Rashi Chopra: And is there in the demerger, any delay expected beyond September?

Deshnee Naidoo: I think as we started, I mean, we are very confident that we have the next hearing coming up on the 20th, and we will see after that what

happens in terms of the timeline. But we remain

confident of a favorable outcome in both forums that both Ajay and I have guided and continue to progress in line with our previously shared timeline. So, we are still targeting our September, October timeline. Thank you, Rashi.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I now hand the conference over to Mr. Charanjit Singh for closing comments.

Vedanta Limited

July 31, 2025

Page 19 of 19

Sensitivity: Internal (C3) Charanjit Singh: Thanks, Sagar, and thank you, everyone, for taking out the time to join us. I hope your questions

have been answered. For any unanswered questions, please feel free to reach out to the IR team.

We will now conclude our call and looking forward to connecting with you in October with Q2 numbers. So, have a wonderful rest of the day. Goodbye.

Moderator: Thank you. On behalf of Vedanta Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

## Call: Nov 2025

Page 1 of 20

Sensitivity: Public (C4)

"Vedanta Limited Q2 FY '26 Earnings Conference Call"

October 31, 2025

Vedanta Limited  
October 31, 2025

Page 2 of 20

Sensitivity: Public (C4)

MANAGEMENT : MS. DESHNEE NAIDOO – CHIEF EXECUTIVE OFFICER ,  
VEDANTA GROUP  
MR. ARUN MISRA – EXECUTIVE DIRECTOR , VEDANTA  
LIMITED  
MR. AJAY GOEL – GROUP CHIEF FINANCIAL OFFICER ,  
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MR. RAJIV KUMAR – CHIEF EXECUTIVE OFFICER ,  
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MR. JASMIN SAHURITY – COO, OIL AND GAS  
BUSINESS , VEDANTA LIMITED  
MR. HITESH VAID – CHIEF FINANCIAL OFFICER , OIL  
AND GAS BUSINESS , VEDANTA LIMITED  
MR. CHARANJIT SINGH – GROUP HEAD INVESTOR  
RELATIONS , VEDANTA LIMITED

Vedanta Limited  
October 31, 2025

Page 3 of 20

Sensitivity: Public (C4) Moderator : Ladies and gentlemen , good day, and welcome to Vedanta Limited's 2nd Quarter and 1st Half

Financial Year '25 -'26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “\*,” then “0” on your touchtone phone. Please note that this conference is being recorded. Participants connected on webcast link may change the quality settings to 1080p to watch the proceedings on best quality.

I now hand the conference over to Mr. Charanjit Singh – Group Head (Investor Relations ), Vedanta. Thank you, and over to you, sir.

Charanjit Singh: Thank you, Yashashri . Good evening, everyone, and welcome to Vedanta Limited H1 FY '26 Earning Call.

On behalf of team Vedanta, I thank you all for joining us today. I hope you had the chance to look at the earnings presentation and the detailed financials that we have released.

On this call, I have with me Ms. Deshnee Naidoo – our group CEO; Mr. Arun Misra – our Executive Director; Mr. Ajay Goel – our Group CFO; Mr. Rajiv Kumar – CEO, Aluminum Business; Mr. Anup Agarwal – CFO, Aluminum Business; Mr. Jasmin Sahurity – COO, Oil and Gas Business; and Mr. Hitesh Vaid – CFO, Oil and Gas Business.

We will begin with an operational and strategic update by Ms. Naidoo, followed by financial highlights by Mr. Goel. And thereafter, we will open the lines for Q&A. Over to you, Deshnee.

Deshnee Naidoo: Thank you, Charanjit. Good evening, everybody. It is a pleasure to address you once again as we close the first half of FY '26 , a period defined by volatility, resilience and record performance.

On the macroeconomic side :

The first half of FY '26 unfolded against backdrop of significant global uncertainty. The ongoing tariff disputes and conflicts in the Middle East and Europe created substantial turbulence in the commodity market.

Aluminum prices on the LME ranged between \$2,285 and \$2,736 per ton, while zinc fluctuated between \$2,521 and \$3,019 per ton, a swing of nearly 20%. In addition, the early onset of

monsoons across several operational regions and planned maintenance shutdowns added further complexity to our operating environment.

Yet despite these headwinds, we delivered our strongest first half performance on record. Our Quarter 2 EBITDA stood at INR 11,612 crores and our H1 EBITDA at INR 22,358 crores ,

Vedanta Limited  
October 31, 2025

Page 4 of 20

Sensitivity: Public (C4) representing year-on-year growth of 12 % and 8% respectively. This outcome underscores the strength of our diversified portfolio, operational discipline and focus on cost efficiency.

Turning to the business performance.

Our aluminum business achieved its highest ever quarterly and half year production. Metal output reached 617,000 tons in Quarter 2 and 1.22 million tons for H1. Alumina production also set new record at 653,000 tons for the quarter and 1,240,000 tons ; 1.2 million tons for the half year, growth of 31 % and 19% year-on-year respectively. While planned maintenance led to an uptick in power cost versus Quarter 1 , we achieved a margin of \$943 per ton, the highest in the last 14 quarters.

On a half -year basis, power costs were reduced to \$529 per ton, the lowest level post COVID, demonstrating our continued progress towards cost optimization and full -year guidance on past metal cost.

Hindustan Zinc delivered a record 2nd Quarter mined metal production of 258,000 tons and a half year total of 523,000 . Silver production was at 144 metric tons for Q2 and 293 metric tons for H1, in line with our lower lead volume. Yet silver contributed over 40% of total segment earnings. We achieved a five -year low cost of productio

n at \$994 per ton for Quarter 3 and

\$1,002 per ton for H1, reflecting year-on-year reductions of 7 % and 8%, respectively.

Zinc International recorded a 38% year-on-year increase in metal in concentrate production in Quarter 2, supported by a 54% increase at Gamsberg . For H1, production rose 44% year-on-year, led by a 63 % increase in Gamsberg . The cost of production at Gamsberg declined 8% year-on-year to \$1 ,172 per ton, driven by higher volume, though partially offset by elevated treatment charges and currency fluctuations.

At Oil and Gas , production stood at 89,000 barrels of oil equivalent per day in the quarter, impacted by natural declines in the MBA fields and delays in ASP (Cluster C) injection. These were partially offset by new wells at Aishwariya and ABH field. OPEX decreased 4% quarter -on-quarter due to the optimization of polymer injection and reduced plant maintenance activity. We expect ASP injection to stabilize production volumes from Quarter 3 onwards.

In power, the early monsoon moderate d power demand in some regions impacting operations at Meenakshi . Nevertheless, the business achieved record high quarterly generation of 3 .9 billion units. That's up 8% year-on-year and 4.4% quarter -on-quarter . Quarter 2 EBITDA stood at INR 228 crores , lower than Quarter 1 , which had included a onetime gain of about INR 160 crores awarded by the Appellant Tribunal for electricity for the prior - period charges, that's between 2016 and 2018.

Saleable iron ore production rose 11% year-on-year in H1 despite monsoon related disruptions.

Our value -added business achieved a record pig iron production of 238,000 tons in Quarter 2

Vedanta Limited  
October 31, 2025

Page 5 of 20

Sensitivity: Public (C4) and 451,000 tons in H1. We also received the Letter of Intent for the Janthakal mine in Karnataka, strengthening our resource base.

At ESL and FACOR , planned maintenance temporarily impacted volumes. ESL's first half output was at 623,000 tons, down 4% year-on-year, while FACOR 's H1 production declined 12% year-on-year following a one -month planned shutdown. With operations now fully resumed and the Kalarangiatta mine reactivated, both businesses are positioned for strong profitability in the coming quarters.

On Capital Projects and Capital Expenditure :

We invested approximately U S\$0.9 billion in growth CAPEX during the first half of FY '26 and are well on track to achieve our enhanced full -year capital guidance of between USD \$1.7 to \$1.9 billion .

Key milestones include the commissioning of the 435,000 tons per annum smelter at BALCO , with the first metal production achieved earlier this month. At Lanjigarh , we began commissioning Train II, which is an additional 1 .5 million tons per annum capacity and produced the first alumina from the new facility earlier this month.

Hindustan Zinc commissioned 160,000 ton per annum Debari roaster, completed debottlenecking at Dariba and secured Board approval for India's first Zinc tailings reprocessing plant at Rampura Agucha. That's at a 10 million ton per annum capacity, reinforcing both our

commitment to capital and our sustainability focus.

Internationally, the Gamsberg Phase -II expansion, targeting 220,000 tons per annum incremental capacity, is now at 80% completion and is on track for commissioning by the end of FY '26 .

In power, the Meenakshi and Athena plant added a combined 1.3 GW in the first half of the year, bringing our total merchant power capacity to 4.2 GW. These additions underscore our progress towards energy security and portfolio diversification.

ESG and Community Impact:

At Vedanta , responsible growth remains central to our purpose. The safety of our workforce remains our highest priority and a non -negotiable aspect of our business. We continue to strengthen the safety culture across our facilities through the implementation of critical risk management.

Our safety performance metrics demonstrate continued improvement with the total recordable incident frequency rate at 1.23 for the first half compared to 1.32 at the end of FY '25 and a lost time injury frequency rate of 0.42, down from 0.52 in FY '25.

Vedanta Limited

October 31, 2025

Page 6 of 20

Sensitivity: Public (C4) Tragically, however, during the quarter, we lost a colleague in an incident at our Lanjigarh plant and a detailed root cause analysis has been conducted and the learnings are being implemented across all of our sites to prevent such incidents in the future.

We are proud that Hindustan Zinc became the first Indian company to join the ICMM, the International Council on Mining and Metals, a global benchmark for responsible mining practices. Our environmental stewardship also advanced meaningfully. Across operations, we planted over 200,000 saplings and harvested almost 0.23 billion liters of rainwater in Barmer , reinforcing our focus on water sustainability.

In line with our commitment to inclusive growth, our community development initiatives continued to make a meaningful impact. During the period, our programs reached over 930,000 women and children, while our skilling initiatives benefited about 500,000 families, enhancing livelihoods and promoting self reliance.

Further reinforcing our dedication to cultural preservation and community development, we signed an Rs. 85 crores MoU to restore heritage sites in Rajasthan, supporting the state's rich culture legacy and fostering sustainable tourism.

Vedanta 2.0:

Our Vedanta 2.0 transformation continues to gain momentum, positioning us to lead India's growth in critical minerals, energy transition and technology. During the first half of FY '26 , we secured three new strategic mineral blocks under India's Critical Minerals mission, expanding our portfolio across nickel, chromium , cobalt, vanadium, potash and manganese. This brings the total number of secured blocks to 11.

We have also made substantial progress on the proposed demerger, which is a pivotal step towards unlocking further shareholder value. The final N CLT hearing is scheduled for November 12, and we expect approvals to follow. This will set the stage for the listing of all five demerged entities by the end of FY '26, enabling greater strategic focus and enhanced value creation for all stakeholders.

At the start of FY 2026, global markets faced pronounced uncertainty, including a sharp decline in commodity prices. Yet our resilience has stood out. Even with lower average prices of most of our key commodities compared to FY '25, we achieved an 8% year-on-year EBITDA growth in the first half of the year.

Looking ahead, I am confident that FY '26 will mark Vedanta's strongest year ever, surpassing our previous record EBITDA of \$6 billion in FY' 22. This performance will be powered by capacity expansion, production growth across aluminum, power, Zinc International , iron and steel and supported by recovering commodity prices. Thank you for your continued confidence and partnerships as we advance towards another year of record for Vedanta .

Vedanta Limited

October 31, 2025

Page 7 of 20

Sensitivity: Public (C4) I will now pass over to Ajay to take us through our financial performance. Ajay?

Ajay Goel: Thank you, Deshnee, and good evening, everyone. We continue the momentum and carry forward the progress in our operations, financial results, balance sheet and strategic initiatives.

The macro environment has improved, and still there is uncertainty.

Vedanta's diversified business model and disciplined execution has enabled us to deliver our highest ever 2nd Quarter revenue of INR 39,218 crores, up 6% year-on-year and a record 2nd Quarter EBITDA of INR 11,612 crores, up 12% Y -o-Y.

On a half year basis, we delivered our highest ever H1 revenue of INR 76 ,652 crores and a record

H1 EBITDA of INR 22,358 crores, gr

owing 6 % and 8% Y -o-Y, respectively, reflecting resilience and consistency across portfolio.

Our profitability remains robust. Second quarter PAT before exceptional items stood at INR 5,026 crores, up 13% Y-o-Y, while reported PAT at INR 3,479 crores impacted by certain one-time exceptional items. This quarter, we have recorded two exceptional items of INR 1,547 crores net of taxes.

The first matter is regarding TSPL mega matter. Now pursuant to Supreme Court's judgment, we have recognized the impact of Rs. 1,407 crores provision ed against accounts receivable in the matter of a dispute with the TSPL 's claim regarding benefit of cust om duty received in TSPL . A review petition has been filed against this order, but on accounting basis, we have taken the provision.

The second matter is regarding SEPCO settlement. As part of demerger proceedings, a full and final settlement of Rs. 660 Cr has been done with SEPCO , thereby resolving a long -standing dispute, paving the way for a proposed demerger process.

Similarly, in Q2 last year, we have recorded net exceptional income of Rs. 1,160 crores, mainly on account of oil and gas impairment reversal. Our EBITDA margin expanded to 34%, improving at about 70 basis points Y-o-Y, supported by favorable pricing, marketing premiums, exchange rate gains and continued cost efficiencies.

Our large businesses, which together contribute over 90% of Vedanta's EBITDA, continue to deliver strong earnings. Aluminum EBITDA at INR 5,532 crores, up 33% Y-o-Y with a 35% margin driven by record production and cost optimization.

Zinc India EBITDA of Rs. 4,434 crores, up 8% Y-o-Y with a best -in-class 54% margin driven by record mined metal and a five -year low cost of production.

Similarly, in Cairn Oil and Gas, EBITDA of INR 1,029 crores, maintaining a healthy 44% margin, where operational improvements have offset the natural decline s. Other businesses, Vedanta Limited

October 31, 2025

Page 8 of 20

Sensitivity: Public (C4) including Power and Iron and Steel, are progressing well to accelerate on its strong growth trajectory.

Our ROCE improved sharply by 347 basis points Y-o-Y to at about 26%, reinforcing our disciplined allocation of capital and focus on value creation. We remain focused on disciplined growth. In H1, we invested a bout \$0.9 billion in growth CAPEX . Multiple growth projects such as new smelter commissioning at zinc and power expansions are progressing collectively to drive future earnings across pricing cycles.

On balance sheet side, we have further strengthened our leverage. Our net debt to EBITDA ratio stands at 1.37x, improving from 1.49x last year. Both CRISIL and ICRA has reaffirmed Vedanta's rating at AA. We are making solid progress of attaining AA + rating in near future. We closed the quarter with INR 21,481 crores of liquidity, ensuring ample flexibility for growth and contingencies. Further, we paid an interim dividend of Rs. 16 per share this quarter, delivering a TSR of about 13% on a YTD basis.

At Vedanta, we have reduced our interest cost to 9% with average maturity tenure of about three years, a direct outcome of our proactive rate management. We are targeting to bring down our average cost of borrowings to below 8% in near term.

At our parent company, Vedanta Resources, we have refinanced \$5 50 million of last high cost debt, reducing the overall interest rate from 11.6% to about 10% and flattening the maturity curve to just \$0.5 billion per year in the near future.

Over the last two years, our average maturity profile at VRL has improved significantly from 1.3 years to now at 4.5 years. With most high cost debt now retired, VRL is positioned to operate on autopilot mode, supported by a dividend payout of 4% to 5% in future and routine brand fee. On the demerger, we are at the final stage. We remain confident of completing our demerger by end of this fiscal, unlocking focused value across

s our five verticals.

In summary, we remain encouraged about our commodity macro fundamentals, operational momentum and strengthened balance sheet. With several growth projects coming online and a stronger expected run rate in H2, we are confident in achieving an annual EBITDA of more than \$6 billion in FY '26 at Vedanta India consol level, surpassing previous records and supporting Vedanta's transformation into a global leader in critical minerals, energy transition and technology.

Thank you , and over to operator for Q-and-A.

Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Ashish Kejriwal from Nu vama Equities. Please go ahead.

Vedanta Limited

October 31, 2025

Page 9 of 20

Sensitivity: Public (C4) Ashish Kejriwal: Quickly, three questions from me. One, if you can help us understand about the situation of

Jaiprakash Associates deal, which we have done. Is there a possibility of rebidding over there? Or it is just a COC giving the final verdict, and then one can go ahead with that? That is my first question.

Second is on the demerger. We have seen multiple delays on account of it, especially in the second motion. So, do you think that 12th November could be the final hearing, and after that, the things can be decided?

Deshnee Naidoo: Thank you, Ashish. Before I answer the question on Jaiprakash, I just want to remind everyone about our interest in this. While Jaiprakash has five different segments, as you all know, the key catalyst for us is actually always going to be the power business, to bid Jaiprakash.

JP Group has a power portfolio of 2,200 Megawatts, which is expandable to 4,000 Megawatts, given the availability of land that it has at these two power plants. So, this acquisition is an important milestone, as you all know, in our journey to increase our merchant power capacity by 20 Gigawatts as we have guided previously by 2030.

So, the current portfolio of 2,200 Megawatts includes 1,800 Megawatts of thermal capacity and 400 Megawatts of hydro. So, that generates an EBITDA of INR 2,100 crores to INR 2,600 crores. The replacement cost of this 2,200 Megawatts is around INR 24,000 crores, which translates into about, I think, INR 6,000 crores for the 24% stake which JAL holds in these assets. I just wanted to make that point because considering the cost and time that we know it takes to actually build a greenfield power plant or to restore one, that is the cost and time savings from that 1,800 Megawatt brownfield expansion at the existing plant site, the net replacement cost to JayPee power portfolio will work out to be maybe Rs. 8,000 crores to Rs. 9,000 crores at our estimate, which is about 70% of our bid NPV.

I wanted to put that into context in terms of the rationale or as I put it, a key catalyst for the acquisition from our side. And I also want to make the point that this split doesn't impact our deleveraging plan or our demerger plan. And as you rightly said, it's now led to process. Currently, the COC is evaluating this and the resolution will be submitted or the resolution plan will be submitted by the bidders. We will share our way forward post the COC decision. A ja, would you like to supplement?

Ajay Goel: Yes. Very specifically, Ashish, in terms of can this bid go for rebidding, you may recollect since IBC enactment in December 2016, it is less than a decade, and hence, the entire legal landscape is still stabilizing in the country. There are multiple rulings by the court, which speaks about eventually, it is the wisdom of the committee of the creditors that selects the eventual outcome in terms of who is the final bidder, and hence, it may or may not be the H1 bidder.

Vedanta Limited  
October 31, 2025

Page 10 of 20

Sensitivity: Public (C4) Now having said that, on today's rebidding news, you may have seen earlier the bid by the same

group was rejected by COC. Now somebody may also look at how this Rs. 18,000 crores will be funded by the same group. So, in summary, we think it is highly unlikely that Jaiprakash will go for rebidding, and we feel quite confident that Jaiprakash is coming to Vedanta.

Deshnee Naidoo: Maybe then again, Ashish, I will take the other question around demerger timeline. The Mumbai Bench of the NC LT heard the petition on the 29th and that posted the matter for final hearing on the 12th of November. We are confident that the matter will be brought to resolution on the 12th, which will be in time then for what we have already guided the market in terms of getting this done by the end of FY '26.

Ashish Kejriwal: Understood, ma'am. Actually, why I am asking is because I think we have already submitted the written application, and we have given the response to Ministry of Petroleum and Natural Gas also. So, on that basis, do we think that we have given the reasonable satisfaction to those guys?

Deshnee Naidoo: Yes, we did. And that is why we believe that that matter heard on the 12th with the MoPNG should be sufficient.

Ashish Kejriwal: That's great. And lastly, my question is on alumina price. When can we see the effect of lower alumina price in our numbers? And have we done any commodity hedges? If yes, how much it could be?

Deshnee Naidoo: Thank you, Ashish. I think I am going to go straight to Anup.

Anup Agarwal: So, thank you, Ashish. Now coming to your question on alumina, Ashish, you can see in Quarter 2, our cost in alumina had come down by \$50. And as we ramp up Lanjigarh and we have the advantage of lower API, we expect in the next two quarters, the prices to go down further by \$50 each. So, actually, exit this year, you will see, we will be closer to \$700 to \$710.

So, that benefit is going to come from three counts. One, the higher captive mix coming from



Lanjigarh, where we will ramp up our production to a run rate of, say, 4 million as we exit the year. The second from a lower cost at Lanjigarh and third, as you rightly said, from the lower buying .

Now some difference is coming because last time also, I had said that some of our third party purchases are also linked to the LME . And because of the higher LME, it is taking this time to transit . But as we increase our captive mix, you will see that benefit coming. Ashish, hopefully, I have answered your question.

Ashish Kejriwal: Yes. Sir, just to make it clear, you said \$50 per ton fall in price in each of the quarter for next two quarters for alumina for us ?

Anup Agarwal: Yes, from the Quarter 2 levels, \$50 per ton in Quarter 3 and \$50 per ton in Quarter 4.

Vedanta Limited

October 31, 2025

Page 11 of 20

Sensitivity: Public (C4) Ashish Kejriwal: That's great, sir. That's very helpful. And lastly, on commodity hedges, have you done anything

in aluminum?

Anup Agarwal: Ajay?

Ajay Goel: Maybe, Ashish, I will give you overall for Vedanta as a group. Hedging is one area in terms of the margin protection and the cash we are actively hedging across the portfolio. If I speak of aluminum, for the current year FY '26 , the quantity hedged is almost 300 Kt, and that makes almost 12% of the volume on a full yearly basis. And pricing remains \$ 2,625 per ton.

We have also hedged almost 470 Kt for next year FY '27 . That is about 17% of annual volume.

And here, the pricing is about a little over \$2,600 per ton. So, in summary, \$300 for the current year, \$470 for next year. That is about 12 % and 17% current year and next year, and the pricing little over \$2,625.

Our second equally important portfolio is zinc at Zinc India, and there, the quantity hedged is about 9.7 Kt for the current fiscal. It is about 10% for the volume, and the pricing is almost \$2,900 per ton.

We also hedged silver. It's about 123 tons at about 17% volume for the

full fiscal, and the pricing

is about \$37 per troy ounce. So , across the portfolio, we have reasonable hedge, and this is one area we will keep watching given the tumultuous pricing in the current fiscal .

Moderator: Next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: I have a couple of questions. First, on aluminum, can you help us understand the other costs, the power cost, conversion costs, et cetera, how those will trend in the next couple of quarters? So, the point is, would the entire \$50 reduction in alumina flow to cash cost or that could be offset by the other cost?

Second is on the other assets of JPA, what kind of roadmap, what kind of plan do you have? Do you have a timeline in mind whether do you want to divest or do you actually want to operate those assets for some time?

Third, a bookkeeping question, what is the current debt at VRL level?

Deshnee Naidoo: Let's start first , Indrajit, with the aluminum cost. I am going to hand over to Anup, but maybe before I do, we delivered a COP, hot metal COP of \$1,826 per ton in the quarter versus the \$1,765 that we did in Quarter 1 .

And just to reconcile the numbers quickly, the power cost increased of \$75 per ton, as I mentioned as well in my opening remarks. We offset that with and carbon increases as well and other costs have increased around \$40 per ton.

Vedanta Limited

October 31, 2025

Page 12 of 20

Sensitivity: Public (C4) And then our alumina cost, as Anup just mentioned, it was reduced to offset some of that by \$53 per ton quarter -on-quarter . So, I think, Anup, when you speak, let's go in terms of Quarter 3, just high level what the production numbers will look like and where do we see the cost improvements coming. And then the one area I do want us to focus on is on power cost. So , let's start there, and we will come back to you on the JayPee question . Anup?

Anup Agarwal: Thank you, Indrajit . Thank you, Deshnee. So, Indrajit, okay, before I come to your question, so let me reiterate that we are on the track for full -year guidance with H2 hot metal cost being sub \$1,650.

Now I cover your power cost. See, we guided last time also in Quarter 1 , if you recall, that we had taken some major power shutdown. Now the timely power plant shutdown will enable us to achieve sub 500 per ton power cost in H2 FY '26 . We expect average alumina cost, as I said, to be lower \$50 each in Quarter 3 and Quarter 4. Okay.

Carbon has been slightly rising, around \$15 increase from Quarter 1 to Quarter 2. But on the other operating efficiency, we believe that we should have an advantage of, say, \$20, \$25 . Out

and out from Quarter 2, as Deshnee said, from a COP of \$1,826 per ton, H2, we expect it to be sub \$1,650. Indrajit?

Indrajit Agarwal: Yes. That is helpful.

Deshnee Naidoo: Thank you so much, Anup. I think, Indrajit, just on the JAL acquisition, we know the process is still, there is still a process underway. And only once the COC process has been finally resolved, will we come back to the market with the details and there is a lot of options within the five different business segments. But I tried to upfront explain what the primary catalyst was. And the rest of it, following the COC, we will definitely come back to the market. I don't want to be preemptive at this point. Ajay, you take the next one.

Ajay Goel: Yes. The third part that you asked, Indrajit, debt at Vedanta Resources. So, as on September end, it's the actual debt at about \$4.4 billion. And plus, as you know from Vedanta, there is an ICL, which is, again, 400. So, overall debt, internal and external, is \$4.8 billion.

Maybe I will also take this opportunity covering how do we want to look at financing in second half at VRL and a next couple of years. So, for the current year, between Q3 and Q4, we have no impending maturities. And what remains to be cash

out at VRL in second half is the interest

cost at about \$270 million - \$280 million and one of the options remain to fund that using dividend.

Now over the next couple of years, for example, the next year, the actual maturity is about 300 plus 200 is ICL, the last tranche. Total need for maturity at VRL next year is about \$0.5 billion.

This number in FY '28, second year, is about \$450 million. So, over the next three years, the Vedanta Limited

October 31, 2025

Page 13 of 20

Sensitivity: Public (C4) maturity at VRL will be about \$0.5 billion and that can be easily managed by paying 4% to 5% dividend yield.

Secondly, the interest cost at VRL, given both deleveraging and lower cost of funding, will be almost \$400 million or thereabouts, and that will be equal to the routine brand fee even at the current levels.

So, in summary, over the next three years, both the maturities and the interest cost at VRL, as I earlier mentioned, will be practically on autopilot mode.

Moderator: Next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: I just wanted the update on the various approvals for the various mines, which we are awaiting.

So, first is Kuraloi, Ghogharpalli and Radhikapur, if you can share in the last one or two quarters, has there been any progress on the pending EC and FC? And also on Sijimali, I read that FY '26 is when we are expecting to start, end of FY '26. So, if you could just share what is the status of the EC, FC there?

Deshnee Naidoo: Thank you, Sumangal. Rajiv, I will go straight to you.

Rajiv Kumar: So, we will start with Kuraloi, FC Stage 1 approval on 12th of May 2025. We are in the last stage of compliance of FC Stage 1 and complying to FC Stage 2, then we get the CTE and then the commissioning of the mine. That's Kuraloi.

Radhikapur, mine plan is approved. Forest clearance Stage 1 is granted, and the submission of Stage 1 compliance is in progress. EC is granted.

Ghogharpalli, for EC, the collector has issued letter to SPCB, the State Pollution Control Board, for confirming the time, date and venue for public hearing. Anything else I have answered?

And for Sijimali, to get the EC, we have handed over 1,760 acres of compensatory afforestation land to the state. Going by the process, the State Forest Department has taken up the matter with the MOEFCC for the grant of FC1. MOEFCC has sought some clarification from the state, which has been processed. We are hopeful for the mine to become operational in the current financial year.

Deshnee Naidoo: Thank you so much, Rajiv. Maybe just to add, Sumangal, on Sijimali, we have previously communicated Quarter 4 FY '26, so we are keeping the commissioning per Rajiv's guidance. On Kuraloi, previously, we had communicated Quarter 3 this year. I think given the timelines there, we might push it out by a couple of months to Quarter 4 this year. And then Ghogharpalli, we had originally communicated the 2nd Quarter of FY '27, that might move up by a quarter, but still positive. So, that will be Quarter 2, Quarter 3 FY '27. So, just to reiterate the timeline.

Vedanta Limited

October 31, 2025

Page 14 of 20

Sensitivity: Public (C4) Sumangal Nevatia: That's very useful. My second question is on the ICL of around \$400 million. If you can share

what is the plan to close that? In the past, we have kind of rolled that forward. So, what is the latest timeline for closing it?

Ajay Goel: So, the remainder part of the ICL is about \$417 million, out of which \$200 million is due in

January, and the balance, \$217 million, sometimes in May next year. We intend to repay it as scheduled. We are not looking at any further rollover.

Sumangal Nevatia: And just one last question on the Power division. Now next year, FY '27, Athena, Meenakshi, both would be fully commissioned. So, on a steady-state

basis, what is our expectation for the

PLF? And in terms of EBITDA per unit, if you can guide what is the ballpark range when that we should bake in?

Deshnee Naidoo: Thank you, Sumangal. Maybe I will break it down a little, make it a little easier. So, maybe by the end of Quarter 4 for both Meenakshi and Athena, I will just talk about capacity PLF, maybe cost and realization. I mean, that will give you a better sense.

So, by Quarter 4, Meenakshi capacity will be at 1 gigawatt. PLF will be around 65%. Cost of generation in rupees per unit, 4.7, and the realization will be around 5.7. At Athena, we would have hopefully both units commissioned then. PLF about 87%. Cost of generation, Rs. 2.8 per unit and realization at 5.7. That should give you a sense of what the profitability would look like by the time both units are ramped up.

Sumangal Nevatia: This is exit of 4th Quarter or average 4th Quarter expectation?

Deshnee Naidoo: Average 4th Quarter.

Moderator: Next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: First question is for Ajay. Sir, if you could just repeat, for FY '27 and '28, what was the maturity and the interest amount that you indicated? I think you did include \$200 million of the \$417 million for FY '27, and you indicated \$217 million in May. If you could just refresh for FY '27 and '28 what you indicated?

Ajay Goel: Yes, Ritesh. So, for FY '27 next year, the total debt which is external is about \$300 million plus ICL, \$217 million, so about \$0.5 billion. FY '28, there is no ICL, so \$450 million external debt, so \$0.5 billion next year, \$450 million the year next. Interest will be almost \$450 million next year, FY '27 and \$400 million in FY '28. So, \$0.5 billion next year maturities, \$450 million is in interest. So, give and take, \$950 million to \$1 billion total requirement. FY '28, \$450 million are the maturities and \$400 million interest, so about \$800-850 million.

Ritesh Shah: That's useful. And congratulations for the recent bond issuance, I think 500, 550. I just wanted to understand the breakup of \$4.9 billion what you indicated because we would have taken out

Vedanta Limited  
October 31, 2025

Page 15 of 20

Sensitivity: Public (C4) certain high cost debt at 16%, 18%. So, how should one look at the breakup of bonds and loans for the outstanding debt, say, 4.5 and then the balance, I presume, is ICL?

Charanjit Singh: Ritesh, Charanjit here. You need to look at Slide #25. That has all the details with respect to the breakup and also the cost in the quarter.

Ritesh Shah: Sure. I will just move to the second question. This question was for Deshnee. Ma'am, thanks for explaining the underlying rationale for the JayPee Group. We just wanted to clarify that the number that you have indicated, is it adjusted for economic interest, basically, when we say INR 2,100 crores of EBITDA?

Charanjit Singh: Ritesh, these are the reported performance of the company in the past two, three years.

Deshnee Naidoo: This is JayPee's reported number.

Ritesh Shah: Yes. I appreciate that. But what I am asking is if you adjust for economic interest, the actual numbers would be significantly lower. So, just trying to understand the rationale behind it. And specifically, you did indicate the amount that we have put on the bid. Just wanted to understand how are we looking at, there are multiple contingent liabilities on the asset. So, how do we plan to take care of it?

Charanjit Singh: Repeating what Deshnee mentioned earlier, that we will come up with a very detailed comprehensive explanation, business by business segment, once the COC decision is made.

Ritesh Shah: Charanjit, what I am trying to understand is the rationale for bidding the asset, which has several subsets, and there is several contingent liability on each of the assets. Vedanta is going full

on the right direction right now. Then why are we going for JAL only for power assets, wherein the other assets, there are significant issues which are there? So, I am just trying to gauge the risk, and, obviously, there would be some quantification of the risk. I am trying to understand that.

Charanjit Singh: See, I think that is what we have been trying to explain even in the one-to-one meetings and all, also on this call, that we are in position to provide a detailed explanation and our reason once the COC decision is made. Until then, I think you need to understand that we have our hands tied up with respect to explaining the detail.

Ritesh Shah: Fair. I will just take one last question. So, ma'am, we understand that we had settlements on SEPCO. Just wanted to understand that we have this thing with Ministry of Petroleum and Natural Gas and something with Department General of Hydrocarbons. Are we ready to furnish

certain bank guarantees? If yes, so what is the quantum over there?

What we pick up from the last reported numbers in the press was almost \$520 million. So, I am just trying to understand, given there is a lot of confidence on the demerger timelines, are we

Vedanta Limited  
October 31, 2025

Page 16 of 20

Sensitivity: Public (C4) ready to furnish a bank guarantee over here to the extent what I indicated so that the time lines, what we have indicated, probably, we have a far more confidence on that particular variable.

Deshnee Naidoo: Yes, Ritesh. So, you remember, even at the last call, we had taken this question because the objection was raised then. I just want to confirm to everyone, MOP NG's concern is actually, as you rightly mentioned, the financial risk in recovering some of these at this point, alleged claims from the business and basically questioning whether the P & L of the demerged oil and gas business would actually be able to sustain these should they realize. Their concern has been taken care of by us providing a corporate guarantee from Vedanta. So, that is already in place.

Ritesh Shah: Ma'am, would it be possible to quantify the amount over here?

Deshnee Naidoo: I'd say it is a guarantee that does cover up, cover us for the full extent of the alleged claims at this point, Ritesh. Of course, all of these numbers will be finalized once the demerger is actually finalized.

Ritesh Shah: Thank you for the answers. I will join back the queue.

Moderator: Next question is from the line of Vikas Singh from ICICI Securities. Please go ahead.

Vikas Singh: Just my first question pertains to currently assuming the JAL is not clear right now and your VRL requirement is very low. So, ex of these two, should we assume that our net debt would see a declining trend from here onwards?

Ajay Goel: Yes, Vikas, of course. I mean, I will start with the look at, let's say, maybe the past couple of years. And at parent company, Vedanta Resources, over the last three odd years, our debt from \$8.9 billion now down to almost \$4.4 billion September end. So, it is a decade low debt at Vedanta Resources. We also have publicly committed that from current \$4.4 billion will go down to \$3 billion over next two years.

Coming to Vedanta India, the operating company, the way to look at more so when we are on the high growth path, it is debt to EBITDA ratio, which has improved from almost 1.8 8x leverage to 1.37 as we closed the previous quarter. And from here, we have committed that at Vedanta India consol, our debt to EBITDA will further improve to 1x, so \$3 billion Vedanta Resources, 1x leverage Vedanta India. That goal remains unchanged. Any other priority will remain subservient to that goal.

Vikas Singh: So, absolute debt probably might not go down. My second question pertains to this INR 1 lakh crores investment news in Odisha, which keeps on floating. Could you give us some color on the segments and the timelines

for that?

Deshnee Naidoo: Ajay?

Vedanta Limited

October 31, 2025

Page 17 of 20

Sensitivity: Public (C4) Ajay Goel: So, the INR 1 lakh crores investment that Chairman has committed, it, of course, remains Chairman's long-term vision for the states where we operate. And you may have seen even earlier in couple of large geographies where we operate in terms of zinc, oil and gas and aluminum specifically, the commitment is made.

Now you would appreciate, Vikas, these commitments also need lots of partnership and support from the state government to enable in terms of land allotment and multiple approvals. So, at this point in time, it will be very difficult to give a committed timeline then at what time frame we do spend INR 1 lakh crores.

In the interim, as we have been previously guiding in terms of CAPEX for the current fiscal, our range remains \$1.7 billion to \$1.9 billion. And over the next three years, cumulatively, collectively, it will be about \$4.5 billion to \$5 billion.

Deshnee Naidoo: Just to add there, I mean, on the Chairman's commitment last week, there was a reiteration of previous commitment that we had made and really the collaboration to development as Rajiv has also guided in the market of 3 million tons per annum additional aluminum plant and the aluminum park that we will be looking to put up. And this would be part of a major hub for downstream producers on aluminum parks within the state as well. So, it is part of a larger, a much larger plan that the Chairman has already spoken in public last year and has reiterated to the Chief Minister in last year's discussion.

Vikas Singh: And lastly, any progress has been made on the Northeast or Eastern India side of oil and gas fields, which we have acquired?

Deshnee Naidoo: Thank you, Vikash. Let's add, I would like for Jasmin or Hitesh to take this and also introduce yourself, Jasmin, will be the first time you are speaking to some of the investors.

Jasmin Sahurity : I am Jasmin Sahurity , COO of Cairn Oil and Gas. I have been in this position for the last six months. In terms of the Northeast, we had very fruitful discussions over the last week with the Chief Minister and we confirmed our commitments of investment, especially in the North east oil and gas business.

So, far plans are to have two discoveries, besides the one already confirmed, develop and confirm the hydrocarbon with the potential of 200 million barrels of reserves. And after that, all aside investment into the society, into the future development of the Northeast region will be confirmed. This is so far what I can say.

But in nutshell, first valve which will be confirming the new reserves in the Rudra region will be end of November s pudded. Second well in Nagaland region will be s pudded in February, and we can expect till end of this financial year confirmation of the reserves in between 100 million and 130 million barrels usable.

Vedanta Limited  
October 31, 2025

Page 18 of 20

Sensitivity: Public (C4) Moderator: Vikas, does that answer your question?

Vikas Singh: Yes.

Moderator: We will take our next question from the line of Abhishek Roy from JMF Capital. Please go ahead.

Abhishek Roy: What further recent contact has there been from the Enforcement Directorate? And is the ED aware that Vedanta Resources has no corporate office or staff in London to justify the brand and more importantly, the strategic services agreement?

Charanjit Singh : Sorry. Can you repeat the question?

Abhishek Roy: What recent contact has there been from the Enforcement Directorate in relation to the recent reports in your accounts? And is the Enforcement Director ate aware that Vedanta Resources has no corporate office in London or any staff in London, but they are being paid strategic services agreement fees ?

Deshnee Naidoo: So, there is no specific engagement, but maybe just to answ

er the question more broadly first ,

so in the normal course of business, secretar ial agencies just seek information for us. And as always, we have been very compliant in terms of responding, but we have had nothing specific from ED. That is the first.

On the second, in terms of the Vedanta offices, everyone understands our very lean corporate center model. And in London specifically, the corporate offices do run out of Hill Street, which, again, is very well known, and there is a small center there. But that office is also supported by resources dedicated through service agreements from Vedanta Limited as well out of both Mumbai and Delhi. And that is the operating model fairly well understood in the market.

Abhishek Roy: Does that not cause an issue with transfer pricing? It is the services that are actually being performed in India, but there is \$400 million, \$450 million a year going to London for strategic services. If those services are being delivered in India, then presumably that is a transfer pricing issue that the ED is concerned about. We know that they were concerned about back in 2023.

Ajay Goel: Maybe I will take it, Deshnee . See, the rationale for overall brand fee and strategic services has been also addressed in the past in detail. And overall, the entire contract is monolithic. It is not separable between the usage for the Vedanta brand and the Vedanta name as such and also services we get from the VRL team across many areas. They can be in terms of strategic acquisitions, mergers, capital markets, and much more. What I can say i s.

Abhishek Roy: But none of that is used in London. None of that is used in London, which is where the money is going.

Vedanta Limited  
October 31, 2025

Page 19 of 20

Sensitivity: Public (C4) Ajay Goel: It don't have to be domiciled at a geography. When we use a logo or a name as Vedanta and get

services, it is a service that is being rendered and a service that is being received by Vedanta India entities. That is most important.

I may like to also point out that the entire brand fee agreement has been internationally benchmarked. There are multiple studies done by one of the best Big Four firms. The brand fee rate, which has been charged over the last few years, in fact, is lower than the median rate recommended by the Big Four firms .

So, in summary, I would like to say the entire brand fee has been legally vetted. It has stood the test of scrutiny by multiple regulators, and we don't see a challenge from the legal viewpoint.

Moderator: Abhishek, I request you to join back the queue, please. Next question is from the line of Imtiaz Shefuddin from Barclays. Please go ahead.

Imtiaz Shefuddin: I just have one question, and this relates to KCM. Has there been any progress on the initial

funding of the \$1 billion over five years that you were trying to raise for KCM?

Deshnee Naidoo: Thank you for that, Imtiaz . So, in the normal course of business and for the shareholder agreement, we remain compliant with what we have agreed with the shareholder agreement .

That is about \$150 -odd million in the first half of the year.

In terms of the rest of the KCM funding, I think everyone will be very happy to know that KCM is now operating on an integrated vessels basis around 8,500 to 9,000 tons per month, which is actually close to numbers that this business last achieved in 2017. And at these copper prices, they have been able to sustain both the operational cash requirements as well as the sustaining capital cash requirements.

In terms of the larger investment, KCM is in the process of finalizing the KD MP feasibility study. Once that feasibility study is complete and approved, we will make a funding decision for KCM. In terms of the fundraising for that, I think we find ourselves in a very fortunate position given the current integrated production and hence the cash flows the asset is generating,

given

the current price environment and an appetite for anything associated with copper right now, we are very confident that we would have several avenues available once the project is investment ready. So, KCM is progressing well.

Imtiaz Shefuddin: And just to follow -up, any funding that is going to be done at KCM ? I think you mentioned the last time that it will be ring fenced within KCM, yes? Is that still the case?

Deshnee Naidoo: That is still the case. In fact, I think I am more positive today than I was a quarter ago, given what is happening on the production ramp up as well as the copper prices.

Imtiaz Shefuddin: Thank you . And just congrats on your first half performance.

Vedanta Limited

October 31, 2025

Page 20 of 20

Sensitivity: Public (C4) Deshnee Naidoo: Thank you, Imtiaz .

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Charanjit Singh for closing comments. Over to you, sir.

Charanjit Singh: Thanks, everyone, for taking out the time to join us. Look forward to our Q3 in January when we report our numbers. So, thanks, and have a nice weekend, everyone.

Moderator: Thank you. On behalf of Vedanta Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Jan 2026

Sensitivity: Internal (C3)

"Vedanta Limited's Q3 Financial Year '25 -26 Earnings  
Conference Call "

January 29, 2026

MANAGEMENT : MS. DESHNEE NAIDOO – GROUP CHIEF EXECUTIVE OFFICER ,  
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MR. ARUN MISRA – EXECUTIVE DIRECTOR , VEDANTA LIMITED  
MR. AJAY GOEL – GROUP CHIEF FINANCIAL OFFICER ,  
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MR. RAJINDER SINGH AHUJA – CHIEF EXECUTIVE OFFICER ,  
POWER BUSINESS , VEDANTA LIMITED  
MR. CHARANJIT SINGH – GROUP HEAD (INVESTOR  
RELATIONS ), VEDANTA LIMITED

Vedanta Limited  
January 29, 2026

Sensitivity: Internal (C3) Moderator: Ladies and Gentlemen, Good Day and Welcome to Vedanta Limited's 3rd Quarter  
Financial Year  
'25-26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity  
for you to ask questions after the presentation concludes. Should you need assistance during the  
conference call, please signal an operator by pressing "\*" then "0" on your touchtone phone. Please  
note that this conference is being recorded. Participants connected on webcast link may change the  
quality settings to 1080p to watch the proceedings on best quality.

I now hand the conference over to Mr. Charanjit Singh – Group Head (Investor Relations ), Vedanta.  
Thank you and over to you, sir.

Charanjit Singh: Thank you, Yash. Good Evening, Everyone and Welcome to Vedanta Limited Q3FY26 Earnings  
Call.

On behalf of team Vedanta, I thank you all for joining us today. I hope you had the chance to look at  
a "Press Release," "Earning Presentation" and the "Detailed Financial Statements."

On this call from Vedanta's side, we have with us Ms. Deshnee Naidoo – Group CEO, Mr. Arun  
Misra – Executive Director, Mr. Ajay Goel – Group CFO, Mr. Rajiv Kumar – CEO, Aluminum  
Business, Mr. Anup Agarwal – CFO, Aluminum Business, Mr. Jasmin Sahurity – COO, Oil & Gas  
and Mr. Rajinder Singh Ahuja – CEO, Power Business.

We will begin with the Business and Operational Update from Ms. Naidoo, followed by an Update  
on the Financial Highlights by Mr. Ajay Goel and thereafter, we will open the lines for Q&A.

With this, I now hand over the call to Ms. Naidoo. Over to you, Deshnee.

Deshnee Naidoo: Thank you, Charanjit. Good evening, everyone. It is a privilege to address you once again as I present  
our performance for the 3rd Quarter of FY26, a period marked by record operational achievements  
and key transformational milestones in Vedanta's 2.0 journey.

We achieved our best ever quarterly EBITDA of Rs.15,171 crore s, while also recording our lifetime  
high revenue and PAT of Rs.45,899 crore s and Rs.7,807 crore s respectively.

Notably, two of our businesses delivered their best ever EBITDA, resulting in a consolidated  
EBITDA margin of 41%, a historic high for Vedanta, representing a year -on-year increase of 629  
basis points.

Vedanta Limited  
January 29, 2026

Sensitivity: Internal (C3) Quarter 3 has truly been one for the books, with Vedanta recording significant milestones on all fronts -- operational, capital -related and corporate actions.

Firstly, the “Key Operational Milestones”:

We delivered our highest ever quarterly and nine -month s alumina and aluminum production, with quarterly alumina output rising 57% year -on-year to around 0.8 million tons. We are well on track to deliver our full -year volume guidance of around 3 million tons, a new record in Vedanta's history. Our Aluminum business recorded its lowest hot metal cost of the last 17 -quarters at \$1,674 per ton, better than our full -year guidance of \$1,700 per ton to \$1,750 per ton. This improvement is primarily driven by the \$110 per ton quarter -on-quarter decline in power cost after the maintenance of our captive power plant in Quarter 2.

HZL recorded its highest ever mined metal and refined metal output, with both items registering a 7 to 9% increase quarter -on-quarter and 4% year -on-year.

Like our Aluminum business , Hindustan Zinc also delivered its five -year lowest production cost at \$940 /MT, 6% better than our cost guidance for FY26.

At our Zinc International business, the Gamsberg mine delivered its best ever recovery at around 85% in December, with the 3rd Quarter production surging 28% year -on-year and nine -month s volumes increasing 38% year -on-year, in line with our full -year guidance.

Our Power business is on track to deliver an outperformance against our annual

guidance, with

Athena recording a PLF of 72% in Quarter 3, which is a 11% increase over guidance.

Our Iron and Steel businesses delivered a record nine -month pig iron production of 680,000 tons, that is an 11% increase year -on-year, and billet production of 775,000 tons, 13% increase year -on-year.

In Oil & Gas, our average gross production stood at 85,000 barrels of oil equivalent per day. Owing to various interventions across our wells, the decline in the rate of base volume at our existing oil fields has dropped from 18% to 13% over the first nine months.

These achievements were aided by strategic capacity additions and the completion of de -bottlenecking initiatives, reflecting our strong commitment towards achieving the guidance given at the beginning of the year. Again, these milestones have been achieved across all five businesses.

Our Aluminum business reported three major commissioning :

Vedanta Limited

January 29, 2026

Sensitivity: Internal (C3) 1. The addition of the 1.5 million tons per annum , Train 2, at our refinery in Lanjigarh, thereby taking our total aluminum production capacity to 5 million tons per annum.

2. The production of first metal from the new 435,000 tons per annum BALCO smelter.

3. Third, is the commissioning of the first 125,000 tons per annum billet line as part of the 250,000 tons per annum project at the Jharsuguda plant.

Zinc India business commissioned its 160,000 ton per annum Debari roaster and completed the de -bottlenecking projects at Chanderia and Dariba smelters, which added 21,000 tons per annum to our refined zinc capacity.

The Gamsberg Phase -II project at our Zinc International business is almost 90% complete, with commissioning being targeted in the next quarter.

The Power business added 1.3 GW of new capacity at Meenakshi and Athena power plants.

Currently, Meenakshi has entered into a short and medium -term supply contract for 750 MW capacity, while Athena has signed supply contracts for its entire first unit of 600 MW.

Our Ferrochrome business reported the start of Kalarangiatta mines and the approval for the enhanced production from Ostapal Mine up to 530,000 tons.

At our Mangala oil field, one of the large ASP implementations globally on a single field is reaching its final stage of commissioning and is expected to open up additional reserves of 50 million barrels for the company.

We have made, as you would have seen, a gas discovery in the Ambe field awarded to us in September 2022 through the competitive bidding process. Evaluations are underway to assess the potential of the discovery.

In the initial nine months, we invested around \$1.3 billion in growth CAPEX in various projects across all five businesses and we are on track to achieve our full year guidance of around \$1.7 billion.

On the “Corporate Action Front ,” a significant milestone in this quarter has been the approval of our demerger scheme. This marks a defining moment in our journey, one that empowers our businesses to sharpen the strategies, strengthen the balance sheets and accelerate growth with the aim of unlocking shareholder value. On the 16th of December, the NCLT approved our demerger scheme , and on the 21st of January, we received the certified copy of NCLT's order. We are now progressing towards implementation and targeting 1st of April as the effective date with listings in the same quarter.

Turning to “ESG and CSR”:



**Sensitivity: Internal (C3)** At Vedanta, responsible growth is at the heart of everything we do. The safety of our workforce remains our highest priority and non-negotiable aspect of our operations. To various initiatives at a group level, including the implementation of critical risk management, we continue to strengthen the safety culture across our facilities. However, much more needs to be done. On a year-to-date basis, our metrics do show a

an improvement, however, with our lost-time injuries down 20 % and our TRIFR down 13 %. Sadly, we lost three of our colleagues in this year, ending Quarter 3. This is incredibly painful for the team and I, and hence we continue to redouble our efforts on safety.

During the quarter, we made various strides in our sustainability journey too. Vedanta Aluminum once again demonstrated its ESG Leadership, securing a Second Rank in the S&P Corporate Sustainability Assessment for the Third Consecutive Year.

Our oil & gas business made a remarkable debut in its very first participation in the S&P assessment, ranking in the top five companies globally in the oil & gas upstream and integrated sector and emerging as the highest scorer in India.

In the CDP ratings, Vedanta maintained a strong climate score of "B," while our water rating improved from "B to A-".

Besides ratings, we also achieved other recognitions, reflecting progress across our sustainability commitments. Hindustan Zinc's Kayad mine was recognized for excellence in energy and water efficiency. BALCO's low-carbon aluminum product Restora recorded GHG emissions lower than four tons of CO<sub>2</sub> equivalent per ton of product.

Reaffirming our unwavering commitment to inclusive growth, we continued our initiatives of empowering communities with investments of around Rs.268 crores in the initial nine months of FY26 towards various CSR initiatives that positively impacted over 5.5 million lives. These milestones are proof of our values in action, of the responsibility we carry towards our communities and the planet, and our vision for a sustainable future.

To summarize, Quarter 3 is registered as a landmark quarter in Vedanta's history. The company recorded its lifetime best Revenue, EBITDA, and PAT on the back of expanded volumes and sustained cost optimization across all businesses alongside improvement in metal prices.

During the quarter, we also achieved commissioning of new aluminum smelter and a refinery train. These are the significant milestones that will drive business growth in the coming quarters.

We received the NCLT's approval for a historic demerger and approval to acquire Incab Industries, another strategic move aligned with our vision of unlocking downstream synergies and broadening our market presence to enhance profitability.

Vedanta Limited  
January 29, 2026

**Sensitivity: Internal (C3)** With our Quarter 4 performance likely to surpass Q3 levels, we are on track to deliver what will become a lifetime high annual EBITDA of over \$6 billion, surpassing the guidance given at the time of the H1 results.

Progressing into FY27, we are targeting commissioning of the Sijimali bauxite mine, having received FC1 earlier this month, the start of operations at Gogharpalli coal mines, commissioning of the second 600 MW turbine at Aghena, our 510,000 -tons per annum fertilizer project at Hindustan Zinc, and our 250,000 -tons and 510,000 -tons VAB projects at both Jharsuguda and BALCO, phase-II commission at Gamsberg, and our 420,000 -tons per annum DI pipe plant in Goa. These projects will further enhance volumes and deliver significant cost reductions through to FY27. We thank you for your continued support and trust in us.

Ajay will now provide a summary of our financial performance. Ajay ?

Ajay Goel: Thank you, Deshnee, and a very good evening, everyone. The Quarter bygone Q3FY26 has been a quarter of immense significance for Vedanta, marked by remarkable performance, both operationally and financially, and crucial progress made on demerger and capital structure.

The macro environment is supportive with a strong demand and pricing being favorable, and we expect these conditions to sustain going forward.

On results presentation, following NCLT order on December 16, '25, the demerger accounting under Indian accounting standards, IND AS 105 has been incorporated in Q3 results,

filed with the

regulators. These results show aluminum, oil and gas, and iron and steel businesses separately in a summary one-line form. For clarity and for like-to-like comparison, below results are for combined operations which is pre-demerger and for all Vedanta existing businesses.

On "Performance," we delivered our highest ever quarterly revenue of Rs.45,899 crores, up 19% YoY, with our portfolio strength supported by pricing which is favorable and strong operational

execution and sustained growth across our core businesses.

We also this quarter delivered our best ever quarterly EBITDA of Rs.15,171 crores, growing 34% YoY with EBITDA margins expanding sharply by 629 basis points YoY to 41%.

Finally, the PAT grew 60% YoY to Rs.7,807 crores, marking our highest ever quarterly PAT in Vedanta history.

Overall, on a nine-monthly basis, the performance remains equally strong. We delivered our record best nine-months revenue of more than Rs.1.2 lakh crores up 10% YoY and best ever nine-months

Vedanta Limited  
January 29, 2026

Sensitivity: Internal (C3) EBITDA of Rs.37,529 crores, up 18% YoY. Nine-months PAT stood at about Rs.15,744 crores, our second best ever.

On growth CAPEX, we remain focused on disciplined and value-accretive growth. Over the first nine months, we invested about 1.3 billion in the strategic projects across aluminum, zinc, oil and gas and power, and remain on track to invest about 1.7 billion for the full year as we have earlier guided.

As these projects come on-stream, they will drive higher volumes, margins and earnings visibility across pricing cycles.

Briefly, moving on to the "Balance Sheet":

Our balance sheet continues to strengthen in a sustained and visible manner.

Net debt stood at about Rs.60,624 crores with cash and cash equivalents Rs.20,085 crores. Our net debt-to-EBITDA ratio leverage improved to 1.23x from 1.4x in 3rd Quarter, further strengthening our position in terms of debt-to-EBITDA.

We have brought down VEDL's cost of borrowings to below 9% in 3rd Quarter with further finance cost reduction in sight in near future.

"Offer-for-Sale":

You also may have noted on Jan 27th, we launched Zinc India offer-for-sale, which has seen strong demand and broad-based investor interest. Post completion, our shareholding in HZL will be around 60.7% from 61.8%. So, about 1.1% will be the stake dilution in Zinc as we close transaction over today and tomorrow. The transaction will further strengthen the balance sheet to fast-track de-leveraging and capital structure optimization aligned with company's long-term interest.

On the "Credit Rating":

The improving financial performance continued to get noticed and recognized by the rating companies. Following the demerger order, both CRISIL and ICRA have reaffirmed Vedanta's rating as "AA" with watch developments implications.

In addition, we got upgrades from S&P, Moody and Fitch. For VRL rating, rating outlook changing from "stable-to-positive" and that indicates there is room for rating augmentation in near future. This underscores confidence in our improved balance sheet, cash flow visibility and strategic direction clarity.

Vedanta Limited  
January 29, 2026

Sensitivity: Internal (C3) Moving on to "Demerger and Value Unlock":

It is about time for Vedanta 2.0 as we advance on demerger execution. With the NC LT order in place and key regulatory and operational matters worked through, we remain committed to completing demerger as earlier guided, targeting April 1st as effective date of demerger with listing of the demerged entities in the same quarter around mid-to-end of May. This structural transformation will unlock further value and improve capital efficiency across verticals.

You also may have noted that Vedanta delivered a TSR of almost 30% in 3rd Quarter alone, representing 5x of the index overall and 2.7x of NIFTY Metal Index.

ex.

In conclusion:

Q3FY26 marks a clear defining part of Vedanta with a strong performance and notable advancements across our strategic focus areas. With supporting macro environment and operating rigor, we are confident of delivering record EBITDA in FY26, surpassing \$6 billion at Vedanta India consolidated level.

Finally, the demerger marks Vedanta's transition into a new phase of growth and value unlocking into a powerhouse of critical minerals, energy transition and technology.

Thank you and back to operator for Q&A's.

Moderator: Thank you very much. We will now begin the question-and-answer session. We will take a first question from the line of Amit Lahoti from Emkay Global. Please go ahead.

Amit Lahoti: Thanks for the opportunity and congratulations on a good set of numbers and I am really sorry for the loss of Mr. Agnivesh Agarwal. So, my first question is on demerger. As we have classified the businesses as discontinued operations in the financial statements, is it fair to say that all the approvals and name transfer on the assets are in place for demerger to go through?

Deshnee Naidoo: Amit, thank you so much for the question and thank you so much for your condolences. Amit, now that we have the formal order in hand, we will start with the various CPs we have and then all of the necessary steps that actually give effect to the corporate restructuring will happen. But Ajay, do you want to add anything to that?

Ajay Goel: Sure. So, Amit, the entire demerger accounting follows the Indian accounting regulation, specifically IND AS 103 and 105. And under that guidelines, in case the demerger is more likely over the next 12-months, then you have to account the way we have accounted. Obviously, we have to work through a couple of CPs and other statutory approvals. But, as we earlier mentioned, we are committed and confident making the 1st April as the date on which demerger becomes effective.

Vedanta Limited  
January 29, 2026

Sensitivity: Internal (C3) Amit Lahoti: Okay. And then my second question is on aluminum hot metal cost, so, where we have alumina cost, which is still at \$800 per ton, and the cost of alumina production is clearly higher than the market price, which is now close to \$300 in the international markets. So, what would be the mix of captive production versus imports going ahead? So, basically, the question is, is there any incentive for increasing captive production at all, given that the market price is lower than what we are producing at?

Deshnee Naidoo: Thank you so much for that question. I am actually going to shoot this straight to Anup and Rajiv. But Anup?

Anup Agarwal: So, thank you, Amit, for that question. So, Amit, on your first question on the captive mix, see, as we are ramping up Lanjigarh and Deshnee covered it, we did about 800 KT in Q3, and we are expecting 900 KT plus in Q4. So, that means 60% in Q3 captive, 70% in Q4, and going forward, Q1, Q2, it should be 80%. Now, coming to your second question on the alumina cost being closer to \$800 per ton, see, I will tell you. As I said, on the bought-out alumina, what happens is, on the pricing month, we actually lock in the LME. And as you are seeing, with the LME in surge, we are not getting the benefit that we had intended. Now, you will see, Q3, the LME was closer to 2,600, now 2,800, and as we speak, it is closer to 3,100, and that is the reason. Last time we said, you will see a \$50 lower cost, quarter-on-quarter. What we are seeing is a \$20-\$22 in Q3, and maybe a \$25 in Q4, probably, as we go into Q1, you will see a cost sub-\$750. But the main driver remains the captive, and as I said, we will be closer to 80% as we go into Q1. Amit, hopefully I have answered your question.

Amit Lahoti: Yes, so just a follow up on this, what is the contract as percentage of your total alumina consumption, as in contract related to LME price of aluminum?

Anup Agarwal: See, Amit, as I said, be it API, be it LME, whenever we are buying, whenever that material is getting priced, we lock in the LME. So, that has been our policy.

Amit Lahoti: Okay, got it. Thank you so much.

Moderator: We will take our next question from the line of Dhananjai Bagrodia from Alchemy Capital. Please go ahead.

Dhananjai Bagrodia: Hi, congratulations to everyone. Firstly, congratulations on a fantastic set of numbers in an environment. I just want to ask you for aluminum capacities for production, how much do we see the 600-plus KT, let us say in a year from today?

Vedanta Limited  
January 29, 2026

Sensitivity: Internal (C3) Deshnee Naidoo: Thank you for that. I am actually going to hand over to Rajiv, but just very quickly, the increase in

aluminum production is coming from our BALCO project. So, let Rajiv update on the BALCO project and talk about the ramp up that we will see over the coming two quarters. Rajiv?

Rajiv Kumar: Thank you, Dhananjai. We are just now at 20-pots in the new 435 KT smelter at BALCO. We intend to increase to about 1 lakh ton by this March end, and then next three to six months, we will ramp up the rest of the pots. There are 304 pots divided into four zones. So, the first set of 76 pots would be online by March and the rest of the numbers would be on in the next three to six months and we will ramp it up from there. We have taken the best benchmark number of ramping up of the pots anywhere in the world for this kind of smelter.

Deshnee Naidoo: Thank you so much for that, Rajiv. Just to summarize on that, we will get to 2.8 million tons of aluminum post our BALCO project ramp up. The team is working on a set of debottlenecking exercises to close the gap from 2.8 to 3 million tons, which is what we have guided in the market over the next 18-months. But, in addition to that, our Lanjigarh refining will get up to 5 million tons. We are already close to those run rates. So, as Anup just explained, that is what gives us the integrated or the captive benefits there. But the other opportunity right now on aluminum is actually our value-added. So, we have value-added projects, both at BALCO and Jharsuguda. So, in addition to the

volume uplift, which we will see in the next year, you are also going to see a margin increase from us in terms of VA P, which the team is working on how much more we can actually sell in the domestic market. So, I just wanted to give you the full aluminum growth and margin story to expect over the next one year. Remember, the BALCO project is 435.

Dhananjai Bagrodia: Sure. And in power, where do we see a capacity, let us say a couple of years or three years, how do we see that ramping up our power capacities?

Deshnee Naidoo: Certainly. So, in terms of current projects, we have another unit in Athena to go, which is another 600 megawatts, but I have Rajinder Ahuja, our Power CEO on the line. So, Rajinder, I think it would be good for you just to talk through where we are today, the current projects and of course, somewhat of the strategy around post the next three years.

Rajinder Singh Ahuja: Thank you, Deshnee, and hi, Mr. Bagrodia. Just wanted to tell you that as of now, this year we have commissioned around 1.6 gigawatt of capacity at Athena, Meenakshi. So, total capacity as of now up and running is 4.2 gigawatt. This is expected to go to around 4.8 gigawatt by end of H1 of the next year. And as we demerge, we really want to be a growth company and ride the India's growth story on energy. So, we are having a plan in place to put additional 10 to 12 gigawatt. That is a plan being made. And you will really see that, this company will be on continuous growth chart for the next five to seven years as India needs some more thermal power capacity.

Vedanta Limited  
January 29, 2026

Sensitivity: Internal (C3) Dhananjai Bagrodia: But, sir for this

, do we have tie-ups to reach from 5 to 10 gigawatt? Are there even equipment available, everything is available, or how is that coming along on ground?

Rajinder Singh Ahuja: So, we are keeping all options open. Yes, there is a definitely capacity constraint from Indian manufacturers. But we are exploring India as well as outside India, all who can supply us and we have a good discussion going on. Maybe at right time, we will come out with the concrete numbers on that.

Deshnee Naidoo: But the focus right now is to get us to the 5 gigawatts as soon as possible. That is the focus. And the focus there is also to look at how we tie up most of that into contracts, as we saw with the current PPAs that we just landed for both Athena and Meenakshi. So, that is the focus. When we have the rest of the plans in terms of how to grow the power sector, especially now with the demerger, we will come back to the market.

Dhananjai Bagrodia: Absolutely. Sure. And lastly, thank you to Charanjit and the IR team for such strong disclosures. It has been really, really helpful for us as investors. So, thank you to Charanjit and the team. Thank you, guys.

Moderator: Take our next question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Yes, good evening. Thank you for the chance. I have a few questions. I got disconnected in between. So, please excuse if it is repeated. Firstly, I wanted to know hedging volumes, what proportion is hedged for 4th Quarter and mainly for FY27 across divisions, mainly aluminum, silver and zinc? And what sort of policy or strategy are we following as far as hedging is concerned?

Ajay Goel: Sure, Sumangal. We have not covered hedging. So, I think it is alright. Hedging, I think all of you would agree in the current environment is highly tumultuous. It makes sense to hedge. Hedging as a policy is dynamic, it is a real-time and we map the market the impact of practically on -time, real-time basis. We also have a global expert at Vedanta advising, Vedanta Risk Committee on the hedging. So, it is a joint call that we all take. That is the policy. In terms of how much we have hedged across the key commodities, silver hedging for the current fiscal as of now, it is about 68 tons and it is about 10% volume of the current fiscal. Additionally, about 50 tons is covered for next year, about 7%. So, overall, 10% for the current fiscal and 7% for the next year, 17% is the hedged quantity. The average rate is about \$45 per troy ounce. In case of zinc, the hedging is almost 53KT each both for the 4th Quarter and next year. So, almost 100KT, almost 9% volume for the full fiscal is hedged. The average value, the price locked is almost \$3,000 per ton across Q4 and next year. And finally, in terms of aluminum, 8%, about 185 KT for the 4th Quarter, and almost 490, 18% is the next year hedging. So, net-net 26% quantity hedged for aluminum. The average pricing is about 2,650. So, in summary, about 8% for the current fiscal and 18% for the next year has been hedged.

Vedanta Limited  
January 29, 2026

Sensitivity: Internal (C3) Sumangal Nevatia: Thanks. Ajay, can you just give FY27, what is the hedge price? The average price is 4th Quarter and FY27, right?

Ajay Goel: That is right. In fact, for the next year, the numbers are slightly higher. So, silver at about \$55 per ton, about the quantity is 48 tons exactly. In case of zinc, it is 43 tons and the price is about 3,072. And aluminum is about 18%, 490 or so, and the pricing is about 2,625.

Sumangal Nevatia: Understood. That is very clear. Second question is on the aluminum cost. I just wanted to understand

what sort of cost changes are we expecting over the next one or two quarters? And from BALCO smelter, what sort of ramp -up schedule can we expect over FY27 , what utilization could we achieve in FY27 on an average?

Deshnee Naidoo:

Thank you, Sumang al. We did already answer the BALCO ramp -up, but we can certainly re - summarize for you. So, maybe Anup, you can start with the cost over the next two quarters.

Anup Agarwal: So, Sumang al, so as you would have seen now in Quarter 3, our hot metal cost reduced by 8% compared to last quarter. While answering the alumina cost now, I had guided that next quarter alumina cost will be lower \$25 almost. We have planned maintenance of one of our bigger power plant units and there you will see a higher cost. So, both will tend to offset each other. So, next quarter, broadly we are saying costs will remain flat at the constant LME , maybe half a percent here and there because of the inflationary pressure that we are seeing on the carbon commodity. Coming to Quarter 1, with the ramp -up in Lan jigrah and the bauxite that we are expecting from Sijim ali, we believe we should have a \$50 -\$60 cost reduction compared to where we are today.

Sumangal Nevatia: Understood. And just very lastly, any new deleveraging targets for both Vedanta Resources and India given the cash flows and the commodity prices?

Ajay Goel: Yes, sure. I mean, overall, what we committed last time, Sumangal, we as a group at VRL level, almost half a billion deleveraging and given the current OFS in the play, again , another half a billion. So, roughly about 0.8 to 1 billion will be deleveraging across the group in th e current fiscal. With that, the VEDL India debt will come down by almost 0.7 billion in the current year and almost 300 at VRL level. At Vedanta India, we track debt -to-EBITDA. So, compared to 1.23x as on 3rd Quarter , we will be closing the fiscal at about 1x and that will be, I think, lowest in the last many, many years.

Sumangal Nevatia: Understood. Thank you so much. I will join the queue back.

Moderator: We will take our next question from the line of Ashish Kejriwal from Nu vama Wealth Management. Please go ahead.

Vedanta Limite d

January 29, 2026

Sensitivity: Internal (C3) Ashish Kejriwal: Yes, hi. Thank you for the opportunity and many congratulations to the entire team. My question is

on the alumina part. Anup sir, you mentioned that we tried to purchase alumina at a percentage to LME. So, because our alumina production is increasing , so, do you think that whatever is requirement for FY27, we can not go for spot basis because as a percentage of LME, we are not getting any benefit , in fact, if I do the calculation , 3rd Quarter , purchase alumina cost seems to be higher than se cond quarter , and obviously, it will continue to go higher because of the aluminum price. So, for the strategy part, can not we go for spot purchase or is it not available itself? That is my first question.

Anup Agarwal: So, Ashish, see , last time I had said that we had some LME -linked contracts. But as we go into the next financial, most of our contracts are API -linked. That is what you call the alumina price index, i t is not LME -linked. The point that I had covered in the pricing month and we had explained time - and-again that there is a 45 -to-60-day lag. So, what we do is in the month of pricing, we actually lock in be it API, be it LME. And in a LME rising scenario, which you have seen almost 10 % rising two months, you see that gap. And if the LME was constant, I am again repeating, you could have seen almost a \$40-45 reduction in alumina in this quarter and the next quarter. So, at some point of time in the constant LME, you will see that big gain coming in. But LME -linked contracts are almost not there for the next financial year, very small quantity.

Ashish Kejriwal: So, is it safe to say that from first quarter FY27, when we are expecting \$50 to \$60 fall in hot metal cost, we are saying that entire alumina purchase or maximum alumina purchase is API -linked, not aluminum price -linked?

Anup Agarwal: Yes. So, that is the official point. On a constant LME, someth

ing which I mentioned, keep that in mind , Ashish.

Ashish Kejriwal: So, this is somewhat confusing actually, because the spot prices which we look at , that is something like \$310-\$315 per ton of alumina , whereas, if I link with aluminum, and even if you got 12 -13% as a percentage of LME, it will be much higher, \$400-plus. So, what you are trying to say is that -

Anup Agarwal: No, Ashish, I am only trying to say is that, see, suppose if I had bought alumina at \$310 as you rightly said, and there is a lag of 60 -days. So, when I am pricing the alumina, the LME is 3 ,000. In the consumption month, if it is 3 ,200, you only have that lag. Otherwise, there is absolutely no lag.

Because as a policy, we are locking the LME in the month of pricing. It is not LME -linked.

Deshnee Naidoo: I think it is very clear, Ashish. Price is API -linked. Consumption in the month would be LME -linked. That is just the way we account for it.

Ashish Kejriwal: Okay, I will try to take it offline. Second thing is in terms of our co al block, Kuraloi, which we are saying that we are going to start in 4th Quarter . So, have we received all regulatory clearances , and now we are on ground , because we are already at end of Jan , so, how comfortable we are in that co al Vedanta Limite d

January 29, 2026

Sensitivity: Internal (C3) block for K uraloi? And as well as S ijimali, we have received stage -I forest clearance. But even after that, we need to do some clearance in other local bodies' clearances. How comfortable we are saying that S ijimali, we can start before monsoon this year?

Deshnee Naidoo: Rajiv, I think you can give a full update on both the coal as well as all our bauxite blocks.

Rajiv Kumar: So, thank you for the question, Ashish. On K uraloi, as you rightly said, we got the FC stage -I on 12th of May 2025 and FC stage -II clearance we got on 12th of January this month, 2026 , and the CTO and some approvals, mine lease opening as well as escrow account opening, all that is running in parallel , and we are quite hopeful , we have already put in the MDO and the team is on ground and we are ready , we have already shifted our offices in that area on K uraloi, and we are very hopeful of commissioning the K uraloi mine by Quarter 4 of FY26, which has been the guidance. As far as Sijimali is concerned, FC stage -I was obtained on 31 -12-2025, EC, we are expecting by February '26, and we are quite hopeful of operationalising the mine, as you rightly said, in the monsoon month. So, we are quite there and we are very hopeful of doing both. As far as G hogharpalli is concerned, we have also made headway and mine plan is already approved , and public hearing, we got it in January '26, done, completed , EC, we are expecting by May '26 and FC by July '26. Again, commissioning as we have guided, we will stick to that commissioning. So, we are in control and last leg of approvals as far as K uraloi and operationalising S ijimali by Quarter 1 FY27. Thank you.

Ashish Kejriwal: That is great. And lastly, on steel, we have not heard anything on the getting clearances for our expansion from 1.5 to 3 tons. And obviously, every quarter or half yearly, we keep on postponing that final date. So, do we think that 1.5 to 3 million tons approval from the government or the regulatory authorities we are going to get in this year or actually where we are on that process?

Deshnee Naidoo: Thank you so much for the question. So, we have completed the acquisition of our 913 hectares of forest land that we have already handed over to the forest department. The team on the ground has been engaging with the MoEFCC in terms of what else we would need to comply with. Ashish, I do not want to preempt, but we are most hopeful that this would happen soon . And then in terms of progress on the ground, once we get the approvals, we will start to accelerate the project completion.

Ashish Kejriwal: Tha

nk you so much, team. And I must congratulate for the team for effective debt management as well as project execution. Thanks and hats off to you guys.

Moderator: We will take our next question from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: Yes, good evening . So, the first question was on the timeline. So, we are still showing power business as under -continuing operations. So, are you confident that we should be able to get all requisite approvals before March or April if you want the full demerger to be effective?

Vedanta Limited

January 29, 2026

Sensitivity: Internal (C3) Deshnee Naidoo: Ajay, do you want to take that question in terms of just reiterating the timelines as we understand it for demerger?

Ajay Goel: Yes, it is just the dates, Pallav. I mean, as we know, the overall, the bigger demerger, the four businesses, the NCLT order came on December 16th, which falls within the 3rd Quarter , October - December. The NCLT order for power, in fact, came on January 9th. So, it is an event post balance sheet date , and hence, power is part of operations in continuation. So, in terms of approvals, we intend to demerge all four companies on the same day and the target right now being the 1st April. So, they will be all co -terminus on the same day.

Pallav Agarwal: Sure. From the perspective of valuing the individual businesses, so how do we apportion the portion of debt among the various businesses , so, probably a proper picture of the valuation of the different entities ?

Ajay Goel: As we speak right now, the management is a focused similarly, in fact, carving out multiple balance sheets and debt allocation and many more statutory requirements. So, in terms of debt, I think that remains simpler part. When we went to the banker seeking NOC, in that case, debt allocation was broadly aligned with the bankers as a precondition for granting NOC for demerger approval. So, broadly, the net debt in Vedanta India consol at about 6.7 billion, we get apportioned in the ratio of assets that each entity will carry post demerger. One more dimension remains is each entity's cash generation and debt serving capability. So, in summary, a significant portion of debt out of 6.7 billion will go to aluminum, some portion to power and the remainder Vedanta. Oil and gas post demerger will practically be debt -free and a very small debt in iron and steel. So, it is all being worked out and by end of this March, be it recasted balance sheets, P&L account or debt allocation will be all finalized.

Pallav Agarwal: Sure, that would be very helpful. And lastly, on the oil and gas business , so we are adding some reserves, but production continues to decline. So, like with some new fields getting added, is there

some probability that this can increase going ahead?

Deshnee Naidoo: Thank you, I am going to hand over to Jasmin, our C OO, who will take the question. But I just wanted to also remind the market that we did come in and talk about the three different projects that we were undertaking in Rajasthan, firstly on ASP, as well as the work that we had to do on tight oil, and then some of the exploration activities in terms of infill drilling. So, Jasmin, when you update, I think just because we spoke to the market the last quarter, let us just speak about why the volumes did not come to plan and what is the recovery plan that we have underway at Rajasthan ?

Jasmin Sahurty: Right. Good afternoon, everybody. So, the main reason why volumes are not coming to the level that we expected is actually delaying of the project ASP commissioning and startup, which is enhanced oil recovery, one of the largest in the world and very expensive technology. However, we are about  
Vedanta Limited  
January 29, 2026

Sensitivity: Internal (C3) to finalize commissioning and startup and to pick up the first volumes of the contributions from the

reservoir in that way in the period of next three months. This is first bucket. Second bucket is tight oil is immensive, basically reserves in place and the resources that we are converting to the reserves and with the intensive recompletion strategy and the drilling new wells will pick up that from the existing 8,000 to 15,000. Basically, that two buckets will stabilize the decline to actually be on the sustainable production delivery and slowly picking up an increase towards 90,000. As you are also aware in the west offshore, we discovered that recently confirmed reserves on the largest scale in the offshore shallow Ambe . However, that project will be commissioned and startup this financial year '27 in Quarter 4 and the first volume will be the stable production rate will be around 15,000 in March next year. On the Northeast biggest prospect, we are in the continual delay for the first and the most important exploratory appraisal project, SP -I. It is not easy to operate over there. We are finally coming with all commitments towards the environment and the local government in terms of approvals and without that, we cannot ultimately start our drilling program. We hope it will be commissioned end of this March, and then we can drill two to three wells, which will discover potential volumes of up to 100 million reserves, which will definitely ramp up production in our entire portfolio, especially from the Northeast . That is in the nutshell everything. We have a couple of more projects which are working for the further development, like a heavy oil in the Rajasthan north, like an infill on the south satellite fields of oil in the Rajasthan south, and the east coast, a very promising big prospect of onshore to offshore drilling, which may increase our reserves to 15 million additionally. So, all in all, we expect the next year to stabilize everything and to grow to at least 90,000, and then year after the year, reaching our ultimate target of 150,000.

Pallav Agarwal: Sure. Thank you so much for the detailed answer. So , just finally, I think as part of the demerger, there is some guarantee to be provided for the arbitration dispute. So, would that be at the Vedanta Limited , the primary company level, or at the oil company level?

Deshnee Naidoo: Yes, that has already been dealt with at the current structure. So , when we demerge that will be without the obligation sitting at the entity level.

Pallav Agarwal: Sure. Yes. Thank you so much.

Moderator: We will take our next question from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Yes. Hi. Thanks for the opportunity. A few questions. One is for Ajay. So, we had a certain outgo commitment that we are with respect to interest in ICL. Any update on that , because honestly, we are expecting some payout to fund that. So, if that thing is something which has been taken care of, how was it funded? That is the first question.

Ajay Goel: Yes, sure. So, in fact, all of the ICL is on track as we have committed or as in fact is contracted. As of now, out of a billion ICL advanced in 2019, 417 million remains outstanding and practically 200

Vedanta Limited  
January 29, 2026

Sensitivity: Internal (C3) million is due on Jan 31 in the three, four days from now and the balance of 200 million sometime in Q1, which is end of May. So, out of 200 million ICL due in January, 50 million in fact we have prepaid in December. So , 150 million now remains pending in January and the balance 200 million in May. The entire ICL 350 million will be paid on time.

Ritesh Shah: All right. So, this balance 150 million and there was an interest payment I presume 270 -280. So, the idea is to still fund it via dividends?

Ajay Goel: So, if you look at the 4th Quarter Jan-to-March, so almost 150 million is the ICL. There is no other debt due in the 4th Quarter . So, 150 million is ICL and the balance 1

25 million is the interest. So, overall, 275 million. Now , how do we fund it? Again, the option remains the mix of refinancing and repayment. Now dividend, as you would appreciate , Ritesh , is a board matter, but we have in the past been committing about 6% dividend yield and what we have paid in the current fiscal is almost 3%.

So, a payment of a dividend in the 4th Quarter is likely subject to board approvals, in that case, the entire dues almost 275 million in the 4th Quarter will be addressed through dividend.

Ritesh Shah: Thank you so much for a detailed answer. My second question is, how should we read into confidential filing for CopperTech Metals? So, I am reading it more from the VRL debt profile and the recent OFS that we have in Hindustan Zinc. How should we read into promoters holding into Vedanta and Vedanta holding into Hindustan Zinc, how should we look at a broader top-down thought process from a company?

Deshnee Naidoo: Ritesh, I think from an overall CopperTech point of view, there is no link with Vedanta Limited and anything below VRL. This is a separate entity sitting at Vedanta Resources Limited as we told the market. And that entity today will be holding 80% of our KCM interest that as we have told the market that we have filed an S1 that we are going through the process with now with the SEC in terms of next steps. But there is no link.

Ritesh Shah: Please correct me if I am wrong. So, it is a VRL which holds 80% into the entity, right?

Deshnee Naidoo: Yes, it is VRL that currently holds 80% of our KCM interest with 20% being held by the local government entity in Zambia.

Ritesh Shah: Correct. So, would it be possible for you to give some color on what is the thought process? I appreciate it has nothing to do with Vedanta, but it will impact the debt profile at the VRL level, so that is where the interest is from.

Charanjit Singh: I will have to intervene here. We are in the silent period with respect to having done the S1 filing. So, we can not speak anything until the process is continuing.

Vedanta Limited  
January 29, 2026

Sensitivity: Internal (C3) Deshnee Naidoo: As we guided in the last results.

Ritesh Shah: Thanks for the detailed disclosures with respect to the different entities. But, if we had to understand the element of accumulated losses, unabsorbed depreciation, tax efficiency, is there a way in which you can help us we can appreciate these variables?

Ajay Goel: That work, Ritesh, right now is underway, as I mentioned. So, over the next eight weeks, two months or so, recasting multiple balance sheets for each of the resulting entities, get a location in terms of finalization, structure of the management in place, all will be worked out. Allow us maybe almost two months' time, you will have all the numbers. One thing I can confirm to the entire audience and to the stakeholders at large, that demerger in fact, becomes an opportunity across the areas. Take an example, the OFS right now is in the play. The value is almost Rs.3,000 crores. And that also gives the reason to fast track the entire de-leveraging. And as I earlier mentioned, our intent is to make oil and gas business debt-free, and also our iron steel business almost debt-free. So, many of this structuring will be an Vedanta opportunity from taxation viewpoint and otherwise.

Ritesh Shah: Thanks for that. I did not get the Rs.3,000 crores number, sir.

Ajay Goel: So, the OFS for zinc right now, we are looking at almost 1.1% as the bidding both by retail and institution got closed at 230. It is about the 1.1% stake sale and that is Rs.3,000 crores broadly. And the entire amount will be used for de-leveraging.

Ritesh Shah: Sure. And a last question, in notes-to-accounts, we have mentioned a claim of \$512 million. How should we look into this? I understand it is sub judice, but under which entity will this fall and how

should we look at this variable going forward?

Ajay Goel: That is an ongoing matter with the MOPNG. It pertains to oil and gas, and the matter is in arbitration. In fact, all the judgments in the past has been in Vedanta's favor. And in our assessment, that matter is a medium to low risk.

Ritesh Shah: So, if there is a windfall gain, where will it fall?

Ajay Goel: It is arbitration is in the play. And the next date of hearing is sometimes in the middle of March. And that will determine any gain, if at all. Any accounting implications, gain or otherwise, will go in oil and gas business, post-demerge r.

Deshnee Naidoo: It is ring fenced to oil and gas, whatever the decision.

Ritesh Shah: Okay. Perfect. Thank you so much for the detailed answers. Wish you all the very best. Thank you again.

Vedanta Limited  
January 29, 2026

Sensitivity: Internal (C3) Moderator: We take our next question from the line of Rashmi Chopra from Citigroup. Please go ahead.

Rashmi Chopra: Thank you. Just on Zinc International, how do we think about the cost in the 4th Quarter and next year?

Deshnee Naidoo: Thank you so much. Rashmi, in terms of current cost levels, have become higher for a couple of reasons. As we continue to do the waste stripping in the mine, we move some of those costs from capital into OPEX. So, that is one of the movements we have seen. Of course, the exchange rate in



South Africa has not worked in our favor. That is also contributing to some of the dollar cost movements in the quarter. And then we also have slightly higher TCRCs quarter-on-quarter, which is the other big decider. And then although the Gamsberg mine and plant did very well in terms of the 50,000 in this quarter, our Black Mountain mine, because of the deep decline, is actually coming to the end of its life. And without the Black Mountain tons and the associated copper and silver we get as a byproduct, that has also affected the overall cost structure. A good cost structure post ramp up of our Gamsberg project actually should be in the range of about 1.1 to 1.2. So, \$1,100 to \$1,200 per ton. But that will be patchy as we ramp up and with some of the headwinds that I have just mentioned in terms of TCRCs, as well as our waste stripping moving into cost. I hope that gives you some indication.

Rashi Chopra : Yes, thank you. On the interest cost switching here, you mentioned that the 4th Quarter , the balance interest payment is about \$125 million. Is that \$400 million for FY27 and FY28?

Ajay Goel: Okay. From a VRL viewpoint, Rashi ?

Rashi Chopra: Yes.

Ajay Goel: So, let me give you slightly details answer in terms of the VRL requirement on maturities, both principal and interest for next fiscal. So, interest , you are right, the number is almost 450 million for the next fiscal at VRL on fully yearly interest cost basis. So, 450 is interest. In terms of principal, the actual debt is 450 and ICL 200, 650. 650 and 450 is almost 1.1 billion. Now, how one should look at in terms of debt servicing, there are two source of cash for VRL, the brand fee, let us say 400 to 450 , and the remainder, even if you pay 5% or lesser dividend, 650 . So, net-net, as we have been saying in the past, the Vedanta resources will be self-sufficient, self-funded to a 5% dividend and routine brand fee going forward.

Rashi Chopra: Got it. Thank you. And just to clarify once again, on hedging, what was the aluminum hedge volume for this quarter and for the next year?

Vedanta Limited

January 29, 2026

Sensitivity: Internal (C3) Ajay Goel: So, the current quarter is almost 1.85 KT at a price of 2,640. For next year FY27, it is about 490 KT

and the pricing is more or less same ; it is 2,625. So, 1.85 and 490 KT next year, pricing roughly is 2,625 on both the cases.

Rashi Chopra: Understood. Your captive alumina target for 1Q '27 is 80%, right?

Anup Agarwal : Yes, Rashi, that is right.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Charanjit Singh for closing comments. Over to you, sir.

Charanjit Singh: So, thank you , everyone for taking out the time to join us. For any unanswered questions, feel free to get in touch with the IR team. So, with this, we conclude our call and we look forward to reconnecting with you in April for our Q4 Results . Goodbye and good day, everyone.

Moderator: Thank you, members of the management team. On behalf of Vedanta Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Apr 2026

Page 1 of 19

Sensitivity: Internal (C3)

"Vedanta Limited

Fourth Quarter and FY25/26 Earnings Conference Call "

April 29, 2026

MANAGEMENT : MR. ARUN MISRA – EXECUTIVE DIRECTOR –  
VEDANTA LIMITED

MS. DESHNEE NAIDOO – GROUP CHIEF EXECUTIVE  
OFFICER – VEDANTA LIMITED

MR. AJAY GOEL – GROUP CHIEF FINANCIAL OFFICER  
– VEDANTA LIMITED

MR. ANUP AGARWAL – CHIEF FINANCIAL OFFICER -  
ALUMINUM – VEDANTA LIMITED

MR. JASMIN SAHURITY -- CHIEF OPERATING  
OFFICER -- OIL & GAS – VEDANTA LIMITED

MR. CHARANJIT SINGH -- GROUP HEAD, INVESTOR  
RELATIONS – VEDANTA LIMITED

Vedanta Limited

April 29, 2026

Page 2 of 19

Sensitivity: Internal (C3) Moderator: Ladies and gentlemen, good day and welcome to Vedanta Limited Fourth Quarter and Full Year

2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Participants connected on webcast link may change the quality setting to 1080p to watch the proceedings on best quality.

I now hand the conference over to Mr. Charanjit Singh, Group Head, Investor Relations, Vedanta. Thank you and over to you, sir.

Charanjit Singh: Thank you, Yash. Good evening everyone and welcome to Vedanta Limited Q4 and full year FY '26 earnings call. On behalf of Team Vedanta, I thank you all for joining us today. I hope you had an opportunity to look at the results releases that we have made. Also, we have uploaded a presentation on our website, under the Investor Presentations tab outlining the medium-term outlook for the de-merged Vedanta, covering all business segments, which is primarily Zinc India, Zinc International, Copper, Ferrochrome, and Nickel. Kindly take a look at it if you haven't had the time to already see it.

On the call today, we have with us Ms. Deshnee Naidoo, our Group CEO; Mr. Arun Misra, our Executive Director; Mr. Ajay Goel, our Group CFO; Mr. Anup Agarwal, CFO Aluminium; and Mr. Jasmin Sahurity, COO Oil and Gas. We will begin the call with a business update from Ms. Naidoo, followed by an update on financial highlights by Mr. Ajay Goel, and after that, we will open the lines for Q&A.

With that, I now hand over the call to Ms. Naidoo. Over to you, Deshnee.

Deshnee Naidoo: Thank you, Charanjit. Good evening, good day everyone, and thank you for joining us today. This will be our final results call, ahead of de-merger. Starting next quarter, each of the de-merged entities will conduct its own earnings call, as separate companies.

But before I reflect on the year's performance, I want to take a moment to speak about the tragic incident that unfolded at our Athena power plant in Chhattisgarh on the 14th of April. I want to begin by expressing my deepest condolences to the families of those who lost their lives in the tragic incident.

Across Vedanta, there has been an outpouring of grief and solidarity. I want to acknowledge the efforts by the teams on the ground. Our thoughts remain firmly with the families who are grieving and with those who continue to receive medical care.

The plant is run by our O&M contractor, NGSL. The incident occurred in Unit 1 of the plant involving the boiler, which resulted in the release of pressurized hot water and steam, exposing various people working in that area. These workers were primarily from our contractor and sub-contractor organizations, who were present in the area carrying out operations and maintenance-related work.

Sensitivity: Internal (C3) We continue with our efforts to provide the best possible medical care and rehabilitation support to impacted families, including monetary compensation, accommodation, and employment opportunities. We are also operating a 24/7 call center to address any queries from affected families.

Extending care and support to all our employees at the site and beyond, remains our top priority. We are working with all authorities to establish the facts in a transparent and comprehensive manner and will take all necessary steps to prevent any re-occurrence of such incidents. I also want to take the opportunity to talk to you about the group performance on safety year-on-year. Our lost time injury frequency rate for the

year improved to 0.4, with our lost time injuries down 16%. Our total recordable injury frequency rate decreased 3% to 1.3. And as part of the group safety improvement plan, we continue to embed and implement our CRM, our critical risk management, drive incident, corrective and preventive action close-out, and increase our leadership in the field.

Now I want to turn to our FY '26 performance. The year represented a clear inflection point for Vedanta as strategy and execution converged to deliver the best ever financial performance in the company's history.

We delivered record high annual revenue of INR1.74 lac crores, EBITDA of INR56,000 crore, PAT of over INR 25,000 crore, and our free cash flow pre-capex of INR 26,013 crore. Our return on capital employed stood for the year at 32%, all of this on the back of volume growth across various businesses and reduced costs driven through structural initiatives.

Our efforts on operational excellence transformed FY26 into a year of new milestones where our aluminium business delivered its record alumina production of 2.9 million tons, up 48% year-on-year, and highest ever aluminium production of 2.46 million tons, while also achieving its lowest annual hot metal cost in the last five years of \$1,752 per ton. Our exit run rate of alumina production at Lanjigarh refinery was close to 4 million tons per annum.

Zinc India recorded its highest ever annual mined metal production of 1.1 million tons, with silver production of 62.7 metric tons, while simultaneously achieving the lowest cost of \$959 per ton in the last five years.

At Zinc International, mined metal production increased 27% year-on-year to 2,25,000 tons, led by the Gamsberg volumes rising 39% year-on-year, driven by higher throughput, stable ore delivery, and improved feed grade.

Power sales grew 30% year-on-year to 16.4 billion units, with the start of operations at Athena and Meenakshi, alongside a 11% increase in our average NSR.

The steel unit in Bokaro delivered 1.3 million tons of production, achieving its highest ever annual billet, TMT, wire rod output of 1,062,000 tons, 5,25,000 tons, and 4,45,000 tons respectively. Through improvements in fuel mix and better raw material utilization, the business achieved an overall cost reduction of 10%. Our pig iron unit in Goa achieved its highest ever pig iron production of 8,95,000 tons, representing a 10% increase year-on-year.

Vedanta Limited  
April 29, 2026

Sensitivity: Internal (C3) Our iron ore production grew 5% year-on-year to 6.2 million tons, while Iron Ore Goa achieved a 62% year-on-year growth, supported by production ramp-up initiatives and delivering an 18% reduction in operating cost. Our ferrochrome business delivered a strong turnaround with record ferrochrome production of 1,01,000 tons, up 21% year-on-year. The restart of the Kalrangi attam mine enabled availability of high-grade captive ore during the year, thereby materially reducing our cost by 19% compared to FY '25.

At the copper business, operational delivery remained strong with Silvassa and Fujairah plants together delivering copper rod production of 2,82,000 tons, a 10% year-on-year jump. Silvassa recorded record annual cathode production of 1,70,000 tons, up 15%, resulting from de-bottlenecking, operational efficiency, and diversification of raw material resources.

I'm now going to turn to capital. FY '26 recorded not only new milestones on operational metrics, but also on capex execution. During the year, we deployed INR15,000 crores of growth capital in line with guidance, establishing a new benchmark in Vedanta's journey on project execution as the year marked successful commissioning of various multi-year projects, setting us up on a trajectory of multi-year growth.

Some of the key growth projects completed are the expansion of alumina refinery at Lanjigarh of 5 million tons per

per annum, commissioning of the new 4,35,000 tons smelter at Balco with production ramp-up starting from the current quarter, commissioning of the 2,50,000 tons and 2,10,000 tons per annum of new billet lines at Jharsuguda and Balco respectively, start at the 1,60,000 tons Debari Roaster at Hindustan Zinc, successful de-bottlenecking at Hindustan Zinc, Chanderiya and Dariba, resulting in an incremental capacity of 21,000 tons per annum. Additionally, the 1.3 gigawatt at Athena and Meenakshi. Other facilities commissioned during the year include the wagon tippler facility at Lanjigarh and the crusher at Gamsberg Phase 2. As we move into FY27, the pipeline of projects commissioning remains strong. The Kurloil coal mine and Sijimali bauxite mines are awaiting for their EC, which will pave the path for starting operations two mines. Gamsberg Phase 2 is around 94% complete, whilst our fertilizer project in Zinc India has already booked around 75% total capital. At ESL, plant capacity doubling to 3.5 million tons would take around six months once we receive the EC. All equipment required for the expansion is already installed and at the project site. Our DI plant in Goa is over 60% complete as of March '26 end. This capex is primarily financed through internal accruals, our free cash flow generation pre-capex of around INR26,000 crores, reflecting this strong operational performance. Vedanta emerged as the second highest wealth creator amongst the Nifty 100 companies in FY26.

Just a quick update on critical mineral licenses. As at FY26 close, we had won bids for composite licenses on 10 blocks, which include those for gold as well as manganese, whilst the remaining eight blocks are for critical minerals. In three of these blocks, the exploration is at an advanced stage and we are expecting to be in the decision-making position in a year from now.

On ESG, during the year, we continue to make meaningful progress on driving renewable energy consumption across all operations, reaching 3.97 billion units in FY26, up 52% year-on-year,

Vedanta Limited

April 29, 2026

Page 5 of 19

Sensitivity: Internal (C3) thereby resulting in a GHG intensity reduction from 6.02 to 5.43 tons of CO2 equivalent per ton of product. With inclusive growth central to Vedanta's purpose, we spent over INR420 crores in FY26 on various CSR initiatives, impacting over 7.8 million people through our various programs in education, healthcare, livelihoods, women empowerment, and community infrastructure.

In closing, as we mark our final reporting year ahead of de-merger, Vedanta delivered a truly landmark performance, best in the company's history. The structural improvements made during the year together with the disciplined capital execution resulted in the record level of cash flow generation, which is well reflected in credit upgrades from various rating agencies at the group level.

Backed by a Tier 1 asset portfolio, record operational and financial performance in FY26, we enter FY27 as a more agile, streamlined, and future-ready organization. With over five decades of experience in manufacturing and metals, Vedanta is leveraging its deep technical expertise to expand into a high-potential minerals of future and transition self for the future.

Vedanta 2.0 is a strategic transformation designed to align the company's core strengths with India's evolving priorities in energy transition, advanced manufacturing, and clean technology. As part of this transformation, we are positioning ourselves to meet India's rising need for critical minerals powering the growth of AI, data infrastructure, and advanced technologies.

The de-merger is now at its final stage. The effective and record date is set for May 1st. In the next week, we will be filing with the exchanges for listing approval. The shares of the resulting companies are expected to list and commence trading by mid-June.

This marks

marks a new chapter defined by simpler structures, sharper accountability, and focused platforms to drive growth and value creation. This foundational reset is aimed at sustainable growth over the coming decades. With that, I now hand over to Ajay to walk us through the financial performance for the year. Ajay.

Ajay Goel: Thank you. Good evening, everyone. We ended the fiscal year FY26 on a high note, with Q4 marking a pivotal moment for Vedanta. We delivered record financials, our strongest ever, both for the quarter and for the full year. This also sets the stage for our next growth chapter through Vedanta's de-merger. On macro side, despite Middle East volatility, better pricing, currency depreciation, and supply dynamics played to our advantage.

We moved quickly to protect supply chains, control cost, and reinforce our balance sheet, all that while staying focused on growth. Starting with de-merger, as earlier communicated last week, our Board approved Vedanta's de-merger effective from 1st May 2026. This will entail creation of five independent sector-specific pure-play companies, allowing each company to chart out their own growth trajectory and attract respective thematic investors.

We have set 1st May as a record date for de-merger. Shareholders holding one share of Vedanta as on 29th April, today, will receive four additional shares of the resulting companies. We are targeting listing and commencement of trading of these shares by Q1 FY27. The de-merger has

Sensitivity: Internal (C3) been architected with precision on capital structure, aligning debt with earning strength and growth stage of each resulting company.

Vedanta Oil and Gas and Iron and Steel will be close to zero net debt businesses. Other three businesses' net debt to EBITDA ratios will be in line with their debt serving capabilities. At Vedanta group level pre -de-merger, our leverage stands at 0.95x, reflecting resilient EBITDA and disciplined financial structuring.

For the Q4 and FY26 results, following NCLT approvals, we have followed the de -merger accounting as per Indian accounting regulations Ind AS 105. For clarity and like -to-like comparison, our results discussions are for the combined operations, which is pre -de-merger and includes all five businesses.

Moving very briefly to performance, we recorded all -time highs in all three metrics, they being revenue, EBITDA and PAT, both for Q4 as well as for the full fiscal. Our quarterly revenue grew 29% year -on-year to INR 51,524 crore s, supported by positive prices, exchange rate, and sustained growth across our core businesses. Our quarterly EBITDA grew 59% year -on-year to INR18,447 crore, with EBITDA margin expanding sharply up by 915 bps year -on-year to 44 %. Again our best ever. And finally, the PAT grew by 89% Y-o-Y to INR9,352 crore s. For the full year, we delivered as earlier guided our best annual results ever. Revenue growing 15% year-on-year to INR1.74 lakh crore s, EBITDA up 29% to INR55,976 crore, and finally PAT at INR25,096 crore s, marking a jump of 22% Y-o-Y.

Let us take a brief look on Vedanta as a portfolio. Key businesses continue to deliver strong annual performance. Aluminium EBITDA for the year INR25,502 crore s, up 43% Y-o-Y with a 38% margin, driven again by positive prices, record production, and lower COP, achieving a five-year low of \$1,752 per ton, down 5% Y-o-Y. Zinc India EBITDA INR22,056 crore s, up 27% Y-o-Y with best -in-class margin of 56%, driven by record mined metal, positive pricing, and COP dropping to \$959 per ton . Again lowest since five years, down 9% Y-o-Y.

The strength of our diversified business portfolio, coupled with momentum in our growth businesses across power, oil and gas, and iron and steel, continued to drive Vedanta on a strong upward trajectory. These businesses are the growth engines and will decisively

shape Vedanta's

next phase of value creation.

I'll move on briefly to allocation of capital and investors' returns. We remained focused on disciplined, value -accretive growth. In FY26 , we invested INR14,918 crore s on growth capex in strategic projects across aluminium , zinc, oil and gas and power. As these projects come on stream, they will drive higher volumes, margins and earning visibility across cycles. In Q4 FY 26, we de -leveraged Vedanta India's balance sheet by INR 7,370 crore s.

For the full year, at VRL group level in dollar terms, we have de -leveraged about USD 1.5 billion, including reduction of short -term facilities such as buyers and suppliers credit and export advances. We also rewarded our shareholders with a handsome dividend of INR 34 per share.

Vedanta Limited  
April 29, 2026

Sensitivity: Internal (C3) Vedanta has been amongst top three wealth creators in Nifty 100 companies, delivering a TSR of almost 50%, which is 2.1x over Nifty Metal Index. Notably, the FILs' ownership of Vedanta has rose from around 11% to 14% last year, a clear vote of confidence from investors even in this current tumultuous market conditions.

Balance sheet, our balance sheet continues to strengthen in a sustained and visible manner. As we have earlier guided, our leverage ratio has been brought down to under 1x, 0.95 from 1.22 last year same time. We have brought down VDL's borrowing cost below 9% at about 8.9 as we close the fiscal and 16% reduction in financing cost, which is more than INR1,563 odd crores with further reduction in the borrowing cost in sight in near future.

On credit rating, both CRISIL and ICRA has reaffirmed Vedanta's rating as a AA with watch developing. In addition, Fitch rating has augmented VRL's rating to BB-, underscoring confidence in our improved balance sheet, cash flow visibility and strategic direction. In conclusion, FY26 marked a clear defining year for Vedanta with a strong performance and notable advancements across strategic focus areas. The upcoming de -merger marks Vedanta's transition into a future new phase of growth and value unlocking in to a powerhouse of critical minerals, energy transition and technology. Thank you and over to operator for Q&As.

Moderator: Thank you very much. We will now begin the question -and-answer session. We'll take our first question from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: Hi, thanks for the opportunity. I have two questions for Ajay. First, as we split the group in five entities after the de-merger, how would the dividend policy look like for each of the entities?

Moderator: Indrajit can you please self-mute, there is a lot of disturbance on your line. Thank you.

Indrajit Agarwal: Yes. So after the demerger how would the dividend policies look like for each of the entities?

Ajay Goel: So that is a one change that will entail post-de-merger. In that case, five companies' board, ran independently, will be free to design their own policies. In case of Vedanta Limited today, the board has approved its revised policy on dividend. Basically, there'll be two changes. Currently, Vedanta's policy on dividend is more prescriptive; it will become more descriptive.

From rule-based, it becomes principle-based. For example, right now there is a requirement to pay at least 30% profit as dividend. Going forward, board will have the flexibility; they can pay 30% or the amount as they deem fit in future. Same way, the zinc dividend we have to pass on within 6 months. Going forward, Vedanta board as in the new Vedanta, Vedanta continuing will have the flexibility of this money upstreaming in near future. So in summary, five companies will have different policies, but overall, they will be aligned with the current policy thematically overall.

Indrajit Agarwal: So the mandate of upstreaming a dividend of Hindustan Zinc goes away

with the new policy, is that correct?

Ajay Goel: Correct. And in that case the Vedanta Limited board will have the flexibility of passing it on or not passing it on within the timeframe they deem fit, looking at multiple factors for the company.

Vedanta Limited

April 29, 2026

Page 8 of 19

Sensitivity: Internal (C3) Indrajit Agarwal: Sure. My second question related to it is now that we still have about USD 4.7 billion of debt at

VRL, what are the modes of addressing that debt? Earlier it used to be brand fees plus dividend.

Is selling stake in one or more entities an option that we are considering or it still remains at dividend and brand fees?

Ajay Goel: Right. So maybe I'll start with the first, Indrajit, the current year requirement FY27. So at Vedanta Resources, the need for the loan in FY27 is almost USD 0.3 billion. Additionally, as we know, an ICL is due as well, which is VRL to VDL. So total combined half a billion is the requirement for the principal amount.

The interest will be something similar; it is in fact a shy of half a billion. So we need a billion at Vedanta Resources. In terms of source of money, the brand fee is more or less same, so it is 400 and the balance 600 receipt means paying out almost USD1 to USD 1.1 billion from Vedanta India's side, assuming the half money goes to minorities.

So with 4% to 5% dividend and the routine brand fee, VRL can be managed. That also means almost 0.5 billion or 0.6 billion will be de-leveraging organically. Now as we de-merge all the five companies, additionally we'll have the optionality of a differentiated capital structure and in that case, many anchor investors domestically and globally are very keen to come in the capital table, and that will be additional avenue for de-leveraging.

Indrajit Agarwal: Sure. Thank you. That's all from my side.

Moderator: Thank you. We will take our next question is from the line of Amit Lahoti from Aditya Birla Capital. Please go ahead.

Amit Lahoti: Thanks for the opportunity. My questions are on Zinc International and Copper segments. So the first one on Zinc International, where are we on this capacity expansion at Hamsburg and by when do we expect to achieve full ramp-up? And then second on copper, it has not been a profitable unit for us so far and given the treatment charges continue to be negative, how are we thinking about this segment from here on?

Deshnee Naidoo: Thank you, Amit. I'll take the VZI question and I'll give Ajay the question on copper. So on VZI, the current project, the Gamsberg project is 94% complete and this is now the doubling of our run-of-mine from 4 million to 8 million tons and we're looking at a capacity from the current around 2,20,000 to 2,40,000 tons, another 2,20,000.

So all in all, about 4,50,000 tons. The team is anticipating to commission in the next quarter and to have the plant ramped up for the rest of the year, which is very typical if I look at other industry curves, McNulty curves. A ramp-up for a plant of this size should be anywhere between 12 to 18 months; 15 months would be a best-in-class ramp-up.

So that's how we should look at it. Within the year, you'll see substantial ramp-up from Phase 2 because it's 94% complete, but the better part of this year will be to ramp up Phase 2 after the commissioning in this current quarter. I hope that explains it. So Ajay, maybe you want to take the Copper question in terms of profitability.

Vedanta Limited

April 29, 2026

Sensitivity: Internal (C3) Charanjit Singh: Before Ajay starts, Amit, you would have seen that we have released a presentation which is on

the Vedanta's website and if you download that, you can see the trajectory for Gamsberg Phase 3, including our proposal to build a smelter also. So we have given the full details in terms of the ramp-up beyond 500 also, which is the medium-term outlook spanning next 2 to

3 years is

completely detailed out. So handing over to Ajay for the copper.

Ajay Goel: Copper, I mean, this copper within the Vedanta portfolio as we know is a trading business practically. And over the last couple of years, the margin has been wafer-thin. There is a one change if I may start with the brand fee. Right now, the entire brand fee is for the current Vedanta at about 3%.

Now as we de-merge, we have also done a revised benchmarking in an unbundled fashion, so each of the new companies' benchmarking is different. In summary, the 3% rate continues and the only change that will be done post de-merger is in the copper brand fee. So the brand fee for copper from the current 3% will go down to 0.75% and that alone from India's viewpoint means higher EBITDA by 2.25%. There are various activities looking at the pricing environment; we do foresee the margin in the Copper business going from roughly 1% right now, going to at least 5% in FY '27.

Amit Lahoti: Sure, that helps. Thank you so much.

Moderator: Thank you. Next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Yes, good evening, thanks. So first question is on VRL in FY '26. So despite the brand fee and the dividend, if you see net debt has just reduced by \$200-odd million. So could you broadly share what were the cash outflow heads there for FY '26?

Ajay Goel: In FY '26, of course you're right, dividend and the brand fee is almost \$1.1 billion. There is a funding for KCM last fiscal, Sumangal. It's almost \$330 million, and hence that is one reason. And secondly, the entire inter-corporate loan to \$220-odd million has been paid from VRL to VDL. And in that case, 5.3 has become 5.2 in the last fiscal. So it's mostly the funding for the KCM.

Sumangal Nevatia: Okay. And we had plans for listing of KCM, where are we in terms of that, any guidance?

Charanjit Singh: Deshnee, you want to take?

Deshnee Naidoo: So we are in the process of having filed our S-1 with the SEC. We are currently in the third round of comments, but I'm sure you would all appreciate that we are in a quiet period in that regard, and as soon as we are able to come into the public, we'll actually give you an update on the overall process. But we are progressing in terms of the S-1 filing.

Sumangal Nevatia: Got it. My second question is on the brand fee. So if you could just call out what was the brand fee paid by Copper entity in FY '26? So I mean, what's the delta we're looking at? And now once we've re-looked, till what year is the brand fee at 3% fixed for other entities?

Vedanta Limited

April 29, 2026

Sensitivity: Internal (C3) Ajay Goel: Maybe Sumangal after the call, we'll have the numbers shared with you, but on a broad basis,

about \$3.1 billion - \$3.2 billion is the Copper revenue, and on that last year, the number has been 3% brand fee. Now that number will go down to 0.75%. So the impact of the brand fee on Copper is about \$65 million in FY '26, FY '27 lower amount.

Now the overall brand fee looking at the volume increase and the better pricing will be something similar. So from Vedanta India's viewpoint, all the five companies combined brand fee FY '27 remains similar to last year. So the Copper impact is mitigated by volume and the pricing.

Sumangal Nevatia: Okay, that's useful, Ajay. Till which year is the rate fixed as per the agreement?

Ajay Goel: The rates are typically if you look at last 9-odd years, in 2017 the brand fee got commissioned. So we look at revised benchmarking every three years. So it is for next three years.

Sumangal Nevatia: Okay, so till FY '29 it is fixed.

Ajay Goel: That's correct.

Sumangal Nevatia: Understood, understood. I have one question with respect to Zinc International. Now we are guiding for EBITDA increasing from \$100 million to eventually \$450 million in FY '28 in the

presentation. I mean, in the last many years, we've missed and delayed the guidance for Gamsberg Phase 2. So just want to understand last one or two years what has been the key reasons behind the delay and how confident are we of commissioning it and then starting to ramp

up in the second half of the current year?

Deshnee Naidoo: Yes, thank you so much for the question, Sumangal. I answered partly I think when Amit asked the question earlier. So today the project is 94% complete. So we're very confident about the ramp-up plan and commissioning in this quarter and ramp-up for the rest of the year. In terms of the reasons for the delay, twofold.

Firstly, to produce 8 million tons of run-of-mine, given the stripping ratio of 3 to 4 at this moment, we've had a lot to do on catching up of the waste stripping at the Gamsberg open pit, and that took the better part of the last two years to actually catch up. So this was almost three years of delayed in stripping, waste stripping.

That is now adequately caught up, in fact very happy to say that even for the current commissioning and ramp-up, we are sitting with a healthy stockpile in front of the plant. We've also had some delays on the ground, believe it or not, and something I think we as an industry keep talking around is skills needed for certain types of work, especially in projects.

In South Africa, capital has dried up. In fact, we are one of the few companies that are actually building capital projects today despite it being such a large mining geography, and we have had certain skill sets that have been short and the team has worked hard even through our business partner onshore for finding.

Vedanta Limited

April 29, 2026

Page 11 of 19

Sensitivity: Internal (C3) So that's created some of the delays on specialized work like piping, instrumentation, etc. But again, I think a lot of time has gone in the last six months almost resetting the project to make sure that we can deliver it on time on the new timelines and making sure that, I keep guiding the team that whilst we might not have built this project as we should, it's still very capital, competitive in terms of capital intensity, and now we have to get this plant to a dream start, which I indicated earlier should be a 12 to 15 month type of ramp-up for a plant of this of this size.

So hope that gives you a good sense of what has happened, why the misses, and why we are confident now given the status of both mining as well as the project that that we will deliver this year's ramp-up. And you saw last year's numbers, right, from the previous year, the Gamsberg ramp-up in itself because of the waste stripping that I just mentioned was almost 40% up year-on-year.

Sumangal Nevatia: Yes, yes, that's very elaborate and thanks. I just have one more question, can I ask?

Moderator: Go ahead, Sumangal.

Sumangal Nevatia: Okay, okay. So one is, I mean, the resultant entity has still a \$1 billion of debt. So how are we going to service the debt? Will it be largely through the dividends from Hindustan Zinc and maybe the leftover is passed out as upstreamed as dividends?

And second, the aluminium entity is on the numbers throwing very strong cash flows. So generally what's the preference there, I mean, how in terms of de-leveraging and payouts? So if you could just share some thoughts on capital allocation at the aluminium entity.

Ajay Goel: So maybe I'll start first with the five companies. And in fact, if you look at Sumangal in the IR pack, there is a page which covers all the five companies in unbundled form, what will be net debt to EBITDA, all of them. So if you look at overall Vedanta right now, \$5.5 billion net debt and debt to EBITDA almost 0.95.

Now pre-de-merger, we have made sure that each of the entities in terms of their debt and the cash flow, they are in harmony. So even before de-merger on 1st of May, Vedanta Oil and

Gas

will have nil debt, so it will be debt-free company. Vedanta Iron and Steel will be close to net debt; it will have no debt more than \$0.2 billion. That leaves aluminium, debt of almost \$3.5 billion, and in aluminium debt to EBITDA ratio almost 1.3.

And as you rightly pointed out, given their cash flows, that will not be a challenge. That leaves Vedanta Power, there most of the debt in fact is structural and the long-term with the PFC and the RECs, and there the debt maturities are in fact truly long-term, 7 to 10 years. Vedanta Limited's debt will be almost a billion, and there debt to EBITDA will be 0.4x.

So a combination of profitability at Vedanta Limited through FACOR, through Zinc International, and the Copper debt can be serviced. Additionally, Zinc India dividend remains additional optionality. So in summary, we don't foresee a challenge looking at the current pricing environment, our work on volume, cost, and NEP of serving debt of all the five companies.

Vedanta Limited

April 29, 2026

Page 12 of 19

Sensitivity: Internal (C3) Sumangal Nevatia: Got it, thanks.



Moderator: Thank you. Next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Yes, hi sir, congratulations for good set of numbers and the de-merger steering through, wonderful job. I have like five bucket of questions. First is starting with Saudi Arabia. I see there's a \$2 billion of capex indicated over there. I also see there's a EBITDA profile broadly from \$90 million FY '27 to around \$200 million FY '29.

Just wanted to understand how this would be funded, that's one, if you can provide a split year-wise that would be great. And the funding of this capex and basically how should we read into the economics of I see there's a rod mill, I see there's a smelter, commissioning timelines are not very far, and there's an exciting prospect of the mine as well.

I think mine-related capex has not been mentioned over here. So if you could just help us understand the economics of how to fund this \$2 billion, the timeline, and the underlying economics, that's the first bucket of questions?

Deshnee Naidoo: Maybe I'll give an overview of what we are doing in the kingdom and then Ajay we can talk high level about the funding as it relates to Vedanta go-forward. So, as you rightly mentioned, Ritesh, we have the rod mill plant. I mean, this this is a \$30 million plant, capacity of about 2,00,000 tons, and this is something that we were contemplating for a while. Good on Puneet and the team to actually putting this on, I think they started last year, broke ground in October last year, and that plant will be ready in September this year.

From an economics point of view, right, it's all about supply-demand as we just discussed on the Copper business side, but this plant will have an EBITDA margin of 5%. Then you touched on the mining, the mining blocks that we recently acquired and that's in Jabal Sayid. Those are still very nascent stages, we're still doing the exploration there.

Just given some of the early indications of the grades, etc., that we see both on copper as well as in gold, relatively attractive grades for both 1.5% I think on copper side, which should be maybe north of maybe 2% which makes it more exciting, and gold of about 3 grams per ton. So can just update on the on the grades, the exploration is being supported by Hind Metal.

So maybe Arun can also help us with the update. The copper smelter project is still the project that we indicated almost 18 months ago now in terms of the MoU we have with the Kingdom. We continue to work with them. The package of incentives that we wanted to make the project work is still under discussions in the Kingdom, so we haven't actually taken a project decision as of now. Okay?

And given what I just said on some of the incentivization, of course the \$31 million is largely funded from cash

that the copper business including Fujairah Gold is generating will actually be funded at that level. The bigger project will actually be funded by some of the incentives that we likely to get from the government as we continue these discussions. Ajay, anything to add?

Vedanta Limited

April 29, 2026

Page 13 of 19

Sensitivity: Internal (C3) Ajay Goel: Yes, briefly Ritesh. I mean, if you look at the Kingdom has released document a couple of years

ago, and they want to diversify beyond traditional hydrocarbon oil and gas. In that case, metals and mining is a big priority. It also entails that the Kingdom, KSA, will also provide land, power, and multiple subsidies, including in terms of funding and lower cost of funding.

What we have agreed with the local government, it is still being frozen, the entire funding will be happening in the ratio of 75:25 debt to equity. So, 25% will be Vedanta contribution as equity, 75% will be the funding locally at about 2% to 2.5% cost of funding. This 25% funding of the amount you mentioned will be over several years and that will be managed through Vedanta Limited free cash flows.

Ritesh Shah: This helps. My second question was on Zinc International again, a very big capex number of \$4 billion. The EBITDA is moving from \$300 million indicated FY '27 to around \$500 million.

How should we read into the funding of the capex? Again, it's not an asset which is at least I understand or appreciate it well, how should we look at the underlying economics of the mine, concentrator, and the smelter over here? That's the second bucket of questions. The third and fourth will be quick.

Deshnee Naidoo: Yes, so the good news about Zinc International after this year, it'll be a self-generating cash unit, right? Although it does have some debt now on the on the current project that is executed. The next phase of growth, which is not approved, right, which is basically the we've given you guidelines of how to look at the growth, comes from the Gamsberg underground.

Gamsberg underground, I think we have given you some updates on the R&R right now. It's almost and I think Arun can elaborate, if he knows the asset well, almost as large from an R&R point of view as Hindustan Zinc, so almost 16 million tons of metal there.

The underground material always had a higher grade than actually the open pit, today is about 7%, and the reason for that and the reason why we took the decision to go open pit initially all

those five, six years ago is because it was lower capital intensity to go open pit then start small, increase the mine, and then consider the underground opportunities.

So, the capital that you saw will be slightly more because of the underground, but the opportunity we have is to phase this out well is to actually use the current cash that will be generated by the business to support the next phase of growth. As we have the 2 million ton target, as you're calling it, Arun calls it the 2x project, we do have a 1 million ton goal to take the current will be around 4,50,000 tons, 5,00,000.

If you consider some of the other projects that we are considering as part of the debt that you're looking at in Namibia, gets us to another 5,00,000 ton expansion in the Gamsberg, which we're calling Phase 3, because Phase 1 and 2 is currently in execution, Phase 3 will be the new project. So, I think that's how you should look at it. This becomes a very different business, right? You no longer should be looking to fund all of the capital; it'll self-generate a lot of this cash going forward. And in these kinds of zinc prices, over \$3,000 per ton, it could be quite exciting about what that geography can unlock for us.

Vedanta Limited

April 29, 2026

Page 14 of 19

Sensitivity: Internal (C3) And as Charanjit mentioned earlier, when you start getting into these kinds of capacities, right, you cannot be shipping concentrate o

f this kind of volume because you almost double the volume you would need to ship. So, we are looking at putting in a smelter. It's a project I looked at way back then when I was in South Africa for the business.

But what makes it more attractive today is South Africa has some 5 gigawatts of power that's surplus today versus five years ago, and the government is very keen to support businesses like us that continue to spend money or spend capital in the country to incentivize us to make a smelter complex work together with an SEZ. That's what the team is looking at as part of that conceptual study that you saw in the deck.

Ritesh Shah: That helps Deshnee. Ajay sir, possible to break this \$4 billion by years or the way you explained the capital structure, what would be the self-generated cash flow which would actually fund it?

It will just help us appreciate the cash flow profile because the capex number is quite huge over here?

Charanjit Singh : Yes, Ritesh, happy to give the details post the call, year-on-year capex what we are doing and also the funding and the sources of funds for the capex.

Ritesh Shah: Sure. Quickly, third question, power assets we had an unfortunate incident. Are there any timelines on the resumption of that particular unit, are we looking at three months, six months, any particular timeline? And fourth is critical minerals, you've given a beautiful slide, there are multiple assets over here. How should we understand the option value over here? Thank you so much.

Deshnee Naidoo: Yes, I think I'll start with the question on power and then hand over to Arun for the critical minerals. So yes, we are incredibly saddened by our incident at Athena and I gave you a very elaborate update on everything that we're doing on the ground. I really want to recognize again the efforts by the teams there.

In terms of restart, I think we cannot commit to any timeline at this stage. What we can tell you is that we've only just recently, a couple of days ago, been actually given access back into the site to commence our full assessment work to look at, the activities, the rectification, restoration activities on the site.

Once our team is on the ground for another few weeks and we have an expert team that supports their recommendations, we will then come back to the market in terms of the likely timelines for re-commencement both on the on Unit 1, which is the unit in question, as well as on the Unit 2 project that was ongoing as well.

Arun Misra: Thanks, Deshnee. Let me add on the critical mineral. Out of the seven critical mineral blocks with Vedanta, if you look at the timeline of exploration, three blocks we hope to finish exploration by 2028. And normally we do mine planning one year ahead of finishing of exploration, somewhere in 2027. That means if we add 36 months of putting up projects of mining and smelting, we should look at somewhere around 2030 adding three more metals to the bottom line of Vedanta.

Vedanta Limited

April 29, 2026

Page 15 of 19

Sensitivity: Internal (C3) Ritesh Shah: Thank you so much, all the very best.

Moderator: Thank you. Next question is from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: Yes, good evening and congratulations on the de-merger. So, first question was, on the de-leveraging during the quarter. So is part of the Hindustan Zinc stake sale proceeds also included in this de-leveraging?

Ajay Goel: Yes, yes, that's right, Pallav. So INR7,370 crore s is de-leveraging in the fourth quarter. It includes every aspect, both source and application. So be it paying a dividend in the previous quarter or divesting a 1.5% zinc. Yes, answer is yes.

Pallav Agarwal: Okay, so basically, I think the cash flow from operations of INR14,000 crore, so is that part that includes this the stake sale as well?

Ajay Goel: No, that is additional. So, INR14,000 crore s

right is operating cash flows. The working capital is next building block where the number of days is the right metric. So from 77 days Q3, it has gone down to almost 70 days. Then we invested almost INR 5,700 crores in terms of capexes, growth and sustaining.

We also paid last quarter a dividend, that's an outflow, and Zinc stake sale INR 3,277 crore s is additional. It's about 1.1 %. So the INR 14,000 crores do not include Zinc stake sale, it is additional. There is a page, Pallav, in the IR deck on the entire cash bridge for the fourth quarter which covers all these blocks.

Pallav Agarwal: Sure, okay, I'll take a look at that. Also, I think you all have given a very detailed break-up of the net debt, pre and post-merger. So just wanted to check in the entity-wise net cash, some of the entities like Bloom Fountain. So where exactly, which entity would the debt of that go to?

Charanjit Singh : So Pallav, it's already taken into consideration when we have given the net debt position of respective entity. So it's already factored in.

Pallav Agarwal: Yes, so I get that. So, Bloom Fountain is a holding company of which particular company of the de-merged entity will this debt go to?

Ajay Goel: Bloom Fountain is a part of Iron and Steel. So Pallav, if you look at the IR deck, there is a slide which is quite elaborate. It covers the current Vedanta where the net debt, net of cash, is about 5.5 billion and leverage 0.95. If you unbundle the current Vedanta monolithic into five companies, it talks about each of the five companies and there Iron and Steel and Oil and Gas are zero or almost net zero debt companies.

Vedanta Power leverage will be 4.7 x. Vedanta Limited will have a \$1 billion debt, and significant portion of debt goes to Vedanta Aluminum. So out of 5.5, 3.5 goes to Vedanta Aluminum, and looking at the EBITDA of that business, their leverage will be still 1.3. So in summary, even before de-merger, all the five companies' balance sheet are that way architected where their assets and the cash flow will be sufficient to service debt post-de-merger.

Vedanta Limited

April 29, 2026

Page 16 of 19

Sensitivity: Internal (C3) Pallav Agarwal: Sure, okay. Yes, okay. Thank you. Just lastly on the guidance, FY27 guidance. So Athena PLF

I think is there's nothing over there. So is it because of the accident that's happened?

Charanjit Singh : Yes, Pallav, as Deshnee explained that we are taking a stock of the situation. And once we do that in the coming weeks, we'll come back to the market to disclose the start or the restart, and thereafter we'll be in position to give the details from a PLF perspective.

Pallav Agarwal: Okay, but the existing PPAs that we've signed, is there any penalty for not supplying or something?

Charanjit Singh : We have insurance in place to cover us for any gaps or losses which are there.

Pallav Agarwal: Sure. Okay. Yes. Thank you so much.

Deshnee Naidoo: But again, I think just give us time to assess the full situation and come back to the market with a comprehensive update as opposed to a piecemeal update that we can provide you with today.

Pallav Agarwal: Sure.

Moderator: Thank you. Next question is from the line of Kunal Kothari from Nu vama Wealth Management. Please go ahead. Kunal, your line is unmuted, please go ahead with your question.

Ashish: Yes, hi, Ashish here. First of all, thank you for the opportunity and many congratulations for the great set of numbers and finally de-merger happening, commendable. In this, I'm trying to ask one simple question, that going ahead because now we have de-merged into different entities. Obviously, every entity has a different scope. But in future, if we want to go for any acquisition, then that acquisition will be related to that particular segment only, or we can do something which can club another business?

Like for example, Vedanta Aluminum, so any further

acquisition will be only related to

aluminum business only, or it can be sometimes, other zinc minerals or something else also?

Because we have seen earlier also that other business clubbed into different one. So just to make it sure that any further acquisition only in a different particular commodities.

Deshnee Naidoo: Yes, I think from an overall M&A as we guided the market before, our Chairman is still very involved in all M&A across the company. Going forward, whilst it will be very clear about the focus of the individual businesses are. Anything outside of the portfolio would still happen at the holdco level. Holdco will be set up to make sure there is some visibility of capital allocation across all 5 businesses, but also with its own M&A team to start looking at some of these opportunities.

If it makes more sense, synergies wise to go into one of the 5 companies it would. If not? As we've seen our chairman from his previous track record, we will, we absolutely have other companies in the business too, whole set of new companies.

So that is still very much, that will still be very much the case. But the CEOs and the leadership team of their respective companies will be mandated to continue to grow organically in the first instance, as you know, every business has their own 2x, 3x type growth story. And any M&A,

Vedanta Limited

April 29, 2026

Page 17 of 19

Sensitivity: Internal (C3) depending on the size, shape, that's very in line with the company's strategy will happen at the company level, anything else above we happen at a holdco-level together with the chairman.

Ashish : Thanks, thanks, that is very clear thanks. Second is on aluminium operations only.

Deshnee Naidoo: Ashish. Because we initially had the call from Kunal and then you came on. So just tell us where you are from please?

Ashish: Yes, I am from Nuvama only. So on aluminium operations, now we have seen consistent delay in mines like bauxite, coal mines, and you know, every time we get a new deadline on that. So just wondering where we are on that process in terms of approval? And secondly, in terms of aluminium smelter also when you are going to fully commission it? And lastly, when can we start seeing lower alumina cost of production, which will ultimately lead to lower aluminium production? Thank you.

Deshnee Naidoo: Yes thank you. I'm going to hand over to Anup.

Anup Agarwal: So Ashish, first, let me answer the alumina piece, what you said. So Ashish if you recall no even in the last earnings call, I have said that probably we will see a \$50 reduction as we go into the quarter 1. Okay? But the other thing that I had mentioned was a constant LME, so if you ask me probably by quarter 2, we should see alumina cost hovering around \$750.

It has 2 parts to it. One, we should also appreciate the Middle East impact that we've had on some of the raw materials like furnace oil and caustic. Had it not been there, probably we would have seen a cost of around 710, 715. As of now, based on whatever cost we are seeing, we expect the cost to be around broadly 740, 750 in the quarter 2 of financial year '27.

Probably at \$25, \$20 to \$25 reduction from what is the quarter 4 cost. That is where we are as of now. And if we were to remove the Middle East cost implications, probably 700, 710 with probably 80%, 85% of the captive alumina. So Ashish that is where we are, so as we go into quarter 2, quarter 3, we expect the cost to be closer to 710, 720, 725.

So Ashish hopefully I've answered that question, shall I move to the.

Ashish: So Aluminium cost of production, then?

Anup Agarwal: See aluminium cost of production no, again, if you have seen the guidance, we're guiding 1650 to 1700, okay? Now if I were to just bifurcate it, into say H1, what the H1 cost will be. Maybe compared to quarter 4, you can expect flattish to 1% lower because of the, some of the impact

of the raw material that we have seen, I mentioned some of the raw material on the aluminium side some the carbon cost. So for that, the yearly guidance remains 1650 to 1700, but H1 should be probably flat to 1% lower compared to quarter 4.

Ashish: Okay, Okay. Great.

Anup Agarwal: Now coming to B ALCO expansion, see 70 of the total 304 pots that we are putting in, we commissioned by March. The delay was basically through partner substitution and resource augmentation, we've covered in the last couple of calls. Now if I were to give you a way forward

Vedanta Limited

April 29, 2026

Page 18 of 19

Sensitivity: Internal (C3) as we go along, Q1, Q2, Q3, Q4, on a run rate basis, broadly we will be doing around 105 KT a quarter. So Q1 should be 25 %, Q2 ramped up to 50 %, Q3 75 %, and as we go into the Q4, it will be 100%. Ashish.

Deshnee Naidoo: I think Anup, if I'm not mistaken, Ashish asked about the refinery, I think linked to alumina question. So Lanjigarh refinery for the year.

Anup Agarwal: So, Ashish, if you were asking about the refinery. See, as we exited this FY26, no, we exited at a run rate of close to 4 million tons. Now if you look at our guidance, we're talking about 4 - 4.1.

Now Q4 broadly, January, February, we should be closer to the rated capacity that we put in. Now why the delay? Because the calciners and the boiler that we put in, they are slightly running at a lower capacity of say 75% to 80%, and as we ramp up, so we will probably achieve the rated capacity in Q1, there we will achieve the rated capacity.

Ashish: Okay, and lastly just bauxite and coal mine s?

Anup Agarwal: See on the coal mines, see I'll first start with Kuraloi . So Kuraloi we have got the mining lease maybe a week back. Now from here, probably in a month or so, we should start seeing the mining operations. So that is on the Kuraloi . Coming to Ghogharpalli, EC has been recommended at the start of this month, the month of April.

We are also targeting FC in this quarter, and we remain committed to commission this block in the timelines that we've indicated last two quarters. Last quarter, this quarter, we've been consistent in terms of the timeline. Sijimali also, as guided last time, okay, we are we have got the LOI extension done, FC -1 is granted, EC we're expecting next month, and hopefully in H1 we will see the mines opening.

Ashish: So, sir, in Sijimali, obviously we were expecting earlier in February also, now we are expecting in May. So, what is the actual delay which we are facing? mean s, why government is not giving it, because we have seen lots of news in the newspaper, something in the local level also is disturbing. So, is this the reason because of which we are getting this delay in Sijimali mine?

Anup Agarwal: So, I'll tell you, Ashish , let me address it in two parts. First coming to the regulatory approvals, see there is some there was a LOI which got expired in the month of March. It was an administrative process, okay, it took some time before that LOI has been extended. We've just got the letter yesterday.

So, some time has gone into it. Now coming to the noise that we're talking about, so see, I'll tell you, we continue to engage closely with the state government, local administration, and surrounding communities, okay, to ensure that we have a smooth and responsible operation.

This engagement is driven through focused community development initiatives across healthcare, education, infrastructure, culture preservation, and livelihood generation. And

Ashish, keep in mind, this is a auctioned mine. Okay .

Vedanta Limited

April 29, 2026

Page 19 of 19

Sensitivity: Internal (C3) So maybe approvals might have taken a little longer time, but we are in touch with the administration, with the community, and we expect to open this mine within the timeline that we have committed.

Charanjit Singh: And just an important point to

note, Ashish, when this auction happened, there was few more mines which were issued to other players also, and we are the first one proceeding ahead with who have reached the EC stage and which is almost at final stages.

So, the process has its own time, particularly given the it's a long process of public hearing, FC -1, FC -2, and if the land if there is a forest land involved, which is of the size of few hundred hectares as is the case with Sijimali, it is likely to take some time.

So it is the process which is happening. We don't see any challenge in terms of the noise is there, of course, but I think it's all which is very common with all the infrastructure projects in the country. So, nothing very different in terms of the noise.

Ashish: Understood, no issues, because you know these things are obviously there when we already know about these things, but you know the timeline keeps on changing, almost a delay of a year.

But as you rightly pointed out, regulatory approvals are one thing one can't handle. Anyway, best of luck and best wishes for the future for all the companies. Thank you.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today . I now hand the conference over to Mr. Chiranjit Singh for closing comments. Over to you, sir.

Charanjit Singh: Thanks everyone for joining us. For any unanswered questions, you can get in touch with us, and we look forward to connecting again for the Q1 results, which will be more for the de - merged entity and looking forward to meeting you in the coming weeks. Good day and goodbye.

Moderator: Thank you, members of the management team. On behalf of Vedanta Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.